

J.K. Cement Ltd. (JKCEMENT)

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Through BSE Listing Centre

30.05.2023

Dear Sir/ Madam

Sub: Audio recording and Transcript of Conference Call pertaining to Financial Results for Q 4 FY23

Please find below the link of Audio recording and Transcript of Conference Call held on Tuesday , May 30, 2023, in respect of the Financial results for the Fourth quarter and year ended March 31, 2023. The said results were approved by the Board at its meeting held on May 27 , 2023.

Link for recording and Transcript : <https://www.jkcement.com/transcript -report>

This is for your information and records.

Sincerely

Shambhu Singh

Vice President (Legal) & Company Secretary

FCS No. 5836

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"JK Cement Limited Q4 FY'23 Earnings Conference Call"

May 30, 2023

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING DIRECTOR & CFO, JK CEMENT LIMITED .
MR. SUMNESH KHANDELWAL – DEPUTY CHIEF FINANCIAL OFFICER , JK CEMENT LIMITED .
MR. PRASHANT SETH – PRESIDENT (BUSINESS INFORMATION AND INVESTOR RELATIONS), JK CEMENT LIMITED .

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)

PRIVATE LIMITED .

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Moderator : Ladies and gentlemen, good day and welcome to the JK Cement Q4 FY'23 Call hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you and over to you sir.

Vaibhav Agarwal : Good evening everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to a Q4 & FY'23 Call of JK Cement Limited. On the call we have with us Mr. Ajay Kumar Saraogi – Deputy Managing Director and CFO; Mr. Sumnesh Khandelwal – Deputy CFO; and Mr. Prashant Seth – President (Business Information & Investor Relations).

I would like to mention on behalf of JK Cement Limited and its management that certain statements that we made or discussed on this conference call may be forward -looking statements related to future developments on current performance. These statements are subject to a number of risks, uncertainties and other important factors which may cause the actual developments and results to differ materially from the statements made. JK Cement Limited and the management of the Company assumes no obligation to publicly alter or update these forward -looking statements whether as a result of new information or future events or otherwise.

I now hand over the floor to the management of JK Cement for their opening remarks which will be followed by interactive Q&A. Thank you and over to you Saraogi Sir.

Ajay Kumar Saraogi : Good evening, I will just go ahead , the Board of Directors met on 27th of this month to review the Company 's operations for Quarter ended March '23 as well as for the year. Though we have posted everything on our Investor Presentation and also on the site, but still I will just read out some of the major achievements.

The quarter -on-quarter net sales was Rs. 2,332 crores as against Rs. 2,224 crores in the previous quarter an increase of 4%. And the EBITDA during the quarter was Rs. 372 crores as against Rs. 257 crores an increase of 39%. If we look at for the year our net sales was higher by 17% at Rs. 8,776 crores as against Rs. 7,529 crores. And the EBITDA was however lower because of exceptional high cost mainly , was Rs. 1,346 crores as against Rs. 1,536 crores. The earnings per share was Rs. 72.80 paisa as against Rs. 81.60 paisa.

This year as a whole has been a quite achieving year for the Company , the Company as you know commissioned the greenfield project of 4 million tons besides have also increased grinding capacity at different locations by 2 million tons. So, 6 million tons have been added in capacity this year by which the Company is now a 20-million -ton capacity Company .

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A further 3.5 million tons greenfield grinding is under installation, 1.5 million at Ujjain where the work has already started and within this fiscal this would be get commission. Also at Prayagraj we have acquired the land and are awaiting the other approvals. However, we have finalized the plant and equipment and we hope that by 2nd Quarter FY'25 this should also be on stream.

So, I would think we should not go on any other details, we will go straight to the question answers.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Just one data point in terms of the lead distance is how much for this quarter?

Management : It is 438 kilometers.

Shravan Shah : So, it

has reduced sizably from 470 odd hours versus last quarter so I think that was , we were trying to do. So, is there any further scope since the Panna now is at 58% utilization. So, can we say 10 to 15 kilometers further reduction from here on?

Management : Yes, we are working towards that and we are hopeful that maybe we may settle around 425 to 430 kilometers.

Shravan Shah : Second broadly in terms of now the entire growth particularly in the grey is driven by the Panna , which is already at 58 . So, how much we can expect the utilization for this ? So, broadly I am trying to looking at, can we see a 2.5, 3 million ton coming from the Panna so that would be the major growth for this year. So, net-net kind of a 15% plus kind of a volume growth on the grey

front, can we expect?

Management : Yes, I think you are bang on that thing. We should expect a 15% growth in volume this year. And when Panna should , anything definitely be around 2.5 to 3 million tons.

Shravan Shah : Thirdly if I heard it correctly on the media, our Kcal cost for this quarter was 2.4, what was in terms of the value terms . Last quarter it was I think 12400 kilocalories and how much more reduction we can expect in the first and second quarter?

Management : No see because this quarter if we see we are close to Rs. 12,000 the average fuel cost. And looking to the reduction in the fuel cost we expect that the petcoke price should come down by say around \$20 every quarter in the current quarter and the next quarter. And the spot price is say \$120 to \$130. So, I mean overall we have a visibility of say reduction in the fuel cost gradually in every quarter by say \$20. So, this will have an effect on the overall Kcal cost, which is presently Rs. 2.40 paisa and that can come down to say Rs. 1.80 paisa to Rs. 1.85 paisa in the Q3.

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Management : By end of Q3 so we expect about, around Rs. 75 per ton saving coming in each quarter as we go forward.

Shravan Shah : So, at least for two quarters we can see at over Rs. 75 kind of a reduction.

Management : What will happen , the prices have started reducing but we have placed order so the lowest price what we get present quote which is around Rs. 120 to Rs. 125 that shipment will come sometime by the end of Q2. So, we will get the benefit of that in Q3, so whatever we have ordered earlier will get consumed in Q1 and whatever we are ordering now will get consumed in Q2.

Shravan Shah : So, broadly the thing was I was trying to understand from the perspective that now in terms of the pricing I don't think we would have seen any increase in this April and May or maybe could we have some decline so overall in terms of improvement in profitability Rs. 100 to Rs. 120 each quarter --?

Management : Yes anything between Rs. 75 to Rs. 125 should be the range it depends on many factors and if you look at that it could be anything in the range of Rs. 75 to Rs. 125.

Shravan Shah : Lastly on the CAPEX, so how much for this year, everything if you can break it up in the paint also and whatever ongoing is there for this year and next year?

Management : So, on the paint business as I said earlier , we have already acquired the plants so now there is only nominal expenditure which we are going to do this year which maybe anything around Rs. 50 crores to Rs. 60 crores and balance we will have the spillover CAPEX of the Ujjain which we expect to commission in this fiscal, some Rs. 50 crores and the main CAPEX of around Rs. 325 to Rs. 350 crores on the Prayagraj grinding units, plus we have some spillover of the existing

Management : Prayagraj and Ujjain is spillover of Panna.

Shravan Shah : I think last time we were looking at close to Rs. 1,400 odd crore CAPEX including everything but the numbers --

Management : Yes, I can give you the breakup on that because see, one is the basic recovery which we are doing in this

house plant . So, around Rs. 150 to Rs. 160 crores is the balance CAPEX which we will do in this year. Then we have spillover CAPEX of the Panna and the Hamirpur plant which would be in the range of say Rs. 150 to Rs. 200 crores like the WHR is being commissioned now. Then we have the main CAPEX of the Ujjain which is to the tune of Rs. 300 crores in the current years and we will do some say Rs. 125 to Rs. 150 crores on the Prayagraj this year. So, this is the overall spent and the normal CAPEX of say Rs. 250 to Rs. 300 crores. So, we expect something Rs. 1,200 to Rs. 1,400 crores of CAPEX in this fiscal. And then in the next fiscal we will have the spillover CAPEX of the Ujjain of Rs. 50 crores what I was telling and then the main CAPEX of the Prayagraj of Rs. 325, Rs. 350 crores and normal CAPEX of Rs. 300 crores. So, again we will be in the range of Rs. 700, Rs. 800 crores in the next fiscal.

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Moderator : Thank you. Next question is from Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : My first question was about realization. So, simple arithmetic suggest your standalone realizations are up almost 2.9% or nearly 3% quarter -on-quarter and from the presentation if I include Panna even then I think sequentially there is a movement or improvement of almost 1.6% or over 1.5% and same improvement in realization.

So, my question basically was most of the industry peers have actually reported a flat to marginal decline in trend in realizations. But I also understand this is a yearend quarter. So, are there any yearend adjustments related to the thing factoring which we should not take this realization as a base or it has got to do more with the efforts of BCG and others that we were trying to narrow

the gap , how should one look at realization?

Management : Navin, I will answer this, like basically it includes two parts , there are certain yearend adjustment of around Rs. 30 crore at business level both business basically white and grey. And rest of the second part is related to , that in Quarter 3 if you recall like we had impact of regional price increase. So, we did not get an advantage in Quarter 3. But fortunately, in Quarter 4 the sector where we are operating had a good price increase whereas the other sector like East and West part, the prices were under pressure so that advantage also we got. So, these are the two impact basically which bettered our realization.

Management : Actually, one other factor in this quarter we have lower clinker sale. The trade sale has increased. So, net whatever, it is not yearend adjustment as such, what do we say yearend it is not that we have written back anything. So, actually what we are trying to mean it is there for the year when we take it as in a retention there is no figure pertaining to previous quarter which has been adjusted in this quarter.

It is basically one because of the trade percentage has gone up , there is a change in the mix and the clinker sale, which was there in the previous quarter, in this quarter is because of the good demand we have been only selling so there is no clinker sale. The clinker sale is also at a lower realization. So, all that has effected marginal we could say about Rs. 70 as a n improvement in the overall realization when we compare quarter -on-quarter.

Navin Sahadeo : So, quarter -on-quarter you are saying there is a realization improvement .

Management : Yes, it is not the price improvement, it is not exactly as a result of any price improvement. It is a result of mix , more trade and lower clinker sale .

Navin Sahadeo : My second question was about Panna so as mentioned in your presentation you said that Panna has turned EBITDA positive at such a low utilization of 60%. So, my question there was are we then already started factoring in the subsidy related to , because I believe waste heat r

ecovery

and all those things are yet to commission. So, the EBITDA turning positive is a function of subsidy accrual also.

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Management : No, see we have accounted for the subsidy which is the MP subsidy. But we have not yet accounted for any subsidy pertaining to UP which will get accounted only from June onwards.

Management : Even Panna like it will be accruing from April onwards. So, logically like Saraogiji has mentioned like there has not been any much impact of subsidy ?

Management : He is asking for the last quarter so I am saying in the last quarter we have just been EBITDA positive marginally and there is no adjustment of subsidy in that quarter.

Management : Yes, in that quarter there is no adjustment of subsidy, there is no benefit of subsidy, yes.

Navin Sahadeo : Just one more question, if I may, the difference because in the previous quarter I could understand the difference between consol numbers and standalone numbers were more got to do with probably the starting losses at Panna, but in this quarter it is positive, still then the difference is almost at a Rs. 12 crore kind of a loss between consol and standalone. So, what could this be on account of?

Management : Yes this is actually, Navin on account of the paint business. So, we have done because of the acquisition .

Management : So, actually the plan was to set -up a plant and we had gone ahead with the land acquisition and started work at the site. And interim we got this opportunity for acquisition of the paint which we did acquisition. So, now we have actually shared the project, so whatever amount which had been spent on the project when we had surrendered the land so there was some land surrendering cost, we had done some all the base engineering work and other things which we had done for the project and the expenses including salary for that project period, all that is accounting for that expenditure which has been taken as the revenue during this quarter.

Navin Sahadeo : So, it's a one -off, onetime cost ?

Management : Yes it is one -off.

Moderator : Thank you. Next question is Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : Just in continuation of the point where you mentioned that the prior quarter included paint loss, so could you just quantify what was the revenue EBITDA for paint as well as let's say about Central India operations separately?

Management : Yes we send you the data . I think the paint turnover was mainly of Acro Paints so we will send you the details of the turnover of Acro Paints separately, but that I think would be around Rs. 20 crores, I don't have the exact numbers here.

Amit Murarka : You are right it is around Rs. 20 crore and EBITDA is around Rs. 1 crore.

Management : And the Central India top-line is about Rs. 277 crores.

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Amit Murarka : And the EBITDA would be how much there?

Management : EBITDA is about Rs. 2 crores.

Amit Murarka : So, the negative number is just on account of this one -off, is it how much was the one -off if you can quantify that?

Management : Yes one-off is about Rs. 12 crores to Rs. 13 crores.

Amit Murarka : And also, on the direction of the power and fuel cost you mentioned that there should be a \$20 fall every quarter, but then in Rupees per ton you said Rs. 75, so I couldn't reconcile that, but generally every \$10 gives about Rs. 50 or so kind of reduction so like should it not be like higher, Rs. 100 every quarter or Rs. 300 to Rs. 315 in total.

Management : No, because it is not 100% pet-coke consumption. So, we will get only benefit to that percentage which is the mix of the pet-coke.

Management : And also, we will have some carryover inventory also so like the entire \$20 impact might not come in the same quarter. So, there will be some overlapping of this quarter and then yes.

Amit Murarka

: But I am not so bothered about quarter-on-quarter but as an overall number if we just look at the spot, mix of fuel also.

Management : So, presently broadly our mix of pet-coke is around 75% and balance is AFR and other fuel and if you look at that then it comes to around Rs. 75. See whether Rs. 75 to Rs. 80 is a ballpark we can't have a standard say \$20 meaning Rs. 100 this is all theoretical adjusted calculation.

Amit Murarka : But in total like it's fair to say that about Rs. 250 decline over three quarters.

Management : Yes, so as I said it's Rs. 75 it could be Rs. 100 also, the reduction is 20 tons into 100 it would be 100, I just said ballpark you know whatever adjustment is simply that this is a trend, it could take a trend within others are saying we are talking about Rs. 300 a reduction, Rs. 250 to Rs. 300 reduction in fuel cost and your next question will be how we are saying Rs. 400 reduction.

Amit Murarka : Also, just on this merger of Jaykaycem (Central) into standalone, by when will it complete and the next question would be like, would it also lead to some fixed cost savings once the merger is done?

Management : So, hopefully everything should be done in the second quarter.

Amit Murarka : And would there be any fixed cost savings?

Management : Not really because again being a subsidiary the marketing and it's all one arrangement, yes a lot of ease of work would be there, because you have to maintain you know to that extent whatever

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savings are there otherwise you do accounting and everything at two companies and other billing and so all those, ease of work would definitely be there.

Moderator : Thank you. Next question is from Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi : My first question pertains to the incentives that would accrue into P&L, how much would that be on a per ton basis and by when that would start flowing through P&L?

Management : So, we expect in case of Central India about Rs. 200 a ton, is the total subsidy benefit which we should be seeing for the Central India volume.

Rajesh Ravi : And by which quarter you would start accruing that, because you would have --

Management : We should see it from the second quarter onwards.

Rajesh Ravi : Talking about your grey cement margin despite having strong blending ratio close to 70% and higher usage of green power and all, is it fair to say that margins are still closer to Rs. 600 per ton for a full year in the grey cement. And if so how do you see that scaling up over the next year. And also want some clarity on the white cement on consol basis what sort of margins one should look at?

Management : We have already reported margins of over 17% so that is for the year, that is the consolidated margins. And we expect this margins to improve and that is all. I mean I don't agree when it was Rs. 600, we have not given any figure of Rs. 600 for the grey cement.

Rajesh Ravi : Yes, I am not sure that you have not guided any Rs. 600 I am saying when we work out the white cement business margins we were close to North of Rs. 2000 even they would have come off and have implied working suggest that the margin would be low?

Management : On a consol FY'23, 15.3% is the EBITDA margins. As we have said we are not giving separately for business confidentiality, the numbers of white cement. So, I would not like to comment on that, you are taking your own assumption I will not say yes or no.

Rajesh Ravi : But what is the outlook on the white cement margins, do you see that improving back to what it was, closer to what they were pre-COVID sort of numbers?

Management : No, that numbers we have already said for white business there is a lot of competition especially in the putty business of all the paint guys as a result yes we have been able to maintain our market share, our volume numbers, but de

finitely the pricing there is a big take on the pricing.

And you have to see overall whatever is the Company EBITDA for both the products broadly because it's not that the grey was covered, we had said that the white business used to earn 25% to 30% margins, but that scenario is not there today, it's a common, it's the same margins for the grey and white business broadly.

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Rajesh Ravi : And full year as you gave a volume guidance any understanding in terms of margins what do you see for full year, it can be achievable given the current fuel price trajectory that we are seeing ?

Management : We have close about 15.3% we expect the margins to definitely grow by another 10%. So, around 17% should definitely be our , 17%, 15% should be our margins for this year.

Moderator : Thank you. Next question is from Prateek Kumar from Jeffries. Please go ahead.

Prateek Kumar : My first question is on your paint business , would you have any guidance on expectation of year one, in terms of sales and then year two of sales now as you have started the operations --?

Management : So, yes, so on the paint business we expect in the current fiscal a range between Rs. 150 to Rs. 180 crores of top-line. And going forward in the next fiscal should be closer to Rs. 300 crores, I mean Rs. 270 to Rs. 300 crores in the next fiscal, FY'25.

Prateek Kumar : And this is EBITDA positive top-line or this will be EBITDA positive or we like looking at like, because we are looking at like Rs. 300 crore investment in the form of operating losses or working capital .

Management : See again as we were looking earlier but now after the acquisition this would definitely be lower and in this year we do not expect in terms of whatever the investment in the paint business including the losses it could be anything around more than Rs. 50 crores.

Prateek Kumar : For your central operations as we have now turned EBITDA positive or flat EBITDA and we are expecting Rs. 200 of subsidy benefit . So, for full year like is it okay I mean for modeling purpose to assume like Rs. 600 to Rs. 800 EBITDA per ton for that plant for the first full year of operation.

Management : Yes definitely.

Prateek Kumar : And related question, when we say that we are looking at 15% grey volume growth with 65% utilization of central plant. That largely means that the ongoing standalone operations, erstwhile operations are flattish on a year-on-year basis but we have added also some capacity ?

Management : It is not flattish when we take the volumes of the current year, it includes volume of the Central India also. So, Central India one full quarter volumes are there and also even in the initial, in the grey numbers the standalone we were seeding to the Central India markets which actually gets now converted into Central India . And now if you look at only grey markets definitely there is no stagnancy or anything we are growing in the northern existing markets also by around 10%.

Prateek Kumar : And that Rs. 20 crore on that ballpark we were looking at investments in advertisement in this market which was earlier aggressive, is that behind or we are looking for aggressive ad spend, in FY'24 versus FY'23 for overall Company ?

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Management : Rs. 20 crores I didn't follow that, please.

Prateek Kumar : There was this Rs. 20 crore loss which was booked in standalone operations last quarter, third quarter related to investment in the central operations which is not there probably in this quarter, in Q4. So, that was I think related to --

Management : So, in the previous quarter when we were talking about it just got reflected as an expenditure and there was no top line so this year I mean this quarter is not, it's an ongoing investment in publicity which has to be done on the brand building and other things and CTS and brand

building activities will have to continue if you have to grow in the market. In fact , we are opening up as going forward more and more new markets in the regions, in eastern UP and whatever whichever parts of MP which are left, so we have to capture all the new markets then only we will be able to dispense the entire volumes of Central India .

Moderator : Thank you. Next question is from Sanjay Nandi as an individual investor. Please go ahead.

Sanjay : Can you please guide us on the pricing scenario from the exit of the March quarter as on date in different areas of operation?

Management : Well as of now it is more or less flat or there is some pressure there may be marginal reduction in pricing exit of March. There has been no increase in the pricing.

Sanjay : So, any expectation of any price hikes down the line or we can expect after the monsoon.

Management : Yes definitely we foresee the demand is good but again on the onset of monsoons I don't know if something happens in June otherwise it would be post monsoon only.

Moderator : Thank you. Next question is from Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti : The lead distance has come down by 7%, 8% in this quarter that is actually not visible in your

transportation cost, it is marginally higher quarter-on-quarter, what is the reason for that?

Management : So, actually the lead distance has come down but the per ton per kilometer cost in that region, every region has a different per ton per kilometer cost. The new market where all the developments are taking place and all the fleets will get attached so initially yes the per ton per kilometer cost at Panna and at the Hamirpur site are higher than the existing markets.

Keshav Lahoti : So, the right way to see is that the lead distance might cool off but transportation cost will remain where it is, right?

Management : So, we are working that's another, immediately it's very difficult to say but I think it should be flat.

Keshav Lahoti : And when is Panna WHRS coming?

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Management : WHRS, the testing is going on, so I think it should be on stream and we have already, I mean it has started and I mean I think by the end of this month, end of May, June it should be normal.

Keshav Lahoti : You had a plant of clinker also Panna expansion?

Management : No, see the clinker line at Panna is 8000 TPD and we had a plan to step up and as the plant is stabilizing we are already doing and we are hopeful post-monsoon we should be able to get that 10,000 TPD clinker capability from Panna.

Keshav Lahoti : We can see a green at short up in your green power can you please bifurcate this between WHRS and renewable from where the increase is coming?

Management : Yes so we will send you the details of WHRS and the solar and the power separately.

Moderator : Thank you. Next question is from Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : My question was on the working capital. So, is there a release that we are seeing in the working capital and how sustainable is this or I see almost like Rs. 1500 crore kind of reduction in networking capital year-on-year. So, is that a temporary thing or it could reverse back?

Management : No, so working capital has reduced, I mean see what has happened, yes there could be marginal increase in terms of clinker, three areas where the working capital has increased which is, like one is the coal inventory. So, earlier due to uncertainty in the markets availability at the loading ports and all so we had gone up to coal inventory of as high as four to five months. And after things have normalized we don't feel that there is any need to have inventory of, normal inventory of around two months. So, that's normal, so the coal inventory has been.

Similar was in case of inventory for the chemicals, so because of uncertainty that inventory was also

on the higher side. So, it has reduced, it has become a normal inventory. So, you have to see what had happened during this period that because of uncertainty in markets in the last two years, the inventories had increased, it has come to the normal level. And also, with clinker is going, adjusting factor at this year at any point of giving sometimes we may have higher clinker last year at the yearend when we compare our last quarter, the clinker inventory was higher which is lower now. So, these are the three areas where it has gone down.

So, it is not, it's well within not that we have reduced or anything, yes we have worked on, there is no need or whatever is a normalized working capital we will keep to that, the current levels are maybe another Rs. 50 to Rs. 100 crores more but beyond that the inventory should not increase.

So, whatever is the benefit of optimization or working capital we have got the benefit of close to Rs. 300 odd crores. So, I mean Rs. 200 or Rs. 250 crores is definitely sustainable.

Navin Sahadeo : My second question was about synergies at Panna, so Panna of course on its own there will be operating leverage gains and waste heat recovery as it comes and incentive subsidies, those benefits would accrue, but beyond that would there be some more synergies on the lead distance as well in the sense that at least from a regional perspective I think the lead distance there could

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be at least significantly lower than what it is for the other plant or would that be the case or overall lead distance will not really change much, with Panna coming?

Management : No, see what I would say that Panna as a plant, Panna overall lead distance which would be lower than the northern plant lead distance. Because northern plants where it was feeding from Rajasthan to the entire northern region, Panna is where we are operating the whole market, the distance is lower as compared to North market. So, now we have markets in North and maybe south where the lead distance is lower, North is again as a standalone North lead distance remains higher because that is the structure of the market and the limestone reserves it's all Rajasthan based producers which are feeding that market of northern India.

Navin Sahadeo : So, just to put numbers in perspective, you said the first question I think was about lead distance and you said it's about 438 kilometers. Does that include Panna benefit into it or Panna will be separate?

Management : No, it is inclusive of Panna 470 was also inclusive of whatever we were selling from North in the Panna market, 438 is consol inclusive of Panna, for the consolidated Company .
Navin Sahadeo : And just one clarification for paints you said you are looking at a top line of Rs. 150 to Rs. 180 CR in FY'24, but did you also say you are looking at a loss of Rs. 50 crore in the year one of operations?

Management : No, it's investment, loss in investment. Investment, we are planning about Rs. 30 crores of CAPEX. So, Rs. 30 crores will go into CAPEX and Rs. 20 crores is that whether it's a loss or you can say a brand building or whatever you may call it. So, there should not be any operating loss, the gross margin is what we are expecting even on that, so we don't expect the gross margins to be lower than the paint companies, so all the paint companies have a gross margin ranging from different companies from 28% to around 35%, 37%. So, we should be in the same vicinity.

Moderator : Thank you. Next question is from Tejas Pradhan from Citigroup. Please go ahead.

Tejas Pradhan : Just wanted to check your share of blended cement seems to have gone up significantly this quarter, is it a sustainable increase and any particular target you have over here?

Management : No, see we are working on maintaining and improving our trade share. It's an ongoing but also it depends on what is the demand

and supply situation, but at any point of time so our internal target is that we should be able to ideally have a 70% and 30% but it's a big, tall challenge, but anything between 65% to 70% would always be the range. And we would definitely thrive to see that we maintain the present share, we don't lose, but again it's very difficult to say with all the volume and how the market behaves.

Tejas Pradhan : Just to follow up a bit, I think versus last quarter to this quarter I think there is a 4% or 6% swing in the share of blended cement.

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Management : 4% is in the blended ratio. And in the trade, non-trade it is 2% from 67.3% to 69.3%.

Tejas Pradhan : So, anything specific that had happened in this quarter, because of which there was a 4% improvement or maybe reading too much into it?

Management : See again, when Panna has come, new grinding unit has come and new grinding stations are coming in, that sale is from the grinding stations will all be blended cement.

Moderator : Thank you. Next question is from Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : Just wanted to get some status update on the Jaisalmer limestone lease, what is the position on clearances and all that?

Management : So, we are just working, we are in the process of the land acquisition and we will shortly execute the mining lease agreement. So, I think within this fiscal year we should be able to do this.

Amit Murarka : Land acquisition has already started or will you start --?

Management : Yes, it's already started.

Amit Murarka : And any timelines for completion of the land and --?

Management : We are hopeful we should do in this fiscal.

Amit Murarka : And in terms of priority like will Panna Phase II be a priority or you think this would take precedence over that.

Management : The Board has not taken a view on that, but I would, maybe it looks like as Panna market is already growing it should be Panna. First is, but immediately as I said we are going ahead with the Prayagraj grinding which would be catered from Panna. So, we have Panna from present 4 to 6 million tons is coming from that. And then we will see as a next step whether it is a brownfield expansion at Panna or greenfield at North, but most likely it should be Panna, but it has to be seen, everything depends on the market and the balance sheet.

Moderator : Thank you. Next question is from Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Just to follow up on the same, so whenever we finalize a broad idea in terms of whenever we want to go for the next leg of expansion, so as you mentioned or maybe the preference would be the Panna. So, maybe year end FY24 we should have a clear idea that we are going for and we will start the CAPEX for that, that is a better way one can assume?

Management : So, I would say at the end of FY24 or late FY 25 that should be the period. So, once we are through, normally we review a situation every 6 to 12 months on what is our balance sheet like and what we are doing, so we take a call it's not done every quarter or anything. So, you take a stock and you review every 6 months down the line, okay now whether what needs to be done

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and depending upon a medium-term view on the industry and our balance sheet and on that basis then we will take a call on that.

Shravan Shah : So, on balance sheet front so what we look at, so net debt is close to Rs. 2900 crores to Rs. 3000

odd crores now and given the profitability to improve now so at what level it will give a confidence that let's say now the net debt is Rs. 2000 and we will start spending for the next expansion.

Management : So, see in any case, we would not like net debt to EBITDA to be more than 2 going forward. So, we have to see on a medium-term basis when we take any expansion, we made a borrow

owing that

how we are going to cross, what will be the position on net debt to EBITDA.

Shravan Shah : And second just wanted an understanding when we say that our margin in grey and white is same and now when the reduction in the coal and pet-coke is going to kick in, so is it fair to assume that maybe a 6 months, 9 months down the line maybe the grey margin would be higher than the white margin?

Management : Very difficult to say, if the grey margins improve better than white, grey is our core business so that will give a better boost to the Company, when only white improves and grey does not improve, I would like to be happy with grey margin improving. So, that is the better thing for the Company, because 80% of our turnover or profits are coming from the grey business.

Shravan Shah : In that sense only, I was trying to understand.

Management : So, again, everything is definitely for both the businesses, the market plays a very important role yes in grey cement and also in white cement, again when we talk about fuel pricing, so fuel has an impact on white production also. So, even in the white business as we see, that is we are expecting improvement as things are becoming normal, the chemical cost will also reduce. But at the same time when we are depending on so much imports whether imported fuel as well as imported chemicals, there is a concern on the Dollar on the Rupee devaluation. So, though we may see the prices of fuel etc. coming down in terms of Dollar, but we have to see in Rupees what is the position, because if the Rupee gets depreciated that is also a concern.

Shravan Shah : And just a last clarification, you clarified that Rs. 30 crores would be an investment, for paint business I am saying when we say Rs. 150 to Rs. 180 crores revenue. So, just trying to get a number at EBITDA level there will not be a loss?

Management : Yes, so there could be initial EBITDA level should not be a loss, Rs. 20 crore could be that brand building there would initially some brand building cost would be, which would form part of expenses and it may get reflected in EBITDA but as I said that let us look at the margins. So, the paint business works on a margin ranging from 28% to 35% to 37%. We should not be I mean yes definitely it will take time to reach the higher end of margins but our margin should be around 30%. So, we are working towards that to actually maintain a margin of 30% in the paint business, with that top-line it is a good achievement.

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Shravan Shah : So, that is a gross margin, so I was looking from the EBITDA margin perspective.

Management : See EBITDA margins as I said if there is a branding cost which will go into the expense which is a long, it's an investment, but as when accounting it is part of the expense so which you may there is an EBITDA loss, but actually it is a brand building investment.

Moderator : Thank you. The next question is from Uttam Kumar Simal, from Axis Securities. Please go ahead.

Uttam Kumar Simal : My question pertains to the competitive intensity, when this expansion gets completed we will have around more than 9 million ton of your capacity located in the central region. That is around 40% of your entire capacity. So, what kind of market share you are eyeing in the central region along with the competitive intensity because UltraTech is already a market leader over there. So, any color on that?

Management : Normally if you look at what we are in the Central India new markets gradually we are scaling all the markets and our objective is that in each of the markets we should have double digit market share but we are not satisfied we can say or we can say between 8% to 12% that is the range which we should have market share in each of the areas or district wise if we allocate this is what we are working at. And gradually as we reach that number then first we reach

ch one

milestone and then you try and see what is the next milestone.

Moderator : Thank you. The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : Just one clarification about the gross debt and net debt levels, so your presentation said gross debt is Rs. 4,534 crores at the consol level and net debt is about Rs. 2,900. What is this number including working capital loan?

Management : Working capital loan maybe around Rs. 400 crores.

Navin Sahadeo : So, that much markup --

Management : Why we don't include working capital in that, because again that is supported by the current assets and also normally we are not included and that is not the terminology. And I think that's

the terminology which is being followed across.

Navin S ahadeo : Second question was slightly more at a industry broader thematic level wherein we see large players focusing now on branding or focusing more on premium offerings. So, some of the largest players in the North who have been earlier very volume driven now are at least attempting to see a change in strategy in terms of their overall brand positioning. So, is there an opportunity for us in that sense that the market is used to a particular price gap between players. So, if the players who have been earlier aggressive and now looking to really up the game in terms of increasing the pricing point, is there an opportunity for us to see in the sense to improve prices or that's now how the market really works?

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Management : Yes see on the brand journey, see we started our journey we realized this and I think we are better placed than many other players, because we started our brand journey about two and a half to three years back. And as a result, as you see over the last few quarters, we have continuously been able to improve upon our trade share, we have been able to get good growth in the market in terms of volume highs and the industry and not lose on market share on the pricing. In fact we have been able to improve our pricing.

See price in cement is definitely, it's not in our control it is effect of the demand and supply, but definitely we are not the leaders in the pricing. So, there is definitely a scope where we can improve upon our leaders today if we say UltraTech is a leader in the market, it sells at a premium and we are working to bridge that gap. So, that is our price improvement journey and we have started and that is coming as a result of all our branding activities, all our *(inaudible 00:59:22) activities and it is helping us not only in improving on the pricing, also on maintaining and improving the trade ratios.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference back to Mr. Vaibhav Agarwal for closing comments. Thank you and over to you, sir.

Vaibhav Agarwal : Thank you on behalf of PhillipCapital (India) Private Limited, we would like to thank the management of JK Cement for the call. Thank you very much sir.

Moderator : Thank you very much. Ladies and gentleman on behalf of PhillipCapital (India) Private Limited that concludes this conference thank you all for joining us and you may now disconnect your lines. Thank you.

Call: May 2023

National Stock Exchange of India
Ltd., Exchange Plaza, Bandra Kurla
Complex, Bandra (E), Mumbai -400051
Scrip Code: JKCEMENT
(ISIN:INE823G01014)
Through: NEAPS The Bombay Stock Exchange Ltd.
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai -400001
Scrip Code:532644 (ISIN:INE 823G01014)
Through BSE Listing Centre

30.05.2023

Dear Sir/ Madam

Sub: Audio recording and Transcript of Conference Call pertaining to Financial Results for Q 4 FY23

Please find below the link of Audio recording and Transcript of Conference Call held on Tuesday , May 30, 2023, in respect of the Financial results for the Fourth quarter and year ended March 31, 2023. The said results were approved by the Board at its meeting held on May 27 , 2023.

Link for recording and Transcript : <https://www.jkcement.com/transcript -report>

This is for your information and records.

Sincerely

Shambhu Singh

Vice President (Legal) & Company Secretary

FCS No. 5836

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"JK Cement Limited Q4 FY'23 Earnings Conference Call"

May 30, 2023

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR & CFO, JK CEMENT LIMITED .
MR. SUMNESH KHANDELWAL – DEPUTY CHIEF
FINANCIAL OFFICER , JK CEMENT LIMITED .
MR. PRASHANT SETH – PRESIDENT (BUSINESS
INFORMATION AND INVESTOR RELATIONS), JK
CEMENT LIMITED .

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)

PRIVATE LIMITED .

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Moderator : Ladies and gentlemen, good day and welcome to the JK Cement Q4 FY'23 Call hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you and over to you sir.

Vaibhav Agarwal : Good evening everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to a Q4 & FY'23 Call of JK Cement Limited. On the call we have with us Mr. Ajay Kumar Saraogi – Deputy Managing Director and CFO; Mr. Sumnesh Khandelwal – Deputy CFO; and Mr. Prashant Seth – President (Business Information & Investor Relations).

I would like to mention on behalf of JK Cement Limited and its management that certain statements that we made or discussed on this conference call may be forward -looking statements related to future developments on current performance. These statements are subject to a number of risks, uncertainties and other important factors which may cause the actual developments and results to differ materially from the statements made. JK Cement Limited and the management of the Company assumes no obligation to publicly alter or update these forward -looking statements whether as a result of new information or future events or otherwise.

I now hand over the floor to the management of JK Cement for their opening remarks which will be followed by interactive Q&A. Thank you and over to you Saraogi Sir.

Ajay Kumar Saraogi : Good evening, I will just go ahead , the Board of Directors met on 27th of this month to review the Company 's operations for Quarter ended March '23 as well as for the year. Though we have posted everything on our Investor Presentation and also on the site, but still I will just read out some of the major achievements.

The quarter -on-quarter net sales was Rs. 2,332 crores as against Rs. 2,224 crores in the previous quarter an increase of 4%. And the EBITDA during the quarter was Rs. 372 crores as against Rs. 257 crores an increase of 39%. If we look at for the year our net sales was higher by 17% at Rs. 8,776 crores as against Rs. 7,529 crores. And the EBITDA was however lower because of exceptional high cost mainly , was Rs. 1,346 crores as against Rs. 1,536 crores. The earnings per share was Rs. 72.80 paisa as against Rs. 81.60 paisa.

This year as a whole has been a quite achieving year for the Company , the Company as you know commissioned the greenfield project of 4 million tons besides have also increased grinding capacity at different locations by 2 million tons. So, 6 million tons have been added in capacity this year by which the Company is now a 20-million -ton capacity Company .

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A further 3.5 million tons greenfield grinding is under installation, 1.5 million at Ujjain where the work has already started and within this fiscal this would be get commission. Also at Prayagraj we have acquired the land and are awaiting the other approvals. However, we have finalized the plant and equipment and we hope that by 2nd Quarter FY'25 this should also be on stream.

So, I would think we should not go on any other details, we will go straight to the question answers.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Just one data point in terms of the lead distance is how much for this quarter?

Management : It is 438 kilometers.

Shravan Shah : So, it

has reduced sizably from 470 odd hours versus last quarter so I think that was , we were trying to do. So, is there any further scope since the Panna now is at 58% utilization. So, can we say 10 to 15 kilometers further reduction from here on?

Management : Yes, we are working towards that and we are hopeful that maybe we may settle around 425 to 430 kilometers.

Shravan Shah : Second broadly in terms of now the entire growth particularly in the grey is driven by the Panna , which is already at 58 . So, how much we can expect the utilization for this ? So, broadly I am trying to looking at, can we see a 2.5, 3 million ton coming from the Panna so that would be the major growth for this year. So, net-net kind of a 15% plus kind of a volume growth on the grey

front, can we expect?

Management : Yes, I think you are bang on that thing. We should expect a 15% growth in volume this year. And when Panna should , anything definitely be around 2.5 to 3 million tons.

Shravan Shah : Thirdly if I heard it correctly on the media, our Kcal cost for this quarter was 2.4, what was in terms of the value terms . Last quarter it was I think 12400 kilocalories and how much more reduction we can expect in the first and second quarter?

Management : No see because this quarter if we see we are close to Rs. 12,000 the average fuel cost. And looking to the reduction in the fuel cost we expect that the petcoke price should come down by say around \$20 every quarter in the current quarter and the next quarter. And the spot price is say \$120 to \$130. So, I mean overall we have a visibility of say reduction in the fuel cost gradually in every quarter by say \$20. So, this will have an effect on the overall Kcal cost, which is presently Rs. 2.40 paisa and that can come down to say Rs. 1.80 paisa to Rs. 1.85 paisa in the Q3.

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Management : By end of Q3 so we expect about, around Rs. 75 per ton saving coming in each quarter as we go forward.

Shravan Shah : So, at least for two quarters we can see at over Rs. 75 kind of a reduction.

Management : What will happen , the prices have started reducing but we have placed order so the lowest price what we get present quote which is around Rs. 120 to Rs. 125 that shipment will come sometime by the end of Q2. So, we will get the benefit of that in Q3, so whatever we have ordered earlier will get consumed in Q1 and whatever we are ordering now will get consumed in Q2.

Shravan Shah : So, broadly the thing was I was trying to understand from the perspective that now in terms of the pricing I don't think we would have seen any increase in this April and May or maybe could we have some decline so overall in terms of improvement in profitability Rs. 100 to Rs. 120 each quarter --?

Management : Yes anything between Rs. 75 to Rs. 125 should be the range it depends on many factors and if you look at that it could be anything in the range of Rs. 75 to Rs. 125.

Shravan Shah : Lastly on the CAPEX, so how much for this year, everything if you can break it up in the paint also and whatever ongoing is there for this year and next year?

Management : So, on the paint business as I said earlier , we have already acquired the plants so now there is only nominal expenditure which we are going to do this year which maybe anything around Rs. 50 crores to Rs. 60 crores and balance we will have the spillover CAPEX of the Ujjain which we expect to commission in this fiscal, some Rs. 50 crores and the main CAPEX of around Rs. 325 to Rs. 350 crores on the Prayagraj grinding units, plus we have some spillover of the existing

Management : Prayagraj and Ujjain is spillover of Panna.

Shravan Shah : I think last time we were looking at close to Rs. 1,400 odd crore CAPEX including everything but the numbers --

Management : Yes, I can give you the breakup on that because see, one is the basic recovery which we are doing in this

house plant . So, around Rs. 150 to Rs. 160 crores is the balance CAPEX which we will do in this year. Then we have spillover CAPEX of the Panna and the Hamirpur plant which would be in the range of say Rs. 150 to Rs. 200 crores like the WHR is being commissioned now. Then we have the main CAPEX of the Ujjain which is to the tune of Rs. 300 crores in the current years and we will do some say Rs. 125 to Rs. 150 crores on the Prayagraj this year. So, this is the overall spent and the normal CAPEX of say Rs. 250 to Rs. 300 crores. So, we expect something Rs. 1,200 to Rs. 1,400 crores of CAPEX in this fiscal. And then in the next fiscal we will have the spillover CAPEX of the Ujjain of Rs. 50 crores what I was telling and then the main CAPEX of the Prayagraj of Rs. 325, Rs. 350 crores and normal CAPEX of Rs. 300 crores. So, again we will be in the range of Rs. 700, Rs. 800 crores in the next fiscal.

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Moderator : Thank you. Next question is from Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : My first question was about realization. So, simple arithmetic suggest your standalone realizations are up almost 2.9% or nearly 3% quarter -on-quarter and from the presentation if I include Panna even then I think sequentially there is a movement or improvement of almost 1.6% or over 1.5% and same improvement in realization.

So, my question basically was most of the industry peers have actually reported a flat to marginal decline in trend in realizations. But I also understand this is a yearend quarter. So, are there any yearend adjustments related to the thing factoring which we should not take this realization as a base or it has got to do more with the efforts of BCG and others that we were trying to narrow

the gap , how should one look at realization?

Management : Navin, I will answer this, like basically it includes two parts , there are certain yearend adjustment of around Rs. 30 crore at business level both business basically white and grey. And rest of the second part is related to , that in Quarter 3 if you recall like we had impact of regional price increase. So, we did not get an advantage in Quarter 3. But fortunately, in Quarter 4 the sector where we are operating had a good price increase whereas the other sector like East and West part, the prices were under pressure so that advantage also we got. So, these are the two impact basically which bettered our realization.

Management : Actually, one other factor in this quarter we have lower clinker sale. The trade sale has increased. So, net whatever, it is not yearend adjustment as such, what do we say yearend it is not that we have written back anything. So, actually what we are trying to mean it is there for the year when we take it as in a retention there is no figure pertaining to previous quarter which has been adjusted in this quarter.

It is basically one because of the trade percentage has gone up , there is a change in the mix and the clinker sale, which was there in the previous quarter, in this quarter is because of the good demand we have been only selling so there is no clinker sale. The clinker sale is also at a lower realization. So, all that has effected marginal we could say about Rs. 70 as a n improvement in the overall realization when we compare quarter -on-quarter.

Navin Sahadeo : So, quarter -on-quarter you are saying there is a realization improvement .

Management : Yes, it is not the price improvement, it is not exactly as a result of any price improvement. It is a result of mix , more trade and lower clinker sale .

Navin Sahadeo : My second question was about Panna so as mentioned in your presentation you said that Panna has turned EBITDA positive at such a low utilization of 60%. So, my question there was are we then already started factoring in the subsidy related to , because I believe waste heat r

ecovery

and all those things are yet to commission. So, the EBITDA turning positive is a function of subsidy accrual also.

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Management : No, see we have accounted for the subsidy which is the MP subsidy. But we have not yet accounted for any subsidy pertaining to UP which will get accounted only from June onwards.

Management : Even Panna like it will be accruing from April onwards. So, logically like Saraogiji has mentioned like there has not been any much impact of subsidy ?

Management : He is asking for the last quarter so I am saying in the last quarter we have just been EBITDA positive marginally and there is no adjustment of subsidy in that quarter.

Management : Yes, in that quarter there is no adjustment of subsidy, there is no benefit of subsidy, yes.

Navin Sahadeo : Just one more question, if I may, the difference because in the previous quarter I could understand the difference between consol numbers and standalone numbers were more got to do with probably the starting losses at Panna, but in this quarter it is positive, still then the difference is almost at a Rs. 12 crore kind of a loss between consol and standalone. So, what could this be on account of?

Management : Yes this is actually, Navin on account of the paint business. So, we have done because of the acquisition .

Management : So, actually the plan was to set -up a plant and we had gone ahead with the land acquisition and started work at the site. And interim we got this opportunity for acquisition of the paint which we did acquisition. So, now we have actually shared the project, so whatever amount which had been spent on the project when we had surrendered the land so there was some land surrendering cost, we had done some all the base engineering work and other things which we had done for the project and the expenses including salary for that project period, all that is accounting for that expenditure which has been taken as the revenue during this quarter.

Navin Sahadeo : So, it's a one -off, onetime cost ?

Management : Yes it is one -off.

Moderator : Thank you. Next question is Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : Just in continuation of the point where you mentioned that the prior quarter included paint loss, so could you just quantify what was the revenue EBITDA for paint as well as let's say about Central India operations separately?

Management : Yes we send you the data . I think the paint turnover was mainly of Acro Paints so we will send you the details of the turnover of Acro Paints separately, but that I think would be around Rs. 20 crores, I don't have the exact numbers here.

Amit Murarka : You are right it is around Rs. 20 crore and EBITDA is around Rs. 1 crore.

Management : And the Central India top-line is about Rs. 277 crores.

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Amit Murarka : And the EBITDA would be how much there?

Management : EBITDA is about Rs. 2 crores.

Amit Murarka : So, the negative number is just on account of this one -off, is it how much was the one -off if you can quantify that?

Management : Yes one-off is about Rs. 12 crores to Rs. 13 crores.

Amit Murarka : And also, on the direction of the power and fuel cost you mentioned that there should be a \$20 fall every quarter, but then in Rupees per ton you said Rs. 75, so I couldn't reconcile that, but generally every \$10 gives about Rs. 50 or so kind of reduction so like should it not be like higher, Rs. 100 every quarter or Rs. 300 to Rs. 315 in total.

Management : No, because it is not 100% pet-coke consumption. So, we will get only benefit to that percentage which is the mix of the pet-coke.

Management : And also, we will have some carryover inventory also so like the entire \$20 impact might not come in the same quarter. So, there will be some overlapping of this quarter and then yes.

Amit Murarka

: But I am not so bothered about quarter-on-quarter but as an overall number if we just look at the spot, mix of fuel also.

Management : So, presently broadly our mix of pet-coke is around 75% and balance is AFR and other fuel and if you look at that then it comes to around Rs. 75. See whether Rs. 75 to Rs. 80 is a ballpark we can't have a standard say \$20 meaning Rs. 100 this is all theoretical adjusted calculation.

Amit Murarka : But in total like it's fair to say that about Rs. 250 decline over three quarters.

Management : Yes, so as I said it's Rs. 75 it could be Rs. 100 also, the reduction is 20 tons into 100 it would be 100, I just said ballpark you know whatever adjustment is simply that this is a trend, it could take a trend within others are saying we are talking about Rs. 300 a reduction, Rs. 250 to Rs. 300 reduction in fuel cost and your next question will be how we are saying Rs. 400 reduction.

Amit Murarka : Also, just on this merger of Jaykaycem (Central) into standalone, by when will it complete and the next question would be like, would it also lead to some fixed cost savings once the merger is done?

Management : So, hopefully everything should be done in the second quarter.

Amit Murarka : And would there be any fixed cost savings?

Management : Not really because again being a subsidiary the marketing and it's all one arrangement, yes a lot of ease of work would be there, because you have to maintain you know to that extent whatever

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savings are there otherwise you do accounting and everything at two companies and other billing and so all those, ease of work would definitely be there.

Moderator : Thank you. Next question is from Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi : My first question pertains to the incentives that would accrue into P&L, how much would that be on a per ton basis and by when that would start flowing through P&L?

Management : So, we expect in case of Central India about Rs. 200 a ton, is the total subsidy benefit which we should be seeing for the Central India volume.

Rajesh Ravi : And by which quarter you would start accruing that, because you would have --

Management : We should see it from the second quarter onwards.

Rajesh Ravi : Talking about your grey cement margin despite having strong blending ratio close to 70% and higher usage of green power and all, is it fair to say that margins are still closer to Rs. 600 per ton for a full year in the grey cement. And if so how do you see that scaling up over the next year. And also want some clarity on the white cement on consol basis what sort of margins one should look at?

Management : We have already reported margins of over 17% so that is for the year, that is the consolidated margins. And we expect this margins to improve and that is all. I mean I don't agree when it was Rs. 600, we have not given any figure of Rs. 600 for the grey cement.

Rajesh Ravi : Yes, I am not sure that you have not guided any Rs. 600 I am saying when we work out the white cement business margins we were close to North of Rs. 2000 even they would have come off and have implied working suggest that the margin would be low?

Management : On a consol FY'23, 15.3% is the EBITDA margins. As we have said we are not giving separately for business confidentiality, the numbers of white cement. So, I would not like to comment on that, you are taking your own assumption I will not say yes or no.

Rajesh Ravi : But what is the outlook on the white cement margins, do you see that improving back to what it was, closer to what they were pre-COVID sort of numbers?

Management : No, that numbers we have already said for white business there is a lot of competition especially in the putty business of all the paint guys as a result yes we have been able to maintain our market share, our volume numbers, but de

finitely the pricing there is a big take on the pricing.

And you have to see overall whatever is the Company EBITDA for both the products broadly because it's not that the grey was covered, we had said that the white business used to earn 25% to 30% margins, but that scenario is not there today, it's a common, it's the same margins for the grey and white business broadly.

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Rajesh Ravi : And full year as you gave a volume guidance any understanding in terms of margins what do you see for full year, it can be achievable given the current fuel price trajectory that we are seeing ?

Management : We have close about 15.3% we expect the margins to definitely grow by another 10%. So, around 17% should definitely be our , 17%, 15% should be our margins for this year.

Moderator : Thank you. Next question is from Prateek Kumar from Jeffries. Please go ahead.

Prateek Kumar : My first question is on your paint business , would you have any guidance on expectation of year one, in terms of sales and then year two of sales now as you have started the operations --?

Management : So, yes, so on the paint business we expect in the current fiscal a range between Rs. 150 to Rs. 180 crores of top-line. And going forward in the next fiscal should be closer to Rs. 300 crores, I mean Rs. 270 to Rs. 300 crores in the next fiscal, FY'25.

Prateek Kumar : And this is EBITDA positive top-line or this will be EBITDA positive or we like looking at like, because we are looking at like Rs. 300 crore investment in the form of operating losses or working capital .

Management : See again as we were looking earlier but now after the acquisition this would definitely be lower and in this year we do not expect in terms of whatever the investment in the paint business including the losses it could be anything around more than Rs. 50 crores.

Prateek Kumar : For your central operations as we have now turned EBITDA positive or flat EBITDA and we are expecting Rs. 200 of subsidy benefit . So, for full year like is it okay I mean for modeling purpose to assume like Rs. 600 to Rs. 800 EBITDA per ton for that plant for the first full year of operation.

Management : Yes definitely.

Prateek Kumar : And related question, when we say that we are looking at 15% grey volume growth with 65% utilization of central plant. That largely means that the ongoing standalone operations, erstwhile operations are flattish on a year-on-year basis but we have added also some capacity ?

Management : It is not flattish when we take the volumes of the current year, it includes volume of the Central India also. So, Central India one full quarter volumes are there and also even in the initial, in the grey numbers the standalone we were seeding to the Central India markets which actually gets now converted into Central India . And now if you look at only grey markets definitely there is no stagnancy or anything we are growing in the northern existing markets also by around 10%.

Prateek Kumar : And that Rs. 20 crore on that ballpark we were looking at investments in advertisement in this market which was earlier aggressive, is that behind or we are looking for aggressive ad spend, in FY'24 versus FY'23 for overall Company ?

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Management : Rs. 20 crores I didn't follow that, please.

Prateek Kumar : There was this Rs. 20 crore loss which was booked in standalone operations last quarter, third quarter related to investment in the central operations which is not there probably in this quarter, in Q4. So, that was I think related to --

Management : So, in the previous quarter when we were talking about it just got reflected as an expenditure and there was no top line so this year I mean this quarter is not, it's an ongoing investment in publicity which has to be done on the brand building and other things and CTS and brand

building activities will have to continue if you have to grow in the market. In fact , we are opening up as going forward more and more new markets in the regions, in eastern UP and whatever whichever parts of MP which are left, so we have to capture all the new markets then only we will be able to dispense the entire volumes of Central India .

Moderator : Thank you. Next question is from Sanjay Nandi as an individual investor. Please go ahead.

Sanjay : Can you please guide us on the pricing scenario from the exit of the March quarter as on date in different areas of operation?

Management : Well as of now it is more or less flat or there is some pressure there may be marginal reduction in pricing exit of March. There has been no increase in the pricing.

Sanjay : So, any expectation of any price hikes down the line or we can expect after the monsoon.

Management : Yes definitely we foresee the demand is good but again on the onset of monsoons I don't know if something happens in June otherwise it would be post monsoon only.

Moderator : Thank you. Next question is from Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti : The lead distance has come down by 7%, 8% in this quarter that is actually not visible in your

transportation cost, it is marginally higher quarter-on-quarter, what is the reason for that?

Management : So, actually the lead distance has come down but the per ton per kilometer cost in that region, every region has a different per ton per kilometer cost. The new market where all the developments are taking place and all the fleets will get attached so initially yes the per ton per kilometer cost at Panna and at the Hamirpur site are higher than the existing markets.

Keshav Lahoti : So, the right way to see is that the lead distance might cool off but transportation cost will remain where it is, right?

Management : So, we are working that's another, immediately it's very difficult to say but I think it should be flat.

Keshav Lahoti : And when is Panna WHRS coming?

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Management : WHRS, the testing is going on, so I think it should be on stream and we have already, I mean it has started and I mean I think by the end of this month, end of May, June it should be normal.

Keshav Lahoti : You had a plant of clinker also Panna expansion?

Management : No, see the clinker line at Panna is 8000 TPD and we had a plan to step up and as the plant is stabilizing we are already doing and we are hopeful post-monsoon we should be able to get that 10,000 TPD clinker capability from Panna.

Keshav Lahoti : We can see a green at short up in your green power can you please bifurcate this between WHRS and renewable from where the increase is coming?

Management : Yes so we will send you the details of WHRS and the solar and the power separately.

Moderator : Thank you. Next question is from Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : My question was on the working capital. So, is there a release that we are seeing in the working capital and how sustainable is this or I see almost like Rs. 1500 crore kind of reduction in networking capital year-on-year. So, is that a temporary thing or it could reverse back?

Management : No, so working capital has reduced, I mean see what has happened, yes there could be marginal increase in terms of clinker, three areas where the working capital has increased which is, like one is the coal inventory. So, earlier due to uncertainty in the markets availability at the loading ports and all so we had gone up to coal inventory of as high as four to five months. And after things have normalized we don't feel that there is any need to have inventory of, normal inventory of around two months. So, that's normal, so the coal inventory has been.

Similar was in case of inventory for the chemicals, so because of uncertainty that inventory was also

on the higher side. So, it has reduced, it has become a normal inventory. So, you have to see what had happened during this period that because of uncertainty in markets in the last two years, the inventories had increased, it has come to the normal level. And also, with clinker is going, adjusting factor at this year at any point of giving sometimes we may have higher clinker last year at the yearend when we compare our last quarter, the clinker inventory was higher which is lower now. So, these are the three areas where it has gone down.

So, it is not, it's well within not that we have reduced or anything, yes we have worked on, there is no need or whatever is a normalized working capital we will keep to that, the current levels are maybe another Rs. 50 to Rs. 100 crores more but beyond that the inventory should not increase.

So, whatever is the benefit of optimization or working capital we have got the benefit of close to Rs. 300 odd crores. So, I mean Rs. 200 or Rs. 250 crores is definitely sustainable.

Navin Sahadeo : My second question was about synergies at Panna, so Panna of course on its own there will be operating leverage gains and waste heat recovery as it comes and incentive subsidies, those benefits would accrue, but beyond that would there be some more synergies on the lead distance as well in the sense that at least from a regional perspective I think the lead distance there could

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be at least significantly lower than what it is for the other plant or would that be the case or overall lead distance will not really change much, with Panna coming?

Management : No, see what I would say that Panna as a plant, Panna overall lead distance which would be lower than the northern plant lead distance. Because northern plants where it was feeding from Rajasthan to the entire northern region, Panna is where we are operating the whole market, the distance is lower as compared to North market. So, now we have markets in North and maybe south where the lead distance is lower, North is again as a standalone North lead distance remains higher because that is the structure of the market and the limestone reserves it's all Rajasthan based producers which are feeding that market of northern India.

Navin Sahadeo : So, just to put numbers in perspective, you said the first question I think was about lead distance and you said it's about 438 kilometers. Does that include Panna benefit into it or Panna will be separate?

Management : No, it is inclusive of Panna 470 was also inclusive of whatever we were selling from North in the Panna market, 438 is consol inclusive of Panna, for the consolidated Company .
Navin Sahadeo : And just one clarification for paints you said you are looking at a top line of Rs. 150 to Rs. 180 CR in FY'24, but did you also say you are looking at a loss of Rs. 50 crore in the year one of operations?

Management : No, it's investment, loss in investment. Investment, we are planning about Rs. 30 crores of CAPEX. So, Rs. 30 crores will go into CAPEX and Rs. 20 crores is that whether it's a loss or you can say a brand building or whatever you may call it. So, there should not be any operating loss, the gross margin is what we are expecting even on that, so we don't expect the gross margins to be lower than the paint companies, so all the paint companies have a gross margin ranging from different companies from 28% to around 35%, 37%. So, we should be in the same vicinity.

Moderator : Thank you. Next question is from Tejas Pradhan from Citigroup. Please go ahead.

Tejas Pradhan : Just wanted to check your share of blended cement seems to have gone up significantly this quarter, is it a sustainable increase and any particular target you have over here?

Management : No, see we are working on maintaining and improving our trade share. It's an ongoing but also it depends on what is the demand

and supply situation, but at any point of time so our internal target is that we should be able to ideally have a 70% and 30% but it's a big, tall challenge, but anything between 65% to 70% would always be the range. And we would definitely thrive to see that we maintain the present share, we don't lose, but again it's very difficult to say with all the volume and how the market behaves.

Tejas Pradhan : Just to follow up a bit, I think versus last quarter to this quarter I think there is a 4% or 6% swing in the share of blended cement.

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Management : 4% is in the blended ratio. And in the trade, non-trade it is 2% from 67.3% to 69.3%.

Tejas Pradhan : So, anything specific that had happened in this quarter, because of which there was a 4% improvement or maybe reading too much into it?

Management : See again, when Panna has come, new grinding unit has come and new grinding stations are coming in, that sale is from the grinding stations will all be blended cement.

Moderator : Thank you. Next question is from Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : Just wanted to get some status update on the Jaisalmer limestone lease, what is the position on clearances and all that?

Management : So, we are just working, we are in the process of the land acquisition and we will shortly execute the mining lease agreement. So, I think within this fiscal year we should be able to do this.

Amit Murarka : Land acquisition has already started or will you start --?

Management : Yes, it's already started.

Amit Murarka : And any timelines for completion of the land and --?

Management : We are hopeful we should do in this fiscal.

Amit Murarka : And in terms of priority like will Panna Phase II be a priority or you think this would take precedence over that.

Management : The Board has not taken a view on that, but I would, maybe it looks like as Panna market is already growing it should be Panna. First is, but immediately as I said we are going ahead with the Prayagraj grinding which would be catered from Panna. So, we have Panna from present 4 to 6 million tons is coming from that. And then we will see as a next step whether it is a brownfield expansion at Panna or greenfield at North, but most likely it should be Panna, but it has to be seen, everything depends on the market and the balance sheet.

Moderator : Thank you. Next question is from Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Just to follow up on the same, so whenever we finalize a broad idea in terms of whenever we want to go for the next leg of expansion, so as you mentioned or maybe the preference would be the Panna. So, maybe year end FY24 we should have a clear idea that we are going for and we will start the CAPEX for that, that is a better way one can assume?

Management : So, I would say at the end of FY24 or late FY 25 that should be the period. So, once we are through, normally we review a situation every 6 to 12 months on what is our balance sheet like and what we are doing, so we take a call it's not done every quarter or anything. So, you take a stock and you review every 6 months down the line, okay now whether what needs to be done

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and depending upon a medium-term view on the industry and our balance sheet and on that basis then we will take a call on that.

Shravan Shah : So, on balance sheet front so what we look at, so net debt is close to Rs. 2900 crores to Rs. 3000

odd crores now and given the profitability to improve now so at what level it will give a confidence that let's say now the net debt is Rs. 2000 and we will start spending for the next expansion.

Management : So, see in any case, we would not like net debt to EBITDA to be more than 2 going forward. So, we have to see on a medium-term basis when we take any expansion, we made a borrow

owing that

how we are going to cross, what will be the position on net debt to EBITDA.

Shravan Shah : And second just wanted an understanding when we say that our margin in grey and white is same and now when the reduction in the coal and pet-coke is going to kick in, so is it fair to assume that maybe a 6 months, 9 months down the line maybe the grey margin would be higher than the white margin?

Management : Very difficult to say, if the grey margins improve better than white, grey is our core business so that will give a better boost to the Company, when only white improves and grey does not improve, I would like to be happy with grey margin improving. So, that is the better thing for the Company, because 80% of our turnover or profits are coming from the grey business.

Shravan Shah : In that sense only, I was trying to understand.

Management : So, again, everything is definitely for both the businesses, the market plays a very important role yes in grey cement and also in white cement, again when we talk about fuel pricing, so fuel has an impact on white production also. So, even in the white business as we see, that is we are expecting improvement as things are becoming normal, the chemical cost will also reduce. But at the same time when we are depending on so much imports whether imported fuel as well as imported chemicals, there is a concern on the Dollar on the Rupee devaluation. So, though we may see the prices of fuel etc. coming down in terms of Dollar, but we have to see in Rupees what is the position, because if the Rupee gets depreciated that is also a concern.

Shravan Shah : And just a last clarification, you clarified that Rs. 30 crores would be an investment, for paint business I am saying when we say Rs. 150 to Rs. 180 crores revenue. So, just trying to get a number at EBITDA level there will not be a loss?

Management : Yes, so there could be initial EBITDA level should not be a loss, Rs. 20 crore could be that brand building there would initially some brand building cost would be, which would form part of expenses and it may get reflected in EBITDA but as I said that let us look at the margins. So, the paint business works on a margin ranging from 28% to 35% to 37%. We should not be I mean yes definitely it will take time to reach the higher end of margins but our margin should be around 30%. So, we are working towards that to actually maintain a margin of 30% in the paint business, with that top-line it is a good achievement.

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Shravan Shah : So, that is a gross margin, so I was looking from the EBITDA margin perspective.

Management : See EBITDA margins as I said if there is a branding cost which will go into the expense which is a long, it's an investment, but as when accounting it is part of the expense so which you may there is an EBITDA loss, but actually it is a brand building investment.

Moderator : Thank you. The next question is from Uttam Kumar Simal, from Axis Securities. Please go ahead.

Uttam Kumar Simal : My question pertains to the competitive intensity, when this expansion gets completed we will have around more than 9 million ton of your capacity located in the central region. That is around 40% of your entire capacity. So, what kind of market share you are eyeing in the central region along with the competitive intensity because UltraTech is already a market leader over there. So, any color on that?

Management : Normally if you look at what we are in the Central India new markets gradually we are scaling all the markets and our objective is that in each of the markets we should have double digit market share but we are not satisfied we can say or we can say between 8% to 12% that is the range which we should have market share in each of the areas or district wise if we allocate this is what we are working at. And gradually as we reach that number then first we reach

ch one

milestone and then you try and see what is the next milestone.

Moderator : Thank you. The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : Just one clarification about the gross debt and net debt levels, so your presentation said gross debt is Rs. 4,534 crores at the consol level and net debt is about Rs. 2,900. What is this number including working capital loan?

Management : Working capital loan maybe around Rs. 400 crores.

Navin Sahadeo : So, that much markup --

Management : Why we don't include working capital in that, because again that is supported by the current assets and also normally we are not included and that is not the terminology. And I think that's

the terminology which is being followed across.

Navin S ahadeo : Second question was slightly more at a industry broader thematic level wherein we see large players focusing now on branding or focusing more on premium offerings. So, some of the largest players in the North who have been earlier very volume driven now are at least attempting to see a change in strategy in terms of their overall brand positioning. So, is there an opportunity for us in that sense that the market is used to a particular price gap between players. So, if the players who have been earlier aggressive and now looking to really up the game in terms of increasing the pricing point, is there an opportunity for us to see in the sense to improve prices or that's now how the market really works?

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Management : Yes see on the brand journey, see we started our journey we realized this and I think we are better placed than many other players, because we started our brand journey about two and a half to three years back. And as a result, as you see over the last few quarters, we have continuously been able to improve upon our trade share, we have been able to get good growth in the market in terms of volume highs and the industry and not lose on market share on the pricing. In fact we have been able to improve our pricing.

See price in cement is definitely, it's not in our control it is effect of the demand and supply, but definitely we are not the leaders in the pricing. So, there is definitely a scope where we can improve upon our leaders today if we say UltraTech is a leader in the market, it sells at a premium and we are working to bridge that gap. So, that is our price improvement journey and we have started and that is coming as a result of all our branding activities, all our *(inaudible 00:59:22) activities and it is helping us not only in improving on the pricing, also on maintaining and improving the trade ratios.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference back to Mr. Vaibhav Agarwal for closing comments. Thank you and over to you, sir.

Vaibhav Agarwal : Thank you on behalf of PhillipCapital (India) Private Limited, we would like to thank the management of JK Cement for the call. Thank you very much sir.

Moderator : Thank you very much. Ladies and gentleman on behalf of PhillipCapital (India) Private Limited that concludes this conference thank you all for joining us and you may now disconnect your lines. Thank you.

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"JK Cement Limited Q1 FY24 Conference Call"

August 16 , 2023

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR & CFO , JK CEMENT LIMITED
MR. SUMNESH KHANDELWAL – DEPUTY CFO, JK
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MR. PRASHANT SETH – PRESIDENT , BUSINESS
INFORMATION & INVESTOR RELATIONS , JK CEMENT
LIMITED
MODERATORS : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Conference Call of JK Cement hosted by Phillip Capital India Private Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from Phillip Capital India Private Limited . Thank you and over to you, Mr Agarwal .

Vaibhav Agarwal: Thank you, Michelle . Good evening, everyone. On behalf of PhillipCapital India Private Limited, we welcome you to the Q1 FY24 Call of JK Cement Limited .

On the call , we have with us Mr. Ajay Kumar Saraogi – Deputy Managing Director and CFO, Mr. Sum nesh Khandelwal – Deputy CFO and Mr. Prashant Seth – President, Business Information and Investor R elations.

I would like to mention on behalf of J K Cement L imited and its management that certain statements that we've made or discussed on this conference call may be forward -looking statements related to f uture developments and based on current performance, these statements are subject to a number of risks, uncertainties and other important factors which may cause the actual developments and results to differ materially from the statements made . JK Cement Limited and the management of the company assumes no obligation to publicly alter or update these forward -looking statements, whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of JK Cement for the ir opening remarks, which will be followed by interactive Q&A . Thank you and over to you, sir .

Management : Yes, thank you, Vaibhav . Good evening and welcome to Q1 results. The Board of Directors met on 12th of August to review the performance for the first quarter that is quarter ended 30th June. And the major highlights during this quarter, the net sale was Rs. 2,541 crores as against 2 ,613 crores in the previous quarter, a drop of about 3%, though it was higher by 20% vis-à-vis quarter last year. The revenue from operations was down by 2% at Rs. 2,624 crores as against Rs. 2,665 crores and Rs. 2, 163 crores previous year. The EBITDA during this quarter was Rs. 402 crores

as against Rs. 364 crores in the previous quarter, which is up by 11%, though marginally lower by 1% as compared to 407 in the previous year. The EBITDA margins in this quarter was 15.8%, 13.9% in the previous quarter as against 19.2% in the last year first quarter. The profit before tax during this quarter was Rs. 193 crores as against Rs. 190 crores, an increase of about 2% as against Rs. 270 crores in the previous year.

In this quarter, we have the Jaykaycem Panna, which was being operated as in the subsidiary. The subsidiary has got merged. And accordingly, the figures for this quarter have been

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regrouped, including the Panna working and also wish to inform that the Panna working has been quite satisfactorily. We commissioned Panna sometime in November, December last year, and within a short span of time, today the plant is already operating at about 75%. The work on the Ujjain project where we are putting up a grinding unit of 1.5 million tons is an advanced stage and hopefully, this will get commissioned in the fourth quarter of the current fiscal. As regards, the grinding unit at Prayagraj, now we have received the environment clearance and we have already placed the orders for main plant and equipment and immediately after the monsoon, the work would start at Prayagraj and we are hopeful that we should be able to commission in quarter 3.

in FY25. These are the major highlights for this quarter.

If you have any questions, we'll be pleased to answer the same. Thank you.

Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Shravan Shah from DOL at Capital. Please go ahead.

Shravan Shah: Sir, first is last time you talked about the 15% volume growth, so this quarter already increased, we have done 29% kind of a volume growth. So, for full year on Grade A cement per se, can we even see 20%-25% kind of volume growth for this year?

Management: No. I think we said about 15%. So, definitely our efforts would be there. The demand is good, but if we see the current quarter, the month of July has been affected by rain. So, the volumes are lower and looking to the other maintenance schedule and all. We are confident that we should be growing minimum to 15%, though we will try and see if the demand momentum, which is likely to continue, we may grow by closer to 20%, but not beyond that.

Shravan Shah: And for Panna for this quarter, last quarter we had a 2 crore EBITDA. So, this quarter broadly the EBITDA would be, so trying to understand the further improvement in the profitability?

Management: So, there is an improvement in the working of Panna. So, as we said, 75% capacity utilization is already there. And even on the EBITDA terms, it's closer to the average for the company. And in this quarter, we have commissioned the waste heat recovery plant and we would be gradually going forward, start using more of AFR. Benefits of all this would also be reflected in the coming quarters.

Shravan Shah: Now broadly, I have more data points are needed, but before that, broadly trying to understand in terms of the profitability. So, for last two quarters, we are saying that the White segment is having a kind of a similar EBITDA margin for grey cement 15%-17%, so is it fair to say if I take let's say 15%-17%, so this quarter in terms of the grey broadly, I understand we don't discuss in detail. But broadly, there's still the EBITDA per ton in grey is less than Rs. 800, so one can see this number increase as we increased the volume to 900 plus number?

Management: Yes, definitely, we are confident that going forward, the EBITDA should improve. When we are seeing some benefit, we will get in the cost in terms of lower fuel cost. We have seen the benefit in this quarter as we said earlier that this year we expect around Rs. 250 to Rs. 300 a ton overall

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saving in the fuel cost. So, out of this, actually the first quarter has been quite good in terms of the fuel cost vis-à-vis the previous quarter. Because we had some window to get still more cheaper fuel, but still having said so, even sequentially going forward, we should see Rs. 60 to Rs. 75 per ton saving in the fuel cost itself in the next two quarters. We have to see that whether we get the savings thereafter in the fourth quarter onwards or not as the petcoke prices have started firming up. So, we have to see that whether there is prices, how the prices remain going forward, it has come down to around \$115 and it has again gone up to about \$130 - \$135.

Shravan Shah: So, now a couple of data points. So, what's the power and fuel cost? Last quarter it was Rs. 12,000 and in terms of Kcal, we say 2.4. So, what was the number for this quarter?

Management: Actually last quarter 2.4 was stand alone. Now because we see after merger of the Central India operations, so with that last quarter was Rs. 2.50 paisa and in this quarter, the combined is Rs. 2.20 paisa.

Shravan Shah: And in terms of Rs. 12,000 will become for last quarter, how much for this quarter?

Management: So, there's slight reduction of around Rs. 1,000 per ton.

Shravan Shah: Rail road mix , lead distance for this quarter ?

Management: Rail was 14%

. Lead distance was 426 kilometers.

Shravan Shah: That is great, sir. And fuel mix for this quarter?

Management: Fuel mix is broadly 60% petcoke on the heat basis. And balance 40% is the other fuel and AFR.

Shravan Shah: And in terms of the CAPEX , so we are looking at the CAPEX of 1,200 to 1,400 crore for this year. So, how much we have done in the first quarter and is the number remains the same?

Management: Number remains the same and we have done the CAPEX of around Rs. 150 crores in the first quarter.

Shravan Shah: And for FY 25, 700-800 crore kind of CAPEX ?

Management: Yes, 800 crore.

Management: So, whatever the indication we have given regarding the CAPEX. As of now, it remains the same because there is no change in the plans.

Shravan Shah: And sir broadly in terms of working capital loan , would be the 400 crore which was the case in the March?

Management: Yes, it is around 400 crores.

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Shravan Shah: And then in terms of the pricing, post June , how are the prices? Is there some marginal decline?

Management: So, as far as pricing is concerned , on a reason t here's been some improvement in the prices in the month of July in the N orthern region , though the S outhern region still remains same or under pressure, but in the N orthern region , there has been some improvement in prices. The central has been more or less same.

Moderator: Thank you. We'll take the next question from the line of Navin Sahdev from ICICI Securities.

Please go ahead.

Navin Sahdev: I have three questions. One, s ir, the other operating income, basically the net sales given in the presentation and the difference in the net sales given in P&L account , that has come to, I think for the quarter has sho t up to 83 crores versus on an average run rate of 50 crores as I see in the past. So, what could you attribute this to this jump of roughly 30 crore ?

Management: That is the increase in the subsidy.

Management: One, Navin, the subsidy would be around 250 crores for the year. So, approximately we could say a round 60 -65 crores each quarter. Besides that, there is other income pertaining to some AFR sale and other scrap sale and other , some could be one time. But if we talk about subsidy alone, this would be in the vicinity of about 60 -65 crores because we have now subsidy in case of Panna, we have subsidy in case of Hamirpur , Aligarh and Nimbahera.

Navin Sahdev: Understood. So, at least let's say 70 -75 crore kind of a run rate can continue per quarter for the next couple of ye ars. Is it fair to assume that?

Man agement: Subsidy would be 60-65 crores, but then another 10 -12 crores other income normally there.

Navin Sahdev: Yes, that is what. So, 75 crore on an average can be a safe run rate.

Management: That should be.

Navin Sahdev: So, then my second question was this waste heat recovery plant, which you said has commissioned in the previous quarter of 22 MW. So, did it commission towards the f ag end of the quarter or I'm just trying to understand.

Management: Just fag end.

Navin Sahdev: So, there are no benefits of that ?

Management: We will not get a normal operation in this quarter, this quarter would have say I think maybe 50% utilization in this quarter because again, monsoon is a very difficult month where rain also disturbs the operation of the ki lns when the kiln operation is not very stable, it affects the waste heat power generation. So, it would be , this quarter we would see at least 50% benefit coming

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out of the waste heat at Panna and from the third quarter onwards, yes, optimal generation fr om captive power would be there.

Navin Sahdev: So, on a normalized basis, let's say from third quarter, compared to Q1, we should be able to see annualized saving of roughly 60 -70 crore per year from WHR S?

Management: 50-60 crores should be there.

Navin Sahdev: Understood. And s ir, my last question, we see the debt I think sequentially has gone up roughly a little over 100 crore , net debt I'm talking and you said we have done some CAPEX of just 150 crore, so?

Management: Actually, Navin , yes, the point is that is excluding the CAPEX, balance CAPEX is spill over on

the Central India expansion completion, right. So, we have spent this substantial amount on that for the waste heat recovery commissioning and all that. So, that is in addition to 150 crores.

Management: So, the CAPEX of 150 crores excludes the CAPEX done at Panna. So, there has been, the spillover CAPEX at Panna was around 300 crores as at the beginning of the year. So, during the quarter, another 175 to 200 crores has been spent on the balance work at Panna. So, if you look at the CAPEX, actually has been 300 crores plus during the quarter.

Navin Sahdev: So, it will still be part of the 1,400 crore guidance that you have given for the year?

Management: Yes. It is part of the 1,400 guidance and the debt increases that we have drawn out, there is some drawn even done in month of July. So, whatever the balance debt which had to be drawn for the Panna expansion that has been drawn. And we have taken some additional borrowing for the Ujjain project.

Navin Sahdev: No, understood. But just to conclude, net debt, is it safe to assume that it's nearing, it is peak, we have peaked out largely.

Management: Nearing its peak, it has peaked out in fact, I would say now, because in the first quarter repayments were also not there. Once we have a normal repayment schedule and all, the net debt has already peaked out.

Moderator: Thank you. We'll take the next question from the line of Ritesh Shah from Investec India. Please go ahead.

Ritesh Shah: Sir, a couple of questions, Sir, first is on Toshali, any update on the limestone lease transfer, any timelines on growth optionality, incremental things that we intend to do over there?

Management: No, as of now there is no means we are still awaiting the government approval. And unless and until there is an approval by the government on grant of the mining, we shall not go ahead with the transaction. That is the condition precedent in the agreement.

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Ritesh Shah: So, sir, has anything gone from our balance sheet? Have we given us some?

Management: Nothing. We have not spent anything.

Ritesh Shah: This is helpful. So, second is a more generic question, Sir, can you detail what will be the sizing for the putty and white cement market in India and whatever market share would stand right now and in the prior call, you had indicated that the profitability has been continuously been under pressure. Sir, how should we understand and read this, sir?

Management: So, the market for putty, I would say should be close to around 4 million. So, that would be the market present market for the putty. And as far as the white cement is concerned, we have about close to 1.4 -1.5 million ton capacity in India. And balance, there is some imports which are into India mainly from UAE which is RAK White and JK cement Fujairah. So, these are the two countries from, major imports are coming from UAE only into India. So, that is the position. As you said, yes, because major the putty market has become very competitive because of the entry of the paint manufacturers because one, they find this as a very lucrative value added item or it is part of the paint, this is why we entered the paint business because we felt that we are already there in the paint because our customers, influencers, everybody is common. So, for the paint manufacturers, now putty is again and for them, yes, they have an advantage that they don't have to do much publicity. It is a part of their additional product in the bouquet

of products which

they have. So, as we see, the paint industry operating at the margins of 12% to 18%. So, I think going forward as per the white business would also be operating at the same level of EBITDA margin.

Ritesh Shah: And sir on market share, how much would that be on putty and on white cement?

Management: So, putty should be anything between 22% to 23%. We don't have exact all numbers available, but we have between 20% to 25%. I think we did one analysis. It was around 20% to 23% is our market share. And white cement, it is mostly 50:50, maybe 48 to 52 between Ultra Tech and us, so we are more or less equal in the market share for the white cement.

Moderator: Thank you. We'll take the next question from the line of Sanjay Nandi from V T Capital. Please go ahead.

Sanjay Nandi: So, just to mention, like we have taken some price hike in the Northern part of our country in this Q2. So, can I please quantify the numbers like what kind of price hike did you take?

Management: So, the price hike, it has been around Rs. 7 to Rs. 10 per bag, effective price hike.

Sanjay Nandi: Sir, just you told I like you have taken a price hike of Rs. 7 to Rs. 10 per bag so that it can get really or you are taking like any further rolling back of the price?

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Management: So, as of now, this is the effective price increase which has been already passed on in the market. We have to really seek how long it sustains and whether there is any room for further increase

in the price.

Sanjay Nandi: And sir, what has been the utilization in this first one and a half months of the Q2, the utilization?

Management: So, the utilization level in the first quarter for us is around 80%.

Sanjay Nandi: So, what has been the utilization in the first 1-1/2 months of the next quarter, sir Q2?

Management: Q2, utilization has been slightly lower because the sales was low because of the massive rains and the flood conditions. So, what happens, Q2 is always low during the monsoon. The demand goes down and the problem in movement of material and our planned maintenance was also, most of the maintenance has been in this quarter.

Sanjay Nandi: Sir, last question is like can you throw some lights on the paint business like what kind of topline you're targeting for that?

Management: So, on the paint business, as you know, we have already started opening up more areas. And all our existing dealers who have shown interest, now we have started sending the material to them. So, gradually to our network, the business has started and we are seeing a good response as of now. If we see, we plan to achieve an incremental growth of around 70 crores or 200 crores in this fiscal. Yes, the first quarter has been low, but we are expecting now that the volumes as we have already started the dispatches, the volume should grow and then with the upcoming festival, we should be able to get to a reasonable number.

Sanjay Nandi: I meant to say like are we considering that we can maintain the topline growth in comparison to the peers at same par?

Management: So, what we had planned, we feel that we will be able to achieve like in the previous year with Acro, the topline was about 80-90 crores and we had planned anything between 150 to 200 crores in this year and 300 crores in the next FY25. We feel that as of now this should be achievable.

Moderator: Thank you. We'll take the next question from the line of Deepika Gagwani, an individual investor. Please go ahead.

Deepika Gagwani: Sir, can you please guide us on the realization for this quarter?

Management: So, we should expect the overall realization to maybe if as things go as it looks now, anything between average around Rs. 50 to Rs. 70 a ton improvement in realization over the previous quarter.

Deepika Gagwani: And if you can tell us what was the realization for Q1 FY24?

Management: Q1 realization, NSR was close to Rs. 5000 per ton.

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Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, firstly, Karnataka WH R 16 MW, when that will get started?

Management: So, the work has already started. I think by end of December, this should get commissioned.

Shravan Shah: That's great. Second, Panna clinker debottlenecking from 8000 TPD to 10,000. So, that will be by Q3, that will be also done? At paying part, you mentioned in terms of the revenue, but for this year as a whole, 150-200 crore revenue, but on accounting basis we should be having some EBITDA levels and some EBITDA loss.

Management: Yes, we have already indicated that the EBITDA loss of about 20 crores.

Shravan Shah: And any update in terms of the next phase expansion that we are looking at for the second line at Panna and then we are also thinking post that maybe the Jaisalmer so any update when we are likely to start the work or when we will announce the second phase of expansion at Panna?

Management: No date has yet been fixed, so I think the board will review situation sometime, maybe early next year or close of the current financial year. So, at that point of time, we will review the entire status and then take a call.

Shravan Shah: But our preference will be to first go for expansion at Panna?

Management: Should be. I cannot comment on that, let us see what is the decision?

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: My first question is on fuel cost. You mentioned we were like looking at Rs. 5,300 per ton of fuel cost savings and Rs. 60 to Rs. 75 pending for next two quarters. So, that means like over 200 is realized in first quarter or what?

Management: 150 odd is already realized. As I also mentioned that this quarter has been exceptionally good because we had an opportunity to where we got certain domestic fuel at the cheapest rate. When the international rates are at the lowest, we got at that rate. So, that is also reflected in this quarter's earnings, but having said so, if we see the 150 we are expecting another 60 to 75 gain over the first quarter in the second quarter, so we still expect, so we should get about Rs. 300 a ton saving by end of December.

Prateek Kumar: You said 150 was realized in this quarter or 300 was realized in this quarter?

Management: Yes, 150.

Prateek Kumar: And at like peak off like whatever number we are looking at in terms of savings, what is the kilo-cal cost versus 2.2 which we booked for this quarter?

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Management: So, we should see about 20 pais a reduction.

Management: Around 1.9 to 1.95.

Management: So, that should be there in the next quarter and maybe another 20 p aisa. So, this is how we expect sequentially the prices to go down.

Prateek Kumar: So, why I asked this is because some of the other companies have indicated 1.7 -1.8 as like probable peak realization of savings ?

Management: So, 1.8 we should reach by end of this third quarter as I said.

Prateek Kumar: So, 1.8 is the lowest cost which we might be looking at.

Management: As of now, whatever is the price of fuel which stands , we have to see that.

Prateek Kumar: And on Panna unit profitability, you say it is in line with the company, so is it in line with Grey operations or is it in line with the overall standalone operation?

Management: Naturally, Grey operation.

Prateek Kumar: So, we have reported 900 per ton approximately for stand alone operations. So, it would be like obviously lower than that because it includes white cement also.

Management: Yes, marginally , not major impact, not a significant difference .

Mode

rator: Thank you. We will take the next question from the line of Aman Agarwal from Equiurus Securities. Please go ahead.

Aman Agarwal: So, just wanted to understand on the kind of savings we are expecting out of the green power capacities that are coming in, not only WHR, but also the renewable capacities. We have a target of 80 MW of WHR by FY24 and I guess around 94 MW of renewable power ?

Management: So, presently , our renewed power is around 46 MW and we are planning to increase this up to 100 MW maybe by end of next fiscal.

Aman Agarwal: So, sir, just wanted to understand on the kind of savings that you are expecting out of these ?

Management: So, since we are not doing a capital model in most of the thing, it is a captive power. So, we expect a power savings of around 30 % to 40% from the grid rate.

Aman Agarwal: And just on the Toshali acquisition, we see that Northeast market is a pretty small market. And we have already seen quite a few capacity additions , one from a major cement player operating in the Eastern region. So, just wanted to understand your view on how you view if the regional dynamics playing out ?

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Management: No. See again Toshali, when it materializes, it is the natural extension of our market . As we are doing, you know when we do the next expansion at Panna , besides consolidating on the existing markets of Central India, we shall also be entering the Eastern market. So, that will become our natural market. And when Toshali as an opportunity, we see getting a limestone deposit in an area where in the vicinity of 400 to 500 kilometers, there is no plant. So, we get a very good opportunity and we are planning , if everything goes well and we get all the mining lease and everything , then up to 2.5 to 3 million tons of capacity can be added in a region where there is no immediate competition. So, 500 reduced, when you get a plant where there is no competition available, material can come from any other region. So, you will have lot of local advantage in catering to those markets.

Aman Agarwal: Understood, sir. And then lastly on our mid term target of reaching the say 30 million ton capacity target, so further addition would be largely Brownfield or Greenfield in nature or is there a further debottlenecking scope left with the company?

Management: Not major debottlenecking is left because we have already done all the modernization at the existing plants. So, we see that the next expansion would be by way of Brownfield and Greenfield only.

Moderator: Thank you. The next question is from the line of Navin Sahdev from ICICI Securities. Please go ahead.

Navin Sahdev: So, for Acropaints against the guidance that we are looking at revenues of 120-150 crore , how was the performance in Q1 both in revenue and EBITDA terms?

Management: So, for the paint, we did about approximately 25 crores in Q1. And the overall EBITDA during this quarter was a loss of about 2 crores.

Navin Sahdev: Loss of around 2 crores because the Acropaints as such was...

Management: Acropaints and including whatever in the new areas through Acropaints , the new markets which we are entering or that is included in the 25 crores topline as well as the loss.

Navin Sahdev: Understood. Our second question is in the clinker factor. I was just looking at the annual report. So, year-on-year, there is a marginal drop in clinker factor. I think 65.6 % to 65% or so for the quarter. So, how much further reduction can this clinker factor see with commissioning of the

Ujjain and the Prayagraj grinding units ?

Management: So, you see, grinding unit definitely would help in reducing the clinker factor improvement, so that would definitely help because the production from the grinding unit is all blended cement.

So, having said so, I think we have to see if we get incremental production

of about , so it's about

saving is around 10% more in case of the grinding unit in terms of on an average when you look at the clinker factor.

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Management: So, Navin, just to add to Saraogi like it will impact overall ratio like once Prayagraj and Ujjain starts, it might impact by 2% to 3% like so 65 might be ...

Management: Yes, it depends on the weighted average and there is one more thing , a lot of incremental demand is coming from the non-trade sector . So, again to be able to grow with the industry or more than the industry , we will have to go in towards for the non-trade also otherwise , the overall volume growth will not be there , though we have been growing the trade segment, but overall volume to grow on an overall absolute numbers, you have to grow both in the trade as well as non-trade segment. So, having said so, if there is an improvement in the trade segment but equal improvement in the non-trade segment, then the clinker factor will not change .

Management: Logically, like from grinding unit, we don't supply OPC. So, as we increasing like grinding units, so definitely that impacts the ratio.

Navin Sahdev: Understood. So, directionally at least we can see some improvement. There is scope of further 200-300 basis point improvement of reduction in the clinker factor, is that safe to assume, right?

Management: Yes, once those plant like starts full-fledged like when it is running at 75 %-80% of the capacity, then definitely that should.

Management: Yes, there is a possibility. But again, as I said, a lot will also depend on how the demand supply between trade and non-trade shifts are going forward.

Navin Sahdev: Understood. And on the fuel cost, you said we've achieved roughly Rs. 150 per ton this quarter and around Rs. 75 to Rs. 50 per ton savings , each of ...

Management: 150 in the next two quarters. So, as we gave an indication that saving of around Rs. 300 a ton over Q4, so which should be there .

Navin Sahdev: Yes. So, the only change there is , I'm saying petcoke, which had fallen to as low as \$105, as you said in your initial comments, it's come to \$130 odd and we keep inventory of maybe two to three months. So, we are in August, this increase should impact in Q3 itself, or that will come in more like in Q4?

Management: Whatever indications , it's again some shipments will come at a lower cost, some would be at a higher cost . So, whatever indication with the fuel planning which we have at this moment, so we have given an indication of 20 paisa per hundred GCB saving in each of the next two quarters.

So, that let us look at that as an indication , our fuel cost was about Rs. 2.20 paisa in Q1, it should be around Rs. 2 in Q2 and Rs. 1.80 in Q3.

Navin Sahdev: But directionally it is safe to assume that Q3 would have bottomed out in terms of your 44:50 ____ cost saving ?

Management: Unless and until we see further reduction in the petcoke pricing.

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Navin Sahdev: Yes, but as of now, there is an increase of \$20 -\$25. So, from that point of view...

Management: Actually, 105 was very, it was a very short period, it has not gone down to levels of 105, it remained between 115 to 122 -123. 125 was very small window. Very few plants could get major shipments in that price range.

Navin Sahdev: Understood. So, my last question. Do we have any more avenues because operationally I understand there is scope of further cost reduction whether it is waste heat, there is clinker reduction . On the fixed cost front , is there a scope of things to get a little lean , now more so if I look at the consultancy charges or anything like that, are there any avenues where we can see some cost reduction in the fixed cost front ?

Management: Yes, definitely. We are working out on that and maybe not immediately, but definitely

this cost

is the focus for us. As a next, because again it is not only variable cost, the fixed cost is equally important and we are working out on possible reduction in the fixed cost. Yes, year-on-year, the increase is there, the increase is on account of inflationary trend, the additional manpower and the other expenses because of an increase in business , but we are still working out on avenues as you said on the consultancy and other expenses. So, wherever we see that there would be a net business gain , we will work on it and it is definitely as part of our plan, not for now. Going

forward, it will always be there to see how we are able to reduce the fixed cost.

Navin Sahdev: Any guidance to give or?

Management: No, actually the guidance if you in any absolute number, no. We have guidance with our internal budget which we had prepared for the year. We are trying to see how we first reduce from the budget because any increase from absolute numbers is very difficult because mainly it is out of control when you have expansion and other things already in way.

Moderator: Thank you. The next question is from the line of Raghav Maheshwari from Asian Market Securities. Please go ahead.

Raghav Maheshwari: My question is primarily for the Ujjain grinding unit. Does our Ujjain grinding unit, we have sufficient clinker from existing clinker from Nimbahera or Mangrol or we need to improvise or modernize our line one of the Nimbahera as per my understanding because Nimbahera line one is not working due to the very old operating parameters?

Management: So, we have sufficient clinker. In fact, if we see even in the last fiscal, the line one and two of Nimbahera, we had operated only for about 2 months in whole year. And even now, so we have sufficient clinker available for the Ujjain project from Nimbahera and Mangrol.

Raghav Maheshwari: Basically, for the Nimbahera line 1 and 2, so what is the cost difference between the latest operating parameter, then the difference between that line in per term of the clinker costing, manufacturing?

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Management: Yes, definitely, if you look at the operating cost from kiln No. 1 and 2 is higher than the operating cost of the other tens and the variation is between Rs. 300 to Rs. 450 a ton. But having said so, I mean this is utilizing a spare capacity. We don't need to any invest. We already have certain fixed expenses of that line because we cannot go for a derating of the capacity. So, there are many advantages while we do incur certain additional variable costs, there is an overall saving in the fixed cost of about, maybe about Rs. 100 a ton, and otherwise, if you only look at the operating profit is different, but if you look at the overall net cost including interest and depreciation, there is no cost of interest or depreciation when we operate these lines.

Raghav Maheshwari: Got it, sir. And one last question from my side. After the Prayagraj and the Ujjain expansion, when it will get over, do we have any scope to expand only cement capacity and we have the extra clinker so because I want to understand there is any scope of spending cement capacity without any clinker expansion. Is it possible?

Management: Our grinding capacity after Prayagraj would be 24-25 million tons and that would be, I mean the present clinker capacity would be just sufficient for the entire capacity. So, we will not have additional clinker available for more grinding capacity.

Raghav Maheshwari: In any reason, right?

Management: Yes. Broadly, yes, maybe some, we do continue to sell some clinker in the southern plant. While we have a capacity of 3.5 million tons now in the South, we still sell on an average about 1-1/2 lakh tons of clinker in a year, but that's all. Otherwise, we do not have any clinker available.

Raghav Maheshwari: But if we want

to operate line one and two in the future when if there is any demand boost up in the North or the Central India, is it possible to do the cement capacity expansion on the dependency of the Nimbahera line 1 and 2?

Management: No. What I'm saying that the present grinding of 24 million tons is including the clinker from line 1 and 2.

Moderator: Thank you. We'll take the last question from the line of Ritesh Shah from Investec India. Please go ahead.

Ritesh Shah: Sir, my first question is we have several new products, which we have launched overtime including WhitemaxX, GypsoMaxX, TilemaxX, Wood Amore. Sir, what is the revenue on the EBITDA run rate over here, if you could please help with that that is the first question.

Management: So, one, WhitemaxX is not a new product, we have all the white cement products are part of the MaxX family. This is a part of the branding exercise. WhitemaxX when you say, it is the white cement. So, it is not a new product. GypsoMaxX is gypsum plaster which we introduced about 4-5 years back and see today to maintain all our dealer network and retailer requirement, you need to have a bouquet of products, one product because it is not when the customer comes, he would like to take away, take all the products from one counter. If your counter only has one

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product and which is there, while we are facing challenge from demand coming in from the market that this is the difficulty being faced by the dealers. So, when we started on this journey of introducing VAPs across the company, so we took this, we started the journey about five years back and so we have seen one with the introduction of VAP, we have been able to create

a new profit pool, new bucket, though it is not very substantial, but we say from the VAPs itself, about 12% to 15% of the total white EBITDA, we get from the VAPs.

Ritesh Shah: Sir, would it be possible for you to quantify what this number was for last year full year?

Management: No, we do not share for the VAPs. We are not sharing for the main products and you are asking for sharing of the VAP, which is again a business confidentiality data, so we are not sharing the data of VAPs separately.

Ritesh Shah: No worries, sir. Appreciate that. Sir, my second question is sir, how should we look at the optionality that we have at Jaisalmer. So, when you think about it, you look at Jaisalmer versus Nimbaheera deal expires or you look at Jaisalmer versus Panna Brownfield optionality, just trying to understand your thought process over here?

Management: Jaisalmer works out to be a long-term strategy. In Rajasthan, you have no new sites available. And when we see going forward when the demand increases, one, Jaisalmer has got good limestone deposits. It has challenge, it has logistic issues in terms of both incoming and it is away from the market. So, there we are trying to work out what incentives can be given by the state government to partially offset of this disadvantage, but otherwise good quality limestone, we can have good clinker production from there and with the grinding units, have a good business model. So, going forward if we have to see, we have to meet out the increased demand, so that has to be meant the whole North market is primarily dependent upon the cement coming in from the state of Rajasthan. Rajasthan is not going to have more limestone deposits. So, we have to go to areas where the limestone availability is there.

Ritesh Shah: So, sir, this is not a backup to Nimbaheera lease expires, I appreciate ...

Management: This is not a backup to Nimbaheera lease expiry. For that, in the last year we took one additional lease in the auction close to Nimbaheera. And in any case, it is not the platform to discuss, but I am of the view that mining leases are getting expired, but definitely there is a provision

and there

would be much more clarification closer to the date by the government that the right of refusal will go to the existing player. Otherwise, it is not the practical option.

Ritesh Shah: Right. And then just last follow-up question on Nimbaheera. How do you look at water as a commodity over here? I understand earlier the government was not giving approvals because of water as an issue over here. So, is it something which has been taken care of by putting on pipelines or are we still relying on groundwater?

Management: Nimbaheera, we do not have any problem in case of water.

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Ritesh Shah: I'm referring to Jaisalmer.

Management: So, yes, Jaisalmer, we have taken approval for water from the government. Various approvals we have taken approval from the government for the requisite water.

Ritesh Shah: But are we relying on groundwater, sir?

Management: No, we also proposed to get a pipeline, that is part of the project.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I will now hand the conference over to Mr. Vaibhav Agarwal for closing comments. Over to you.

Vaibhav Agarwal: Thank you. On behalf of PhilipCapital India Private Limited, we'd like to thank the management of JK Cement for the call. And many thanks to the participants for joining the call. Thank you very much, sir. Michelle, we now conclude the call. Thank you.

Management: Thank you Vaibhav. Thank you everyone for joining the call.

Moderator: Thank you members of the management. Ladies and gentlemen, on behalf of PhilipCapital India, Private Limited, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

National Stock Exchange of India
Ltd., Exchange Plaza, Bandra Kurla
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Scrip Code: JKCEMENT
(ISIN:INE823G01014)
Through: NEAPS The Bombay Stock Exchange Ltd.
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Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai-400001
Scrip Code:532644 (ISIN:INE 823G01014)
Through BSE Listing Centre

07.11.2023

Dear Sir/ Madam

Sub: Transcript and Audio Recording of Conference Call pertaining to Financial Results for Q2 FY24

Please find below the Link of Audio Recording and Transcript of Conference Call held on Tuesday, November 07, 2023, in respect of the Financial results for the quarter and Half Year ended September 30, 2023. The said results were approved by the Board at its meeting held on November 04, 2023. The same is also available on the website of the Company at www.jkcement.com.

Link for Recording and Transcript: <https://www.jkcement.com/transcript-report>

This is for your information and records.

Sincerely

Shambhu Singh
Vice President & Company Secretary
FCS No. 5836

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“JK Cement Limited
Q2 and H1 FY '24 Earnings Conference Call ”
November 07 , 2023

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR AND CHIEF FINANCIAL OFFICER -- JK
CEMENT LIMITED
MR. SUMNESH KHANDELWAL – DEPUTY CHIEF
FINANCIAL OFFICER -- JK CEMENT LIMITED
MR. PRASHANT SETH – PRESIDENT BUSINESS
INFORMATION AND INVESTOR RELATIONS – JK
CEMENT LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL INDIA

PRIVATE LIMITED

JK Cement Limited
November 07 , 2023
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Moderator: Ladies and gentlemen, good day, and welcome to JK Cement Q2 H1 FY '24 Earnings Conference Call hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital. Thank you, and over to you, sir.

Vaibhav Agarwal : Yes. Thank you, Nirav. Good evening, everyone. On behalf of PhillipCapital India Private Limited, we welcome you to the Q2 and H1 FY '24 call of JK Cement Limited. On the call, we have with us Mr. Ajay Kumar Saraogi , Deputy Managing Director and CFO; Mr. Sumnesh Khandelwal, Deputy CFO; and Mr. Prashant Seth, President of Business Information and Investor Relations.

I would like to mention on behalf of JK Cement Limited, and its Sumnesh Khandelwal that certain statements that may be made or discussed on this conference call may be forward -looking statements related to future developments and based on current expectations. And these statements are subject to a number of risks, uncertainties and other important factors, which may cause the actual developments and results to differ materially from the statements made.

The JK Cement Limited and the Sumnesh Khandelwal of the company assumes no obligation to publicly alter or update these forward -looking statements whether as a result of new information or future events or otherwise.

I will now hand over the floor to Sumnesh Khandelwal of JK Cement for their opening remarks, which will followed by interactive Q&A. Thank you, and over to you, sir.

A K Saraogi : Yes, good evening. I'm Saraogi from JK Cement . And the Board of Directors met on 4th November to review the performance of the company for the quarter ended 30th September and for the half year of the current fiscal. We have already circulated the investor presentation, giving the salient features of the performance during the quarter. But I will read out the key highlights. The net sales during this quarter was INR2,476 crores as against INR2,541 crores. This was lower by about 3%. The revenue from operations was INR2,571 crores as compared to INR2,624 crores, a decrease of 2%. The operating expenses were also lower by 4% at INR2,124 crores as against INR2,222 crores. The -- however, the EBITDA during this quarter was higher at INR447 crores as against INR402 crores, an increase of 11%. The EBITDA margins during this quarter was 18% as compared to 15.8% in the previous quarter . The profit after tax during this quarter was INR179 crores as against INR126 crores and the EPS was INR23.10 as against INR16.03. If we compare the information with year -on-year, then the net sales were -- was lower by about 1% at INR2,663 crores, while the EBITDA was higher by 14% at INR467 crores -- sorry, INR467 crores as against INR408 crores, an increase of 14%. The EBITDA margin was 18% as compared to 15.2%.

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If we look at the performance regarding this quarter, the production of gray cement was higher by about 22%, and that is -- the production gray cement business was higher by 22% if we compare the same with quarter 2 of last year. And the combined operations was also higher by 22%. The net debt as on 30th September was INR3,036 crores, and the net debt to EBITDA was -- our net debt to EBITDA was 2.08%, and the net debt to equity was 0.63%.

The company's expansion plan is on stream, 1.5 million ton capacity at Ujjain is in advanced stage of commissioning and should get commissioned within this quarter. The Prayagraj 2 mill

ion ton greenfield plant is on stream and will be commissioned by quarter 2 FY '25. These are the major highlights. If you have any questions, please let me know.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: So just a couple of questions. First on capacity. So, Panna, I think the clinker line debottlenecking was expected to happen with these maintenance seizures. I just wanted to confirm if that has been done.

A K Saraogi: So, the Panna clinker line debottleneck has already been more or less completed. It is under trial run. And we feel that within -- from next quarter onwards, we should get a regular production from the Panna debottleneck.

Amit Murarka: Sure. Also on capex, could you just highlight how much is done? And what is the target of capex this year and next year?

A K Saraogi: This year's capex target was INR1,400 crores, and we have already spent around INR500 crores till now. And the next year capex target is INR700 crores.

Amit Murarka: On the quarterly, like, I see that the logistics cost and the freight cost has fallen quite a bit Q-o-Q. So, could you just elaborate a bit on that? And how much of that decline is sustainable?

A K Saraogi: See, some of the decline is one-off as a seasonal thing. During this quarter, we had a railway freight discount which is an off-season discount. So, one that has definitely resulted in saving of freight. The other is, there has been some lead distance reduction. So, we have been -- after commissioning of Panna. And we have been working on that. So, there has been a lead distance reduction. So that has led to some freight reduction.

These are the 2 major areas which led to the freight reduction. The railway freight, again, now the lean season discount is over. And from October, we have to pay the normal freight. So, we would see a freight increase on account of the railway freight in this quarter. Lead distance will continue to work, and that will depend upon the customer requirement and some sales mix.

Amit Murarka: Are there some clinker arrangement also done in the quarter, I believe which helped freight as well?

A K Saraogi: No, that is -- what clinker arrangement?

Amit Murarka: As in some...

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A K Saraogi: All quantity of clinker slag which is a normal thing. So that's a one-off thing. That's not -- it's not -- yes, some marginal reduction is there, but it is a one-off thing.

Amit Murarka: Got it. And lastly, on paints, could you just provide the 1H numbers on paint?

Sumnesh Khandelwal: 1H number is INR70 crores of turnover.

Amit Murarka: And EBITDA?

Sumnesh Khandelwal: EBITDA loss of around INR7 crores.

Amit Murarka: And what's the target that you have for FY '24, '25 in turnover?

A K Saraogi: For turnover, as we said, we should be doing anything between INR150 crores to INR200 crores.

So now we started the new project range in this -- early this -- early April. So, we have been now trying to -- I mean more and more dealers are being attached. So, you will see a further -- quarter 3 and quarter 4 would definitely be better. So, we see a better number in H2. So, we should close minimum, I think, INR150 crores, and it may also -- our internal target is between INR175 crores to INR200 crores.

Moderator: Next question is from the line of Aman Agarwal from Equirus Securities.

Aman Agarwal: Congratulations on a strong set of numbers. Sir, my first question was regarding the Panna plus Hamirpur unit. I would like to know the utilization levels for that unit? And if you can just guide us how the profitability for that is differing from the overall profitability?

Sumnesh Khandelwal: No, utilization level for that unit was 75%. And profitability, say, with the ramp-up of the Panna means profitability

is in line, mean whatever is the difference, the region-wise in the pricing that will remain. Otherwise, it is in line with the other existing operations.

A K Saraogi: And there is a continuous -- when you start a plant, there are some additional costs, but that is ramp-up is still going on at the plant level like we are ramping up the clinker production from 8,000 to 10,000. So once all this gets normalized, there would be further savings that we see a potential and we are able to use -- presently, we are not using AFR at Panna. So going forward, we shall start using AFR at Panna. The Waste Heat is -- we could not get the full advantage of the Waste Heat plant to commission in this quarter. We will get the full benefit now from third and fourth quarter. So, there will be further cost reduction at Panna.

Aman Agarwal: Understood, sir. And sir, secondly, on the white business. While the volume growth was pretty strong, we have seen a realization base of around 5% on a sequential level. If you can just explain about that? And how should we look at this business going ahead in terms of volume growth and profitability?

A K Saraogi: So, see the volume growth, I mean, as we see the putty business, there is a growth in putty market by about 10%. So, our growth in putty should be in line with the industry growth. We are confident that we will be able to grow the business. But having said so, since there is a lot of competition in the putty, so that's why the margin has dipped. We feel that it has come to its

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optimal level. I think there should not be any major drop in the pricing, but still, we have to see how the paint companies behave because they are very aggressive on putty. So how they behave and whether they give further additional discounts. And then if it is so, then

we will definitely have to match with the market. But we do feel that now there should not be any major dip, maybe 1% or 2% may be there, but not beyond that.

Aman Agarwal: Understood, sir. And sir, you mentioned about the lead distance reducing during 2Q. So, if you just quantify what was the lead distance?

Sumnesh Khandelwal: 418 kilometres .

Aman Agarwal: Okay. And lastly, on the net debt levels, we have seen some increase from the March '23 level. Are we near the peak net debt number currently or...

A K Saraogi: Yes, yes. So, we are at the peak level of net debt. We should not see the net debt to further increase. There would be some small borrowing which may come up for Ujjain and Prayagraj, but again, to that extent, there will be some -- certain repayments. So, the net debt, I feel is that's already peaked out.

Aman Agarwal: Understood, sir. And many congratulations again on good set of numbers, sir.

Moderator: Next question is from the line of Navin Sahadeo from ICICI Securities.

Navin Sahadeo: Congratulations on a good set of numbers. Sir, a couple of questions. First, I would request a capex update. So, what is the status of the Waste Heat recovery we were planning at Karnataka?

A K Saraogi: So, the Waste Heat recovery at Karnataka is also at advanced stage of completion. And within this quarter, this will get commissioned.

Navin Sahadeo: That is 18 megawatt, right?

A K Saraogi: Yes.

Navin Sahadeo: Okay. Okay. And sir, after -- once we complete the clinker debottlenecking at Panna, which you said is more or less done, what is our total clinker capacity? Total gray cement clinker capacity will be how much?

Sumnesh Khandelwal: It is around 15 million tons.

Navin Sahadeo: Around 15 million tons.

Sumnesh Khandelwal: Yes.

Navin Sahadeo: Okay. So then in that case, is it safe to say that we can easily, without expansion, we can easily go up to 20 million, 21 million tons?

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A K Saraogi: No, around 22 million tons. We see that our capacity

FY '25 should be 24 million. So, we can

see -- safely see 85% capacity utilization can be achieved from the clinker which we have on an average.

Navin Sahadeo: Understood. Sure, sure. Would you also help us with the Toshali update because the acquisition -- I mean, some transaction was there and we were waiting for CPs to be completed. So, what is the update there, sir?

A K Saraogi: So, as we entered the agreement, it was a condition precedent was allotment of the mining lease. So, it is still under consideration and once that is -- that gets cleared, we will execute the formal agreement.

Navin Sahadeo: Understood, sir. So, sir, a slightly broader question here because I believe as we speak, Panna utilizations are nearly full in the sense, almost 85%, 90% kind of a utilization Panna I think is scaled up. So, in the scheme of things, what is the priority expansion capex for us? Will it be Line 2 at Panna? Will it be Toshali? Or we are looking at something in Karnataka, how should one look at capex ? And by when announcement can we expect?

A K Saraogi: So, I think see we are already reviewing various options. And the Board, I think, should shortly take -- will get back to you very soon what are the next course of action. The Board, the Sumnesh Khandelwal is aware that, yes, we have reached a reasonable level of capacity utilization. We have about 3.5 million tons, which is already -- I mean out of which 1.5 million gets commissioned this year -- in this quarter and balance will get in by April before we will -- by the time we will be ramping up that capacity, we should be able to submit our next plan.

Navin Sahadeo: Understood. But if I may just again slightly build more on this, between Toshali and the Panna Line 2, what would be a priority for us or we can take both of them together?

A K Saraogi: See again, you also know the business. Why do you want to put some words in my mouth and I say, no, this is what -- I mean see again, it's a natural thing. At this stage, for me to comment anything which the Board has not decided yet or taken taking a call will not. But definitely, in all probabilities, as you say -- I mean there should -- it could be because, again, new mining lease, you think Panna could be the first option.

Moderator: Next question is from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: Sir, joined the call late. So, I just want to get the pricing trends, what we've seen in the last couple of weeks, both October, early November and end of 2Q versus average in our key regions?

A K Saraogi: So yes, we have seen some increase in pricing in the latter part of Q2 or so in the North, and then we have seen some price increase also in the southern regions in the month of October. And -- so these 2 regions have definitely seen and the marginal increase is there in the central but not very significant. So, there is an increase in price across all of our major markets.

Sumangal Nevatia: Okay. And sir, based on what we are picking up, I mean, any -- 4%, 5% price increase in North and South is that ballpark right? Or lower than that is what we're seeing?

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A K Saraogi: Yes, around that.

Sumangal Nevatia: Versus 2Q average?

A K Saraogi: 3% to 4% should be average for us.

Sumangal Nevatia: Got that. And central, you said is more flattish, did I miss...

A K Saraogi: That is an improvement trend, but...

Sumangal Nevatia: Okay. Okay. And then on our coal cost, sir, what should we consume in 3Q? What sort of cost change do we expect in the coal cost in 3Q versus 2Q?

A K Saraogi: So, the coal cost what was in Q2? The fuel cost in Q2?

Sumnesh Khandelwal: INR1.90.

A K Saraogi: INR1.90, the Q3 should see some marginal dip, but the coal pricing as we are contracting, there is a lot of fluctuation in the petco pricing. And it really depends on which consignment

gets --

so we also have a consignment with -- where the cost is higher. We also have a consignment which is lower. So, I think it could range between anything between INR1.80 to INR1.85. It should not be higher than Q2.

Sumangal Nevatia: Okay. Understood. And just one last question, sir, on the freight cost, the busy season surcharge, I mean, what sort of delta did we see benefiting 2Q? And what could reverse in 3Q? If you could just quantify a little bit?

A K Saraogi: So, you see around 13% to 15% of our dispatches are by rail. So, the rail dispatches, there is a 15% busy surcharge. So that gets -- that was only available in Q2. And it will not be -- it is not available now. So that 15% of the volume fee freight increase of 15%.

Sumangal Nevatia: Roughly maybe around INR25, INR30 on a per ton basis is...

A K Saraogi: Around, yes. Between INR20 to INR25 a ton.

Moderator: Next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Congratulations on good set of numbers. So, sir, as you mentioned, 13% to 15% rail mix. So, for this quarter Q2 would be the same, what was the last quarter of 14% rail, sir?

A K Saraogi: So Q2, the rail mix was around 11%. Q1, it was 14%. And see, again, it depends on the season, monsoon and other things. So -- and one thing more, even the road freight also gets varied between monsoon and non-monsoon. It's a peak business time. I mean there is a lot of -- I mean see business and movement of various materials from different items. So, it affects the...

Shravan Shah: Secondly, sir, in terms of the profitable -- last time we have talked about gray cement, we are looking at close to INR900 kind of EBITDA per ton. But considering this quarter, is it fair to assume that this quarter should be our gray EBITDA per ton should be closer to INR1,000. And

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now given, as you are mentioning, 3% to 4% average price increase in the third quarter versus 2Q average? And then also at the same time, we should be seeing per ton cost should be reducing in the third quarter. So INR1,100 plus kind of a gray cement EBITDA, is it fair to -- one can look at in the third quarter.

A K Saraogi: No, yes, you see. Again, as we see that definitely, if we -- if this price increase which has taken place sustains the whole quarter, we -- I mean we have seen only around 40 days in the quarter so far. So, we have to see the remaining 50 days how the pricing, there's a festival, which will have some impact on the business. And if the prices do remain and -- yes, we should also get some operational benefits. So, there should be an increase in the EBITDA per ton.

Shravan Shah: Okay. But combining, as you are mentioning, we will be seeing a marginal dip in the fuel cost of 1.8, 1.85 versus 1.9 and plus some increase in the freight. So, net-net on the costing front, broadly, if everything remains the same what we are looking at fuel cost? On the costing front, how much one can look at further savings, considering the green share, WHR coming at Karnataka everything. So broadly from maybe third quarter or fourth quarter compared to the second quarter, how much more savings one can look at on the cost front?

A K Saraogi: So sequentially, as we see, we definitely see cost saving of maybe about INR50 or so in this quarter. And sequentially also, in the coming quarter, around the same amount.

Shravan Shah: Okay. Okay. Okay. Got it. And then in terms of absolute level Prashant sir, in terms of the power and fuel average cost would be last quarter, we mentioned INR11,000 -odd. So, this quarter would be how much?

Prashant Seth See, there is a reduction of around INR100 per ton.

Shravan Shah: Okay. Okay. Okay. Okay. Got it. And the paint business though we mentioned the INR150 crores, INR200 crores revenue that we are looking at, but EBITDA last time we have talked

about INR7 crores, we ha

ve done EBITDA loss, so full year we were looking at INR20-odd crores EBITDA loss.

A K Saraogi: It would be -- this 20 numbers -- INR20 crores should not increase within that number.

Shravan Shah: And next year onwards, one can look at the breakeven or maybe positive EBITDA in paint also?

A K Saraogi: No. Yes. So hopefully, maybe by exit of next year, we could see that, not average, but definitely as an exit, we could.

Moderator: Next question is from Prateek Kumar from Jefferies.

Prateek Kumar: Sir, my question is on demand trends. So, with regards to safety actions in some of your operating states. So, is there any particular demand impact which has now started to be visible because of some levered average towards election purpose or otherwise?

A K Saraogi: So, see, as of now, there is no major dip in the demand. But having said so, the November month maybe a bit low because one of the festival and because in 2 states, we have election. So, election

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itself may have some disruption in supplies and some demand. So, we may see some dip in the month of November, but again, we -- it should bounce back in the month of December.

Prateek Kumar: And one related question on -- regarding the sharp price increase, which we saw in South India. So, is there an impact on demand post the price hike, which was taken?

A K Saraogi: No, no, not really. I mean in the areas where we have upgrade because we do not cover the entire deep south.

Prateek Kumar: Sir what was the range of price increase in your operating markets in South?

A K Saraogi: So, in our operating market, it was around 5% to 7%.

Prateek Kumar: That would be like INR30 kind of increase per bag?

A K Saraogi: From INR22 in certain pockets it maybe INR30, or otherwise, INR20 average, you could say.

Moderator: The next follow -up question is from the line of Rajesh Ravi from HDFC Securities.

Rajesh Ravi: Congrats on good set of numbers. My first question pertains to incentives. How much was booked in Q2 sir, in P&L?

A K Saraogi: Yes. So, our total incentive -- annual incentive is in the range of about INR250 crores. So INR65 crores was the -- INR69 crores was the total incentive in this quarter.

Rajesh Ravi: Okay. And sir fuel costs, you mentioned 1.94 for this year in Q2, a similar number for last year, Q2 was how much?

Prashant Seth It was 2.4.

Rajesh Ravi: 2.4, okay significant savings. And sir, just on the paint revenue. I see the wall putty realization is down 4% Q -on-Q. So consolidated basis, what could have driven that? And also, the UAE business numbers, volume number seems to have significantly improved. Any specific changes in the business over there?

A K Saraogi: So, as I said earlier, the white cement revenue numbers are lower on account of -- mainly on account of the lower pricing of putty. So, there is a putty market is quite competitive and balance is through mix. As far as UAE is concerned, yes, we have been -- the entire markets have normalized. There's an easing out of the availability of containers and other things. However, during this quarter, we had some one -off big orders which are not -- so we had a big shipment to Australia. That was a 40, 000 tons shipment to Australia.

So, all that has -- again, so there has been some -- I mean one time, so it is not going to -- these volume numbers would not be -- will not have same numbers in this quarter. Having said so still, yes, as we have been working out on the turnaround of the UAE business, so now there has been a lot of easing off due to abnormal circumstances, the fuel prices have eased out, the container freights have eased out. So as a result, we will see an improved performance of the UAE operations.

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Rajesh Ravi: That heartening to know sir. Sir, clinker capacity you mentione

d 15 million tons. So, could you

split out among the 3 regions how is the capacity now? Because in my understanding, Panna capacity clinker post bottlenecking was 3.3 million ton, or is it more than that?

Prashant Seth No, no, fine. It is 3.3.

A K Saraogi: Yes, 10,000 TPD per day.

Rajesh Ravi: Okay. And Rajasthan and Karnataka how much, sir?

A K Saraogi: See, we have around 2.5 million in this house, balance is Rajasthan.

Rajesh Ravi: Karnataka is 2.5 because my understanding was it is 2.1, okay. Sir, lastly, in the capacity expansion project of Toshali Cement, just what is the guidance you have said that this is still

work under process in terms of closing the timelines ?

A K Saraogi: So Toshali Cement is -- it is a condition precedent on allotment of the mining lease. Once the mining lease gets allotted to us, then we firm up the agreement and buy out that company. And at -- after buying out the company we will work out our strategy, then the next step, what steps to be taken to do an expansion at the site because ultimately that's a mini cement plant. It is not that we will be able to stay -- we may continue to operate that for feeding the local market till we finalize all the other parameters of expansion, which itself will take -- finalizing what needs to be done after a formal takeover is done. See, again, any takeover of company also takes time. So, once we are able to takeover everything, it will take us about 1 years' time to finalize the action plan for implementing the expansion over there. And then only we can come up with the timeline for the expansion over there.

Rajesh Ravi: Okay. And lastly, just realizations you said is 4% improvement in which quarter, on an average versus your Q2 realization so far?

A K Saraogi: Q3, we said.

Rajesh Ravi: Q3 versus Q2, you're looking at 4% improvement which is current prices.

A K Saraogi: We will definitely look at that price increase.

Rajesh Ravi: Okay. Because 4% will be...

A K Saraogi: Yes, yes, please.

Rajesh Ravi: INR400 means, you are almost INR200 per ton incremental realization you're looking at, and costs sequentially may not go up because we will have operating leverage gain quarter -on-quarter and sales and freight cost will set off. So, are we looking at close to INR200 if the current prices were to sustain, margins to look up by INR200 quarter -on-quarter?

A K Saraogi: So as per your calculation, it looks like that. If the prices do sustain and everything remains, it would definitely be.

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Moderator: Next question is from the line of Ritesh Shah from Investec India.

Ritesh Shah: A couple of questions. Sir, first is, can you help us with the UAE volumes? And what percentage of volumes come to India, if it is for Q2 or first half either the number [inaudible 0:36:35]?

Prashant Seth : Yes, UAE volume in this quarter was 193,000 tons. And the last quarter, it was 121,000. So overall, we have done like 314,000 tons in the 6 months. And in India, you see we are bringing material in 2 forms. One is the direct billing from the UAE. And second is what is -- what material is coming to India and build in the -- build from the Indian company. So, the overall material in the first 6 months which has come up is around 60,000 tons in both the forms.

Ritesh Shah: Okay. That's roughly one third . Sir, is there any risk of potential import duties of both gray as well as white cement large clinker coming from UAE to India. Have you heard anything of the sort?

A K Saraogi: No, no, see, again, except for the white clinker, which is coming, there is no other clinker which is coming from the UAE, and we have not heard for any import duty or anything.

Ritesh Shah: That's helpful. Sir, second is on the prior question, you indicated a price increase of 3% to 4%, but I think you did indicate cost price increases could be up by 3% t

o 4%. Sir, would you be --

can you please give some number on a pan -India basis, at least for the regions that we operate in at a blended level?

A K Saraogi: So, see, again, when we say blended numbers, there are -- when I said total award increase and you come to a retention number, it has a combination of both trade, non -trade and we've to see what is the increase in trade? What is the increase in nontrade? What are the pending orders of nontrade. So non -trade also has many other things that you may have pending order of nontrade at a particular price for a period. So, all those things do play a role in an overall increase in the retention. So, on that basis, we said about 4% should be the net increase if we take off trade -off between trade and nontrade, then it may be -- trade prices may be different, nontrade is different.

Ritesh Shah: Sure, sir. And sir, lastly, on the demand, you indicated that you expect a pickup in demand, say, in December because of election in a couple of states. Sir, how should we look at this particular variable given Lok Sabha elections are not very far, that is one. And secondly, in the near term, because of winters solution, I think the government is going after a lot of bidders halting construction. Is it having any bearing on the near -term demand because of that? So, one was basically Lok Sabha, just prior to Lok Sabha and near -term because for the winter setting in Northern India?

A K Saraogi: So, for as far as we are concerned, there is election in 2 states, MP and Rajasthan, which definitely affect us. So, these are the 2 states where we have elections where we are serving today. And winters also do affect our northern markets. There's already -- but is not very strict, some construction ban in New Delhi. It could be if that is -- becomes stricter, it will lead to some reduction in the volume numbers.

However, I mean all these restrictions do not decrease the overall consumption, it is deferring

situation improves, it will again come up. So, it is a timing difference. I don't see it is a loss of cement, which is there. So, you may see a temporary some dip in volume numbers, which will subsequently get -- we can ramp it up subsequently.

Ritesh Shah: Sure. And sir, with respect to Lok Sabha elections historical trends versus how do we see right now because the code of conduct comes in. I'm not sure whether we have seen working capital become a bit tight when contractors do their work. Sir, any colour over here?

A K Saraogi: As far as the current fiscal year is concerned, what happens is the election are -- Lok Sabha elections will be sometime in the month of May. There are already budgetary -- budgets which are already approved for the whole fiscal. So, this year, budget or -- does not get affected in any case. Ongoing projects do not get affected in any case. It is only sometimes the new projects which are announced and which may need approval till you form -- even suppose a project is announced by the government today and it needs certain approvals, subsequent approvals which are not done before the elections.

Then that may only get firmed up once the election are over and new government is formed. The departments are allocated and then the budget proposal is -- even the budget itself will come later, there will be a vote on accounts in February for 2, 3 months. But real budget proposal will come sometime in June, July.

Moderator: Next question is from the line of Marson Luis , Individual Investor.

Marson Luis: Yes. You mentioned that during Q2, we have received some like off -season discount from railway. So, what is the percent of that discount? And what is in absolute volume -- like how much amount did we receive -- this will be discount in the freight?

A K Saraogi: So, railways normally do a 15% discount -- off season discount, which is in the July -September quarter. That is a lean period for the railways, the main monsoon period. So that is on all railway dispatches, but -- which is withdrawn from 1st October.

Marson Luis: Yes. So how amount like did we receive as a discount?

A K Saraogi: No, it is not received. It is -- the freight is reduced.

Marson Luis: No, no. I understand, but how much lesser freight you have paid for the Q2 due to this discount separately.

A K Saraogi: There is an impact of around INR20, INR25 a ton on that count, on our freight cost.

Marson Luis: INR20 to INR25 ton, so how much did we ship or like -- what is the average said cost?

A K Saraogi: So, we have done -- our rail dispatches were 11% of the total dispatches. Our dispatches were close to 4 million. So, it's about 4.5 lakh tons. You can say on that way whatever average rail freight for that. So, we may get about say about INR200 a ton impact, about INR7 crores, INR8 crores.

Marson Luis: Okay, not much, not much. Okay. And then regarding Panna this ramp -up, like currently, what is the capacity utilization 2.6 or 2. I think...

A K Saraogi: 75% is the current capacity utilization. The capacity of Panna is 4 million tons, 75%, so on a quarter, it is 7.5 lakhs tons.

Marson Luis: Right now, we are taking it to 4 million.

A K Saraogi: It is already 4 million.

Marson Luis: But you mentioned something during the call that they were ramping up, we target to reach to 4 million by the end of next quarter or what?

A K Saraogi: No, no, no. Panna capacity is 4 million tons.

Prashant Seth : Already -- already ramped up.

A K Saraogi: There was a proposal that what is the situation of ramp -up of the clinker capacity at Panna plant, so that we are already ramping up from 8,000 TPD to 10,000 TPD.

Marson Luis: Okay. Okay. Okay. Fine. Fine. And you mentioned this incentive, the INR250 crores, we are getting so INR1,600 crores was received during this one. So, like was it a capital subsidy or...

A K Saraogi: INR69 crores is the subsidy, which was accrued during this quarter.

Marson Luis: And the remaining will -- like 181 has already been accrued in the past or will be accrued in the coming quarters?

A K Saraogi: It is quarter -on-quarter. It has subsidy. It depends on the sale of cement in that state and then only the subsidy is approved.

Marson Luis: Okay, okay, so the subsidy lasts for next few years.

A K Saraogi: Yes, the subsidy is there for that.

Marson Luis: Okay. Okay. Okay. Great. And like how do you see this like overall performance like demand

and kind of thing during this quarter as compared to last quarter?

A K Saraogi: So last quarter, we saw a dip as compared to the -- this quarter was a dip as compared to last quarter.

Marson Luis: In terms of dispatches?

A K Saraogi: Yes, because this is a lean period, as monsoon is a lean period.

Marson Luis: No, no. So, you mentioned that you are saying that like during Q2, there were lesser dispatches, right.

A K Saraogi: Yes, yes.

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Marson Luis: Because of monsoon, right. So, like now the dispatches are picking up because like now normal, right?

A K Saraogi: Yes.

Moderator: We will take the last question from Navin Sahadeo from ICICI Securities.

Navin Sahadeo: Sir, in paints, I just wanted to check, what are the revenues that get booked in the stand-alone entity?

Prashant Seth : INR21 crores.

Navin Sahadeo: Understood. But that is on account of what? Because it's paint -- I mean Acro is a step-down subsidiary and J.K. Max is a wholly owned subsidiary, so how can -- just trying to understand the incidence of revenue...

A K Saraogi: What happens there is a direct billing, which is done by Acro to -- Acro h

as its own client

customer base. So that billing is done directly in Acro books as in the step-down subsidiary, because the counters for paint and putty assets as we said, the reason for our entering the paint business was the synergy, and we have the common counters. So, it becomes difficult for -- to do a 2 billing to the same customer. So, the JK Maxx paints, we do lend out the platform to JK Maxx. And it is putty counter, so it's the same customer. So that building is done in JK Cement books of paint on behalf of JK Maxx paints.

Navin Sahadeo: Understood. This is helpful. And sir, last question. Have we paid Acro promoter the balance 40% of the...

A K Saraogi: 20% as per the agreement has already been paid. The last instalment I think is due in the month of December. So, at that point of time, we acquired -- JK Maxx acquires 100% of the equity.

And then as a next step, we propose to initiate merger of JK Acro with JK Maxx.

Moderator: I now hand the conference over to Mr. Vaibhav Agarwal for closing comments.

Vaibhav Agarwal : Sir, just one question, sir. Did you also highlight any one-offs in your maintenance costs in the Q2 quarter. I just want to reach upon that.

Sumnesh Khandelwal: Yes, it is actually normal for this quarter because the scheduled maintenance is planned looking to the lower clinker requirement. There was around, say, INR30 crores, INR35 crores of additional expenditure on that account in this quarter.

Vaibhav Agarwal : So, these recurring maintenance expense or is the one-off in the maintenance is what I was asking.

A K Saraogi: We can say additional increment maybe about INR15 crores, INR20 crores. There are some maintenance because now we are -- a number of kilns are so many, so there is maintenance comes up actually in -- but most of the maintenance has been done in the first half. Second half will see very few maintenance. So yes, the maintenance cost has been a bit high in the second

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quarter. There were some maintenance also in the first quarter, but going forward, we will see less maintenance in Q3 and Q4.

Vaibhav Agarwal : Understood. But from a one-off perspective you are saying this INR15 crores to INR20 crores is a one-off.

A K Saraogi: Is the additional one-off.

Vaibhav Agarwal : Thank you, sir. On behalf of PhillipCapital India Private Limited, I'd like to thank you for the call opportunity, and also many thanks for participants joining the call. Thank you very much.

Nirav, you can conclude the call. Thank you ..

A K Saraogi: Thank you, everyone.

Moderator: Thank you very much. On behalf of PhillipCapital, that concludes this conference. Thank you for joining us. You may now disconnect.

A K Saraogi: And happy Diwali to all.

Moderator: Thank you, and wish you the same.

Call: Nov 2023

National Stock Exchange of India
Ltd., Exchange Plaza, Bandra Kurla
Complex, Bandra (E), Mumbai-400051
Scrip Code: JKCEMENT
(ISIN:INE823G01014)
Through: NEAPS The Bombay Stock Exchange Ltd.
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai-400001
Scrip Code:532644 (ISIN:INE 823G01014)
Through BSE Listing Centre

07.11.2023

Dear Sir/ Madam

Sub: Transcript and Audio Recording of Conference Call pertaining to Financial Results for Q2 FY24

Please find below the Link of Audio Recording and Transcript of Conference Call held on Tuesday, November 07, 2023, in respect of the Financial results for the quarter and Half Year ended September 30, 2023. The said results were approved by the Board at its meeting held on November 04, 2023. The same is also available on the website of the Company at www.jkcement.com.

Link for Recording and Transcript: <https://www.jkcement.com/transcript-report>

This is for your information and records.

Sincerely

Shambhu Singh
Vice President & Company Secretary
FCS No. 5836

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U SINGH Digitally signed
by SHAMBHU
SINGH
Date: 2023.11.07 19:14:50 +05'30'
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"JK Cement Limited
Q2 and H1 FY '24 Earnings Conference Call "
November 07 , 2023

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR AND CHIEF FINANCIAL OFFICER -- JK
CEMENT LIMITED
MR. SUMNESH KHANDELWAL – DEPUTY CHIEF
FINANCIAL OFFICER -- JK CEMENT LIMITED

MR. PRASHANT SETH – PRESIDENT BUSINESS
INFORMATION AND INVESTOR RELATIONS – JK
CEMENT LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to JK Cement Q2 H1 FY '24 Earnings Conference Call hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital. Thank you, and over to you, sir.

Vaibhav Agarwal : Yes. Thank you, Nirav. Good evening, everyone. On behalf of PhillipCapital India Private Limited, we welcome you to the Q2 and H1 FY '24 call of JK Cement Limited. On the call, we have with us Mr. Ajay Kumar Saraogi , Deputy Managing Director and CFO; Mr. Sumnesh Khandelwal, Deputy CFO; and Mr. Prashant Seth, President of Business Information and Investor Relations.

I would like to mention on behalf of JK Cement Limited, and its Sumnesh Khandelwal that certain statements that may be made or discussed on this conference call may be forward -looking statements related to future developments and based on current expectations. And these statements are subject to a number of risks, uncertainties and other important factors, which may cause the actual developments and results to differ materially from the statements made. The JK Cement Limited and the Sumnesh Khandelwal of the company assumes no obligation to publicly alter or update these forward -looking statements whether as a result of new information or future events or otherwise.

I will now hand over the floor to Sumnesh Khandelwal of JK Cement for their opening remarks, which will followed by interactive Q&A. Thank you, and over to you, sir.

A K Saraogi : Yes, good evening. I'm Saraogi from JK Cement . And the Board of Directors met on 4th November to review the performance of the company for the quarter ended 30th September and for the half year of the current fiscal. We have already circulated the investor presentation, giving the salient features of the performance during the quarter. But I will read out the key highlights. The net sales during this quarter was INR2,476 crores as against INR2,541 crores. This was lower by about 3%. The revenue from operations was INR2,571 crores as compared to INR2,624 crores, a decrease of 2%. The operating expenses were also lower by 4% at INR2,124 crores as against INR2,222 crores. The -- however, the EBITDA during this quarter was higher at INR447 crores as against INR402 crores, an increase of 11%. The EBITDA margins during this quarter was 18% as compared to 15.8% in the previous quarter . The profit after tax during this quarter was INR179 crores as against INR126 crores and the EPS was INR23.10 as against INR16.03. If we compare the information with year -on-year, then the net sales were -- was lower by about 1% at INR2,663 crores, while the EBITDA was higher by 14% at INR467 crores -- sorry, INR467 crores as against INR408 crores, an increase of 14%. The EBITDA margin was 18% as compared to 15.2%.

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If we look at the performance regarding this quarter, the production of gray cement was higher by about 22%, and that is -- the production gray cement business was higher by 22% if we compare the same with quarter 2 of last year. And the combined operations was also higher by 22%. The net debt as on 30th September was INR3,036 crores, and the net debt to EBITDA was -- our net debt to EBITDA was 2.08%, and the net debt to equity was 0.63%.

The company's expansion plan is on stream, 1.5 million ton capacity at Ujjain is in advanced stage of commissioning and should get commissioned within this quarter. The Prayagraj 2 mill

ion ton greenfield plant is on stream and will be commissioned by quarter 2 FY '25. These are the major highlights. If you have any questions, please let me know.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: So just a couple of questions. First on capacity. So, Panna, I think the clinker line

debottlenecking was expected to happen with these maintenance seizures. I just wanted to confirm if that has been done.

A K Saraogi: So, the Panna clinker line debottleneck has already been more or less completed. It is under trial run. And we feel that within -- from next quarter onwards, we should get a regular production from the Panna debottleneck.

Amit Murarka: Sure. Also on capex, could you just highlight how much is done? And what is the target of capex this year and next year?

A K Saraogi: This year's capex target was INR1,400 crores, and we have already spent around INR500 crores till now. And the next year capex target is INR700 crores.

Amit Murarka: On the quarterly, like, I see that the logistics cost and the freight cost has fallen quite a bit Q-o-Q. So, could you just elaborate a bit on that? And how much of that decline is sustainable?

A K Saraogi: See, some of the decline is one-off as a seasonal thing. During this quarter, we had a railway freight discount which is an off-season discount. So, one that has definitely resulted in saving of freight. The other is, there has been some lead distance reduction. So, we have been -- after commissioning of Panna. And we have been working on that. So, there has been a lead distance reduction. So that has led to some freight reduction.

These are the 2 major areas which led to the freight reduction. The railway freight, again, now the lean season discount is over. And from October, we have to pay the normal freight. So, we would see a freight increase on account of the railway freight in this quarter. Lead distance will continue to work, and that will depend upon the customer requirement and some sales mix.

Amit Murarka: Are there some clinker arrangement also done in the quarter, I believe which helped freight as well?

A K Saraogi: No, that is -- what clinker arrangement?

Amit Murarka: As in some...

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A K Saraogi: All quantity of clinker slag which is a normal thing. So that's a one-off thing. That's not -- it's not -- yes, some marginal reduction is there, but it is a one-off thing.

Amit Murarka: Got it. And lastly, on paints, could you just provide the 1H numbers on paint?

Sumnesh Khandelwal: 1H number is INR70 crores of turnover.

Amit Murarka: And EBITDA?

Sumnesh Khandelwal: EBITDA loss of around INR7 crores.

Amit Murarka: And what's the target that you have for FY '24, '25 in turnover?

A K Saraogi: For turnover, as we said, we should be doing anything between INR150 crores to INR200 crores.

So now we started the new project range in this -- early this -- early April. So, we have been now trying to -- I mean more and more dealers are being attached. So, you will see a further -- quarter 3 and quarter 4 would definitely be better. So, we see a better number in H2. So, we should close minimum, I think, INR150 crores, and it may also -- our internal target is between INR175 crores to INR200 crores.

Moderator: Next question is from the line of Aman Agarwal from Equirus Securities.

Aman Agarwal: Congratulations on a strong set of numbers. Sir, my first question was regarding the Panna plus Hamirpur unit. I would like to know the utilization levels for that unit? And if you can just guide us how the profitability for that is differing from the overall profitability?

Sumnesh Khandelwal: No, utilization level for that unit was 75%. And profitability, say, with the ramp-up of the Panna means profitability

is in line, mean whatever is the difference, the region-wise in the pricing that will remain. Otherwise, it is in line with the other existing operations.

A K Saraogi: And there is a continuous -- when you start a plant, there are some additional costs, but that is ramp-up is still going on at the plant level like we are ramping up the clinker production from 8,000 to 10,000. So once all this gets normalized, there would be further savings that we see a potential and we are able to use -- presently, we are not using AFR at Panna. So going forward, we shall start using AFR at Panna. The Waste Heat is -- we could not get the full advantage of the Waste Heat plant to commission in this quarter. We will get the full benefit now from third and fourth quarter. So, there will be further cost reduction at Panna.

Aman Agarwal: Understood, sir. And sir, secondly, on the white business. While the volume growth was pretty strong, we have seen a realization base of around 5% on a sequential level. If you can just explain about that? And how should we look at this business going ahead in terms of volume growth and profitability?

A K Saraogi: So, see the volume growth, I mean, as we see the putty business, there is a growth in putty market by about 10%. So, our growth in putty should be in line with the industry growth. We are confident that we will be able to grow the business. But having said so, since there is a lot of competition in the putty, so that's why the margin has dipped. We feel that it has come to its

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optimal level. I think there should not be any major drop in the pricing, but still, we have to see how the paint companies behave because they are very aggressive on putty.

So how they behave and whether they give further additional discounts. And then if it is so, then we will definitely have to match with the market. But we do feel that now there should not be any major dip, maybe 1% or 2% may be there, but not beyond that.

Aman Agarwal: Understood, sir. And sir, you mentioned about the lead distance reducing during 2Q. So, if you just quantify what was the lead distance?

Sumnesh Khandelwal: 418 kilometres .

Aman Agarwal: Okay. And lastly, on the net debt levels, we have seen some increase from the March '23 level. Are we near the peak net debt number currently or...

A K Saraogi: Yes, yes. So, we are at the peak level of net debt. We should not see the net debt to further increase. There would be some small borrowing which may come up for Ujjain and Prayagraj, but again, to that extent, there will be some -- certain repayments. So, the net debt, I feel is that's already peaked out.

Aman Agarwal: Understood, sir. And many congratulations again on good set of numbers, sir.

Moderator: Next question is from the line of Navin Sahadeo from ICICI Securities.

Navin Sahadeo: Congratulations on a good set of numbers. Sir, a couple of questions. First, I would request a capex update. So, what is the status of the Waste Heat recovery we were planning at Karnataka?

A K Saraogi: So, the Waste Heat recovery at Karnataka is also at advanced stage of completion. And within this quarter, this will get commissioned.

Navin Sahadeo: That is 18 megawatt, right?

A K Saraogi: Yes.

Navin Sahadeo: Okay. Okay. And sir, after -- once we complete the clinker debottlenecking at Panna, which you said is more or less done, what is our total clinker capacity? Total gray cement clinker capacity will be how much?

Sumnesh Khandelwal: It is around 15 million tons.

Navin Sahadeo: Around 15 million tons.

Sumnesh Khandelwal: Yes.

Navin Sahadeo: Okay. So then in that case, is it safe to say that we can easily, without expansion, we can easily go up to 20 million, 21 million tons?

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A K Saraogi: No, around 22 million tons. We see that our capacity

FY '25 should be 24 million. So, we can

see -- safely see 85% capacity utilization can be achieved from the clinker which we have on an average.

Navin Sahadeo: Understood. Sure, sure. Would you also help us with the Toshali update because the acquisition -- I mean, some transaction was there and we were waiting for CPs to be completed. So, what is the update there, sir?

A K Saraogi: So, as we entered the agreement, it was a condition precedent was allotment of the mining lease. So, it is still under consideration and once that is -- that gets cleared, we will execute the formal agreement.

Navin Sahadeo: Understood, sir. So, sir, a slightly broader question here because I believe as we speak, Panna utilizations are nearly full in the sense, almost 85%, 90% kind of a utilization Panna I think is scaled up. So, in the scheme of things, what is the priority expansion capex for us? Will it be Line 2 at Panna? Will it be Toshali? Or we are looking at something in Karnataka, how should one look at capex ? And by when announcement can we expect?

A K Saraogi: So, I think see we are already reviewing various options. And the Board, I think, should shortly take -- will get back to you very soon what are the next course of action. The Board, the Sumnesh Khandelwal is aware that, yes, we have reached a reasonable level of capacity utilization. We have about 3.5 million tons, which is already -- I mean out of which 1.5 million gets commissioned this year -- in this quarter and balance will get in by April before we will -- by the time we will be ramping up that capacity, we should be able to submit our next plan.

Navin Sahadeo: Understood. But if I may just again slightly build more on this, between Toshali and the Panna Line 2, what would be a priority for us or we can take both of them together?

A K Saraogi: See again, you also know the business. Why do you want to put some words in my mouth and I say, no, this is what -- I mean see again, it's a natural thing. At this stage, for me to comment anything which the Board has not decided yet or taken taking a call will not. But definitely, in all probabilities, as you say -- I mean there should -- it could be because, again, new mining lease, you think Panna could be the first option.

Moderator: Next question is from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: Sir, joined the call late. So, I just want to get the pricing trends, what we've seen in the last couple

of weeks, both October, early November and end of 2Q versus average in our key regions?

A K Saraogi: So yes, we have seen some increase in pricing in the latter part of Q2 or so in the North, and then we have seen some price increase also in the southern regions in the month of October. And -- so these 2 regions have definitely seen and the marginal increase is there in the central but not very significant. So, there is an increase in price across all of our major markets.

Sumangal Nevatia: Okay. And sir, based on what we are picking up, I mean, any -- 4%, 5% price increase in North and South is that ballpark right? Or lower than that is what we're seeing?

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A K Saraogi: Yes, around that.

Sumangal Nevatia: Versus 2Q average?

A K Saraogi: 3% to 4% should be average for us.

Sumangal Nevatia: Got that. And central, you said is more flattish, did I miss...

A K Saraogi: That is an improvement trend, but...

Sumangal Nevatia: Okay. Okay. And then on our coal cost, sir, what should we consume in 3Q? What sort of cost change do we expect in the coal cost in 3Q versus 2Q?

A K Saraogi: So, the coal cost what was in Q2? The fuel cost in Q2?

Sumnesh Khandelwal: INR1.90.

A K Saraogi: INR1.90, the Q3 should see some marginal dip, but the coal pricing as we are contracting, there is a lot of fluctuation in the petco pricing. And it really depends on which consignment

gets --

so we also have a consignment with -- where the cost is higher. We also have a consignment which is lower. So, I think it could range between anything between INR1.80 to INR1.85. It should not be higher than Q2.

Sumangal Nevatia: Okay. Understood. And just one last question, sir, on the freight cost, the busy season surcharge, I mean, what sort of delta did we see benefiting 2Q? And what could reverse in 3Q? If you could just quantify a little bit?

A K Saraogi: So, you see around 13% to 15% of our dispatches are by rail. So, the rail dispatches, there is a 15% busy surcharge. So that gets -- that was only available in Q2. And it will not be -- it is not available now. So that 15% of the volume fee freight increase of 15%.

Sumangal Nevatia: Roughly maybe around INR25, INR30 on a per ton basis is...

A K Saraogi: Around, yes. Between INR20 to INR25 a ton.

Moderator: Next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Congratulations on good set of numbers. So, sir, as you mentioned, 13% to 15% rail mix. So, for this quarter Q2 would be the same, what was the last quarter of 14% rail, sir?

A K Saraogi: So Q2, the rail mix was around 11%. Q1, it was 14%. And see, again, it depends on the season, monsoon and other things. So -- and one thing more, even the road freight also gets varied between monsoon and non-monsoon. It's a peak business time. I mean there is a lot of -- I mean see business and movement of various materials from different items. So, it affects the...

Shravan Shah: Secondly, sir, in terms of the profitable -- last time we have talked about gray cement, we are looking at close to INR900 kind of EBITDA per ton. But considering this quarter, is it fair to assume that this quarter should be our gray EBITDA per ton should be closer to INR1,000. And

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now given, as you are mentioning, 3% to 4% average price increase in the third quarter versus 2Q average? And then also at the same time, we should be seeing per ton cost should be reducing in the third quarter. So INR1,100 plus kind of a gray cement EBITDA, is it fair to -- one can look at in the third quarter.

A K Saraogi: No, yes, you see. Again, as we see that definitely, if we -- if this price increase which has taken place sustains the whole quarter, we -- I mean we have seen only around 40 days in the quarter so far. So, we have to see the remaining 50 days how the pricing, there's a festival, which will have some impact on the business. And if the prices do remain and -- yes, we should also get some operational benefits. So, there should be an increase in the EBITDA per ton.

Shravan Shah: Okay. But combining, as you are mentioning, we will be seeing a marginal dip in the fuel cost of 1.8, 1.85 versus 1.9 and plus some increase in the freight. So, net-net on the costing front, broadly, if everything remains the same what we are looking at fuel cost? On the costing front, how much one can look at further savings, considering the green share, WHR coming at Karnataka everything. So broadly from maybe third quarter or fourth quarter compared to the second quarter, how much more savings one can look at on the cost front?

A K Saraogi: So sequentially, as we see, we definitely see cost saving of maybe about INR50 or so in this quarter. And sequentially also, in the coming quarter, around the same amount.

Shravan Shah: Okay. Okay. Okay. Got it. And then in terms of absolute level Prashant sir, in terms of the power

and fuel average cost would be last quarter, we mentioned INR11,000 -odd. So, this quarter would be how much?

Prashant Seth See, there is a reduction of around INR100 per ton.

Shravan Shah: Okay. Okay. Okay. Okay. Got it. And the paint business though we mentioned the INR150 crores, INR200 crores revenue that we are looking at, but EBITDA last time we have talked about INR7 crores, we ha

ve done EBITDA loss, so full year we were looking at INR20-odd crores EBITDA loss.

A K Saraogi: It would be -- this 20 numbers -- INR20 crores should not increase within that number.

Shravan Shah: And next year onwards, one can look at the breakeven or maybe positive EBITDA in paint also?

A K Saraogi: No. Yes. So hopefully, maybe by exit of next year, we could see that, not average, but definitely as an exit, we could.

Moderator: Next question is from Prateek Kumar from Jefferies.

Prateek Kumar: Sir, my question is on demand trends. So, with regards to safety actions in some of your operating states. So, is there any particular demand impact which has now started to be visible because of some levered average towards election purpose or otherwise?

A K Saraogi: So, see, as of now, there is no major dip in the demand. But having said so, the November month maybe a bit low because one of the festival and because in 2 states, we have election. So, election

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itself may have some disruption in supplies and some demand. So, we may see some dip in the month of November, but again, we -- it should bounce back in the month of December.

Prateek Kumar: And one related question on -- regarding the sharp price increase, which we saw in South India. So, is there an impact on demand post the price hike, which was taken?

A K Saraogi: No, no, not really. I mean in the areas where we have upgrade because we do not cover the entire deep south.

Prateek Kumar: Sir what was the range of price increase in your operating markets in South?

A K Saraogi: So, in our operating market, it was around 5% to 7%.

Prateek Kumar: That would be like INR30 kind of increase per bag?

A K Saraogi: From INR22 in certain pockets it maybe INR30, or otherwise, INR20 average, you could say.

Moderator: The next follow-up question is from the line of Rajesh Ravi from HDFC Securities.

Rajesh Ravi: Congrats on good set of numbers. My first question pertains to incentives. How much was booked in Q2 sir, in P&L?

A K Saraogi: Yes. So, our total incentive -- annual incentive is in the range of about INR250 crores. So INR65 crores was the -- INR69 crores was the total incentive in this quarter.

Rajesh Ravi: Okay. And sir fuel costs, you mentioned 1.94 for this year in Q2, a similar number for last year, Q2 was how much?

Prashant Seth It was 2.4.

Rajesh Ravi: 2.4, okay significant savings. And sir, just on the paint revenue. I see the wall putty realization is down 4% Q-on-Q. So consolidated basis, what could have driven that? And also, the UAE business numbers, volume number seems to have significantly improved. Any specific changes in the business over there?

A K Saraogi: So, as I said earlier, the white cement revenue numbers are lower on account of -- mainly on account of the lower pricing of putty. So, there is a putty market is quite competitive and balance is through mix. As far as UAE is concerned, yes, we have been -- the entire markets have normalized. There's an easing out of the availability of containers and other things. However, during this quarter, we had some one-off big orders which are not -- so we had a big shipment to Australia. That was a 40,000 tons shipment to Australia.

So, all that has -- again, so there has been some -- I mean one time, so it is not going to -- these volume numbers would not be -- will not have same numbers in this quarter. Having said so still, yes, as we have been working out on the turnaround of the UAE business, so now there has been a lot of easing off due to abnormal circumstances, the fuel prices have eased out, the container freights have eased out. So as a result, we will see an improved performance of the UAE operations.

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Rajesh Ravi: That heartening to know sir. Sir, clinker capacity you mentione

d 15 million tons. So, could you

split out among the 3 regions how is the capacity now? Because in my understanding, Panna capacity clinker post bottlenecking was 3.3 million ton, or is it more than that?

Prashant Seth No, no, fine. It is 3.3.

A K Saraogi: Yes, 10,000 TPD per day.

Rajesh Ravi: Okay. And Rajasthan and Karnataka how much, sir?

A K Saraogi: See, we have around 2.5 million in this house, balance is Rajasthan.

Rajesh Ravi: Karnataka is 2.5 because my understanding was it is 2.1, okay. Sir, lastly, in the capacity expansion project of Toshali Cement, just what is the guidance you have said that this is still work under process in terms of closing the timelines?

A K Saraogi: So Toshali Cement is -- it is a condition precedent on allotment of the mining lease. Once the mining lease gets allotted to us, then we firm up the agreement and buy out that company. And at -- after buying out the company we will work out our strategy, then the next step, what steps to be taken to do an expansion at the site because ultimately that's a mini cement plant.

It is not that we will be able to stay -- we may continue to operate that for feeding the local market till we finalize all the other parameters of expansion, which itself will take -- finalizing what needs to be done after a formal takeover is done. See, again, any takeover of company also takes time. So, once we are able to takeover everything, it will take us about 1 years' time to finalize the action plan for implementing the expansion over there. And then only we can come up with the timeline for the expansion over there.

Rajesh Ravi: Okay. And lastly, just realizations you said is 4% improvement in which quarter, on an average versus your Q2 realization so far?

A K Saraogi: Q3, we said.

Rajesh Ravi: Q3 versus Q2, you're looking at 4% improvement which is current prices.

A K Saraogi: We will definitely look at that price increase.

Rajesh Ravi: Okay. Because 4% will be...

A K Saraogi: Yes, yes, please.

Rajesh Ravi: INR400 means, you are almost INR200 per ton incremental realization you're looking at, and costs sequentially may not go up because we will have operating leverage gain quarter-on-quarter and sales and freight cost will set off. So, are we looking at close to INR200 if the current prices were to sustain, margins to look up by INR200 quarter-on-quarter?

A K Saraogi: So as per your calculation, it looks like that. If the prices do sustain and everything remains, it would definitely be.

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Moderator: Next question is from the line of Ritesh Shah from Investec India.

Ritesh Shah: A couple of questions. Sir, first is, can you help us with the UAE volumes? And what percentage of volumes come to India, if it is for Q2 or first half either the number [inaudible 0:36:35]?

Prashant Seth: Yes, UAE volume in this quarter was 193,000 tons. And the last quarter, it was 121,000. So overall, we have done like 314,000 tons in the 6 months. And in India, you see we are bringing material in 2 forms. One is the direct billing from the UAE. And second is what is -- what material is coming to India and build in the -- build from the Indian company. So, the overall material in the first 6 months which has come up is around 60,000 tons in both the forms.

Ritesh Shah: Okay. That's roughly one third. Sir, is there any risk of potential import duties of both gray as well as white cement large clinker coming from UAE to India. Have you heard anything of the sort?

A K Saraogi: No, no, see, again, except for the white clinker, which is coming, there is no other clinker which is coming from the UAE, and we have not heard for any import duty or anything.

Ritesh Shah: That's helpful. Sir, second is on the prior question, you indicated a price increase of 3% to 4%, but I think you did indicate cost price increases could be up by 3% to

o 4%. Sir, would you be --

can you please give some number on a pan-India basis, at least for the regions that we operate in at a blended level?

A K Saraogi: So, see, again, when we say blended numbers, there are -- when I said total award increase and you come to a retention number, it has a combination of both trade, non-trade and we've to see what is the increase in trade? What is the increase in nontrade? What are the pending orders of nontrade. So non-trade also has many other things that you may have pending order of nontrade at a particular price for a period. So, all those things do play a role in an overall increase in the retention. So, on that basis, we said about 4% should be the net increase if we take off trade-off between trade and nontrade, then it may be -- trade prices may be different, nontrade is different.

Ritesh Shah: Sure, sir. And sir, lastly, on the demand, you indicated that you expect a pickup in demand, say, in December because of election in a couple of states. Sir, how should we look at this particular variable given Lok Sabha elections are not very far, that is one. And secondly, in the near term, because of winters solution, I think the government is going after a lot of bidders halting construction. Is it having any bearing on the near-term demand because of that? So, one was basically Lok Sabha, just prior to Lok Sabha and near-term because for the winter setting in Northern India?

A K Saraogi: So, for as far as we are concerned, there is election in 2 states, MP and Rajasthan, which

definitely affect us. So, these are the 2 states where we have elections where we are serving today. And winters also do affect our northern markets. There's already -- but is not very strict, some construction ban in New Delhi. It could be if that is -- becomes stricter, it will lead to some reduction in the volume numbers.

However, I mean all these restrictions do not decrease the overall consumption, it is deferring the same, because it is only you're stopping our construction activity. And as soon as the

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situation improves, it will again come up. So, it is a timing difference. I don't see it is a loss of cement, which is there. So, you may see a temporary some dip in volume numbers, which will subsequently get -- we can ramp it up subsequently.

Ritesh Shah: Sure. And sir, with respect to Lok Sabha elections historical trends versus how do we see right now because the code of conduct comes in. I'm not sure whether we have seen working capital become a bit tight when contractors do their work. Sir, any colour over here?

A K Saraogi: As far as the current fiscal year is concerned, what happens is the election are -- Lok Sabha elections will be sometime in the month of May. There are already budgetary -- budgets which are already approved for the whole fiscal. So, this year, budget or -- does not get affected in any case. Ongoing projects do not get affected in any case. It is only sometimes the new projects which are announced and which may need approval till you form -- even suppose a project is announced by the government today and it needs certain approvals, subsequent approvals which are not done before the elections.

Then that may only get firmed up once the election are over and new government is formed. The departments are allocated and then the budget proposal is -- even the budget itself will come later, there will be a vote on accounts in February for 2, 3 months. But real budget proposal will come sometime in June, July.

Moderator: Next question is from the line of Marson Luis , Individual Investor.

Marson Luis: Yes. You mentioned that during Q2, we have received some like off -season discount from railway. So, what is the percent of that discount? And what is in absolute volume -- like how much amount did we receive -- this will be discount in the freight?

A K Saraogi: So, railways normally do a 15% discount -- off season discount, which is in the July -September quarter. That is a lean period for the railways, the main monsoon period. So that is on all railway dispatches, but -- which is withdrawn from 1st October.

Marson Luis: Yes. So how amount like did we receive as a discount?

A K Saraogi: No, it is not received. It is -- the freight is reduced.

Marson Luis: No, no. I understand, but how much lesser freight you have paid for the Q2 due to this discount separately.

A K Saraogi: There is an impact of around INR20, INR25 a ton on that count, on our freight cost.

Marson Luis: INR20 to INR25 ton, so how much did we ship or like -- what is the average said cost?

A K Saraogi: So, we have done -- our rail dispatches were 11% of the total dispatches. Our dispatches were close to 4 million. So, it's about 4.5 lakh tons. You can say on that way whatever average rail freight for that. So, we may get about say about INR200 a ton impact, about INR7 crores, INR8 crores.

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Marson Luis: Okay, not much, not much. Okay. And then regarding Panna this ramp -up, like currently, what is the capacity utilization 2.6 or 2. I think...

A K Saraogi: 75% is the current capacity utilization. The capacity of Panna is 4 million tons, 75%, so on a quarter, it is 7.5 lakhs tons.

Marson Luis: Right now, we are taking it to 4 million.

A K Saraogi: It is already 4 million.

Marson Luis: But you mentioned something during the call that they were ramping up, we target to reach to 4 million by the end of next quarter or what?

A K Saraogi: No, no, no. Panna capacity is 4 million tons.

Prashant Seth : Already -- already ramped up.

A K Saraogi: There was a proposal that what is the situation of ramp -up of the clinker capacity at Panna plant, so that we are already ramping up from 8,000 TPD to 10,000 TPD.

Marson Luis: Okay. Okay. Okay. Fine. Fine. And you mentioned this incentive, the INR250 crores, we are getting so INR1,600 crores was received during this one. So, like was it a capital subsidy or...

A K Saraogi: INR69 crores is the subsidy, which was accrued during this quarter.

Marson Luis: And the remaining will -- like 181 has already been accrued in the past or will be accrued in the coming quarters?

A K Saraogi: It is quarter -on-quarter. It has subsidy. It depends on the sale of cement in that state and then only the subsidy is approved.

Marson Luis: Okay, okay, so the subsidy lasts for next few years.

A K Saraogi: Yes, the subsidy is there for that.

Marson Luis: Okay. Okay. Okay. Great. And like how do you see this like overall performance like demand and kind of thing during this quarter as compared to last quarter?

A K Saraogi: So last quarter, we saw a dip as compared to the -- this quarter was a dip as compared to last quarter.

Marson Luis: In terms of dispatches?

A K Saraogi: Yes, because this is a lean period, as monsoon is a lean period.

Marson Luis: No, no. So, you mentioned that you are saying that like during Q2, there were lesser dispatches, right.

A K Saraogi: Yes, yes.

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Marson Luis: Because of monsoon, right. So, like now the dispatches are picking up because like now normal, right?

A K Saraogi: Yes.

Moderator: We will take the last question from Navin Sahadeo from ICICI Securities.

Navin Sahadeo: Sir, in paints, I just wanted to check, what are the revenues that get booked in the stand -alone entity?

Prashant Seth : INR21 crores.

Navin Sahadeo: Understood. But that is on account of what? Because it's paint -- I mean Acro is a step -down subsidiary and J.K. Max is a wholly owned subsidiary, so how can -- just trying to understand the incidence of revenue...

A K Saraogi: What happens there is a direct billing, which is done by Acro to -- Acro h

as its own client

customer base. So that billing is done directly in Acro books as in the step -down subsidiary, because the counters for paint and putty assets as we said, the reason for our entering the paint business was the synergy, and we have the common counters. So, it becomes difficult for -- to do a 2 billing to the same customer. So, the JK Maxx paints, we do lend out the platform to JK Maxx. And it is putty coun ter, so it's the same customer. So that building is done in JK Cement books of paint on behalf of JK Maxx paints.

Navin Sahadeo: Understood. This is helpful. And sir, last question. Have we paid Acro promoter the balance 40% of the...

A K Saraogi: 20% as per the agreement has already been paid. The last instalment I think is due in the month of December. So, at that point of time, we acquired -- JK Maxx acquires 100% of the equity.

And then as a next step, we propose to initiate merger of JK Acro with JK Maxx.

Moderator: I now hand the conference over to Mr. Vaibhav Agarwal for closing comments.

Vaibhav Agarwal : Sir, just one question, sir. Did you also highlight any one -offs in your maintenance costs in the Q2 quarter. I just want to reach upon that.

Sumnesh Khandelwal: Yes, it is actually normal for this quarter because the scheduled maintenance is planned looking to the lower clinker requirement. There was around, say, INR30 crores, INR35 crores of additional expenditure on that account in this quarter.

Vaibhav Agarwal : So, these recurring maintenance expense or is the one -off in the maintenance is what I was asking.

A K Saraogi: We can say additional increment maybe about INR15 crores, INR20 crores. There are some maintenance because now we are -- a number of kilns are so many, so there is maintenance comes up actually in -- but most of the maintenance has been done in the first half. Second half will see very few maintenance. So yes, the m aintenance cost has been a bit high in the second

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quarter. There were some maintenance also in the first quarter, but going forward, we will see less maintenance in Q3 and Q4.

Vaibhav Agarwal : Understood. But from a one -off perspective you are saying this INR15 crores to INR20 crores is a one -off.

A K Saraogi: Is the additional one -off.

Vaibhav Agarwal : Thank you, sir. On behalf of PhillipCapital India Private Limited, I'd like to thank you for the call opportunity, and also many thanks for participants joining the call. Thank you very much.

Nirav, you can conclude the call. Thank you ..

A K Saraogi: Thank you, everyone.

Moderator: Thank you very much. On behalf of PhillipCapital, that concludes this conference. Thank you

for joining us. You may now disconnect.

A K Saraogi: And happy Diwali to all.

Moderator: Thank you, and wish you the same.

Call: Jan 2024

23.01.2024

Dear Sir/ Madam

Sub: Transcript and Audio Recording of Conference Call pertaining to Financial Results for Quarter and Nine Months ended 31st December 2023

Please find below the Link of Transcript and Audio Recording of Conference Call held on Tuesday, January 23, 2024, in respect of the Financial results for Quarter and Nine Months ended 31st December 2023. The said results were approved by the Board at its meeting held on January 20, 2024. The same is also available on the website of the Company at www.jkcement.com.

Link for Recording and Transcript: <https://www.jkcement.com/transcript-report>

This is for your information and records.

Sincerely

Shambhu Singh

Vice President & Company Secretary

FCS No. 5836

National Stock Exchange of India

Ltd., Exchange Plaza, Bandra Kurla

Complex, Bandra (E), Mumbai-

400051 Scrip Code: JKCEMENT

(ISIN:INE823G01014)

Through: NEAPS

The Bombay Stock Exchange

Ltd. Corporate Relationship

Department, Phiroze Jeejeebhoy

Towers,

Dalal Street, Fort, Mumbai-400001

Scrip Code:532644 (ISIN:INE 823G01014)

Through BSE Listing Centre

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"JK Cement Limited

Q3 FY '24 Earnings Conference Call "

January 23, 2024

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR AND CHIEF FINANCIAL OFFICER – JK
CEMENT LIMITED

MR. PRASHANT SETH – PRESIDENT BUSINESS
INFORMATION AND INVESTOR RELATIONS – JK
CEMENT LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of J.K. Cement hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital India Private Limited. Thank you. And over to you, Mr. Agarwal.

Vaibhav Agarwal: Yes. Thank you, Michelle. Good evening, everyone. On behalf of PhillipCapital India Private Limited, we welcome you to the Q3 FY '24 call for J.K. Cement Limited. On the call, we have with us Mr. Ajay Kumar Saraogi, Deputy Managing Director and CFO; and Mr. Prashant Seth, President of Business Information and Investor Relations.

I would like to mention on behalf of J.K. Cement Limited and its management that certain statements that may be made or discussed on conference call may be forward-looking statements related to future developments and based on current expectations. These statements are subject to a number of risks, uncertainties and other important factors, which may cause the actual developments and results to differ materially from statements made. J.K. Cement Limited and the management of the company assumes no obligation to publicly alter or update these forward-looking statements whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of J.K. Cement for their opening remarks, which will be followed by interactive Q&A. Thank you, and over to you, Saraogi sir.

Ajay Kumar Saraogi: Thank you, Vaibhav. Good afternoon, and welcome to Q3 results. So the Board of Directors met on 20th of January to review the working of the company for the quarter ended 31st December, third quarter 2023. The salient features that the net sales during this quarter as compared to Q2 had risen by 9% at INR2,690 crores as against INR 2,476 crores and if we compare them with previous year, it is up 18% at INR2,281 crores as against INR2,690 crores. The EBITDA during the quarter was INR 608 crores as against INR 447 crores in the previous quarter, an increase of 36% and INR246 crores in the previous year, an increase of 147%.

The EBITDA margins for the quarter was 22.6% as against 18% in the previous quarter and 10.8% in the previous year. The profit before tax in this quarter was INR415 crores as against INR246 crores, an increase of 69% and INR90 crores last year, an increase of 363% over last year. The EPS was INR 37.40 paisa as against INR23.10 paisa, and INR7.40 paisa in the previous year. So during this quarter, the company also commissioned the grinding unit of 1.5 million tons at Ujjain. And the work at the grinding unit of 2 million tons at Prayagraj is at advanced stage, and this would likely get commissioned by September -- July-September quarter.

So also, the Board of Directors in the meeting decided an expansion of 6 million tons in Central India, out of which the salient features of the expansion are that 3.3 million tons would be the Clinker Line at Panna, which will be line number two at Panna and 6 million grinding unit. So grinding of 6 million is coming from 3 million of greenfield grinding in Bihar and 1 million

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incremental grinding by way of modifications in the existing systems at Panna, Prayagraj, and Hamirpur. So that would be 6 million tons of cement grinding. This is expected at a total project cost of INR2,852 crores -- INR2,850 crores, out of which it is proposed to borrow rupee term loan and some debt

from banks of INR1,850 crores and balance would be from internal accruals.

The commissioning is around within 24 months and it is expected that the work may start sometime by March, April this year. So within FY '26, we expect to complete this expansion of 6 million tons. And with this expansion, by FY '26, the company's overall grey cement capacity, installed capacity would be 30 million. The present capacity is 22 million. 2 million tons at Prayagraj is under implementation and 6 million tons, new capacity is proposed. So by end of FY '26, the company's overall grey cement capacity would be 30 million tons.

During the quarter, if we see the capacity utilization for the grey cement was around 75%. The grey cement volumes was 4.15 million. The blended ratio was 66%, the trade mix was 62% and the premium products was 12% of the trade volumes. If we look at the gross debt as on 31st December, that was INR 4,585 crores and the net debt to EBITDA was 1.64% as against 2.21% as on 31st March 2023. So these are the major highlights and the working. If you have any questions, we'll be pleased to address the same. Thank you.

Moderator: Thank you very much sir. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Congratulations, sir, for a very good set of numbers. Sir.

Ajay Kumar Saraogi: Thank you.

Shravan Shah: Sir, my first question is just to getting a time line confirm in terms of this 3.3 clinker and 6 million. So this 3.3 clinker at Panna would be starting in Q4 FY '26 and 6 MTPA grinding to start by Q1 FY '26, that's the fair way to look at?

Ajay Kumar Saraogi: No, no. See, by end of FY '26, all this will get commissioned because we are expecting the clinker line, as we have done earlier at Panna, so we are taking an outer limit, some approvals are pending. I mean, once we get the consent and all, if we start work by March, April this year, we can definitely get it commissioned within December '25, everything. The cement grinding can be completed earlier, but there is no point in completing it earlier when we will not have the clinker available.

Shravan Shah: Okay. Got it. And now considering this INR2,900 -odd crores kind of a capex, so what's the capex we have done in 9 months and what's the revised guidance for FY '24, '25 and '26?

Ajay Kumar Saraogi: See, we have done the actual capex of around INR 900 crores till now. And earlier guidance was INR1,400 crores, but we expect to close with the spillover of INR 200 crores. So this year, the capex would be in the range of INR1,200 crores.

Shravan Shah: Okay.

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Ajay Kumar Saraogi: And next year, yes, against the guidance of INR800 crores. Now we will have the capex for this Line 2 also, Panna Line 2 and this 6 million grinding. So it will be in the range of INR1,200 crores and INR200 crores of the spillover from current year, so next year capex would be INR2,200 crores.

Shravan Shah: Okay, INR2,200 crores. Okay.

Ajay Kumar Saraogi: Yes.

Shravan Shah: And in FY'26 would be then?

Ajay Kumar Saraogi: FY'26 would be around INR1,800 crores.

Shravan Shah: INR1,800 crores. Sorry, sir. INR2,000 crores and -- INR2,200 crores in FY'25 and INR1,800 crores in...

Ajay Kumar Saraogi: FY'26.

Shravan Shah: FY'26. Okay, got it. Now coming in terms of the volume and the pricing and the profitability front, so just two, three things. So in terms of the -- definitely, we are doing much better on the grey volume front. So in nine months, we have done 21.3% kind of a growth. So is it fair to say that for the full year, definitely, we should be having a 19% kind of a growth? And any broader idea in terms of the next year in terms of the volume growth? Because for industry, I would say, it would be a slowing. So for us, how one can look at in terms of the grey volume growth for FY'25?

Ajay Kumar Saraogi: So you see, we should close anything around 16.5 million tons in this year by March '24. And as we said earlier, incrementally, you could say, minimum 2 million tons coming each year in FY'25 and FY'26, incremental volume.

Moderator: Thank you.

Ajay Kumar Saraogi: Hello?

Moderator: Yes, sir. Sir, the participant has left. We will ask him to join the queue for follow up.

Ajay Kumar Saraogi: Okay.

Moderator: Thank you. The next question is from the line of Aman Agarwal from Equirus. Please go ahead.

Aman Agarwal: Yes. Sir, thank you for the opportunity and many congratulations on a strong set of results once again. Sir, on grey cement -- while I understand grey cement business has been doing very well, I just wanted more clarity on how the white business is doing. Last, you mentioned there were some realization cut, especially in the putty business due to steep competition. Just wanted an update on that, how is the current scenario?

Ajay Kumar Saraogi: So we've achieved -- the white business, there is a stiff competition in the white business, especially in the putty segment. And though we have been growing, and if you look at the white

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business, that has also grown by about 5% in the nine-month period, if you look at over year-on-year. So with April-December '22 to April-December '23, there's a 5% growth. Yes, the profitability, I would say that the white cement is more or less flat if you look at the whole business. So we are expecting around anything between EBITDA margins of 15% to 18% in the white business.

Aman Agarwal: Sure, sir. And sir, in terms of overall cost per ton, last call, you highlighted that you expect INR50 per ton kind of a saving in 3Q as well as 4Q. In 3Q, if you see, we have already posted a cost saving in excess of INR100 per ton. Would you be expecting further cost saving in 4Q on a sequential basis?

Ajay Kumar Saraogi: Yes, there could be. See, again, Q3 has been exceptionally because one, some of the cost per

ton, when you see net of the stock adjustment, is also because the freight adjustment is there when you value the inventory. But definitely, we could see another -- but major savings have been already affected. We may get some marginal savings, anything between INR30 to INR40 in this quarter also.

Aman Agarwal: Understood, sir. And sir, would it be possible for you to share your region -wise growth for this quarter or maybe nine months '24?

Ajay Kumar Saraogi: No, we are not sharing those numbers.

Aman Agarwal: Sure, sir. I'll come back in queue. Thank you for your response, sir.

Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Thank you for the opportunity, sir. Sir, firstly, on the expansion itself, so you did mention that we are targeting by at least end of...

Moderator: I'm sorry to interrupt. Sir, your audio is not clear.

Devesh Agarwal: Is it better now?

Moderator: Yes, sir. Please continue.

Devesh Agarwal: Yes. So sir, on the expansion, I just wanted some more clarity in terms of whether the land is available at all the locations, except for the greenfield? Is that -- will that be the case?

Ajay Kumar Saraogi: Yes. Except for the Bihar grinding location, where we have identified a few locations, but we are still to close those locations. Otherwise, rest is, in a way, brownfield expansions. So there are no land issues.

Devesh Agarwal: Right. And in terms of ordering, sir, what will be the targets?

Ajay Kumar Saraogi: Pardon?

Devesh Agarwal: For ordering?

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Ajay Kumar Saraogi: So we have already started getting the quotations and I think we should be able to finalize all the orders, also the main plant and equipment within next three to four months' time.

Devesh Agarwal: Understood. And so in Bihar, sir, you have not finalized the location, right? It is still in works, exactly where the plant would be?

Ajay Kumar Saraogi: Pardon?

Devesh Agarwal: In Bihar, where exactly the plant will be that is still in works. The location has not...

Ajay Kumar Saraogi: We had two, three options, so we are just working out and we shall freeze the same within next two, three, four months. See, again, once we get the land and we simultaneously get the approval, environment clearance and all so that the land acquisition and environmental presence should take about anything between six to nine months. And we feel that we can commission the grinding unit within a span of 12 months.

Devesh Agarwal: Right, sir. Understood. And sir, if you see the share of Central India in that total volume is kind of increasing, just wanted to understand the difference in the profitability between North and Central India.

Ajay Kumar Saraogi: So now, see, again, Central India, though the pricing is a bit lower than what it is in the Northern region. But there, because the plant is a new plant, so we get the plant efficiencies and we have a subsidy benefit. So more or less, we can see that the profitability of Central and North is more or less the same, considering we get the benefit of the subsidy in the region.

Devesh Agarwal: Understood, sir. And sir, finally, what is the update on the paint business? How much has been to revenue and EBITDA? And what will be the target for FY'25?

Ajay Kumar Saraogi: So as we already said, yes, we are working on the paint business, and we have been able to ramp up the volumes. If we look at -- we have already crossed a turnover of INR100 crores in the nine months. And now we feel that we should be able to close the year somewhere around INR150 crores plus as a top line. So that was -- after launching the JK Maxx sometime in the beginning of this year in a small way and then ramping up into our main core markets, so we have -- we are getting a good traction and we feel that it would definitely be over INR150 crores because if we look at the paint top line, we have done around INR46 crores in quarter three itself. And so we expect, so around INR150 crores plus.

Yes, there would be because of the one-time asset, we have to develop the brand with the branding cost. There would be an operational loss, anything ranging from INR15 crores to -- INR20 crores was our plan. What we estimated could be INR20 crores, INR25 crores could be our loss. So up to a nine-month period, we have incurred a loss of about INR15 crores on the paint business, but that is nothing exceptional. I mean, if we look at, we are monitoring the business on gross margin basis and, there, we are at the level where what was planned.

Devesh Agarwal: And for, sir, FY25, any numbers that you can share in terms of profitability?

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Ajay Kumar Saraogi: So FY25, we should have a top line anything between INR250 crores to INR300 crores. As far as profitability is concerned, again, it will depend, I mean, how there will be a marginal profit or loss because we need to build up the brand. Actually, we've become EBITDA positive in a way in FY26, when we are closer to INR500 crores top line -- INR400 crores, INR500 crores top line.

Moderator: Thank you, sir. The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.

Pathanjali Srinivasan: Yes. Firstly, congrats on a good set of numbers. I did have a few questions. One is on gross debt, so post our capex, what would our gross debt levels be at the peak in the next couple of years?

Ajay Kumar Saraogi: So see, our present debt -- gross debt is around INR4,600 crores. And post, we are -- by FY26, if you see, it should be around INR5,500 crores of -- see, we are going to borrow about INR1,850 crores. But

the two years, we will end up paying -- repaying about INR800 crores, INR900 crores of debt also. So incremental increase would be around INR1,000 crores of debt, so we could say we can peak maximum up to INR5,600 crores as a gross debt.

Pathanjali Srinivasan: Okay. Sir, and white cement, the realization seem to have increased from the previous quarter, is it possible to quantify what the increase was?

Ajay Kumar Saraogi: No, see, realization increase when we're talking about, it's a -- total white cement is a combination of -- when we talk about, it's the product mix change and other things. So exactly - - as far as putty is concerned, definitely, quarter-on-quarter, there is some pressure on the pricing, but there is a product mix change where it is showing marginally higher realization per ton.

Pathanjali Srinivasan: Okay. So does it mean that we've been selling more of specialized products or something, which is why the realizations have gone up a bit?

Ajay Kumar Saraogi: See. It's a combination of everything. Specialized, we make a ShieldMaxX, a premium putty, and other products. And this was a seasonal quarter, so it depends on that.

Pathanjali Srinivasan: Okay. Sir, and just one last question. What is our energy cost per kcal?

Prashant Seth: So INR1.80.

Pathanjali Srinivasan: And we see it going down by how much in the next quarter?

Ajay Kumar Saraogi: Marginally, if -- because we already have inventory at this rate, so I don't think so that in this quarter, there could be some marginal difference, not anything. The petcoke prices have reduced, and we should see some reduction. But it will -- it would be seen only in the first quarter of next fiscal because this is based on the inventory levels looking to -- we are more dependent on imported fuels, so we have 60 -75 days inventory with us.

Pathanjali Srinivasan: Okay, sir. And just one last question, if I could squeeze in. What is our WHRS and renewable targets for '25, '26?

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Ajay Kumar Saraogi: So on WHRS, again, one, a new WHRS plant at Muddapur is in advanced stage. It's actually under trial runs, so that will get commissioned and that will add. So in the next quarter, we will start seeing the benefit of -- and partially in this quarter and fully in the first quarter of next fiscal, we shall be seeing. So our present --

Prashant Seth: The present WHRS capacity is 64 megawatts, so that will go up to, say, by another 18 megawatts at the Muddapur. And then we will have the WHRS in the new Clinker Line -2 at the Panna also.

So we will be doing --

Ajay Kumar Saraogi: Solar and wind, we are doing the regular tie-ups and we hope to increase it by around, say, 50 megawatts -- 50-60 megawatts every year.

Pathanjali Srinivasan: So related to that, I saw something in our presentation, which said 22 megawatts agreement until 31st March '24. What does that actually mean, sir?

Prashant Seth: So that agreement meaning that tie up will expire by that period.

Pathanjali Srinivasan: Okay. So will we renew it? Or how does it like -- is that our option --

Ajay Kumar Saraogi: We had new tie-ups also. Actually, we had some short-term tie-ups. Now we are entering into a long-term PPA agreement. So in between, we had a short-term tie-up also, which was included in that.

Pathanjali Srinivasan: Yes, I just wanted some number on how much we target for '25, '26 in terms of renewable?

Ajay Kumar Saraogi: So see, '25, '26 in terms of renewal, we should definitely have -- I mean, I think we can take around additional 50 megawatts, for sure. Of which, 25 megawatt would be waste heat by FY26 because Line -2 will have that waste heat and incremental solar power of another 25, so we could see another additional 50 megawatts coming up in FY25 -FY26.

Pathanjali Srinivasan: So this is an addition to our Muddapur 18 megawatt, right?

Ajay Kumar Saraogi:

i: Yes, yes. This is in addition to Muddapur, yes.

Pathanjali Srinivasan: Okay, sure. Thank you, so much sir.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go

ahead.

Amit Murarka: Yes. Hi, good evening. Thanks for the opportunity. So on central India subsidies, how much was booked in this quarter?

Ajay Kumar Saraogi: So each quarter for the company, total subsidy works out to around INR26 crores -INR27 crores per month. It's about INR80 crores per quarter. INR75 crores to INR80 crores per quarter.

Amit Murarka: Okay. And like what is the total quantum of the available fiscal incentives here?

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Ajay Kumar Saraogi: So we expect that for total quantum, it varies at -- in Panna, total is about INR300 crores, which we will get. And then there are fiscal incentives, which are available for the grinding locations.

Different, so year-on-year, we should get around INR300 crores for next few years.

Amit Murarka: Okay. And then Panna Phase -2 will also have incentives again, right?

Ajay Kumar Saraogi: Yes, so we shall be making an application and, hopefully, we should get.

Amit Murarka: Got it. And in terms of the peak net debt, you said, I think, INR5,600 crores of gross debt, right?

Ajay Kumar Saraogi: Yes, that is what -- presently is INR4,600 crores, so I said incremental INR1,000 crores should be there, or that is what we see as a peak debt.

Amit Murarka: Understood. And also in terms of the paint revenue, you, I believe, booked some revenue in stand-alone business as well. What would be the quantum for Q3, nine months?

Prashant Seth: So that is around INR25 crores -- INR26 crores, exactly.

Amit Murarka: And that would be getting clubbed into the white cement putty revenue, right?

Prashant Seth: Yes, yes.

Amit Murarka: Okay. And is there some EBITDA also of this? Or should we consider this would be neutral on EBITDA?

Ajay Kumar Saraogi: No, there is no -- see, as a paint -- when we talk about total -- in the stand-alone results, there could be some marginal EBITDA, but it could be zero. By balance the advertisement goes into the MaxX business, in the paint business itself.

Amit Murarka: Right. And lastly, like on the Toshali acquisition, is there any update?

Prashant Seth: So at Toshali agreement, we are still in dialogue with the state government and the owner regarding transfer of mining lease. So the state government also had concerns with respect to that giving Toshali on our confirmation on buying out Toshali, so we are actually working at that. And -- because, one, we are also simultaneously working at an arrangement for a long-term tie-up for the limestone, pending the allocation of the mining lease.

So government is also considering that in case the transfer of mining lease may take some time, they can assure a long-term supply of limestone and whether the company would be in a position to consider that as an alternate option for the interim period until the limestone is -- mines are transferred.

Amit Murarka: Sure. And just the last question on employee cost. I believe there was some increase this quarter, it looks like some incentives and some employee bonus --

Ajay Kumar Saraogi: Yes. So the employee cost increases there because we have a variable pay option, and it had a component on a -- so since the targeted profit is being achieved, so there is an incremental provision for the variable pay, which has to be paid.

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Amit Murarka: Okay. Okay. And the fourth quarter, will we see a similar number?

Ajay Kumar Saraogi: Fourth quarter number could be marginally lower because this has an impact of the previous -- additional impact is there in this quarter.

Amit Murarka: Sure. I will come back and give four more questions. Thank you very much.

Moderator: Thank you. The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.

Jyoti Gupta: Good afternoon, sir. Thank you so much for the opportunity. Good set of numbers. I would like to understand, given the capacity breakup between grey and white Cement, can I assume that we did 1,200 EBITDA on grey cement and roughly around 2,400 EBITDA on white cement?

Ajay Kumar Saraogi: Pardon, we are not really sharing the EBITDA numbers separately for both the businesses. You may derive at whatever basis you're calculating.

Jyoti Gupta: Okay. So basically, based on my calculation, I believe that is where the number should be close to. And second, on the expansion line. Effectively, my gross numbers are quite close to, but in terms of -- where do you see the volume growth going forward in terms of the entire overall India cement growth since every company is expanding the capacity, do you think the demand going forward will commensurate the existing and upcoming capacities?

Ajay Kumar Saraogi: So see, the demand is also increasing. If you look at the base has gone, the incremental effective capacity increase is not more than the demand. So we really see that whatever is the incremental capacity that will get absorbed.

Jyoti Gupta: Okay. Okay. So what kind of pace are you assuming for demand, all India demand? Or maybe in the markets where you are actually operating?

Ajay Kumar Saraogi: So we see a demand -- a growth in demand of anything between 7% to 9%.

Jyoti Gupta: And that 7% to 9% specific in the market where Shree, UltraTech are also very, very active and the capacities are going to be significant, additions are going to be there. You assume, you believe that it is self-consuming, the market will consume all the upcoming capacity, so which means it is...

Ajay Kumar Saraogi: So far, it has happened and we feel that, yes, it would be.

Jyoti Gupta: Okay. Sir, on your fuel front, I would like to understand -- I mean, since there's been a significant drop in your fuel costs, I would also like to understand, will this remain consistent? If that is so, then possibly, I can expect a 1,200 EBITDA in the fourth quarter, around the same levels. I mean, not a same at 1,300, but maybe around 1,200 levels is what I anticipate in the fourth quarter. So is -- will there be any changes in your fuel?

Ajay Kumar Saraogi: See, again, you said fuel and EBITDA. EBITDA is a combination not only -- it's not related to the fuel price position. Definitely, there will be some. We feel that, as I said earlier, we already have some inventory, which is at par with the fuel cost of Q3 average, so we don't see a major

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drop in that count. And EBITDA is a combination of other costs as well as the -- and the main is the realization.

So as of now, the realization in the current month is marginally lower than the exit of the third quarter. So we would be definitely -- we are definitely -- I mean, not that -- we do expect some price increase to happen, but if it does not happen, then it would be difficult to comment on anything on the EBITDA per ton.

Jyoti Gupta: Okay. All right. Okay. And the other thing I would like to understand in terms of the WHRS, you will be adding additional 50 megawatts in the next two years, which is by FY'26?

Ajay Kumar Saraogi: So WHRS actually we shall be adding incremental of 43 megawatts. 18 megawatts is being added, is under already trial runs at Muddapur. And 25 megawatts of WHRS is being added -- is proposed along with the new expansion at Panna.

Moderator: Ma'am, I would request you to kindly rejoin the queue for follow-up questions. Thank you. The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Yes. Good evening, sir. And thank you for the opportunity. Heartiest congratulations, sir, for such a strong

set of numbers. In my estimates, you could certainly be higher than industry leader, UltraTech cement, for the quarter. My question was I understand pricing is dynamic. And on the cost front, we have wasted recovery as the benefit coming in the next quarter. Apart from that, are there any more levers for -- from a cost rationalization or a revenue optimization point of view, which will ensure that we keep up with this lead over the industry?

Ajay Kumar Saraogi: So see, WHRS is there, but we will not see the benefit. The benefit will not be at full for this quarter. We would be seeing the full benefit of WHRS from in quarter, Q1 of FY'25 because it is under commissioning and by the time it stabilizes and other things, it may take some time. On the other costs, yes, there could be on fuel, as I said, though we are trying to -- there could be some fuel and other costs of around INR30, INR40 a ton incremental saving could be there. Beyond that, we do not see any savings immediately in this quarter.

Regarding the pricing, yes, though we are trying to work out on the other mix; at the same time, we need to also see our new markets of eastern UP, which is necessary to be developed, look into the Prayagraj expansion, which would get sometime in the -- by end of second quarter of FY'25.

Navin Sahadeo: Understood. Helpful. So the other question was on the overseas operations, so you were just simply doing difference between the consolidated and stand-alone EBITDA. And you also said that paint was a loss of around INR5 crores roughly as you said for the quarter. But yet, the difference is a decent INR16.5 crores or nearly INR17 crores. So I wanted to understand, is there anything similar to the previous quarter, which -- wherein, there was a one-off export opportunity of clinker to Australia if I am correct or this is more sustainable sort of recovery or margins in the UAE?

Ajay Kumar Saraogi: So Fujairah operations, as we told earlier, we have been trying to work out on our turnaround plan for the Fujairah operations. The operations are also adversely affected by a very high fuel

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cost and because of high logistic costs. So things are becoming normal over there. There has been a reduction in the fuel cost. We are also working out on the other value-added products, which have also now giving us some positive revenue. So in this quarter, Fujairah also, we have

earned -- there is an EBITDA similar to -- somewhat similar to Q2. Q2, the EBITDA for Fujairah was about INR25 crores. And in this, it is INR21 crores.

Navin Sahadeo: And sir, how sustainable is this? This is my broader question because historically, as you said, I mean, multiple...

Ajay Kumar Saraogi: So again, we had some good -- I mean, some one-off volumes also. But I think as we are seeing Fujairah, anything annually we should be able to -- though we are trying to work out on a plan in Africa and -- which may take some time. But there are other restrictions or other cost increase and restrictions, which are being imposed in UAE, but on a consistent basis, if things remain normal, we do see that we could -- not at this pace, but definitely on an average around -- anything between INR30 crores to INR40 crores annually could be sustained at Fujairah.

Navin Sahadeo: Great. That will be a much better scenario versus the past. And just one last question, freight cost per ton sequentially increased, I think, of course, there was a busy season, surcharge on the rail, I assume that. But is there more to it in the sense that since we are looking to probably develop those eastern UP market, as you said, or maybe Bihar because I mean we are eventually going to set up there. So is there an increase in lead distance? And is this number then...

Ajay Kumar Saraogi: Yes, so there is an increase in the lead distance also, so one is a busy freight. There is an increase

in lead distance. Lead distance increases on account of servicing new markets. There is a change -- there's a mix change. The south where the lead is still lower, the volume was marginally lower over there, so all these factors were there. So these are the two major factors.

And one other thing is that there has been some inventory increase there, which is again, an increment adjustment, which is, we get on a particular day, some freight gets shown as an expenditure and is part of the stock valuation. So -- but if you look at the major two counts, one is the busy period. I mean because of railway freight and there's an increase in the lead distance.

Moderator: Thank you. Sir I would request you to kindly rejoin the queue. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Good evening, sir. First question is, is it possible to get the breakup of this INR2,800 crores in terms of grinding, clinker, WHRS, some sort of breakup if you can share?

Ajay Kumar Saraogi: So see, the breakup of INR2,800 crores, I mean, if you look at the grinding stations, at the -- in Bihar and the expansions, which we have to do could be around INR600 crores to INR650 crores, and INR2,200 crores would be the amount, which will be spent at Panna including WHRS.

Sumangal Nevatia: Okay. Understood. And sir, since we're entering Bihar, I mean, what sort of -- I mean, what's the strategy, I mean, in terms of new catchment area versus further increasing our penetration in existing? So does Bihar will be servicing the entire new market?

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Ajay Kumar Saraogi: So Bihar would be a new market for us. So presently, we are not selling in Bihar. So as a new catchment when we set up Panna, so there was a similar -- there were new markets in MP and UP, which we are capturing. So we will have a similar plan to enter into Bihar and the new markets, we would be planning to consolidate on new markets.

Sumangal Nevatia: Okay. And sir, this announcement was kind of anticipated since a while. I mean, now can we assume, I mean, in future, you kind of reach out as far as Panna expansion is concerned and future expansion will be either in some other location or a greenfield plant?

Ajay Kumar Saraogi: So as I said earlier, see, we have 2, 3 options and we would -- looking to the market scenario, we have an option for an expansion in the North at Jaisalmer and we have an option for an expansion in the South, where we are already operating at a very high level of capacity utilization. And also option for Line -3 at Panna and if something works out for Toshali, that's an option. So these are the four options, which we have. And I think by the time we are able to have -- we are in advanced stage for completing Panna Line -2, we should -- we would have a clear plan where we need to go next.

Sumangal Nevatia: Understood. And just one last clarification, sir. This year, you said around 16.5 million ton volumes for grey. Out of this, how much would have been contributed from Panna? I mean, just trying to understand overall average year, what utilization would be operating at?

Ajay Kumar Saraogi: So Panna is already -- would be operating at 75%, 80% capacity utilization, 75%. So definitely, 75% capacity utilization would be at Panna.

Moderator: The next question is from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh Kumar Ravi: Hi sir, good evening. Am I audible?

Moderator: Yes sir.

Ajay Kumar Saraogi: Yes.

Rajesh Kumar Ravi: Congrats, sir, on a great set of numbers. I have a few questions. First on the expansions, these grinding expansions, which you are doing in brownfield. So are they actually adding some balancing equipment? Or will it be a separate grinding mill, which is getting ready?

Ajay Kumar Saraogi: No, separate grinding unit.

It is in the existing unit itself, some upgradation. I mean, we have a scope in the design and followed it by adding additional packing system and ...

Rajesh Kumar Ravi: Okay. And the capex number, which you mentioned for FY '25, if I heard it correct, INR2,200 crores, and next year then it will be around [INR1,500 crores]?

Ajay Kumar Saraogi: Yes, So INR2,200 crores, which was set for FY '25 included the capex for the expansion at Prayagraj. So it included the Prayagraj grinding unit, which will get commissioned in FY '25. It included some out of the capex of spillover INR200 crores out of the current year. The current year plan was INR1,400 crores and we are doing -- we should close around INR1,200 crores.

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Some normal capex and about INR1,200 crores, INR1,300 crores of the new expansion expenditure.

Rajesh Kumar Ravi: Okay. And on the operating metrics, you've posted strong numbers, but I see a few things. Your nontrade mix has improved -- trade mix has come off quarter on quarter from 69% to 64%. And -- our panels have suggested central market where I assume relatively flat beyond, too. And also, there is a large inventory -- negative inventory adjust -- negative inventory numbers, just how the adjustment, so can you explain what was this? Where do you -- how you will be benefited on the realization despite loss on nontrade sales and this large inventory number?

Ajay Kumar Saraogi: So number one, we would like to emphasize that we have been able to maintain our market share and trade across all markets. We have not lost the market share, when we talk about in terms of the trade sale. In fact, in the new markets, I mean -- in fact, in the new markets, we have even further improved upon our trade share over there. If -- yes, the nontrade volumes percentage has grown because of the incremental demand and the opportunity is coming from nontrade, to get the incremental volume, you will have to sell in the nontrade segment.

Rajesh Kumar Ravi: Correct. So what was that if you're selling more in nontrade, you were gaining on volumes ...

Moderator: I'm sorry to interrupt sir, your audio is not clear right now.

Ajay Kumar Saraogi: No actually, Rajesh, in this quarter, the pricing was better than the previous quarter. That's why we have seen improvement in the realization.

Rajesh Kumar Ravi: And sir, this inventory adjustment number, could you explain that?

Ajay Kumar Saraogi: Because stock mainly -- see last quarter since our maintenance was high as a normal because Q2, normally, we have the maintenance, so clinker stock had reduced. Now we have come to the optimum level again in this quarter.

Rajesh Kumar Ravi: Okay. So nothing one -off?

Ajay Kumar Saraogi: Yes, yes, nothing one -off.

Rajesh Kumar Ravi: So last question, WHRS, you are doing for 3.3 million ton, you have mentioned around 25 million tons WHRS. So is it some surplus because usually, we used to think of 3 million ton odd would suffice at max 15 -megawatt of WHRS.

Ajay Kumar Saraogi: No, no, it is not that. We already are having a 22 -megawatt of WHRS in the Line -1 at Panna.

Rajesh Kumar Ravi: Correct. But optimal utilization is possible with ...

Ajay Kumar Saraogi: Your voice is not clear, actually.

Rajesh Kumar Ravi: Sorry. I'm saying with 3.3 million tons, was it the optimal decision you can do, all this 25 -megawatt is possible?

Ajay Kumar Saraogi: Yes, yes, it is possible.

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Moderator: The next question is from the line of Prateek from Jefferies. Please go ahead.

Prateek: Yes. Thanks for the opportunity. Most of my questions are answered. Sir, first question is on green energy mix, just to get a number. While you talked about megawatt installations both in solar and WHR, so 50% of FY '24 YTD is expected to touch what number, I like maybe by FY '26? Like

some of the peers I've talked about 60% number by FY '26?

Prashant Seth: So if you look at the green power, presently, we are at 50%. I think by FY'26, we should be closer to about 60%.

Prateek Kumar: And one of your erstwhile presentation talks about 75% as like probably a more...?

Prashant Seth: That is the target for 2030.

Ajay Kumar Saraogi: That's the target for 2030.

Prateek Kumar: Right. On realizations, so this INR26 crores, which were booked in stand -alone business for paint, was this a similar number last quarter also because your total nine months, you said 100 plus?

Prashant Seth: Last quarter was INR19 crores.

Prateek Kumar: INR19 crores. So there's a small benefit on reported blended realizations in white cement because of paint also, but not so material?

Prashant Seth: Yes.

Prateek Kumar: Sure. And sir, with regard -- to this last question on freight, you talked about some increase in lead distance because you're like building new markets. So this 1,290 number, is this like expected to like sort of sustain or like there is some one-off, particularly in this quarter?

Ajay Kumar Saraogi: So I think quarter-on-quarter, it should be sustained because, one, the railways surcharge would be same, similar. So it would not have any impact. The lead distance also, I think, there should not be any major increase in the lead distance. So I think quarter-on-quarter, it should be flattish.

Prateek Kumar: It would remain higher, like last year, we were 1,220 on an annualized basis. It will probably remain at this closer to 1,300 going forward?

Ajay Kumar Saraogi: The same as this quarter, I'm saying.

Prateek Kumar: Sure. Okay these are my questions. Thank you.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Thanks for the opportunity. A couple of questions. Sir, first is on how one should look into the cement clinker ratio from now to FY'26, looking at the capacity? I think, you've indicated a number of 66% for the quarter.

Ajay Kumar Saraogi: Yes, so we could see anything ranging between 0.62 to 0.64.

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Ritesh Shah: Okay. And sir, what gives us confidence over here? Do we already have tie-ups or flash lag? Or is it like the deals are already in proximity, that gives us this confidence?

Ajay Kumar Saraogi: Yes, yes. So see, that is already a tie-up for all the existing grinding locations, which will also include the brownfield expansions at Hamirpur and Prayagraj. So only the long-term tie-up, which is under negotiation has to be done once you finalize the location for the Bihar unit.

Ritesh Shah: Okay. That helps. Sir, are we looking at LC3? A few of the companies have indicated that they are ready for commercialization. Any plans on calcined clay as a product?

Ajay Kumar Saraogi: Yes, yes. So we are also -- actually, we have done the -- a trial production. And also we are definitely looking at and see how we can have that as a commercial option, so we are there already at it.

Ritesh Shah: Sir, any time lines?

Ajay Kumar Saraogi: So time line, see one, you can again do it, but we had to see, unless we have a proper commercial model. So that has to be seen on the demand-supply on the -- time lines will depend on that.

Ritesh Shah: Okay. But if the product is ready for us, so hypothetically...

Ajay Kumar Saraogi: Yes, the product is more or less ready for us. We've done the testing.

Ritesh Shah: This is helpful. And sir, last question. Any specific reason to go for Bihar? Why not any other states?

Ajay Kumar Saraogi: That's a natural growth. That's a natural once we go from East, so that's a natural market. We have no other options from Panna to go to. That's the natural growth market area.

Ritesh Shah: This is very helpful. Thank you so much and all the very best. Thank you.

Mode

Moderator: Thank you. Ladies and gentlemen, on account of time constraint, this will be the last question for today, which is from the line of Sonal Bansal from Eureka Stock & Share Broking Services limited.

Sonal Bansal: Congratulations, sir, for the fab results.

Ajay Kumar Saraogi: Thank you.

Sonal Bansal: I would like to know how do you see the price movement in North and Central region in the next two quarters?

Ajay Kumar Saraogi: So actually, we are expecting that some price increase should take place in this quarter. So if it takes place in this quarter, it will be good. Otherwise, the first quarter may be difficult because of the elections and other things.

Sonal Bansal: Okay. Thank you, sir.

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Moderator: Thank you. As that was the last question, I would now hand over the conference to Mr. Vaibhav Agarwal for his closing comments. Over to you, sir.

Vaibhav Agarwal: Yes. Thank you on behalf of PhillipCapital India Private Limited, I would like to find the management of J.K. Cement for the call and many thanks to the participants joining the call.

Thank you very much, sir. You may now conclude the call. Thank you.

Ajay Kumar Saraogi: Thank you everyone for joining. Thank you. And if you have any other questions, yes, you can contact us directly.

Moderator: Thank you very much, sir. Thank you, members of the management. Ladies and gentlemen, on

behalf of PhillipCapital India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2024

23.01.2024

Dear Sir/ Madam

Sub: Transcript and Audio Recording of Conference Call pertaining to Financial Results for Quarter and Nine Months ended 31st December 2023

Please find below the Link of Transcript and Audio Recording of Conference Call held on Tuesday, January 23, 2024, in respect of the Financial results for Quarter and Nine Months ended 31st December 2023. The said results were approved by the Board at its meeting held on January 20, 2024. The same is also available on the website of the Company at www.jkcement.com.

Link for Recording and Transcript: <https://www.jkcement.com/transcript-report>

This is for your information and records.

Sincerely

Shambhu Singh

Vice President & Company Secretary

FCS No. 5836

National Stock Exchange of India

Ltd., Exchange Plaza, Bandra Kurla

Complex, Bandra (E), Mumbai-

400051 Scrip Code: JKCEMENT

(ISIN:INE823G01014)

Through: NEAPS

The Bombay Stock Exchange

Ltd. Corporate Relationship

Department, Phiroze Jeejeebhoy

Towers,

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Scrip Code:532644 (ISIN:INE 823G01014)

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"JK Cement Limited

Q3 FY '24 Earnings Conference Call "

January 23, 2024

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR AND CHIEF FINANCIAL OFFICER – JK
CEMENT LIMITED

MR. PRASHANT SETH – PRESIDENT BUSINESS
INFORMATION AND INVESTOR RELATIONS – JK
CEMENT LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of J.K. Cement hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital India Private Limited. Thank you. And over to you, Mr. Agarwal.

Vaibhav Agarwal: Yes. Thank you, Michelle. Good evening, everyone. On behalf of PhillipCapital India Private Limited, we welcome you to the Q3 FY '24 call for J.K. Cement Limited. On the call, we have with us Mr. Ajay Kumar Saraogi, Deputy Managing Director and CFO; and Mr. Prashant Seth, President of Business Information and Investor Relations.

I would like to mention on behalf of J.K. Cement Limited and its management that certain statements that may be made or discussed on conference call may be forward-looking statements related to future developments and based on current expectations. These statements are subject to a number of risks, uncertainties and other important factors, which may cause the actual developments and results to differ materially from statements made. J.K. Cement Limited and the management of the company assumes no obligation to publicly alter or update these forward-looking statements whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of J.K. Cement for their opening remarks, which will be followed by interactive Q&A. Thank you, and over to you, Saraogi sir.

Ajay Kumar Saraogi: Thank you, Vaibhav. Good afternoon, and welcome to Q3 results. So the Board of Directors met on 20th of January to review the working of the company for the quarter ended 31st December, third quarter 2023. The salient features that the net sales during this quarter as compared to Q2 had risen by 9% at INR2,690 crores as against INR 2,476 crores and if we compare them with previous year, it is up 18% at INR2,281 crores as against INR2,690 crores. The EBITDA during the quarter was INR 608 crores as against INR 447 crores in the previous quarter, an increase of 36% and INR246 crores in the previous year, an increase of 147%.

The EBITDA margins for the quarter was 22.6% as against 18% in the previous quarter and 10.8% in the previous year. The profit before tax in this quarter was INR415 crores as against INR246 crores, an increase of 69% and INR90 crores last year, an increase of 363% over last year. The EPS was INR 37.40 paisa as against INR23.10 paisa, and INR7.40 paisa in the previous year. So during this quarter, the company also commissioned the grinding unit of 1.5 million tons at Ujjain. And the work at the grinding unit of 2 million tons at Prayagraj is at advanced stage, and this would likely get commissioned by September -- July-September quarter.

So also, the Board of Directors in the meeting decided an expansion of 6 million tons in Central India, out of which the salient features of the expansion are that 3.3 million tons would be the Clinker Line at Panna, which will be line number two at Panna and 6 million grinding unit. So grinding of 6 million is coming from 3 million of greenfield grinding in Bihar and 1 million

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incremental grinding by way of modifications in the existing systems at Panna, Prayagraj, and Hamirpur. So that would be 6 million tons of cement grinding. This is expected at a total project cost of INR2,852 crores -- INR2,850 crores, out of which it is proposed to borrow rupee term loan and some debt

from banks of INR1,850 crores and balance would be from internal accruals.

The commissioning is around within 24 months and it is expected that the work may start sometime by March, April this year. So within FY '26, we expect to complete this expansion of 6 million tons. And with this expansion, by FY '26, the company's overall grey cement capacity, installed capacity would be 30 million. The present capacity is 22 million. 2 million tons at Prayagraj is under implementation and 6 million tons, new capacity is proposed. So by end of FY '26, the company's overall grey cement capacity would be 30 million tons.

During the quarter, if we see the capacity utilization for the grey cement was around 75%. The grey cement volumes was 4.15 million. The blended ratio was 66%, the trade mix was 62% and the premium products was 12% of the trade volumes. If we look at the gross debt as on 31st December, that was INR 4,585 crores and the net debt to EBITDA was 1.64% as against 2.21% as on 31st March 2023. So these are the major highlights and the working. If you have any questions, we'll be pleased to address the same. Thank you.

Moderator: Thank you very much sir. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Congratulations, sir, for a very good set of numbers. Sir.

Ajay Kumar Saraogi: Thank you.

Shravan Shah: Sir, my first question is just to getting a time line confirm in terms of this 3.3 clinker and 6 million. So this 3.3 clinker at Panna would be starting in Q4 FY '26 and 6 MTPA grinding to start by Q1 FY '26, that's the fair way to look at?

Ajay Kumar Saraogi: No, no. See, by end of FY '26, all this will get commissioned because we are expecting the clinker line, as we have done earlier at Panna, so we are taking an outer limit, some approvals are pending. I mean, once we get the consent and all, if we start work by March, April this year, we can definitely get it commissioned within December '25, everything. The cement grinding can be completed earlier, but there is no point in completing it earlier when we will not have the clinker available.

Shravan Shah: Okay. Got it. And now considering this INR2,900 -odd crores kind of a capex, so what's the capex we have done in 9 months and what's the revised guidance for FY '24, '25 and '26?

Ajay Kumar Saraogi: See, we have done the actual capex of around INR 900 crores till now. And earlier guidance was INR1,400 crores, but we expect to close with the spillover of INR 200 crores. So this year, the capex would be in the range of INR1,200 crores.

Shravan Shah: Okay.

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Ajay Kumar Saraogi: And next year, yes, against the guidance of INR800 crores. Now we will have the capex for this Line 2 also, Panna Line 2 and this 6 million grinding. So it will be in the range of INR1,200 crores and INR200 crores of the spillover from current year, so next year capex would be INR2,200 crores.

Shravan Shah: Okay, INR2,200 crores. Okay.

Ajay Kumar Saraogi: Yes.

Shravan Shah: And in FY'26 would be then?

Ajay Kumar Saraogi: FY'26 would be around INR1,800 crores.

Shravan Shah: INR1,800 crores. Sorry, sir. INR2,000 crores and -- INR2,200 crores in FY'25 and INR1,800 crores in...

Ajay Kumar Saraogi: FY'26.

Shravan Shah: FY'26. Okay, got it. Now coming in terms of the volume and the pricing and the profitability front, so just two, three things. So in terms of the -- definitely, we are doing much better on the grey volume front. So in nine months, we have done 21.3% kind of a growth. So is it fair to say that for the full year, definitely, we should be having a 19% kind of a growth? And any broader idea in terms of the next year in terms of the volume growth? Because for industry, I would say, it would be a slowing. So for us, how one can look at in terms of the grey volume growth for FY'25?

Ajay Kumar Saraogi: So you see, we should close anything around 16.5 million tons in this year by March '24. And as we said earlier, incrementally, you could say, minimum 2 million tons coming each year in FY'25 and FY'26, incremental volume.

Moderator: Thank you.

Ajay Kumar Saraogi: Hello?

Moderator: Yes, sir. Sir, the participant has left. We will ask him to join the queue for follow up.

Ajay Kumar Saraogi: Okay.

Moderator: Thank you. The next question is from the line of Aman Agarwal from Equirus. Please go ahead.

Aman Agarwal: Yes. Sir, thank you for the opportunity and many congratulations on a strong set of results once again. Sir, on grey cement -- while I understand grey cement business has been doing very well, I just wanted more clarity on how the white business is doing. Last, you mentioned there were some realization cut, especially in the putty business due to steep competition. Just wanted an update on that, how is the current scenario?

Ajay Kumar Saraogi: So we've achieved -- the white business, there is a stiff competition in the white business, especially in the putty segment. And though we have been growing, and if you look at the white

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business, that has also grown by about 5% in the nine-month period, if you look at over year-on-year. So with April-December '22 to April-December '23, there's a 5% growth. Yes, the profitability, I would say that the white cement is more or less flat if you look at the whole business. So we are expecting around anything between EBITDA margins of 15% to 18% in the white business.

Aman Agarwal: Sure, sir. And sir, in terms of overall cost per ton, last call, you highlighted that you expect INR50 per ton kind of a saving in 3Q as well as 4Q. In 3Q, if you see, we have already posted a cost saving in excess of INR100 per ton. Would you be expecting further cost saving in 4Q on a sequential basis?

Ajay Kumar Saraogi: Yes, there could be. See, again, Q3 has been exceptionally because one, some of the cost per

ton, when you see net of the stock adjustment, is also because the freight adjustment is there when you value the inventory. But definitely, we could see another -- but major savings have been already affected. We may get some marginal savings, anything between INR30 to INR40 in this quarter also.

Aman Agarwal: Understood, sir. And sir, would it be possible for you to share your region -wise growth for this quarter or maybe nine months '24?

Ajay Kumar Saraogi: No, we are not sharing those numbers.

Aman Agarwal: Sure, sir. I'll come back in queue. Thank you for your response, sir.

Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Thank you for the opportunity, sir. Sir, firstly, on the expansion itself, so you did mention that we are targeting by at least end of...

Moderator: I'm sorry to interrupt. Sir, your audio is not clear.

Devesh Agarwal: Is it better now?

Moderator: Yes, sir. Please continue.

Devesh Agarwal: Yes. So sir, on the expansion, I just wanted some more clarity in terms of whether the land is available at all the locations, except for the greenfield? Is that -- will that be the case?

Ajay Kumar Saraogi: Yes. Except for the Bihar grinding location, where we have identified a few locations, but we are still to close those locations. Otherwise, rest is, in a way, brownfield expansions. So there are no land issues.

Devesh Agarwal: Right. And in terms of ordering, sir, what will be the targets?

Ajay Kumar Saraogi: Pardon?

Devesh Agarwal: For ordering?

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Ajay Kumar Saraogi: So we have already started getting the quotations and I think we should be able to finalize all the orders, also the main plant and equipment within next three to four months' time.

Devesh Agarwal: Understood. And so in Bihar, sir, you have not finalized the location, right? It is still in works, exactly where the plant would be?

Ajay Kumar Saraogi: Pardon?

Devesh Agarwal: In Bihar, where exactly the plant will be that is still in works. The location has not...

Ajay Kumar Saraogi: We had two, three options, so we are just working out and we shall freeze the same within next two, three, four months. See, again, once we get the land and we simultaneously get the approval, environment clearance and all so that the land acquisition and environmental presence should take about anything between six to nine months. And we feel that we can commission the grinding unit within a span of 12 months.

Devesh Agarwal: Right, sir. Understood. And sir, if you see the share of Central India in that total volume is kind of increasing, just wanted to understand the difference in the profitability between North and Central India.

Ajay Kumar Saraogi: So now, see, again, Central India, though the pricing is a bit lower than what it is in the Northern region. But there, because the plant is a new plant, so we get the plant efficiencies and we have a subsidy benefit. So more or less, we can see that the profitability of Central and North is more or less the same, considering we get the benefit of the subsidy in the region.

Devesh Agarwal: Understood, sir. And sir, finally, what is the update on the paint business? How much has been to revenue and EBITDA? And what will be the target for FY'25?

Ajay Kumar Saraogi: So as we already said, yes, we are working on the paint business, and we have been able to ramp up the volumes. If we look at -- we have already crossed a turnover of INR100 crores in the nine months. And now we feel that we should be able to close the year somewhere around INR150 crores plus as a top line. So that was -- after launching the JK Maxx sometime in the beginning of this year in a small way and then ramping up into our main core markets, so we have -- we are getting a good traction and we feel that it would definitely be over INR150 crores because if we look at the paint top line, we have done around INR46 crores in quarter three itself. And so we expect, so around INR150 crores plus.

Yes, there would be because of the one-time asset, we have to develop the brand with the branding cost. There would be an operational loss, anything ranging from INR15 crores to -- INR20 crores was our plan. What we estimated could be INR20 crores, INR25 crores could be our loss. So up to a nine-month period, we have incurred a loss of about INR15 crores on the paint business, but that is nothing exceptional. I mean, if we look at, we are monitoring the business on gross margin basis and, there, we are at the level where what was planned.

Devesh Agarwal: And for, sir, FY25, any numbers that you can share in terms of profitability?

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Ajay Kumar Saraogi: So FY25, we should have a top line anything between INR250 crores to INR300 crores. As far as profitability is concerned, again, it will depend, I mean, how there will be a marginal profit or loss because we need to build up the brand. Actually, we've become EBITDA positive in a way in FY26, when we are closer to INR500 crores top line -- INR400 crores, INR500 crores top line.

Moderator: Thank you, sir. The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.

Pathanjali Srinivasan: Yes. Firstly, congrats on a good set of numbers. I did have a few questions. One is on gross debt, so post our capex, what would our gross debt levels be at the peak in the next couple of years?

Ajay Kumar Saraogi: So see, our present debt -- gross debt is around INR4,600 crores. And post, we are -- by FY26, if you see, it should be around INR5,500 crores of -- see, we are going to borrow about INR1,850 crores. But

the two years, we will end up paying -- repaying about INR800 crores, INR900 crores of debt also. So incremental increase would be around INR1,000 crores of debt, so we could say we can peak maximum up to INR5,600 crores as a gross debt.

Pathanjali Srinivasan: Okay. Sir, and white cement, the realization seem to have increased from the previous quarter, is it possible to quantify what the increase was?

Ajay Kumar Saraogi: No, see, realization increase when we're talking about, it's a -- total white cement is a combination of -- when we talk about, it's the product mix change and other things. So exactly - - as far as putty is concerned, definitely, quarter-on-quarter, there is some pressure on the pricing, but there is a product mix change where it is showing marginally higher realization per ton.

Pathanjali Srinivasan: Okay. So does it mean that we've been selling more of specialized products or something, which is why the realizations have gone up a bit?

Ajay Kumar Saraogi: See. It's a combination of everything. Specialized, we make a ShieldMaxX, a premium putty, and other products. And this was a seasonal quarter, so it depends on that.

Pathanjali Srinivasan: Okay. Sir, and just one last question. What is our energy cost per kcal?

Prashant Seth: So INR1.80.

Pathanjali Srinivasan: And we see it going down by how much in the next quarter?

Ajay Kumar Saraogi: Marginally, if -- because we already have inventory at this rate, so I don't think so that in this quarter, there could be some marginal difference, not anything. The petcoke prices have reduced, and we should see some reduction. But it will -- it would be seen only in the first quarter of next fiscal because this is based on the inventory levels looking to -- we are more dependent on imported fuels, so we have 60 -75 days inventory with us.

Pathanjali Srinivasan: Okay, sir. And just one last question, if I could squeeze in. What is our WHRS and renewable targets for '25, '26?

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Ajay Kumar Saraogi: So on WHRS, again, one, a new WHRS plant at Muddapur is in advanced stage. It's actually under trial runs, so that will get commissioned and that will add. So in the next quarter, we will start seeing the benefit of -- and partially in this quarter and fully in the first quarter of next fiscal, we shall be seeing. So our present --

Prashant Seth: The present WHRS capacity is 64 megawatts, so that will go up to, say, by another 18 megawatts at the Muddapur. And then we will have the WHRS in the new Clinker Line -2 at the Panna also.

So we will be doing --

Ajay Kumar Saraogi: Solar and wind, we are doing the regular tie-ups and we hope to increase it by around, say, 50 megawatts -- 50-60 megawatts every year.

Pathanjali Srinivasan: So related to that, I saw something in our presentation, which said 22 megawatts agreement until 31st March '24. What does that actually mean, sir?

Prashant Seth: So that agreement meaning that tie up will expire by that period.

Pathanjali Srinivasan: Okay. So will we renew it? Or how does it like -- is that our option --

Ajay Kumar Saraogi: We had new tie-ups also. Actually, we had some short-term tie-ups. Now we are entering into a long-term PPA agreement. So in between, we had a short-term tie-up also, which was included in that.

Pathanjali Srinivasan: Yes, I just wanted some number on how much we target for '25, '26 in terms of renewable?

Ajay Kumar Saraogi: So see, '25, '26 in terms of renewal, we should definitely have -- I mean, I think we can take around additional 50 megawatts, for sure. Of which, 25 megawatt would be waste heat by FY26 because Line -2 will have that waste heat and incremental solar power of another 25, so we could see another additional 50 megawatts coming up in FY25 -FY26.

Pathanjali Srinivasan: So this is an addition to our Muddapur 18 megawatt, right?

Ajay Kumar Saraogi:

i: Yes, yes. This is in addition to Muddapur, yes.

Pathanjali Srinivasan: Okay, sure. Thank you, so much sir.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go

ahead.

Amit Murarka: Yes. Hi, good evening. Thanks for the opportunity. So on central India subsidies, how much was booked in this quarter?

Ajay Kumar Saraogi: So each quarter for the company, total subsidy works out to around INR26 crores -INR27 crores per month. It's about INR80 crores per quarter. INR75 crores to INR80 crores per quarter.

Amit Murarka: Okay. And like what is the total quantum of the available fiscal incentives here?

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Ajay Kumar Saraogi: So we expect that for total quantum, it varies at -- in Panna, total is about INR300 crores, which we will get. And then there are fiscal incentives, which are available for the grinding locations.

Different, so year-on-year, we should get around INR300 crores for next few years.

Amit Murarka: Okay. And then Panna Phase -2 will also have incentives again, right?

Ajay Kumar Saraogi: Yes, so we shall be making an application and, hopefully, we should get.

Amit Murarka: Got it. And in terms of the peak net debt, you said, I think, INR5,600 crores of gross debt, right?

Ajay Kumar Saraogi: Yes, that is what -- presently is INR4,600 crores, so I said incremental INR1,000 crores should be there, or that is what we see as a peak debt.

Amit Murarka: Understood. And also in terms of the paint revenue, you, I believe, booked some revenue in stand-alone business as well. What would be the quantum for Q3, nine months?

Prashant Seth: So that is around INR25 crores -- INR26 crores, exactly.

Amit Murarka: And that would be getting clubbed into the white cement putty revenue, right?

Prashant Seth: Yes, yes.

Amit Murarka: Okay. And is there some EBITDA also of this? Or should we consider this would be neutral on EBITDA?

Ajay Kumar Saraogi: No, there is no -- see, as a paint -- when we talk about total -- in the stand-alone results, there could be some marginal EBITDA, but it could be zero. By balance the advertisement goes into the MaxX business, in the paint business itself.

Amit Murarka: Right. And lastly, like on the Toshali acquisition, is there any update?

Prashant Seth: So at Toshali agreement, we are still in dialogue with the state government and the owner regarding transfer of mining lease. So the state government also had concerns with respect to that giving Toshali on our confirmation on buying out Toshali, so we are actually working at that. And -- because, one, we are also simultaneously working at an arrangement for a long-term tie-up for the limestone, pending the allocation of the mining lease.

So government is also considering that in case the transfer of mining lease may take some time, they can assure a long-term supply of limestone and whether the company would be in a position to consider that as an alternate option for the interim period until the limestone is -- mines are transferred.

Amit Murarka: Sure. And just the last question on employee cost. I believe there was some increase this quarter, it looks like some incentives and some employee bonus --

Ajay Kumar Saraogi: Yes. So the employee cost increases there because we have a variable pay option, and it had a component on a -- so since the targeted profit is being achieved, so there is an incremental provision for the variable pay, which has to be paid.

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Amit Murarka: Okay. Okay. And the fourth quarter, will we see a similar number?

Ajay Kumar Saraogi: Fourth quarter number could be marginally lower because this has an impact of the previous -- additional impact is there in this quarter.

Amit Murarka: Sure. I will come back and give four more questions. Thank you very much.

Moderator: Thank you. The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.

Jyoti Gupta: Good afternoon, sir. Thank you so much for the opportunity. Good set of numbers. I would like to understand, given the capacity breakup between grey and white Cement, can I assume that we did 1,200 EBITDA on grey cement and roughly around 2,400 EBITDA on white cement?

Ajay Kumar Saraogi: Pardon, we are not really sharing the EBITDA numbers separately for both the businesses. You may derive at whatever basis you're calculating.

Jyoti Gupta: Okay. So basically, based on my calculation, I believe that is where the number should be close to. And second, on the expansion line. Effectively, my gross numbers are quite close to, but in terms of -- where do you see the volume growth going forward in terms of the entire overall India cement growth since every company is expanding the capacity, do you think the demand going forward will commensurate the existing and upcoming capacities?

Ajay Kumar Saraogi: So see, the demand is also increasing. If you look at the base has gone, the incremental effective capacity increase is not more than the demand. So we really see that whatever is the incremental capacity that will get absorbed.

Jyoti Gupta: Okay. Okay. So what kind of pace are you assuming for demand, all India demand? Or maybe in the markets where you are actually operating?

Ajay Kumar Saraogi: So we see a demand -- a growth in demand of anything between 7% to 9%.

Jyoti Gupta: And that 7% to 9% specific in the market where Shree, UltraTech are also very, very active and the capacities are going to be significant, additions are going to be there. You assume, you believe that it is self-consuming, the market will consume all the upcoming capacity, so which means it is...

Ajay Kumar Saraogi: So far, it has happened and we feel that, yes, it would be.

Jyoti Gupta: Okay. Sir, on your fuel front, I would like to understand -- I mean, since there's been a significant drop in your fuel costs, I would also like to understand, will this remain consistent? If that is so, then possibly, I can expect a 1,200 EBITDA in the fourth quarter, around the same levels. I mean, not a same at 1,300, but maybe around 1,200 levels is what I anticipate in the fourth quarter. So is -- will there be any changes in your fuel?

Ajay Kumar Saraogi: See, again, you said fuel and EBITDA. EBITDA is a combination not only -- it's not related to the fuel price position. Definitely, there will be some. We feel that, as I said earlier, we already have some inventory, which is at par with the fuel cost of Q3 average, so we don't see a major

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drop in that count. And EBITDA is a combination of other costs as well as the -- and the main is the realization.

So as of now, the realization in the current month is marginally lower than the exit of the third quarter. So we would be definitely -- we are definitely -- I mean, not that -- we do expect some price increase to happen, but if it does not happen, then it would be difficult to comment on anything on the EBITDA per ton.

Jyoti Gupta: Okay. All right. Okay. And the other thing I would like to understand in terms of the WHRS, you will be adding additional 50 megawatts in the next two years, which is by FY'26?

Ajay Kumar Saraogi: So WHRS actually we shall be adding incremental of 43 megawatts. 18 megawatts is being added, is under already trial runs at Muddapur. And 25 megawatts of WHRS is being added -- is proposed along with the new expansion at Panna.

Moderator: Ma'am, I would request you to kindly rejoin the queue for follow-up questions. Thank you. The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Yes. Good evening, sir. And thank you for the opportunity. Heartiest congratulations, sir, for such a strong

set of numbers. In my estimates, you could certainly be higher than industry leader, UltraTech cement, for the quarter. My question was I understand pricing is dynamic. And on the cost front, we have wasted recovery as the benefit coming in the next quarter. Apart from that, are there any more levers for -- from a cost rationalization or a revenue optimization point of view, which will ensure that we keep up with this lead over the industry?

Ajay Kumar Saraogi: So see, WHRS is there, but we will not see the benefit. The benefit will not be at full for this quarter. We would be seeing the full benefit of WHRS from in quarter, Q1 of FY'25 because it is under commissioning and by the time it stabilizes and other things, it may take some time. On the other costs, yes, there could be on fuel, as I said, though we are trying to -- there could be some fuel and other costs of around INR30, INR40 a ton incremental saving could be there. Beyond that, we do not see any savings immediately in this quarter.

Regarding the pricing, yes, though we are trying to work out on the other mix; at the same time, we need to also see our new markets of eastern UP, which is necessary to be developed, look into the Prayagraj expansion, which would get sometime in the -- by end of second quarter of FY'25.

Navin Sahadeo: Understood. Helpful. So the other question was on the overseas operations, so you were just simply doing difference between the consolidated and stand-alone EBITDA. And you also said that paint was a loss of around INR5 crores roughly as you said for the quarter. But yet, the difference is a decent INR16.5 crores or nearly INR17 crores. So I wanted to understand, is there anything similar to the previous quarter, which -- wherein, there was a one-off export opportunity of clinker to Australia if I am correct or this is more sustainable sort of recovery or margins in the UAE?

Ajay Kumar Saraogi: So Fujairah operations, as we told earlier, we have been trying to work out on our turnaround plan for the Fujairah operations. The operations are also adversely affected by a very high fuel

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cost and because of high logistic costs. So things are becoming normal over there. There has been a reduction in the fuel cost. We are also working out on the other value-added products, which have also now giving us some positive revenue. So in this quarter, Fujairah also, we have

earned -- there is an EBITDA similar to -- somewhat similar to Q2. Q2, the EBITDA for Fujairah was about INR25 crores. And in this, it is INR21 crores.

Navin Sahadeo: And sir, how sustainable is this? This is my broader question because historically, as you said, I mean, multiple...

Ajay Kumar Saraogi: So again, we had some good -- I mean, some one-off volumes also. But I think as we are seeing Fujairah, anything annually we should be able to -- though we are trying to work out on a plan in Africa and -- which may take some time. But there are other restrictions or other cost increase and restrictions, which are being imposed in UAE, but on a consistent basis, if things remain normal, we do see that we could -- not at this pace, but definitely on an average around -- anything between INR30 crores to INR40 crores annually could be sustained at Fujairah.

Navin Sahadeo: Great. That will be a much better scenario versus the past. And just one last question, freight cost per ton sequentially increased, I think, of course, there was a busy season, surcharge on the rail, I assume that. But is there more to it in the sense that since we are looking to probably develop those eastern UP market, as you said, or maybe Bihar because I mean we are eventually going to set up there. So is there an increase in lead distance? And is this number then...

Ajay Kumar Saraogi: Yes, so there is an increase in the lead distance also, so one is a busy freight. There is an increase

in lead distance. Lead distance increases on account of servicing new markets. There is a change -- there's a mix change. The south where the lead is still lower, the volume was marginally lower over there, so all these factors were there. So these are the two major factors.

And one other thing is that there has been some inventory increase there, which is again, an increment adjustment, which is, we get on a particular day, some freight gets shown as an expenditure and is part of the stock valuation. So -- but if you look at the major two counts, one is the busy period. I mean because of railway freight and there's an increase in the lead distance.

Moderator: Thank you. Sir I would request you to kindly rejoin the queue. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Good evening, sir. First question is, is it possible to get the breakup of this INR2,800 crores in terms of grinding, clinker, WHRS, some sort of breakup if you can share?

Ajay Kumar Saraogi: So see, the breakup of INR2,800 crores, I mean, if you look at the grinding stations, at the -- in Bihar and the expansions, which we have to do could be around INR600 crores to INR650 crores, and INR2,200 crores would be the amount, which will be spent at Panna including WHRS.

Sumangal Nevatia: Okay. Understood. And sir, since we're entering Bihar, I mean, what sort of -- I mean, what's the strategy, I mean, in terms of new catchment area versus further increasing our penetration in existing? So does Bihar will be servicing the entire new market?

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Ajay Kumar Saraogi: So Bihar would be a new market for us. So presently, we are not selling in Bihar. So as a new catchment when we set up Panna, so there was a similar -- there were new markets in MP and UP, which we are capturing. So we will have a similar plan to enter into Bihar and the new markets, we would be planning to consolidate on new markets.

Sumangal Nevatia: Okay. And sir, this announcement was kind of anticipated since a while. I mean, now can we assume, I mean, in future, you kind of reach out as far as Panna expansion is concerned and future expansion will be either in some other location or a greenfield plant?

Ajay Kumar Saraogi: So as I said earlier, see, we have 2, 3 options and we would -- looking to the market scenario, we have an option for an expansion in the North at Jaisalmer and we have an option for an expansion in the South, where we are already operating at a very high level of capacity utilization. And also option for Line -3 at Panna and if something works out for Toshali, that's an option. So these are the four options, which we have. And I think by the time we are able to have -- we are in advanced stage for completing Panna Line -2, we should -- we would have a clear plan where we need to go next.

Sumangal Nevatia: Understood. And just one last clarification, sir. This year, you said around 16.5 million ton volumes for grey. Out of this, how much would have been contributed from Panna? I mean, just trying to understand overall average year, what utilization would be operating at?

Ajay Kumar Saraogi: So Panna is already -- would be operating at 75%, 80% capacity utilization, 75%. So definitely, 75% capacity utilization would be at Panna.

Moderator: The next question is from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh Kumar Ravi: Hi sir, good evening. Am I audible?

Moderator: Yes sir.

Ajay Kumar Saraogi: Yes.

Rajesh Kumar Ravi: Congrats, sir, on a great set of numbers. I have a few questions. First on the expansions, these grinding expansions, which you are doing in brownfield. So are they actually adding some balancing equipment? Or will it be a separate grinding mill, which is getting ready?

Ajay Kumar Saraogi: No, separate grinding unit.

It is in the existing unit itself, some upgradation. I mean, we have a scope in the design and followed it by adding additional packing system and ...

Rajesh Kumar Ravi: Okay. And the capex number, which you mentioned for FY '25, if I heard it correct, INR2,200 crores, and next year then it will be around [INR1,500 crores]?

Ajay Kumar Saraogi: Yes, So INR2,200 crores, which was set for FY '25 included the capex for the expansion at Prayagraj. So it included the Prayagraj grinding unit, which will get commissioned in FY '25. It included some out of the capex of spillover INR200 crores out of the current year. The current year plan was INR1,400 crores and we are doing -- we should close around INR1,200 crores.

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Some normal capex and about INR1,200 crores, INR1,300 crores of the new expansion expenditure.

Rajesh Kumar Ravi: Okay. And on the operating metrics, you've posted strong numbers, but I see a few things. Your nontrade mix has improved -- trade mix has come off quarter on quarter from 69% to 64%. And -- our panels have suggested central market where I assume relatively flat beyond, too. And also, there is a large inventory -- negative inventory adjust -- negative inventory numbers, just how the adjustment, so can you explain what was this? Where do you -- how you will be benefited on the realization despite loss on nontrade sales and this large inventory number?

Ajay Kumar Saraogi: So number one, we would like to emphasize that we have been able to maintain our market share and trade across all markets. We have not lost the market share, when we talk about in terms of the trade sale. In fact, in the new markets, I mean -- in fact, in the new markets, we have even further improved upon our trade share over there. If -- yes, the nontrade volumes percentage has grown because of the incremental demand and the opportunity is coming from nontrade, to get the incremental volume, you will have to sell in the nontrade segment.

Rajesh Kumar Ravi: Correct. So what was that if you're selling more in nontrade, you were gaining on volumes ...

Moderator: I'm sorry to interrupt sir, your audio is not clear right now.

Ajay Kumar Saraogi: No actually, Rajesh, in this quarter, the pricing was better than the previous quarter. That's why we have seen improvement in the realization.

Rajesh Kumar Ravi: And sir, this inventory adjustment number, could you explain that?

Ajay Kumar Saraogi: Because stock mainly -- see last quarter since our maintenance was high as a normal because Q2, normally, we have the maintenance, so clinker stock had reduced. Now we have come to the optimum level again in this quarter.

Rajesh Kumar Ravi: Okay. So nothing one -off?

Ajay Kumar Saraogi: Yes, yes, nothing one -off.

Rajesh Kumar Ravi: So last question, WHRS, you are doing for 3.3 million ton, you have mentioned around 25 million tons WHRS. So is it some surplus because usually, we used to think of 3 million ton odd would suffice at max 15 -megawatt of WHRS.

Ajay Kumar Saraogi: No, no, it is not that. We already are having a 22 -megawatt of WHRS in the Line -1 at Panna.

Rajesh Kumar Ravi: Correct. But optimal utilization is possible with ...

Ajay Kumar Saraogi: Your voice is not clear, actually.

Rajesh Kumar Ravi: Sorry. I'm saying with 3.3 million tons, was it the optimal decision you can do, all this 25 -megawatt is possible?

Ajay Kumar Saraogi: Yes, yes, it is possible.

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Moderator: The next question is from the line of Prateek from Jefferies. Please go ahead.

Prateek: Yes. Thanks for the opportunity. Most of my questions are answered. Sir, first question is on green energy mix, just to get a number. While you talked about megawatt installations both in solar and WHR, so 50% of FY '24 YTD is expected to touch what number, I like maybe by FY '26? Like

some of the peers I've talked about 60% number by FY '26?

Prashant Seth: So if you look at the green power, presently, we are at 50%. I think by FY'26, we should be closer to about 60%.

Prateek Kumar: And one of your erstwhile presentation talks about 75% as like probably a more...?

Prashant Seth: That is the target for 2030.

Ajay Kumar Saraogi: That's the target for 2030.

Prateek Kumar: Right. On realizations, so this INR26 crores, which were booked in stand -alone business for paint, was this a similar number last quarter also because your total nine months, you said 100 plus?

Prashant Seth: Last quarter was INR19 crores.

Prateek Kumar: INR19 crores. So there's a small benefit on reported blended realizations in white cement because of paint also, but not so material?

Prashant Seth: Yes.

Prateek Kumar: Sure. And sir, with regard -- to this last question on freight, you talked about some increase in lead distance because you're like building new markets. So this 1,290 number, is this like expected to like sort of sustain or like there is some one-off, particularly in this quarter?

Ajay Kumar Saraogi: So I think quarter-on-quarter, it should be sustained because, one, the railways surcharge would be same, similar. So it would not have any impact. The lead distance also, I think, there should not be any major increase in the lead distance. So I think quarter-on-quarter, it should be flattish.

Prateek Kumar: It would remain higher, like last year, we were 1,220 on an annualized basis. It will probably remain at this closer to 1,300 going forward?

Ajay Kumar Saraogi: The same as this quarter, I'm saying.

Prateek Kumar: Sure. Okay these are my questions. Thank you.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Thanks for the opportunity. A couple of questions. Sir, first is on how one should look into the cement clinker ratio from now to FY'26, looking at the capacity? I think, you've indicated a number of 66% for the quarter.

Ajay Kumar Saraogi: Yes, so we could see anything ranging between 0.62 to 0.64.

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Ritesh Shah: Okay. And sir, what gives us confidence over here? Do we already have tie-ups or flash lag? Or is it like the deals are already in proximity, that gives us this confidence?

Ajay Kumar Saraogi: Yes, yes. So see, that is already a tie-up for all the existing grinding locations, which will also include the brownfield expansions at Hamirpur and Prayagraj. So only the long-term tie-up, which is under negotiation has to be done once you finalize the location for the Bihar unit.

Ritesh Shah: Okay. That helps. Sir, are we looking at LC3? A few of the companies have indicated that they are ready for commercialization. Any plans on calcined clay as a product?

Ajay Kumar Saraogi: Yes, yes. So we are also -- actually, we have done the -- a trial production. And also we are definitely looking at and see how we can have that as a commercial option, so we are there already at it.

Ritesh Shah: Sir, any time lines?

Ajay Kumar Saraogi: So time line, see one, you can again do it, but we had to see, unless we have a proper commercial model. So that has to be seen on the demand-supply on the -- time lines will depend on that.

Ritesh Shah: Okay. But if the product is ready for us, so hypothetically...

Ajay Kumar Saraogi: Yes, the product is more or less ready for us. We've done the testing.

Ritesh Shah: This is helpful. And sir, last question. Any specific reason to go for Bihar? Why not any other states?

Ajay Kumar Saraogi: That's a natural growth. That's a natural once we go from East, so that's a natural market. We have no other options from Panna to go to. That's the natural growth market area.

Ritesh Shah: This is very helpful. Thank you so much and all the very best. Thank you.

Mode

Moderator: Thank you. Ladies and gentlemen, on account of time constraint, this will be the last question for today, which is from the line of Sonal Bansal from Eureka Stock & Share Broking Services limited.

Sonal Bansal: Congratulations, sir, for the fab results.

Ajay Kumar Saraogi: Thank you.

Sonal Bansal: I would like to know how do you see the price movement in North and Central region in the next two quarters?

Ajay Kumar Saraogi: So actually, we are expecting that some price increase should take place in this quarter. So if it takes place in this quarter, it will be good. Otherwise, the first quarter may be difficult because of the elections and other things.

Sonal Bansal: Okay. Thank you, sir.

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Moderator: Thank you. As that was the last question, I would now hand over the conference to Mr. Vaibhav Agarwal for his closing comments. Over to you, sir.

Vaibhav Agarwal: Yes. Thank you on behalf of PhillipCapital India Private Limited, I would like to find the management of J.K. Cement for the call and many thanks to the participants joining the call.

Thank you very much, sir. You may now conclude the call. Thank you.

Ajay Kumar Saraogi: Thank you everyone for joining. Thank you. And if you have any other questions, yes, you can contact us directly.

Moderator: Thank you very much, sir. Thank you, members of the management. Ladies and gentlemen, on

behalf of PhillipCapital India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2024

14.05.2024

Dear Sir/ Madam

Sub: Transcript and Audio Recording of Conference Call pertaining to Financial results for Q4 FY 2024.

Please find below the Link of Transcript and Audio Recording of Conference Call concerning Financial results Q4 FY 24 held on Tuesday being 14.05.2024 by the officials of the Company. The said results were approved by the Board of Directors of the Company at its meeting held on May 12, 2024. The same is also available on the website of the Company at www.jkcement.com .

Link for Recording and Transcript: <https://www.jkcement.com/transcript-report>

This is for your information and records.

Sincerely

Shambhu Singh
Vice President & Company Secretary
FCS No. 5836

National Stock Exchange of India
Ltd., Exchange Plaza, Bandra Kurla
Complex, Bandra (E), Mumbai-
400051 Scrip Code: JKCEMENT
(ISIN.INE823G01014)
Through: NEAPS
The Bombay Stock Exchange
Ltd. Corporate Relationship
Department, Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort, Mumbai-400001
Scrip Code: 532644 (ISIN.INE 823G01014)
Through BSE Listing Centre

"JK Cement Limited 's Q4 & FY'24 Earnings Conference
Call"

May 14, 2024

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR & CHIEF FINANCIAL OFFICER , JK CEMENT
LIMITED
MR. PRASHANT SETH – PRESIDENT (BUSINESS
INFORMATION & INVESTOR RELATIONS), JK CEMENT

LIMITED

MODERATOR : MR. VAIBHA V AGARWAL – PHILLIP CAPITAL (INDIA)
PRIV ATE LIMITED

JK Cement Limited
May 14, 2024

Moderator: Ladies and Gentlemen, Good Day and Welcome to Earnings Call for Quarter and Year-ended 31st March 2024 of J K Cement hosted by Phi IlipCapital (India) Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now ha nd the conference over to Mr. Vaibhav Agarwal from Phi IlipCapital (India) Private Limited. Thank you and over to you, sir.

Vaibhav Agarwal: Thank you, Michelle. Good evening, everyone. On behalf of Phi IlipCapital (India) Private Limited, we welcome you to the Q4 & FY'24 Call of J K Cement Limited .

On the call we have with us Mr. Ajay Kumar Saraogi, Deputy Managing Director and CFO, and Mr. Prashanth Seth, President, Business Information and Investor Relations.

I would like to mention on behalf of J K Cement Limited a nd its management that certain statements that be made or discussed

on today's conference call maybe forward -looking statements related to future developments and based on current expectations. These statements are subject to a number of risks, uncertainties and other important factors which may cause actual developments and results to differ materi ally from the statements made. JK Cement Limited and the manage ment of the company assumes no obligation to publicly alter or update this forward -looking statements whether as a result of new information or future events or otherwise.

I will now hand over the flo or to the management of JK Cement for their opening remarks before open it up to Q&A . Thank you, Sara ogi, sir .

Management: Thank you, Vaibhav. Good evening. I'll give you a brief . The Board of Directors met on 12th May to review the working of the company for quarter -ended 31st March '24 as well as for the whole year . Though we have already posted the details to you and in the investor presentation also, I just give you a brief of the working for the quarter and the year.

So, our net sales during this quarter were higher by 6% at Rs.2,856 crores as against Rs.2,690 crores. The EBITDA during this quarter was lower as compared to previous quarter by 10% at Rs.548 crores as against Rs.608 crores . The EBITDA margins were also lower at 19.2% as against 22.6%. The profit after tax was lower at Rs.236 crores as against Rs.289 crores in the previous quarter. If we see the working for the year , the net sales was higher at 16% by Rs.10,563 crores as against Rs.9,094 crores. The EBITDA was higher by 52% at Rs.2,005 crores as against Rs.1,320 crores. The EBITDA margins was 18.9% for the year as against 14.5 % . And the profit after tax was higher by 65% at Rs.831 crores as against Rs.503 crores.

If you see that this year has been an exceptional year for the company. Gray cement v olumes for the company have grown b y 19% . The Central India expansion achieved capacity utilization of 83% in its first year of full operations. We commissioned the Uj jain grinding unit of 1.5 million tons within 12 -months of start of work. We acquired the Toshali Cement to extend footprints in the eastern markets .

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Looking to this, the Board of Directors also recommended a dividend of Rs.15 and a special dividend of Rs.5 as this year we are going to celebrate 50 years of gray cement and 40 years of white cement. We started the gray cement journey way back in 1974 and the white cement in 1984 .

As far as the projects are concerned, our expansion is well within the track . The Prayagraj unit of 2 million tons is in advanced stage and this is likely to be commissioned in the second quarter of this fiscal. The 6 million ton s expansion plan , we have alrea

dy placed orders for the main

plant and equipment, the civil and mechanical contractors' work has already been released. At the main integrated plant site, the Bhoomi Pujan has been done and the construction work has started , then about either end of second quarter of FY '26 or third quarter of FY '26.

As regards, we continue our journey of growth. And yes, presently because of elections, the demand is subdued. However, we feel that we will end up the year with at least about 10% growth.

And we continue with our journey for cost optimization and going forward, we see that we should be able to achieve Rs.150-200 of reduction in costs.

These are the major highlights. I would be pleased to address any of your queries. Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : Just to confirm, did you mention Rs.150-200 per ton cost reduction potential in your initial comments?

Management: Yes, Rs.150 -200 cost reduction potential going forward, not immediately in FY '25 but over the next two fiscal.

Navin Sahadeo: So, if I may please request some more like elaboration on this as to what will be the broader areas under which you plan to achieve this , and if there are any specific year wise timelines to this that will really help?

Management: So, again, see , as far as timelines are concerned, we will get back . Maybe major areas are one is on the freight , so, on the logistic cost, we are working, and this should definitely give us around Rs.50 a ton. We have already achieved a good level of green power; we are already around 50% - plus, but we are still working for more green power that will give us certain savings. We are optimizing more usage of AFR. So, that would also result in certain savings and other fixed cost and other areas of cost , so on the supply chain and other things we are working on. So, that should also result. So, exact numbers are being worked out, but we definitely see a potential of the value of Rs. 150-200 a ton .

Navin Sahadeo: My second question then was around the timeline for Panna -2 CAPEX . So, in the presentation you said that the clinker plant would be possibly up and running by July to September '25. But

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if you could help us understand the grinding units related to this, what are the specific timelines if you can share that ?

Management: So, see, there has not been any difference in the timelines , that there have been delays in any grinding. So , as far as the integrated plant is concerned, we feel that though our internal target is still much lower , so within 18 -months we should be able to commission the integrated site . So, we have already done the Pujan early and now we expect that if you take 18 -months, it comes to around by between September, October we should be starting next year the entire integrated plant . The grinding unit major would be on the grinding at Bihar . We are in advanced stage on finalization of the land . And once we do it, I think there should not be any delay , we should be able to complete that within 12 months and start work at the site, we have already finalized the order . So, we are confident that by end of Q2 or beginning of Q3 FY'26, we should be able to commission this.

Moderator: The next question is from the line of Mangesh B hadang from Centrum Broking. Please go ahead.

Mangesh Bhadang: So, a couple of questions. First is on Toshali Cement . So, now that the acquisition is complete, what kind of contribution is expected in terms of volumes from that plant, or do you think that we need to make certain investments for that plant to basically start contributing the new fleet off.

Management: So, see, we should be able to start the work in full in this plan t. It's a running plan t, but we need to modernize it and ma

ke some investment and working capital . So, another we are going to invest about Rs.40 crores in this year on the plant and as we modernize the plant, we should be able to get about 3 lakh to 4 lakh tons annually from this plant. And in the meantime, we'll also work on the mining lease , and when the mining lease finalizes and order long -term arrangement for the limestone, we will work out for the next phase in due course of time.

Mangesh Bhadang: So, this year we can expect 4-5 lakh you said, right?

Management: Not this year , I mean, I think this year it will be lower , the normal production should start coming in by beginning of the third quarter onwards .

Mangesh Bhadang: The second question is on the market. Just wanted to have your views on what the current pricing is compared to the 4Q average, and you mentioned that demand is low at least initially because of election. So, what kind of number you're looking for in '25 and that 10% growth you have mentioned is largely will come from the central region ?

Management: See, as far as demand is concerned, it is low because of the elections across and then even in the second quarter, though it will pick up, but the monsoon should be there. So, we are really expecting normal demand to be there from third quarter onwards, by that time the annual budget would have also come in , there would be clear clarity on the government spend also. And as far as the volume is concerned, yes, there would be growth in central India because we have, we

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would have commissioned Prayagraj , so we will get extra volume also in the central India and in the other regions also , North and South we will be growing at par with the industry.

Mangesh Bhadang: On the current pricing trend?

Management: Let us see. We should see some pricing only from the third quarter onwards . I do not know that

any expectation of price may come up immediately. There is some pressure on the pricing vis-à-vis fourth quarter as you see, there has been a marginal dip but not a substantial dip.

Mangesh Bhadang: And sir, finally, the Prayagraj and Ujjain grinding units cumulatively will have 3.5 million tons of grinding capacity. So, we do have the commensurate clinker for the same, right, at the existing unit?

Management: Yes, that we told you earlier also, we have commensurate clinker. So, our present clinker availability means even now we are not operating all our kilns. Presently, the demand is less, one of the major reasons is that also. So, we have commensurate clinker. As we told earlier, we are working at average 85% of capacity utilization, so for 22 million tons of production, we have all the clinker.

Moderator: The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: So, my first question is on the CAPEX build up for '25 and '26. So, if you could just provide some guidance there?

Management: CAPEX will be spent in '25 will be around Rs.1,900 crores and in '26 also around Rs.1,800 crores.

Amit Murarka: And what is the kind of incentive that got booked in Q4?

Management: So, Q4, the incentive is around Rs.70 crores.

Amit Murarka: And in UP, have you started the booking? I mean last call I think you had said that your booking only in MP as of now.

Management: No, no, in UP, we've been booking, Aligarh also we have been taking. Only thing is that the incentive available for Aligarh was only available till December, the yearly amount was exhausted. So, there was no incentive which we could take for Aligarh in the last quarter. But we are accruing and in fact we have already got partial payment of that incentive.

Amit Murarka: And also on the paints business, what was the revenue and EBITDA booked in Q4?

Management: Paint revenue in the Q4 was Rs.30 crores and overall revenue for the year was Rs.153 crores.

Amit Murarka: EBITDA?

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Management: There is an EBITDA loss of Rs.20 crores for the year as a whole, Q4 it was Rs.6 crores.

Amit Murarka: And generally, like you said that pricing, you are now expecting only post-monsoon. So, as of now then the Q1 realization, I believe you said that you will be down only marginally versus Q4. My understanding was that like there was a big drop in pricing that has happened in March and the exit of Q4 was actually about Rs.10 lower than the Q4 average. So, if that is the case then then it just means that we are 3%, 4% lower than Q4 realization. So, is that understanding, correct?

Management: Can you just repeat?

Amit Murarka: So, basically, there was a continuing decline in pricing that had happened in the fourth quarter. With the exit of Q4, our outstanding that was about Rs.10 lower or 3% lower let's say than average Q4, and given that there is not much hike this quarter, so then is it correct to kind of expect that this Q1 will be 3% to 4% lower than Q4 realization terms given that no hike has happened?

Management: Yes but blended it could be around the same thing. There is a lot of pressure and even half of Q1 is left. You never know how the situation would be. But it could also be that things may improve marginally. So, we really have to see.

Amit Murarka: And also, on white putty cement and putty, it seems like the realization has dropped there as well. So, what's the reason for a drop over there?

Management: So, actually there's continued pressure on the putty. So, the pressure from the paint guys, it continues and even after entry of bill offers in the paint, I think there's a reaction on the putty side by the paint mainly Asian Paints. So, there is a pressure on the putty pricing.

Moderator: The next question is from the line of Keshav Vijay Ratan Lahoti from HDFC Securities. Please go ahead.

Keshav V R Lahoti: Just want to confirm on the central and east expansion what I can recall the entire expansion was 2,850 crores and the central piece was 2,200 crores, but we can see now Panna alone cost is 2,300 crores. Is there some bump up in expansion, how much this total expansion will cost?

Management: No, no, no. I think the 6 million tons expansion cost was 2,850 which included the figure, the integrated plant site has been shown 2,302 and the balance 531 crores is for the grinding units at Bihar and balance is for the increase in the grinding at Hamirpur and Prayagraj. So, that was the total expansion cost of 6 million tons, central India was 2,850, there is no change in the project cost. It is what was estimated earlier remains the same.

Keshav V R Lahoti: In this quarter also, we have seen sequentially some increase in employee cost, although last quarter we were expecting some decline.

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Management: So, as you see in this quarter, one of the reasons for increase in the employee cost is, there has

been a n incremental variable pay and when you see year -on-year as a company, overall profitability has been much better than what was internally budgeted as a guideline for the variable pay. So , there is an incremental variable pay portion which has come for the full year for the entitlement. So, one of the reasons for increase and other is that when the projects get completed you have full salary for the other plants , Ujjain full salary has come in , Ujjain was commissioned , the salary of Ujjain is also included.

Keshav V R Lahoti: Is it possible to quantify what is the incremental variable pay amount?

Management: So, variable pay amount is total additional for the quarter is 15 , but even once you compare with previous year the variable pay portion was quite less , it was even 50% , it was lower. So, compared year -on-year, the impact of variable pay is around 35 , 40 crores.

Keshav V R Lahoti: Is the paint guidance remain same fo

r FY'25?

Management: So, FY'25, pain guidance remains the same of 300 crores plus what we sa id.

Moderator: The next question is from the line of Shravan Shah from D olat Capital. Please go ahead.

Shravan Shah: Just continuing for FY'25 on pain t front, how much loss that will be delivered ?

Management: So, the paint loss for FY '25 will be marginally higher as we would be investing more towards the branding and the loss would be around 35 to 40 crores.

Shravan Shah: Previously, we were looking at close to 500 -odd crore s kind of revenue . So, will it remain the same and for FY '26 also can we see the EBITDA loss, or will it turn EBITDA -neutral ?

Management: So, yes, definitely FY '26, we should see a top line of around Rs.500 crores. So , there is no change in that . On the EBIT DA front, we see that in FY'26 maybe there is some loss, but FY '27 onwards it should be EBITDA -positive.

Shravan Shah: Just to again clarify in terms of the timeline for the expansion, so by Q2 of FY '26 Panna clinker and one MTPA grinding will start and Bihar 3, Amritsar 1 and Prayagraj 1, what's the timeline in terms of the start?

Management: So, see, as far as the timelines are concerned, we see end of Q2 or beginning of Q3 as a timeline for Panna completion.

Shravan Shah: Bihar 1 MTP A, how much, sir?

Management: So, Bihar will come at the same time and we don't foresee that there would be anything on Bihar side.

Shravan Shah: And Hamirpur and Prayagraj will also come by Q3 FY'26?

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Management: Hamirpur, Prayagraj will come at the same time, not much work to be done at those plants , it is only a marginal upgrad ation which will lead to the incremental production. So, there is not major activities to be carried out for that.

Shravan Shah: A couple of data points are needed. Green, sir for FY'24 we said 51%. But for Q4 how much it was? TSR for Q4 FY '24?

Management: The fuel mix is like we have around 60% of pet coke based on the heat consumption and balance 40% is the imported coal and the alternate fuel.

Management: TSR we have around 16%.

Shravan Shah: 16% for Q4 FY'24?

Management: Yes, it's around 16 %.

Shravan Shah: And for green, sir, for full year we said 51% for Q4 . In FY' 25, how much we will be adding in terms of the capacity this will increase the grade , sir, please.

Management: For the data for the TSR and the green power is captured on the YTD basis. So, there's not much of a change on a quarter -on-quarter basis. So, that is why I am telling you the yearly number of AFR is 16.3% , the green power yearly number is 51%.

Shravan Shah: And this green in this year, how much more capacity are we adding here ? And also need a clarification we mentioned in the presentation some 22 -odd MW wind agreement was till 31st March '24. So, now that capac ity is no more with us or -

Shravan Shah: There was a one -time. It was a short duration opportunity available, which is not there. Having said so, we are entering into a long -term new solar agreement. So, we have just finalized, and I think by end of this quarter, we should be able to finalize some around 40 -50 MW of solar power arrangement on the long -term basis.

Shravan Shah: In terms of the net debt levels , previously we were talking about 5 ,600 crore s kind of gross debt can be p eaked out. So, that remains the same ?

Management: The gross debt as on 31st March is Rs.4,592 crores. And what you are talking of that is including the expansion that is FY '26.

Moderator: The next question is from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh K. Ravi : My first question pertains to your CAPEX . So, this 1 ,900 crore s which you have mentioned will be spending in this financial year. This is only the expansion CAPEX or all that is inclusive of your maintenance CAPEX.

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Management: It includes

everything.

Rajesh K. Ravi: And this Panna expansion, you have mentioned close to 2,300 crores, right? This being the Brownfield expansion, why is the cost suddenly higher because clinker is 3.3 and grinding is just 1 million ton?

Management: You have to look at the total panna expansion on the kiln is to support grinding of 6 million tons. You have to see the capital cost of 2,850 for 6 million tons. Now if you see the capital cost for 6 million tons, it is working out to less than 500 crores per million.

Rajesh K. Ravi: Just thinking from that perspective, the clinker unit is a Brownfield one, so I believe the cost should have been lower?

Management: See, you do the saving only in terms of the land and you have the administrative setup available so that you can complete the project earlier. And also, because of Panna, we have seen huge mining land, and we have to keep on acquiring. So, even in this project cost, we have considered the cost of the mining land which has to be acquired.

Management: A bigger kiln as compared to Line -1. So, again see we have to support the cement grinding line, one, it was 8,000 and then increased to 10,000. So, we're starting this with the 10,000-ton kiln with a potential of another 2,000 tons. So, with that it's a larger kiln, so capital cost and then it takes care of all the escalations in cost. There's a time gap between line -1 ordering and line -2 ordering.

Rajesh K. Ravi: This Bihar grinding unit is a Greenfield one, 3 million tons, but the pending CAPEX beyond this 2,300 is 550 crores. So, how much you are spending in Bihar, and this seems to be a very small CAPEX for the Greenfield Bihar unit?

Management: So, 530 crores is quite a big amount.

Rajesh K. Ravi: Remaining –

Management: 40, 50 crores remaining is for Hamirpur and Prayagraj.

Rajesh K. Ravi: There you have some balancing equipment which you are only checking in?

Management: Yes, so that's only 40, 50 crores for Hamirpur and Prayagraj. That is not much.

Moderator: The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Sorry, I missed the comment on fuel cost. So, can we now expect that the downward sloping curve that we're seeing on fuel cost for last year, it will now be more like a flat curve from here for the next couple of quarters at least for which we have the visibility or is there some further reduction that can be expected?

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Management: So, there would be some reduction, but not the steep fall as we saw in FY '24. On an average quarter-on-quarter, once we compared to previous year definitely there would be savings but quarter-on-quarter there is still some marginal cost reduction, but not very significant.

Amit Murarka: And you said the share of AFR was 16.3% in FY'24, right?

Management: Right.

Amit Murarka: What would be the cost generally that you incur like this kind of AFR sourcing that you do?

Management: Sorry, we will not be sharing the exact details of AFR cost. We will go on an average fuel cost, net of AFR, we give you the fuel cost, but we will not share what is the AFR cost, it is business confidential, we would not like to share that.

Amit Murarka: You mentioned in the opening remarks that you see 10% kind of volume growth in FY'25. So, my first question was like is that your assessment for industry growth as well or you are building in some market share gains in that number?

Management: No, no, no. We will grow definitely more than industry growth should be around 7%.

Amit Murarka: And last year, what would have been your clinker production number?

Management: See, we are at around 85% of clinker capacity utilization. So, we have like -

Amit Murarka: Is that at a blended level for both North, Central combined?

Management: Yes, yes, combined level. So, -

Management: If you want all the

clinker data, we'll send you separately.

Moderator: The next question is from the line of Girija Rai from Asit C. Mehta. Please go ahead.

Girija Rai: So, if I go through the presentation, our lead distance has reduced by 6-7 kilometers on quarter-on-quarter basis and also, we see the global energy cost also has declined. But we do not see much impact in our freight cost per ton, and in your opening remark you mentioned we will be having a saving of around Rs.40-50 per ton of savings from the freight cost. So, how are we going to do that?

Management: See, again, logistic cost what we said is, we see a potential, not that we will get in a month's time or two months' time. Our logistic cost we have taken on a project to work out on the logistic cost and there are several levers to which has to be achieved and we are quite confident maybe

that over a period of one year we should definitely get to this number of Rs.40-50 a ton.

Moderator: The next question is from the line of Ritesh Shah from Investec Capital. Please go ahead.

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Ritesh Shah: First is, can you please provide some color on the UAE business, the shipments, the volumes that we had for the full year, if at all there were shipments from UAE to India and how are we looking at this asset going forward?

Management: So, yes, as we see, there has been quite an improvement in the UAE performance. The full year volume numbers, there has been about a 34% increase during the year from 4,28,000 tons of clinker and cement, it has gone up to 5,75,000 tons. And if we look at the whole year, this is the first time if you look at, I mean from a marginal negative EBITDA, we have close to 70 crores plus EBITDA coming in from the UAE business. So, there has been a substantial improvement in the UAE business. Definitely we see that we should be able to maintain this volume numbers though it has been supported, there is a lot of competition in the UAE internationally, but we are working out on different countries, going to Australia we are working on even on going to US, we are strengthening our presence in Africa, the India continues to be one factor because as we see that India mostly both Birla and us are mostly fully utilized, so there is a volume which is coming into India. We are covering our southern region from UAE only besides there is some direct sale to UAE to some of the paint and other consumers.

Ritesh Shah: Second question is, can you provide some details on the market sizing and market share on both white cement as well as wall putty? And have we retained our market share or is it something which has gone down, how should one understand that?

Management: I think market share is being maintained. The white cement market share is primarily between Ultra Tech and us. We have a market share of between 45% to 48%. So, in that same vicinity we maintain the market share of the white business.

Ritesh Shah: And sir, wall putty?

Management: Overall, yes, we have a market share of around 22%.

Ritesh Shah: And sir, what will be the market size like, will it be upwards of 4, 4.5 million tons?

Management: Yes, should be closer to about 4 million tons. No separate numbers are given. We arrive at a volume number, because putty, we arrive at a putty based on an assumption that whatever is the white consumption, and we assume that some white consumption going into putty and arrive at the volume numbers. But otherwise, no separate numbers per se are available.

Ritesh Shah: And the last question is on growth. Sir, after what we are doing in Panna, what is the region that we look at? We have gone to a couple of regions; one in Rajasthan, one in Karnataka. So, if one has to take a five-year, seven-year view, how should we understand it, like there's a lot of optionality at Panna, which is there, but will we be looking at other regions?

Management:

Yes, like we have definitely Jaisalmer is one, which we have a mining lease and even at Karnataka and a line at Panna and Toshali we get so far. This is what we do have plans and post Panna line 2, we shall be reviewing. And that definitely as the next option we will strategize and let you know which of the options where we feel we should be going next after Panna line-2.

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Ritesh Shah: But sir, is there any timeline given we have all the leases and the options, does it state that within say two years or three years we need to set up a plant and show value addition?

Management: No, see, just the continuous growth as you have seen over the years. We at the nearer to completion of Mangrol line-2, we announced Mangrol line-3 when we were about to be commissioned Mangrol line-3, we announced Panna line-1. And post within six months of commissioning of Panna line-1, we gone out Panna line-2.

Ritesh Shah: For all the incremental growth projects that we have announced, are all of them backed by incentives?

Management: Definitely incentives are there. Presently, yes, Panna line-2 also has incentives. For Bihar, we have to work out, but definitely for UP and MP there are incentives and Bihar also there are certain incentives which we will be availing.

Moderator: The next question is from the line of Siddharth Mehrotra from Kotak Institutional Equities. Please go ahead.

Siddharth Mehrotra: Just a small query. I see that your other expenses have been elevated and the reason for that is attributable to increased branding spends. So, could you just break down what sort of branding spends are there in this quarter out of the total other expenses of around Rs.468 crores?

Management: So, see, if you look at, we have nearly not gone into the ATL, but still when you see all the competition is going on the TV. Having said so, though our major focus still remains on non-ATL, we have done a lot of working and we do have a direct connection with all our dealers, we have done substantially in this quarter. What we did was an annual dealer meet conference which we had in both the businesses. So, that is one of the reasons for the increase in the sales

promotion costs in this quarter. Also, as there has been some incremental spend on the IT automation, we are migrating to export HANA which got implemented in the month of April, on 1st April we migrated from the old HANA to S4 HANA. So, there has been an incremental IT investment also in this quarter.

Siddharth Mehrotra: Sir, if I were to sort of put a number in terms of a run rate for say the next two or three quarters for the branding part, sir, can I have some color on that sir?

Management: So, see, again branding, we are revisiting, there is a lot of requirement from the marketing. Though we would definitely like to optimize, I don't foresee a major saving in the branding cost, because as we are expanding, we are entering new regions, so we will continue to see branding part of it, I would call it as a part of investment and this needs to be done.

Moderator: The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Sir, just two follow-ups. So, in the previous quarter, I think we commissioned the Karnataka Waste Recovery. Is that correct? I'm just comparing Q3 presentation with this.

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Management: The waste heat gets commissioned in phases. There are two, three boilers. So, you connect one boiler and then the second boiler. So, exactly what we would say is that waste heat will get fully commissioned. We started off in the previous quarter with one boiler then again ... so I think by end of this month it will get fully commissioned. So, the real benefits of waste heat would be seen partially in this quarter, some of it, but major coming from the second quarter onwards.

Na

Navin Sahadeo: It's a 15 MW?

Management: It's 18 MW.

Navin Sahadeo: Sir, my second and last question was about the CC ratio. So, with now addition of more 6 million tons of grinding capacity against the 3.3 million ton clinker that we are like adding, Panna line-2 I am referring to, so what could be then improvement in CC ratio we can see, I understand I think last year we were more like 1.45, I'm talking about FY'23, will really help if you give CC ratio for FY '24 and how much we can improve on that?

Management: See, CC ratio actually we are continuously improving upon because of the increasing in the number of the grinding units. Because the grinding unit production is mainly the blended cement and we have actually planned the clinker in such a way so that the clinker, whatever the new line, will be sufficient for the 6 million tons of the grinding.

Management: So, even in this quarter, as you see, there is some dip in the trade non-trade ratio, but even in non-trade we are trying to procure and get more of blended cement orders so which will help us in improving the clinker factor. And we also feel that the more grinding unit, it is a sort of a green cement. So, this is our focus area. Having said so, at the same time, we cannot discount in which area the incremental demand comes up. So, if the majority of incremental demand is from the government projects and they only take up OPC, then we may have to take up, otherwise all our trade, wherever we are investing so much on the trade, on our branding, on our customer service and all, so which is helping us in maintaining our market share and improving upon the market share and maintaining the trade ratio, which would also help in maintaining the blended cement ratio.

Navin Sahadeo: I was only asking if this 1.45 could increase too maybe –

Management: We have to see. Yes, definitely we are working towards it. It should improve.

Navin Sahadeo: And since you mentioned trade, non-trade, what was it in Q4 and for the year?

Management: Q4 trade was slightly lower to 61%.

Management: Blended was higher.

Moderator: The next question is from the line of Keshav V Vijay Ratan Lahoti from HDFC Securities. Please go ahead.

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Keshav V R Lahoti: I just want to get a sense on the paint business. We can see sequentially the business is down, revenue is down by 35% though we understand some seasonal factor is there but still there is a sharp dip in the business and when the business is ramping up, so possibly 300 crore revenue in FY '25 could be a tall task to achieve?

Management: No, no, I don't think so. Sequentially, the numbers have reduced.

Keshav V R Lahoti: So, Q3 paint revenue was 46 crores and this quarter you said 30 crores.

Management: No, no, no. Sorry, this quarter it is 51 crores. For the year, if you see, we did 153 crores. We took over from Acro, which was around 70, 80 crores. So, vis-à-vis Acro 70, 80 crores we say that is there, we have just doubled in one year from 70, 80 crores to 153 crores. And the target for FY '25 is about close to 295, 300 crores for FY'25.

Keshav V R Lahoti: Do you have any interim TSR target like FY'30 you have given but interim something like FY'26?

Management: So, see, TSR target as per FY '26, today we are at 16%.

Management: No, the target for 2030 we have said 25% and we are gradually increasing it. So, hopefully it should go up by say 2% every year.

Moderator: The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: I just wanted to clarify the paint revenue. You mentioned 30 crores or 53 crores ?

Management: No, actually , see the overall revenue for the year is 153 crores and, in this quarter, it is 50 crores.

Amit Murarka: Some of it is booked standalone as well, right?

Management: That is the point actually means the sale from the subsidiary

is 20 crores and 30 crores is through

the stand alone . So, that's why you are confusing between 30 and 50 actually.

Amit Murarka: And the clinker ratio would have been what , 0.62, 0.63 in FY '24?

Management: No, no, no. See, our clinker ratio is 0.66.

Amit Murarka: In FY' 24?

Management: Yes.

Amit Murarka: Based on whatever you see in the market, and I believe you also said that even though the share of trade dropped a bit in Q4, blended actually increased. So , in that sense , is there a number of clinker ratio that you're looking at from FY'25 or FY'26 perspective?

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Management: See, it is a market situation, because if you see the blended cement for the year as a whole, we are at 67% , right.

Management: So, actually at the grinding units, the clinker factor is around 60% only or less than 60% at all grinding locations.

Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Shravan Shah from D olat Capital. Please go.

Shravan Shah: Just again a clarification needed on the paint revenue. So, 2-3 things. First is 707 crore s white consol revenue for this quarter, does that include the 51 crores paint revenue?

Management: It includes Fujairah and paint, both .

Shravan Shah: So, for full year at consol level, we have booked Rs.153 crore s of paint revenue in the white as we have shown in the presentation of 2 ,750-odd crore s?

Management: Yes, yes, 2, 750 crores includes 153 crores of the paint revenue. Right.

Moderator: We will take one more question, which is from the line of Ritesh Shah from Investec Capital. Please go ahead.

Ritesh Shah : A simple question . You indicated cost-saving numbers over two years. Sir, do you think this is something which is replicable industry wide? The reason to ask this is two largest companies have also given cost-saving targets. So, is it like industry cost curve will actually go down or is it something which is more company -specific?

Management: See, I have seen, yes, Ultra Tech which they have given their numbers. So, see today, entire industry is working towards cost reduction. Every company may have different avenues and opportunities for cost reduction, it may depend on where they are in terms of green power, where they are in terms of AFR and other things . So, that will really see where each position is there. So, what we have identified 150 to 200 crores is what we see avenues which are possible in our case.

Ritesh Shah: Sir, if I just rephrase the question in a different way, if one had to look at say logistic cost which you indicated, what can be the optimal primary and secondary lead distance that we are looking at?

Management: See, that's a very difficult question to answer. See , sometimes there could be a higher lead distance but your ex -gate realization is higher. You will not mind spending a higher lead distance cost. So, everything normally we try to do it on what is my ex-gate realization .

Ritesh Shah: So, that explains on the secondary lead part . On the primary lead , would there be a thumb rule basis ?

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Management: No, it depends on the primary lead also.

Ritesh Shah: Second question, basically we are doing great job on green energy. I understand basically there is something called peak load, but hypothetically if one had to assume say we have 1 ,000 MW of power requirement, what is the broad ballpark number that we need to have a minimum of thermal power? What can be the optimized WHRS and wind? Again, I'm just trying to get a sense of how much of incremental cost savings can be.

Management: Again, as far as the WHRS is concerned, you can have WHRS only in the kilns, you can't have WHRS anywhere else. So, you may have whatever grinding and your split grinding locations , the only green power in at those locations could either be solar or wind.

No other type of green power would be at the grinding stations.

Ritesh Shah: If I rephrase it, if one had to look at the mother unit, if there is a hypothetically 1,000 MW of requirement only where the kiln is, and assuming that there is a small G U over there, is there a broad ballpark number, a thumb rule that one can look at on optimized metrics?

Management: So, on our mother unit, you could have theoretically a very high 75% and this is what we feel that this is ultimately target what we have given 75% green power. So, whatever is the requirement at all locations, we're trying to get 75% green power at all locations.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question for today. I will now hand the conference over to Mr. Vaibhav Agarwal for closing comments. Over to you, sir.

Vaibhav Agarwal : Thank you. On behalf of PhilipCapital (India) Private Limited, we would like to thank the management of JK Cement for the call and thanks to the participants for joining the call. Thank you very much, sir. And Michelle, you may now conclude.

Management: Thank you, everyone for joining.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of PhilipCapital (India) Private Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Jul 2024

23.07.2024

Dear Sir/ Madam

Sub: Transcript and Audio Recording of Conference Call pertaining to Financial results for Q1 FY 2025.

Please find below the Link of Transcript and Audio Recording of Conference Call concerning Financial results Q1 FY 2025 held on Monday being 22.07.2024 by the officials of the Company. The said results were approved by the Board of Directors of the Company at its meeting held on July 20, 2024. The same is also available on the website of the Company at www.jkcement.com.

Link for Recording and Transcript : <https://www.jkcement.com/transcript-report>

This is for your information and records.

Sincerely

Shambhu Singh
Vice President & Company Secretary
FCS No. 5836

National Stock Exchange of India
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(ISIN.INE823G01014)
Through: NEAPS
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"JK Cement Limited Q1 & FY2 5 Earnings Conference
Call"

July 22, 2024

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR AND CHIEF FINANCIAL OFFICER , JK

CEMENT LIMITED
MR. PRASHANT SETH – PRESIDENT – BUSINESS
INFORMATION AND INVESTOR RELATIONS , JK
CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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July 22, 2024

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Moderator : Ladies and gentlemen , good day, and welcome to the JK Cement Earnings Conference Call for the quarter ended June 30th, 2024, hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you, and over to you, Mr. Agarwal .

Vaibhav Agarwal: Thank you, Sagar . Good evening, everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q1 FY '25 call of JK Cement Limited.

On the call, we have with us Mr. Ajay Kumar Saraogi – Deputy Managing Director and CFO and Mr. Prashant Seth – President – Business Information and Investor Relations .

I would like to mention on behalf of JK Cement Limited and its Management that certain statements that may be made or discussed on today's conference call may be forward -looking statements related to future developments and based on current expectations. These statements are subject to a number of risks, uncertainties, and other important factors, which may cause actual developments and results to differ materially from the statements made. JK Cement Limited and the Management of the Company assumes no obligation to publicly alter or update these forward -looking statements , whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of JK Cement for the opening remarks, which will be followed by interactive Q&A. Thank you, and over to you , Saraogi sir.

Management: Thank you, Vaibhav. Good evening and welcome to this Call for Q1 Results . The Board of Directors met on 20th of July to review the working for the 1st Quarter ended 30th June 2024 and the major highlights are :

The net sales for the quarter was 2,555 crores as against 2,856 crores in previous quarter , a drop of 11%. However , the same was about 1% higher on year -on-year basis. The year -on-year number was 2,541 as against 2,155 in this quarter.

The EBITDA during this quarter was 479 crores , a drop of 13% as against 548 in the previous quarter. However , the same was up by 19% and year -on-year it was 402 crores. Margins , comparative margins are this quarter it was 18.7%, previous quarter 19.2%, year -on-year 15.8%. The profit before tax is 292 crores in this quarter as against 358 a drop of 19% , up by 51% and as it was say 194 in previous year. The profit after tax was down by 14% at 203 crores as against 236 crores and up 60% and previous year it was 126 crores.

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The EPS for the quarter was Rs. 26.2 paisa, previous quarter Rs. 30.5 and last year it was Rs. 16.3.

These are the major financial highlights.

If you look at the business performance highlights :

The grey cement volumes grew by about 6% year-on-year. Central India expansion achieved 93% capacity utilization. We commissioned 2 million tons Greenfield grinding unit at Prayagraj of 2 million tons and this was completed in record time of 10 months from start of work.

As far as the expansion is concerned of 6 million tons and which is our journey for 30 million tons by FY '26, so we are already now at 24 million tons and the work on the 6 million tons , which is at Prayagraj to set up the Clinkerization unit Line-2 at Prayagraj and Brownfield expansion at Prayagraj, Hamirpur and Panna , whereas the Greenfield expansion in Bihar. So, at Panna the work has already started . We are on stream. The orders for main plant and equipment have already

been placed and we expect that in 3rd Quarter FY '26, this should get commissioned.

Similarly , in case of the grinding unit at Bihar, the Greenfield grinding unit, we have just finalized the land acquisition, now moving in for the various approvals. In the meantime , we

have already placed orders for main plant and equipment , and we are hopeful here also , that we should be able to start work post monsoon and then complete within the time schedule along with the main plant.

So, that was the major highlights of the working. And if you look at the balance sheet, then our gross debt was 4,515 crores and the net debt was 2,830 crores and net debt to EBITDA was as on 30th June is 1.36. That is the major thing on the balance sheet.

Now, if you have any questions, we will be happy to address the same. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: So, the first question is on cost. Your other expenses as well as your raw material cost has dropped a lot in these quarters. Could you help understand what the reasons for this drop?

Management: So, the other expenses are lower because we are yet to, you know, if you look at quarter -on-quarter, last year there were certain annual adjustments that were pertaining to S/4HANA , certain expenses which we had done , and the branding expenses , whatever is our branding plan , that to take off is still not there . Mostly the branding expenses we shall be taking up beginning this quarter and in Q3 . So, that would be the major branding spend . All the annual dealer tours and all will be done in this quarter . So, it is actually a timing difference you could say.

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Management: As regards the raw material , Amit, actually the volumes are down by around 7% in this quarter , and second , there was some extraordinary item which was in the purchase of traded goods and in the sales also in the previous quarter amounting to around 30 crores . So, that is the impact in the raw material cost.

Amit Murarka: Also in the annual report , I think this time you have laid out a plan to do capacity heading for FY '29, FY '30 and you have laid out some units also , Muddapur and Orissa and all. So, could you just set up , I mean , explain the priorities as to what will be the order of expansions if you have any in mind ?

Management: So, see, as of now we have not frozen which would come first , but in all likelihood the not , you know , we as a step because we feel that Jaisalmer part unit line one may be the first one to come up, which may be followed by Karnataka and then afterwards it could be Panna line 3 and followed by , I mean , along with Panna line 3 , it could be Orissa . Whatever the four options which we have given, how we will reach out around 45 to 50 million tons, it will be in that sequence.

Amit Murarka: And land is in place at every location, right?

Management: No, see, Jaisalmer, yes, the land is in pos session. In case of Karnataka, it is a Brownfield expansion. Again, in case of Panna, it would be a Brownfield expansion. In case of Orissa also, the land is there. So , for all the clinker units, I think I would say the land is already there. If going forward, we may have one or two more grinding stations. That land is still not there . That we will go as we are already planning for that. But pending the grinding locations land, all other land is in pos session.

Amit Murarka: Also, lastly, on the Orissa unit, I believe the limestone is not owned by you or lease is not with you. You have an arrangement of purchase. So , you were saying that you would be working to get the lease in your name. So , is there at least a progress on that?

Management: No, sir, actually, there has not been much progress because of the e

lections. And now we had

been in dialog with the previous government. So , we need to initiate the dialog with the new government. And we would take up that. In any case, we are not going to take it up immediately.

So, we have a plan that by September '25, we should be able to close this in any case.

Moderator: Thank you. The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Sir, couple of questions. First was , how far are we from ordering or considering like , you know , placing the order for Jaisalmer? Because the last couple of times , my understanding was that we needed more support from state infrastructure to be developed in that belt because it's not just us. I think several other cement players have bad limestone mines in that belt. So , just wanted to get a sense as to how far are we ? Because if we can do it , then obviously other companies may also consider putting up a plant or if the infrastructure is ready for material evacuation.

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Management: Yes, so, Navin, a lot of work has already been initiated over there. As a timeline , see, normally what we do is that when we take up another expansion , it is at the time of when our existing expansion is about to get completed. So , you could say that we are in July. If we have to take up Jaisalmer , the right time would be sometime end of next year or so and definitely while placing

the order , we would see that the infrastructure , the work has begun and it is in that stage that it will coincide with our plant commissioning. So , only we will take up and we will commit . Otherwise , we have other options . We may shift to the other options for an expansion.

Navin Sahadeo: Yes, certainly . I am saying certainly a Brownfield expansion is far easy and faster to convert.

Management: Yes, definitely it is easy. But if you know looking to the North market , there are very few sites available in the North and the North is a growing market . So, that is the only area which is now there for to feed the North market .

Navin Sahadeo: Yes, exactly . So, that's what my question was , sir, that is it fair to say that Jaisalmer is now soon to be developed as the next .

Management: Yes, I would say yes . And I think not only us , the other cement manufacturers who have limestone deposits over there are all pursuing with the state government . See, the state government has also at till one stage has also granted us certain incentive schemes also which we have put and that has also been granted to us and to some other cement players also . So, they also want that that area should be developed and the manufacturing facilities should come up .

One of the ways how you can develop an y areas when the industry comes over there .

Navin Sahadeo: Sir, my second question was on the white segment per se . So, I was just observing that the volumes for the quarter have been I think down . Since the past two quarters , there is a de -growth of sort seen in the overall white segment so to say . So, question was , are we growing slower than the market or how should one look at it ? And in the same breath RAK White is now a subsidiary of the largest cement company in India . So, does that have any impact or positive rub -off so to say, positive , negative rub -off so to say on the prices of white cement imports into India ?

Management: So, your first question that the white business revenues are going down , see, it is mainly because of some , I mean, it's not actually volume numbers to that extent are not going down . It is the value which is going down because the putty realizations are going down .

So, the paint manufacturers are very aggressive especially Asian Paint s. And I would say today Asian Paint s whatever has become the largest distributor of putty in the country , so the position which we and UltraTech , sometimes we were ah

ead of in the putty or sometimes UltraTech was ahead .

So, it is now Asian Paint s and so they are really very , very aggressive in terms of the pricing and other things . The growth of putty for them is more than us though it is not that we are also growing year -on-year, but we are not able to , as of now , we are working out our own strategies how to ensure that we grow in tandem with the competition , but at least if maybe if we are not

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able to catch up with Asian Paint s, definitely otherwise our growth will be in line with the average industry growth or we are saying with at least in line with UltraTech .

As regards your second question regarding RAK , so UltraTech had acquired a stake in RAK White about two years back . It is now that they have acquired balance 25 % by which they become 54%. They were already, you know, they were effectively in control of the plant, but now with the effective, with the equity control, so in terms of ownership and management, they have a control. This is definitely going forward; it would be a good sign for it. White Cement has always been on a duopoly situation . So, I don't think so it is a negative thing for us.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Inves tec. Please go ahead.

Ritesh Shah: Couple of questions. Sir, first is on cost savings. Earlier you had given a target of Rs. 150 to Rs. 200 per ton o ver FY '25-'26. Sir, is it possible, so is the target the same? Are we looking to afford to revise the numbers over here?

Secondly, if you can bifurcate it between freight, power and fuel, others, and if you can also help us understand what part of it would be achieved in '25 and then in '26? That's the first question, sir.

Management: So, on the cost savings, yes, we see an opportunity of what I said, about Rs. 150 to Rs. 200 a ton over next two, three years. And the areas are one, on the logistic cost, we think that we should get about, if not Rs. 50, about Rs. 30 to Rs. 40 in the logistic cost. We should get something about Rs. 20 to Rs. 30 in t he power segment by increasing the green power. And some in the AFR substitution. So , all in all , we could get anything ranging between half of that about Rs. 70, Rs. 75 by this year , but it would not be the , I would just say we are working on it . We will not get, this would be the average may be lower , but our exit of FY '25 should be around Rs. 75.

Ritesh Shah: Sir, you indicate 30 -40 for larger stakes and power around 20 to 30. This takes you around 70 - 80 bucks . How should we bridge this versus the number that we have indicated say up to Rs. 200?

Management: So, this is year 1 and then I think we are doing something similar thing it is on these are the three areas which remain and which we would be working in year 2 also.

Ritesh Shah: Sir, secondly , when we just go through the annual report , we find the cash tax rate for the company at 13% . This is again say effective tax rate of 33%. Sir , how should we understand this

gap? So, there is one of the schedules in the annual report which says tax exempt income and incentives and there is a negative element of around 32 crores over there. Sir, is there a better way to appreciate the difference in cash tax rate and effective tax rate?

Management: So, we are still in the old regime and so our cash tax rate we could say it is about 17%.

Ritesh Shah: Sir, still if there is a gap like that would be on back of what?

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Management: I will get back to you on that, you know, what you said on the annual report.

Ritesh Shah: Sir, I have just two more questions. Sir, any update on Toshali mining lease, anything over there?

Management: So, I just said about in Tohsali, there were elections and then now there has been a change in the government. So, we are going to, now we

need to have a dialog with the new government. And

I have already indicated that the arrangement which we have that over next one year, by September '25, we should have a proper long-term arrangement for the limestone. And preferably, we can get a lease, otherwise a long-term supply agreement on the basis of which we can plan investment in that region.

Ritesh Shah: And the last question is on pain ts. Can you quantify the revenue, EBITDA contribution? And secondly, the competitive intensity in the space off late has been pretty steep. So, what is our market strategy over here? Are we also reducing prices, increasing discounts to penetrate the market? How should we understand that?

Management: So, see, one, on the pain ts, yes, the pricing is as per the competition. Today, as we gave an indication of a top line of about 300 crores in this fiscal, we are on track for that. In the 1st Quarter, we have done about 57 crores of net turnover. And yes, on the EBITDA front, there was a loss of about 10 crores, because mainly on account of the branding spent on the pain t business.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: My first question is on pricing in the North market has been usually weak versus historical strength what we have seen in the market. Can you discuss on the pricing how it is, I mean, how do we see it going forward? Also, how it is looking for second quarter versus average of 1st Quarter?

Management: So, actually the prices are under pressure and I would see that the second quarter, the pricing would be lower than the 1st Quarter. It is already, I mean, we are seeing some price drop about 1%, 1.5% already in this month vis-a-vis the 1st Quarter. So, the prices, I mean, I don't see a possibility that this quarter we could, we will definitely have a lower pricing as compared to the quarter one. However, we do expect that by September the demand should really there should be a step up in demand and hopefully the prices should get corrected upwards in the month of October.

Prateek Kumar: And is there like all players a re like sort of ramping up capacities or you know that I think I have had like some capacities in North or is it like how is the players' positioning in the market in terms of market share?

Management: So, see, as far as we are concerned, see, we are also expanding, and we have not lost market share in any of the regions. You know, maybe some in a particular, we do monitor that on a month-to-month basis. So, we are maintaining our market share and it could be some producers

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may have a marginally higher, and that too is amongst the top four, five players. We are really not monitoring. We compare ourselves with the three, four players in the region. And we see that our growth is in line with them or not.

Prateek Kumar: Another question is on profitability. Obviously, it depends on pricing. But we had like close to 1,090-1,100 unit EBITDA like last year for standalone operations. Are we looking to outgrow that number in FY '25?

Management: It will depend on the pricing. See, the first half, the second quarter, as it looks now, would be lower than the Q1 and then how the prices take up. So, definitely we could, though our internal target may be not on per ton basis, absolutely, definitely on absolute numbers, we have an internal target to do better than last year.

Moderator: Thank you. The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.

Pathanjali Srinivasan: Sir, I just noticed one thing, like our RM plus fuel cost has kind of been flat for the last three quarters. So, did we get some kind of an inventory benefit or something? Or could you explain why it has been flat?

Manage

ment: So, see, the RM and what has happened that looking though the volume numbers in this quarter are lower , but we have definitely built up some inventory of clinker looking to the maintenance of the kilns , which is likely to come up in this quarter. So, it is a combination . Yes, as we see as a benefit , the fuel pricing has been going down . So, I mean , quarter -on-quarter over last three quarters when we have seen , we are seeing definitely a drop in the main pet coke pricing. So, that is the reason . Other raw materials is , you know , the price variation is more or less flat. Pathanjali Srinivasan: Because the fall is pretty steep in the last six months , but I don't see much of it getting translated into our numbers or did we kind of get it front ended in the 1st Quarter itself, which is like December ?

Management: No, see, when you are looking at the raw materials , it is also , as we said in the last quarter , there were certain purchases of traded goods. So, that entry is also there. So, otherwise we are seeing major , if you see raw material and fuel and the fuel cost has been going down.

Pathanjali Srinivasan: Any guidance for the next few quarters , sir, for this?

Management: So, the fuel prices are softening. So, we are seeing that the pet coke pricing, which was around the land, the consumption rate, which was around 160 at the plant in the last year, last quarter, that is January, March quarter, should be about \$10 cheaper in this quarter. And going forward also, it should be about \$10 cheaper.

Pathanjali Srinivasan: So, we will get some benefit in the subsequent quarters in terms of fuel cost.

Management: Yes, we should.

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Pathanjali Srinivasan: And one more thing on realization. Can you give us some color on region wise intensity on weakness in pricing or demand?

Management: See, region wise, I think the measured, you have to say our measure volumes presently are in the North , where there has been a dip in the, Central is more or less, center and North are also about the same, though Central , the prices have been flat in the last quarter. But South is something which does fluctuate on and off, quarter -on-quarter , quite much, I mean, quite high. So, South pricing is sometimes, two quarters back it was quite low, then it picked up. So, the South pricing is something which fluctuates a lot . Otherwise , Central and North are some prices, you know, the fall is also when even a drop or increase is within particular limits only.

Pathanjali Srinivasan: So, like large part of a fall should come in from North . Would that be a correct statement?

Management: Yes.

Pathanjali Srinivasan: And just one last question, sir . Like employee costs, will it stay at this level for us or is there any one-offs or anything of that sort?

Management: No, it should remain the same at this level . There should not be any further increase in the employee's cost.

Moderator: Thank you. The next question is from the line of Mangesh Bhadang from Centrum Broking .

Please go ahead.

Mangesh Bhadang: Sir, couple of questions . So, firstly, on the paint business . Given the competition that we are seeing with new players and things, would we revise our CAPEX guidance for this business anytime soon or you think that once we move out of UP and the rest of the state, we would need more CAPEX on the scene?

Management: I didn't follow.

Mangesh Bhadang: Sir, on the paint business, will we be rising our CAPEX guidance support? So, would any more further CAPEX would be required in this business as we move ahead ?

Management: Yes, so as of now, we are sticking to our plans on the paint business. So, what we had said that one, we are committed to about 600 crores of limit . Our investment in paints is limited to 600 crores and we will stick to that. Ther

e is no change in that guidance. And in any case , we are not going to increase that on an y account, and we are well on track on the plans which we had made on the paint business both in terms of whatever annual investments and the growth of the paint business.

Mangesh Bhadang: Sir, on the power and sales side , what is the average , you know , the current pricing in rupees per KCal terms compared to 1Q average ?

Management: Yes, this quarter the rupees per KCal is Rs. 1.62 and the previous quarter it was Rs. 1.80.

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Mangesh Bhadang: And with pet coke coming down , how much it would be around 1.55?

Management: It will be about 1 .55 or so in this quarter and in Q2 may be between 1 .50 to 1 .55 in Q2.

Mangesh Bhadang: And sir , with regards to our CAPEX at Panna as well as the Bihar grinding unit , so we are having almost 6 milli on tons of grinding capacity additional by December '25 and 3.3 million ton of clinker. So , any plans to increase the clinker capacity further or you think this clinker would be sufficient for this?

Management: No, clinker is sufficient. See, today as on with the present grinding capacity in the clinker ratio, we are still not operating line one and line two of Nimbahera. So, we have sufficient clinker.

Mangesh Bhadang: But in Central, sir, and B ihar would be serviced by ?

Management: By Central India.

Mangesh Bhadang: Central India. So, there you would be requiring, right, at least ?

Management: Yes. So, see, ultimately what you have to see, it goes on a, when we make, it is on a basis of 85%, 90% capacity utilization, average. So, when we see, when we talk about capacity of 30 million tons or if you take Central India specifically, when we say 6 million tons, it means 3.3 million tons of clinker for a 5.4 million tons of grinding, average at 90% capacity utilization. So, 3.3 million tons of clinker sufficient for 5.4 million tons of grinding.

Mangesh Bhadang: And so finally, how much are the incentives for this quarter?

Management: So, the incentives for this quarter is about ...

Management: 69 crores.

Mangesh Bhadang: 69, almost same as it was.

Moderator: Thank you. The next question is from the line of Rajesh Kumar Ravi from HDFC Securities.

Please go ahead.

Rajesh Kumar Ravi: My first question is if you can explain the sequential price decline appears to be almost 5%, but the margin decline seems to be nominal. So, is it that a grey cements, a higher amount of clinker sales relative to the Q4 ?

Management: So, yes, see, with the price decline, one, you are taking a market, our average mixed price, that is lower. When we talk about a blend of trade, non-trade, and different regions, so the price drop is not 5%. It is lower. Secondly, on an average when it reflects on the cost on the margin part, it definitely takes care of the reduced costs. So, the fuel cost reduction and all is reflected in the margin part.

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Rajesh Kumar Ravi: How much clinker sales for now ? And the second question is....

Management: Clinker sale was around 24,000 tons, but in the previous quarter, because you are comparing the margin, the pricing drop previous quarter. So, previous quarter, there was the one-off sale of around 30 crores, which was in the purchase of traded goods. And then sale was also there. So, you have to exclude that for the comparison purpose, from the raw material cost and the sales.

Rajesh Kumar Ravi: I was saying that the December quarter, there is 138 crore negative stock adjustments. What was that pertaining to?

Management: In December quarter ?

Rajesh Kumar Ravi: Yes, December, 138 crore.

Management: 138.

Rajesh Kumar Ravi: 138.

Management: So, December quarter, we check up because we don't have all the December quarter data readily with us. I will get back to you separately.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Many questions answered or a couple of data points and maybe a clarification. So, first is in terms of the volume growth guidance, last time you said 10%. So, that remains the same.

Management: Yes, as of now, yes. See, the 1st Quarter was an exceptional quarter where with elections and intensive heat, we could not get those numbers, but we are still there with the annual numbers.

Shravan Shah: Second, if you can share the railroad mix and fuel mix for 1Q FY '25?

Management: The rail movement was 9%, and then the fuel, the pet coke by the heat is around 68%.

Shravan Shah: CAPEX, how much was in 1Q FY '25? And last time you said 1,900 crore for FY '25 and 1,800 crore for FY '26 at consol level. So, that number remains the same?

Management: Yes, that remains the same because our projects are on stream and going as per the schedule.

Shravan Shah: And in 1Q FY '25, how much we have spent on CAPEX ?

Management: We have spent around 125 crores on this project, the Panna expansion. Plus, we have around 50 crores of the normal CAPEX.

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Shravan Shah: And broadly, sir, if you look at the, by FY '30, we are looking at 20 MTPA to be added to reach 45, 50 MTPA. So, roughly, if you look at 13,000 crores kind of a CAPEX, obviously, this is likely to have a higher versus others. So, just on a broader direction, in terms of the given the kind of a cash flow, don't you think the CAPEX on a yearly average basis will be higher than the CFO and we can see an increase in absolute net debt, though it may remain in control in terms of the 2x, less than 2x net debt EBITDA ?

Management: So, actually, while we have worked out our plan, we have ensured that our net debt to EBITDA is not increasing. So, see, what you have to understand that when we are taking up an expansion, we already have expanded, when we are taking up a next expansion, say, at Jaisalmer of 5 million tons. So, we are taking up expansion at a capacity of 30 million tons. So, we will have profitability from higher volumes. So, there will be incremental cash inflow, which is coming from the higher volumes. So, after a particular capacity, I think, once you do it, your debt equity, net debt to EBITDA is only going to improve upon.

Shravan Shah: And in terms of given the price decline, I understand you have already mentioned that 1.5% further decline is there in the second quarter, for grey I am saying. Do we think that there will be a decent price increase from the 3rd Quarter, and will it sustain in the fourth quarter itself? So, broadly, still our understanding says that we can see a 3% plus kind of on full -year basis kind of a price decline. So, just trying to understand. And given that, as you mentioned, that our other expenses now will again start increasing, so in terms of the profitability, trying to understand, given the pricing pressure and the cost may, though we have a cost saving, but we will not nullify the other expenses increase, we will nullify whatever the cost saving we will see.

Management: See, again, price is something which is an expectation, and which is a trend which everybody expects. And I think you all are also visiting the markets and the same feel you are getting that the price increase should happen in Q3. On yes, Q2 will definitely be a tough quarter because A, the prices have reduced. B, there would be incremental other expenses on account of branding we are also going to take, because we are to start branding prior to the festival season and the main market season. There is a maintenance cost, higher maintenance cost because all maintenance are also due in this quarter. So, yes, Q2 maybe would be

rather a tough quarter. But

otherwise, I think things we hope to recover everything from Q3 onwards.

Shravan Shah: And lastly, sir, if you can help me in terms of the paint EBITDA for full year because this quarter are 10 crore EBITDA loss, so full year last time we talked about 35, 40 odd crore EBITDA loss.

So, will it remain the same and the 500-crore revenue for F Y '26?

Management: So, see, one is FY '25, we had given about a top line of about 300 crores. So, net that is we are on track for that. Yes, there would be a 40-crore net loss in FY '25.

Moderator: Thank you. The next question is from the line of Tejas Pradhan from Citigroup. Please go ahead.

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Tejas Pradhan: I just have a book being question actually. So, the 30 crores revenue that you mentioned, which was one -off in the last quarter, is this recorded in the grey cement revenue that you disclose in the presentation or?

Management: Yes.

Moderator: Thank you. The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.

Jyoti Gupta: Just a few clarifications. I saw that the volume decline was on a Q-on-Q basis was around 6%, and a price decline on a Q-on-Q basis was 3%, and the total expenses per ton basis was 2% and therefore there was a decline in the EBITDA per ton was only to the extent of 7%. Now, in the next quarter, since the cost that you just mentioned, your total expenses on a per ton basis is likely to increase by 6%, which will again be, and we will see some sort of a decline in price as well, by 3%. So, can I comfortably consider that EBITDA however not bad, based on the assumptions, we will see, if not a marginal decline of maybe 972? Would that be a fair assumption?

Management: You are coming up with a very fine and exact number. It is very difficult to say yes or no for that, but see, I still feel that the decline, it is just the beginning of the quarter. And definitely our attempt would be to see that there is a minimum dip in the EBITDA, but we will have to really see how things go in the quarter.

Jyoti Gupta: No, because if I consider on a per ton basis the branding expenses and maintenance, which is obviously, it is part of the operations and this is totally on the operational aspect and completely understandable. In fact, I would say, these numbers are quite commendable and even if on that basis, even if I take, I think last 3, 4 quarters, the way I see, JK Cement has performed quite well. So, a bit of dip in the second quarter, given that this quarter is going to be a tough quarter, both in terms of again we will see a dip in volume by almost like on a Q-on-Q basis somewhere on 5%, again pricing a dip of 2% to 3% because your major portions in the North, unless South gives a certain amount of volatility, and then you have this entire maintenance and branding cost. And all if I consider all of them together, we should be fairly sitting at a very, very decent EBITDA per ton.

One more question is the logistics cost that the reduction that we are having, which part of the regions are we really consolidating in the sense, where are we really seeing that improvement in terms of lead distances?

Management: So, we are working on the lead distances mainly in Central India. See, one other reason what happens when you open up new markets, to have the own, you know, grinding units have started.

Prayagraj has come in. When you are opening up new markets, first, you have to feed that market irrespective of the logistics cost. So, you can't control the cost and then say, I will only supply at a particular cost. So, to open a market, you have to start as the market stabilizes and your productions, so you are able to reduce the lead distance and the logistic cost. Though in logistic cost, region wise, the freight cost per ton per kilometer are

different. They behave differently,
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while in the North it is the cheapest per ton per kilometer, Central is higher and South is still the highest.

Jyoti Gupta: Could you give me that break, could you just give me a ballpark in terms of the logistics per ton? Because what you are saying is fair and obviously, the expense that you do in this quarter will actually, the likely benefit will start accruing in the third and the fourth quarter. So, while I think it's a value for money.

Management: So, whatever the logistic journey which we are doing, each quarter, we should get about Rs. 10 each quarter. So, what we are planning Rs. 30, Rs. 40 in the year, so we will get about Rs. 10 in each quarter, not, and that will flow. So, the exit becomes Rs. 30 or Rs. 40.

Jyoti Gupta: And sir, in terms of that you mentioned, that Central is cheaper, the cost per ton per kilometer, how much would that be in terms of North?

Management: No, Central is cheaper. No, the North is cheapest.

Jyoti Gupta: Sorry, North is cheaper than.

Management: Yes, so North is one, Central is two, and number three, the cost is South.

Jyoti Gupta: And the other question is that with the JP deal, now that's called up between Dalmia and even the tolling agreement is also discontinued between Dalmia and JP. And with the new entity which would likely happen in maybe in the quarter, coming quarter, how do you see the competition intensifying for you in, for all the companies in the Central region?

Management: See, the competition was in any case intensify because JP, Dalmia was already has a plan. So, they had a definite plan and they were seeding the market and trying to build their positioning in the market. Now, we have to see who gets that JP assets and how he, whether it is a new player or it is an existing player and what is his strategy. So, I think, see, at least when it has gone to the NCLT, I don't think so it can take a decision in a quarter or so. This may drag along till at least this year end.

Jyoti Gupta: No, actually my dipstick says that even if Dalmia, even when Dalmia was in a tolling agreement, the exposure, let's say, the amount of exposure that Dalmia should have gone, it really didn't go that well because of this JP delay shift. So, there were certain push-backs for Dalmia.

Management: Yes.

Jyoti Gupta: For the new entity, it may be a different scenario.

Management: It depends on who is the new entrant and how it is. See, a gain, they will have to deal with the same set of dealers. See, a gain, a new entrant comes, even if it is an established player, they have to, you know, you have to increase that volume with your existing network. What will you do with the network of JP? So, all those questions come because we have seen UltraTech taking

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over earlier JP assets. And they also took some time to rebuild their position in the various markets.

Moderator: Thank you. We have our next question from the line of Sanjay Nandi from VT Capital. Please go ahead.

Sanjay Nandi: Sir, what would be your incremental clinker capacity for a 30 MTPA grinding unit? Sir, what would be your clinker capacity on 30 million ton overall grinding capacity?

Management: Clinker capacity would be above 18 million tons.

Sanjay Nandi: And sir, just to mention that the next quarter we will be having some significant spike in the branding cost as well as that shutdown cost and all those things. Sir, just to mention in the next quarter we will be incurring some additional cost in terms of branding and also overhead cost for those maintenance and shutdown things. So, can you please quantify like what kind of incremental total cost per ton we can anticipate in the next quarter from the exit of this quarter?

Mana

gement: Yes, anything maybe Rs. 50 to Rs. 70 a ton.

Moderator: Thank you. Ladies and gentlemen, we will take the last two questions. The next question is from the line of Siddharth Mehrotra from Kotak IE. Please go ahead.

Siddharth Mehrotra: Sir, just a couple of small questions. I see there is a subsidiary contributing to volumes in the grey business. Could you just tell me which subsidiary is this?

Management: This is Toshali Cement's nominal. So Toshali still they have the operating plants. So, it did contribute to some volume. On consolidated, it's about 16,000 tons. 30,000 tons, sorry.

Siddharth Mehrotra: And I just noticed that the white cement volumes for the previous quarters have been sort of reduced marginally by around 4%, 5%. So, any color on that, sir?

Management: Yes, actually in the white business, we have done two changes. One is that we have excluded the self-consumption of the white cement for the putty. So, we have excluded those volumes. And second, there are main complementary products of the wall putty like Putty Advance et cetera, which we were actually earlier not including in the putty volume. So, we have included that the entire putty family volume.

Siddharth Mehrotra: So, like, can you tell me from which quarter you have made these changes?

Management: So, we have given the previous figures also, restated the figures on the same basis.

Siddharth Mehrotra: So, this has been done starting 1Q '24, right?

Management: Yes, we have actually started from this quarter, but we have restated the figures of all the previous four quarters.

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Moderator: Thank you. The next question is from the line of Ajay Kumar from CoV Capital Markets. Please go ahead. As there is no response from the line of current participant, we will move on to our next question. Our next question is from the line of Amit Murarka. Sorry, our next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Sir, two quick questions. Your green power, I think, we have done a very commendable job in a short span of time. From 19%, we have already had 57%, target being 75% by FY '30. So, my question is, is there a possibility that we meet this green power target much sooner? And if so, and also, I mean, what is the cost saving that we get per unit in green power?

Management: So, see, per unit, the saving is around Rs. 3 per unit, approximately. So, definitely, on that green power is our priority. And when we gave, that was in 2020, when we gave the target for 75%, it was, we were not very clear on whether we can reach that number earlier. Having said so, we now feel confident that we will be able to achieve that number at least maybe two years in advance, maybe by FY '28, if not earlier.

Navin Sahadeo: And last question, sir. Toshali volumes you said in the quarter were about 0.3 million tons.

Management: No, 30,000 tons.

Management: 30,000 tons.

Navin Sahadeo: Okay, 30,000 tons, my bad. So, what is the full-year volumes that we can expect there?

Management: So, Navin, we are working on that plant. There is some upgradation, everything was required. So, we would definitely like, on a quarterly basis, to achieve a number of about a lakh a quarter, which could be from maybe fourth quarter onwards.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we would take that as a last question. I would now like to hand the conference over to Mr. Vaibhav Agrawal for closing comments.

Vaibhav Agarwal: Yes, thank you. On behalf of PhillipCapital (India) Private Limited, we would like to thank the Management of JK Cement for the call and many thanks to the parties for joining the call. Thank you very much, sir. Sagar, you may now conclude the call. Thank you.

Management: Thank you,

Vaibhav. Thank you everyone for joining. If any questions are left, you can write to us, and we will be happy to address the same. Thank you.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes the conference call. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2024

23.07.2024

Dear Sir/ Madam

Sub: Transcript and Audio Recording of Conference Call pertaining to Financial results for Q1 FY 2025.

Please find below the Link of Transcript and Audio Recording of Conference Call concerning Financial results Q1 FY 2025 held on Monday being 22.07.2024 by the officials of the Company. The said results were approved by the Board of Directors of the Company at its meeting held on July 20, 2024. The same is also available on the website of the Company at www.jkcement.com.

Link for Recording and Transcript : <https://www.jkcement.com/transcript-report>

This is for your information and records.

Sincerely

Shambhu Singh
Vice President & Company Secretary
FCS No. 5836

National Stock Exchange of India
Ltd., Exchange Plaza, Bandra Kurla
Complex, Bandra (E), Mumbai-
400051 Scrip Code: JKCEMENT
(ISIN.INE823G01014)
Through: NEAPS
The Bombay Stock Exchange
Ltd. Corporate Relationship
Department, Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort, Mumbai-400001
Scrip Code: 532644 (ISIN.INE 823G01014)
Through BSE Listing Centre

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"JK Cement Limited Q1 & FY2 5 Earnings Conference
Call"

July 22, 2024

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR AND CHIEF FINANCIAL OFFICER , JK

CEMENT LIMITED
MR. PRASHANT SETH – PRESIDENT – BUSINESS
INFORMATION AND INVESTOR RELATIONS , JK
CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

JK Cement Limited
July 22, 2024

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Moderator : Ladies and gentlemen , good day, and welcome to the JK Cement Earnings Conference Call for the quarter ended June 30th, 2024, hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you, and over to you, Mr. Agarwal .

Vaibhav Agarwal: Thank you, Sagar . Good evening, everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q1 FY '25 call of JK Cement Limited.

On the call, we have with us Mr. Ajay Kumar Saraogi – Deputy Managing Director and CFO and Mr. Prashant Seth – President – Business Information and Investor Relations .

I would like to mention on behalf of JK Cement Limited and its Management that certain statements that may be made or discussed on today's conference call may be forward -looking statements related to future developments and based on current expectations. These statements are subject to a number of risks, uncertainties, and other important factors, which may cause actual developments and results to differ materially from the statements made. JK Cement Limited and the Management of the Company assumes no obligation to publicly alter or update these forward -looking statements , whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of JK Cement for the opening remarks, which will be followed by interactive Q&A. Thank you, and over to you , Saraogi sir.

Management: Thank you, Vaibhav. Good evening and welcome to this Call for Q1 Results . The Board of Directors met on 20th of July to review the working for the 1st Quarter ended 30th June 2024 and the major highlights are :

The net sales for the quarter was 2,555 crores as against 2,856 crores in previous quarter , a drop of 11%. However , the same was about 1% higher on year -on-year basis. The year -on-year number was 2,541 as against 2,155 in this quarter.

The EBITDA during this quarter was 479 crores , a drop of 13% as against 548 in the previous quarter. However , the same was up by 19% and year -on-year it was 402 crores. Margins , comparative margins are this quarter it was 18.7%, previous quarter 19.2%, year -on-year 15.8%. The profit before tax is 292 crores in this quarter as against 358 a drop of 19% , up by 51% and as it was say 194 in previous year. The profit after tax was down by 14% at 203 crores as against 236 crores and up 60% and previous year it was 126 crores.

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The EPS for the quarter was Rs. 26.2 paisa, previous quarter Rs. 30.5 and last year it was Rs. 16.3.

These are the major financial highlights.

If you look at the business performance highlights :

The grey cement volumes grew by about 6% year-on-year. Central India expansion achieved 93% capacity utilization. We commissioned 2 million tons Greenfield grinding unit at Prayagraj of 2 million tons and this was completed in record time of 10 months from start of work.

As far as the expansion is concerned of 6 million tons and which is our journey for 30 million tons by FY '26, so we are already now at 24 million tons and the work on the 6 million tons , which is at Prayagraj to set up the Clinkerization unit Line-2 at Prayagraj and Brownfield expansion at Prayagraj, Hamirpur and Panna , whereas the Greenfield expansion in Bihar. So, at Panna the work has already started . We are on stream. The orders for main plant and equipment have already

been placed and we expect that in 3rd Quarter FY '26, this should get commissioned.

Similarly , in case of the grinding unit at Bihar, the Greenfield grinding unit, we have just finalized the land acquisition, now moving in for the various approvals. In the meantime , we

have already placed orders for main plant and equipment , and we are hopeful here also , that we should be able to start work post monsoon and then complete within the time schedule along with the main plant.

So, that was the major highlights of the working. And if you look at the balance sheet, then our gross debt was 4,515 crores and the net debt was 2,830 crores and net debt to EBITDA was as on 30th June is 1.36. That is the major thing on the balance sheet.

Now, if you have any questions, we will be happy to address the same. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: So, the first question is on cost. Your other expenses as well as your raw material cost has dropped a lot in these quarters. Could you help understand what the reasons for this drop?

Management: So, the other expenses are lower because we are yet to, you know, if you look at quarter -on-quarter, last year there were certain annual adjustments that were pertaining to S/4HANA , certain expenses which we had done , and the branding expenses , whatever is our branding plan , that to take off is still not there . Mostly the branding expenses we shall be taking up beginning this quarter and in Q3 . So, that would be the major branding spend . All the annual dealer tours and all will be done in this quarter . So, it is actually a timing difference you could say.

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Management: As regards the raw material , Amit, actually the volumes are down by around 7% in this quarter , and second , there was some extraordinary item which was in the purchase of traded goods and in the sales also in the previous quarter amounting to around 30 crores . So, that is the impact in the raw material cost.

Amit Murarka: Also in the annual report , I think this time you have laid out a plan to do capacity heading for FY '29, FY '30 and you have laid out some units also , Muddapur and Orissa and all. So, could you just set up , I mean , explain the priorities as to what will be the order of expansions if you have any in mind ?

Management: So, see, as of now we have not frozen which would come first , but in all likelihood the not , you know , we as a step because we feel that Jaisalmer part unit line one may be the first one to come up, which may be followed by Karnataka and then afterwards it could be Panna line 3 and followed by , I mean , along with Panna line 3 , it could be Orissa . Whatever the four options which we have given, how we will reach out around 45 to 50 million tons, it will be in that sequence.

Amit Murarka: And land is in place at every location, right?

Management: No, see, Jaisalmer, yes, the land is in pos session. In case of Karnataka, it is a Brownfield expansion. Again, in case of Panna, it would be a Brownfield expansion. In case of Orissa also, the land is there. So , for all the clinker units, I think I would say the land is already there. If going forward, we may have one or two more grinding stations. That land is still not there . That we will go as we are already planning for that. But pending the grinding locations land, all other land is in pos session.

Amit Murarka: Also, lastly, on the Orissa unit, I believe the limestone is not owned by you or lease is not with you. You have an arrangement of purchase. So , you were saying that you would be working to get the lease in your name. So , is there at least a progress on that?

Management: No, sir, actually, there has not been much progress because of the e

lections. And now we had

been in dialog with the previous government. So , we need to initiate the dialog with the new government. And we would take up that. In any case, we are not going to take it up immediately.

So, we have a plan that by September '25, we should be able to close this in any case.

Moderator: Thank you. The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Sir, couple of questions. First was , how far are we from ordering or considering like , you know , placing the order for Jaisalmer? Because the last couple of times , my understanding was that we needed more support from state infrastructure to be developed in that belt because it's not just us. I think several other cement players have bad limestone mines in that belt. So , just wanted to get a sense as to how far are we ? Because if we can do it , then obviously other companies may also consider putting up a plant or if the infrastructure is ready for material evacuation.

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Management: Yes, so, Navin, a lot of work has already been initiated over there. As a timeline , see, normally what we do is that when we take up another expansion , it is at the time of when our existing expansion is about to get completed. So , you could say that we are in July. If we have to take up Jaisalmer , the right time would be sometime end of next year or so and definitely while placing

the order , we would see that the infrastructure , the work has begun and it is in that stage that it will coincide with our plant commissioning. So , only we will take up and we will commit . Otherwise , we have other options . We may shift to the other options for an expansion.

Navin Sahadeo: Yes, certainly . I am saying certainly a Brownfield expansion is far easy and faster to convert.

Management: Yes, definitely it is easy. But if you know looking to the North market , there are very few sites available in the North and the North is a growing market . So, that is the only area which is now there for to feed the North market .

Navin Sahadeo: Yes, exactly . So, that's what my question was , sir, that is it fair to say that Jaisalmer is now soon to be developed as the next .

Management: Yes, I would say yes . And I think not only us , the other cement manufacturers who have limestone deposits over there are all pursuing with the state government . See, the state government has also at till one stage has also granted us certain incentive schemes also which we have put and that has also been granted to us and to some other cement players also . So, they also want that that area should be developed and the manufacturing facilities should come up .

One of the ways how you can develop an y areas when the industry comes over there .

Navin Sahadeo: Sir, my second question was on the white segment per se . So, I was just observing that the volumes for the quarter have been I think down . Since the past two quarters , there is a de -growth of sort seen in the overall white segment so to say . So, question was , are we growing slower than the market or how should one look at it ? And in the same breath RAK White is now a subsidiary of the largest cement company in India . So, does that have any impact or positive rub -off so to say, positive , negative rub -off so to say on the prices of white cement imports into India ?

Management: So, your first question that the white business revenues are going down , see, it is mainly because of some , I mean, it's not actually volume numbers to that extent are not going down . It is the value which is going down because the putty realizations are going down .

So, the paint manufacturers are very aggressive especially Asian Paint s. And I would say today Asian Paint s whatever has become the largest distributor of putty in the country , so the position which we and UltraTech , sometimes we were ah

ead of in the putty or sometimes UltraTech was ahead .

So, it is now Asian Paint s and so they are really very , very aggressive in terms of the pricing and other things . The growth of putty for them is more than us though it is not that we are also growing year -on-year, but we are not able to , as of now , we are working out our own strategies how to ensure that we grow in tandem with the competition , but at least if maybe if we are not

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able to catch up with Asian Paint s, definitely otherwise our growth will be in line with the average industry growth or we are saying with at least in line with UltraTech .

As regards your second question regarding RAK , so UltraTech had acquired a stake in RAK White about two years back . It is now that they have acquired balance 25 % by which they become 54%. They were already, you know, they were effectively in control of the plant, but now with the effective, with the equity control, so in terms of ownership and management, they have a control. This is definitely going forward; it would be a good sign for it. White Cement has always been on a duopoly situation . So, I don't think so it is a negative thing for us.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Inves tec. Please go ahead.

Ritesh Shah: Couple of questions. Sir, first is on cost savings. Earlier you had given a target of Rs. 150 to Rs. 200 per ton o ver FY '25-'26. Sir, is it possible, so is the target the same? Are we looking to afford to revise the numbers over here?

Secondly, if you can bifurcate it between freight, power and fuel, others, and if you can also help us understand what part of it would be achieved in '25 and then in '26? That's the first question, sir.

Management: So, on the cost savings, yes, we see an opportunity of what I said, about Rs. 150 to Rs. 200 a ton over next two, three years. And the areas are one, on the logistic cost, we think that we should get about, if not Rs. 50, about Rs. 30 to Rs. 40 in the logistic cost. We should get something about Rs. 20 to Rs. 30 in t he power segment by increasing the green power. And some in the AFR substitution. So , all in all , we could get anything ranging between half of that about Rs. 70, Rs. 75 by this year , but it would not be the , I would just say we are working on it . We will not get, this would be the average may be lower , but our exit of FY '25 should be around Rs. 75.

Ritesh Shah: Sir, you indicate 30 -40 for larger stakes and power around 20 to 30. This takes you around 70 - 80 bucks . How should we bridge this versus the number that we have indicated say up to Rs. 200?

Management: So, this is year 1 and then I think we are doing something similar thing it is on these are the three areas which remain and which we would be working in year 2 also.

Ritesh Shah: Sir, secondly , when we just go through the annual report , we find the cash tax rate for the company at 13% . This is again say effective tax rate of 33%. Sir , how should we understand this

gap? So, there is one of the schedules in the annual report which says tax exempt income and incentives and there is a negative element of around 32 crores over there. Sir, is there a better way to appreciate the difference in cash tax rate and effective tax rate?

Management: So, we are still in the old regime and so our cash tax rate we could say it is about 17%.

Ritesh Shah: Sir, still if there is a gap like that would be on back of what?

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Management: I will get back to you on that, you know, what you said on the annual report.

Ritesh Shah: Sir, I have just two more questions. Sir, any update on Toshali mining lease, anything over there?

Management: So, I just said about in Tohsali, there were elections and then now there has been a change in the government. So, we are going to, now we

need to have a dialog with the new government. And

I have already indicated that the arrangement which we have that over next one year, by September '25, we should have a proper long-term arrangement for the limestone. And preferably, we can get a lease, otherwise a long-term supply agreement on the basis of which we can plan investment in that region.

Ritesh Shah: And the last question is on pain ts. Can you quantify the revenue, EBITDA contribution? And secondly, the competitive intensity in the space off late has been pretty steep. So, what is our market strategy over here? Are we also reducing prices, increasing discounts to penetrate the market? How should we understand that?

Management: So, see, one, on the pain ts, yes, the pricing is as per the competition. Today, as we gave an indication of a top line of about 300 crores in this fiscal, we are on track for that. In the 1st Quarter, we have done about 57 crores of net turnover. And yes, on the EBITDA front, there was a loss of about 10 crores, because mainly on account of the branding spent on the pain t business.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: My first question is on pricing in the North market has been usually weak versus historical strength what we have seen in the market. Can you discuss on the pricing how it is, I mean, how do we see it going forward? Also, how it is looking for second quarter versus average of 1st Quarter?

Management: So, actually the prices are under pressure and I would see that the second quarter, the pricing would be lower than the 1st Quarter. It is already, I mean, we are seeing some price drop about 1%, 1.5% already in this month vis-a-vis the 1st Quarter. So, the prices, I mean, I don't see a possibility that this quarter we could, we will definitely have a lower pricing as compared to the quarter one. However, we do expect that by September the demand should really there should be a step up in demand and hopefully the prices should get corrected upwards in the month of October.

Prateek Kumar: And is there like all players a re like sort of ramping up capacities or you know that I think I have had like some capacities in North or is it like how is the players' positioning in the market in terms of market share?

Management: So, see, as far as we are concerned, see, we are also expanding, and we have not lost market share in any of the regions. You know, maybe some in a particular, we do monitor that on a month-to-month basis. So, we are maintaining our market share and it could be some producers

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may have a marginally higher, and that too is amongst the top four, five players. We are really not monitoring. We compare ourselves with the three, four players in the region. And we see that our growth is in line with them or not.

Prateek Kumar: Another question is on profitability. Obviously, it depends on pricing. But we had like close to 1,090-1,100 unit EBITDA like last year for standalone operations. Are we looking to outgrow that number in FY '25?

Management: It will depend on the pricing. See, the first half, the second quarter, as it looks now, would be lower than the Q1 and then how the prices take up. So, definitely we could, though our internal target may be not on per ton basis, absolutely, definitely on absolute numbers, we have an internal target to do better than last year.

Moderator: Thank you. The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.

Pathanjali Srinivasan: Sir, I just noticed one thing, like our RM plus fuel cost has kind of been flat for the last three quarters. So, did we get some kind of an inventory benefit or something? Or could you explain why it has been flat?

Manage

ment: So, see, the RM and what has happened that looking though the volume numbers in this quarter are lower , but we have definitely built up some inventory of clinker looking to the maintenance of the kilns , which is likely to come up in this quarter. So, it is a combination . Yes, as we see as a benefit , the fuel pricing has been going down . So, I mean , quarter -on-quarter over last three quarters when we have seen , we are seeing definitely a drop in the main pet coke pricing. So, that is the reason . Other raw materials is , you know , the price variation is more or less flat. Pathanjali Srinivasan: Because the fall is pretty steep in the last six months , but I don't see much of it getting translated into our numbers or did we kind of get it front ended in the 1st Quarter itself, which is like December ?

Management: No, see, when you are looking at the raw materials , it is also , as we said in the last quarter , there were certain purchases of traded goods. So, that entry is also there. So, otherwise we are seeing major , if you see raw material and fuel and the fuel cost has been going down.

Pathanjali Srinivasan: Any guidance for the next few quarters , sir, for this?

Management: So, the fuel prices are softening. So, we are seeing that the pet coke pricing, which was around the land, the consumption rate, which was around 160 at the plant in the last year, last quarter, that is January, March quarter, should be about \$10 cheaper in this quarter. And going forward also, it should be about \$10 cheaper.

Pathanjali Srinivasan: So, we will get some benefit in the subsequent quarters in terms of fuel cost.

Management: Yes, we should.

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Pathanjali Srinivasan: And one more thing on realization. Can you give us some color on region wise intensity on weakness in pricing or demand?

Management: See, region wise, I think the measured, you have to say our measure volumes presently are in the North , where there has been a dip in the, Central is more or less, center and North are also about the same, though Central , the prices have been flat in the last quarter. But South is something which does fluctuate on and off, quarter -on-quarter , quite much, I mean, quite high. So, South pricing is sometimes, two quarters back it was quite low, then it picked up. So, the South pricing is something which fluctuates a lot . Otherwise , Central and North are some prices, you know, the fall is also when even a drop or increase is within particular limits only.

Pathanjali Srinivasan: So, like large part of a fall should come in from North . Would that be a correct statement?

Management: Yes.

Pathanjali Srinivasan: And just one last question, sir . Like employee costs, will it stay at this level for us or is there any one-offs or anything of that sort?

Management: No, it should remain the same at this level . There should not be any further increase in the employee's cost.

Moderator: Thank you. The next question is from the line of Mangesh Bhadang from Centrum Broking .

Please go ahead.

Mangesh Bhadang: Sir, couple of questions . So, firstly, on the paint business . Given the competition that we are seeing with new players and things, would we revise our CAPEX guidance for this business anytime soon or you think that once we move out of UP and the rest of the state, we would need more CAPEX on the scene?

Management: I didn't follow.

Mangesh Bhadang: Sir, on the paint business, will we be rising our CAPEX guidance support? So, would any more further CAPEX would be required in this business as we move ahead ?

Management: Yes, so as of now, we are sticking to our plans on the paint business. So, what we had said that one, we are committed to about 600 crores of limit . Our investment in paints is limited to 600 crores and we will stick to that. Ther

e is no change in that guidance. And in any case , we are not going to increase that on an y account, and we are well on track on the plans which we had made on the paint business both in terms of whatever annual investments and the growth of the paint business.

Mangesh Bhadang: Sir, on the power and sales side , what is the average , you know , the current pricing in rupees per KCal terms compared to 1Q average ?

Management: Yes, this quarter the rupees per KCal is Rs. 1.62 and the previous quarter it was Rs. 1.80.

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Mangesh Bhadang: And with pet coke coming down , how much it would be around 1.55?

Management: It will be about 1 .55 or so in this quarter and in Q2 may be between 1 .50 to 1 .55 in Q2.

Mangesh Bhadang: And sir , with regards to our CAPEX at Panna as well as the Bihar grinding unit , so we are having almost 6 milli on tons of grinding capacity additional by December '25 and 3.3 million ton of clinker. So , any plans to increase the clinker capacity further or you think this clinker would be sufficient for this?

Management: No, clinker is sufficient. See, today as on with the present grinding capacity in the clinker ratio, we are still not operating line one and line two of Nimbahera. So, we have sufficient clinker.

Mangesh Bhadang: But in Central, sir, and B ihar would be serviced by ?

Management: By Central India.

Mangesh Bhadang: Central India. So, there you would be requiring, right, at least ?

Management: Yes. So, see, ultimately what you have to see, it goes on a, when we make, it is on a basis of 85%, 90% capacity utilization, average. So, when we see, when we talk about capacity of 30 million tons or if you take Central India specifically, when we say 6 million tons, it means 3.3 million tons of clinker for a 5.4 million tons of grinding, average at 90% capacity utilization. So, 3.3 million tons of clinker sufficient for 5.4 million tons of grinding.

Mangesh Bhadang: And so finally, how much are the incentives for this quarter?

Management: So, the incentives for this quarter is about ...

Management: 69 crores.

Mangesh Bhadang: 69, almost same as it was.

Moderator: Thank you. The next question is from the line of Rajesh Kumar Ravi from HDFC Securities.

Please go ahead.

Rajesh Kumar Ravi: My first question is if you can explain the sequential price decline appears to be almost 5%, but the margin decline seems to be nominal. So, is it that a grey cements, a higher amount of clinker sales relative to the Q4 ?

Management: So, yes, see, with the price decline, one, you are taking a market, our average mixed price, that is lower. When we talk about a blend of trade, non-trade, and different regions, so the price drop is not 5%. It is lower. Secondly, on an average when it reflects on the cost on the margin part, it definitely takes care of the reduced costs. So, the fuel cost reduction and all is reflected in the margin part.

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Rajesh Kumar Ravi: How much clinker sales for now ? And the second question is....

Management: Clinker sale was around 24,000 tons, but in the previous quarter, because you are comparing the margin, the pricing drop previous quarter. So, previous quarter, there was the one-off sale of around 30 crores, which was in the purchase of traded goods. And then sale was also there. So, you have to exclude that for the comparison purpose, from the raw material cost and the sales.

Rajesh Kumar Ravi: I was saying that the December quarter, there is 138 crore negative stock adjustments. What was that pertaining to?

Management: In December quarter ?

Rajesh Kumar Ravi: Yes, December, 138 crore.

Management: 138.

Rajesh Kumar Ravi: 138.

Management: So, December quarter, we check up because we don't have all the December quarter data readily with us. I will get back to you separately.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Many questions answered or a couple of data points and maybe a clarification. So, first is in terms of the volume growth guidance, last time you said 10%. So, that remains the same.

Management: Yes, as of now, yes. See, the 1st Quarter was an exceptional quarter where with elections and intensive heat, we could not get those numbers, but we are still there with the annual numbers.

Shravan Shah: Second, if you can share the railroad mix and fuel mix for 1Q FY '25?

Management: The rail movement was 9%, and then the fuel, the pet coke by the heat is around 68%.

Shravan Shah: CAPEX, how much was in 1Q FY '25? And last time you said 1,900 crore for FY '25 and 1,800 crore for FY '26 at consol level. So, that number remains the same?

Management: Yes, that remains the same because our projects are on stream and going as per the schedule.

Shravan Shah: And in 1Q FY '25, how much we have spent on CAPEX ?

Management: We have spent around 125 crores on this project, the Panna expansion. Plus, we have around 50 crores of the normal CAPEX.

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Shravan Shah: And broadly, sir, if you look at the, by FY '30, we are looking at 20 MTPA to be added to reach 45, 50 MTPA. So, roughly, if you look at 13,000 crores kind of a CAPEX, obviously, this is likely to have a higher versus others. So, just on a broader direction, in terms of the given the kind of a cash flow, don't you think the CAPEX on a yearly average basis will be higher than the CFO and we can see an increase in absolute net debt, though it may remain in control in terms of the 2x, less than 2x net debt EBITDA ?

Management: So, actually, while we have worked out our plan, we have ensured that our net debt to EBITDA is not increasing. So, see, what you have to understand that when we are taking up an expansion, we already have expanded, when we are taking up a next expansion, say, at Jaisalmer of 5 million tons. So, we are taking up expansion at a capacity of 30 million tons. So, we will have profitability from higher volumes. So, there will be incremental cash inflow, which is coming from the higher volumes. So, after a particular capacity, I think, once you do it, your debt equity, net debt to EBITDA is only going to improve upon.

Shravan Shah: And in terms of given the price decline, I understand you have already mentioned that 1.5% further decline is there in the second quarter, for grey I am saying. Do we think that there will be a decent price increase from the 3rd Quarter, and will it sustain in the fourth quarter itself? So, broadly, still our understanding says that we can see a 3% plus kind of on full -year basis kind of a price decline. So, just trying to understand. And given that, as you mentioned, that our other expenses now will again start increasing, so in terms of the profitability, trying to understand, given the pricing pressure and the cost may, though we have a cost saving, but we will not nullify the other expenses increase, we will nullify whatever the cost saving we will see.

Management: See, again, price is something which is an expectation, and which is a trend which everybody expects. And I think you all are also visiting the markets and the same feel you are getting that the price increase should happen in Q3. On yes, Q2 will definitely be a tough quarter because A, the prices have reduced. B, there would be incremental other expenses on account of branding we are also going to take, because we are to start branding prior to the festival season and the main market season. There is a maintenance cost, higher maintenance cost because all maintenance are also due in this quarter. So, yes, Q2 maybe would be

rather a tough quarter. But

otherwise, I think things we hope to recover everything from Q3 onwards.

Shravan Shah: And lastly, sir, if you can help me in terms of the paint EBITDA for full year because this quarter are 10 crore EBITDA loss, so full year last time we talked about 35, 40 odd crore EBITDA loss.

So, will it remain the same and the 500-crore revenue for F Y '26?

Management: So, see, one is FY '25, we had given about a top line of about 300 crores. So, net that is we are on track for that. Yes, there would be a 40-crore net loss in FY '25.

Moderator: Thank you. The next question is from the line of Tejas Pradhan from Citigroup. Please go ahead.

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Tejas Pradhan: I just have a book being question actually. So, the 30 crores revenue that you mentioned, which was one -off in the last quarter, is this recorded in the grey cement revenue that you disclose in the presentation or?

Management: Yes.

Moderator: Thank you. The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.

Jyoti Gupta: Just a few clarifications. I saw that the volume decline was on a Q-on-Q basis was around 6%, and a price decline on a Q-on-Q basis was 3%, and the total expenses per ton basis was 2% and therefore there was a decline in the EBITDA per ton was only to the extent of 7%. Now, in the next quarter, since the cost that you just mentioned, your total expenses on a per ton basis is likely to increase by 6%, which will again be, and we will see some sort of a decline in price as well, by 3%. So, can I comfortably consider that EBITDA however not bad, based on the assumptions, we will see, if not a marginal decline of maybe 972? Would that be a fair assumption?

Management: You are coming up with a very fine and exact number. It is very difficult to say yes or no for that, but see, I still feel that the decline, it is just the beginning of the quarter. And definitely our attempt would be to see that there is a minimum dip in the EBITDA, but we will have to really see how things go in the quarter.

Jyoti Gupta: No, because if I consider on a per ton basis the branding expenses and maintenance, which is obviously, it is part of the operations and this is totally on the operational aspect and completely understandable. In fact, I would say, these numbers are quite commendable and even if on that basis, even if I take, I think last 3, 4 quarters, the way I see, JK Cement has performed quite well. So, a bit of dip in the second quarter, given that this quarter is going to be a tough quarter, both in terms of again we will see a dip in volume by almost like on a Q-on-Q basis somewhere on 5%, again pricing a dip of 2% to 3% because your major portions in the North, unless South gives a certain amount of volatility, and then you have this entire maintenance and branding cost. And all if I consider all of them together, we should be fairly sitting at a very, very decent EBITDA per ton.

One more question is the logistics cost that the reduction that we are having, which part of the regions are we really consolidating in the sense, where are we really seeing that improvement in terms of lead distances?

Management: So, we are working on the lead distances mainly in Central India. See, one other reason what happens when you open up new markets, to have the own, you know, grinding units have started.

Prayagraj has come in. When you are opening up new markets, first, you have to feed that market irrespective of the logistics cost. So, you can't control the cost and then say, I will only supply at a particular cost. So, to open a market, you have to start as the market stabilizes and your productions, so you are able to reduce the lead distance and the logistic cost. Though in logistic cost, region wise, the freight cost per ton per kilometer are

different. They behave differently,
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while in the North it is the cheapest per ton per kilometer, Central is higher and South is still the highest.

Jyoti Gupta: Could you give me that break, could you just give me a ballpark in terms of the logistics per ton? Because what you are saying is fair and obviously, the expense that you do in this quarter will actually, the likely benefit will start accruing in the third and the fourth quarter. So, while I think it's a value for money.

Management: So, whatever the logistic journey which we are doing, each quarter, we should get about Rs. 10 each quarter. So, what we are planning Rs. 30, Rs. 40 in the year, so we will get about Rs. 10 in each quarter, not, and that will flow. So, the exit becomes Rs. 30 or Rs. 40.

Jyoti Gupta: And sir, in terms of that you mentioned, that Central is cheaper, the cost per ton per kilometer, how much would that be in terms of North?

Management: No, Central is cheaper. No, the North is cheapest.

Jyoti Gupta: Sorry, North is cheaper than.

Management: Yes, so North is one, Central is two, and number three, the cost is South.

Jyoti Gupta: And the other question is that with the JP deal, now that's called up between Dalmia and even the tolling agreement is also discontinued between Dalmia and JP. And with the new entity which would likely happen in maybe in the quarter, coming quarter, how do you see the competition intensifying for you in, for all the companies in the Central region?

Management: See, the competition was in any case intensify because JP, Dalmia was already has a plan. So, they had a definite plan and they were seeding the market and trying to build their positioning in the market. Now, we have to see who gets that JP assets and how he, whether it is a new player or it is an existing player and what is his strategy. So, I think, see, at least when it has gone to the NCLT, I don't think so it can take a decision in a quarter or so. This may drag along till at least this year end.

Jyoti Gupta: No, actually my dipstick says that even if Dalmia, even when Dalmia was in a tolling agreement, the exposure, let's say, the amount of exposure that Dalmia should have gone, it really didn't go that well because of this JP delay shift. So, there were certain push-backs for Dalmia.

Management: Yes.

Jyoti Gupta: For the new entity, it may be a different scenario.

Management: It depends on who is the new entrant and how it is. See, a gain, they will have to deal with the same set of dealers. See, a gain, a new entrant comes, even if it is an established player, they have to, you know, you have to increase that volume with your existing network. What will you do with the network of JP? So, all those questions come because we have seen UltraTech taking

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over earlier JP assets. And they also took some time to rebuild their position in the various markets.

Moderator: Thank you. We have our next question from the line of Sanjay Nandi from VT Capital. Please go ahead.

Sanjay Nandi: Sir, what would be your incremental clinker capacity for a 30 MTPA grinding unit? Sir, what would be your clinker capacity on 30 million ton overall grinding capacity?

Management: Clinker capacity would be above 18 million tons.

Sanjay Nandi: And sir, just to mention that the next quarter we will be having some significant spike in the branding cost as well as that shutdown cost and all those things. Sir, just to mention in the next quarter we will be incurring some additional cost in terms of branding and also overhead cost for those maintenance and shutdown things. So, can you please quantify like what kind of incremental total cost per ton we can anticipate in the next quarter from the exit of this quarter?

Mana

gement: Yes, anything maybe Rs. 50 to Rs. 70 a ton.

Moderator: Thank you. Ladies and gentlemen, we will take the last two questions. The next question is from the line of Siddharth Mehrotra from Kotak IE. Please go ahead.

Siddharth Mehrotra: Sir, just a couple of small questions. I see there is a subsidiary contributing to volumes in the grey business. Could you just tell me which subsidiary is this?

Management: This is Toshali Cement's nominal. So Toshali still they have the operating plants. So, it did contribute to some volume. On consolidated, it's about 16,000 tons. 30,000 tons, sorry.

Siddharth Mehrotra: And I just noticed that the white cement volumes for the previous quarters have been sort of reduced marginally by around 4%, 5%. So, any color on that, sir?

Management: Yes, actually in the white business, we have done two changes. One is that we have excluded the self-consumption of the white cement for the putty. So, we have excluded those volumes. And second, there are main complementary products of the wall putty like Putty Advance et cetera, which we were actually earlier not including in the putty volume. So, we have included that the entire putty family volume.

Siddharth Mehrotra: So, like, can you tell me from which quarter you have made these changes?

Management: So, we have given the previous figures also, restated the figures on the same basis.

Siddharth Mehrotra: So, this has been done starting 1Q '24, right?

Management: Yes, we have actually started from this quarter, but we have restated the figures of all the previous four quarters.

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Moderator: Thank you. The next question is from the line of Ajay Kumar from CoV Capital Markets. Please go ahead. As there is no response from the line of current participant, we will move on to our next question. Our next question is from the line of Amit Murarka. Sorry, our next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Sir, two quick questions. Your green power, I think, we have done a very commendable job in a short span of time. From 19%, we have already had 57%, target being 75% by FY '30. So, my question is, is there a possibility that we meet this green power target much sooner? And if so, and also, I mean, what is the cost saving that we get per unit in green power?

Management: So, see, per unit, the saving is around Rs. 3 per unit, approximately. So, definitely, on that green power is our priority. And when we gave, that was in 2020, when we gave the target for 75%, it was, we were not very clear on whether we can reach that number earlier. Having said so, we now feel confident that we will be able to achieve that number at least maybe two years in advance, maybe by FY '28, if not earlier.

Navin Sahadeo: And last question, sir. Toshali volumes you said in the quarter were about 0.3 million tons.

Management: No, 30,000 tons.

Management: 30,000 tons.

Navin Sahadeo: Okay, 30,000 tons, my bad. So, what is the full-year volumes that we can expect there?

Management: So, Navin, we are working on that plant. There is some upgradation, everything was required. So, we would definitely like, on a quarterly basis, to achieve a number of about a lakh a quarter, which could be from maybe fourth quarter onwards.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we would take that as a last question. I would now like to hand the conference over to Mr. Vaibhav Agrawal for closing comments.

Vaibhav Agarwal: Yes, thank you. On behalf of PhillipCapital (India) Private Limited, we would like to thank the Management of JK Cement for the call and many thanks to the parties for joining the call. Thank you very much, sir. Sagar, you may now conclude the call. Thank you.

Management: Thank you,

Vaibhav. Thank you everyone for joining. If any questions are left, you can write to us, and we will be happy to address the same. Thank you.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes the conference call. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2024

30.10.2024

Dear Sir/ Madam

Sub: Transcript and Audio Recording of Conference Call pertaining to Unaudited Financial results for Quarter and Half Year ended 30.09.2024.

Please find below the Link of Transcript and Audio Recording of Conference Call concerning Unaudited Financial results for Quarter and Half Year ended 30.09.2024 held on 29.10.2024 by the Officials of the Company. The said results were approved by the Board of Directors of the Company at its meeting held on October 26, 2024. The same is also available on the website of the Company at www.jkcement.com.

Link for Recording and Transcript : <https://www.jkcement.com/transcript-report>

This is for your information and records.

Sincerely

Shambhu Singh
Vice President & Company Secretary
FCS No. 5836

National Stock Exchange of India
Ltd., Exchange Plaza, Bandra Kurla
Complex, Bandra (E), Mumbai-
400051 Scrip Code: JKCEMENT
(ISIN.INE823G01014)
Through: NEAPS
The BSE Ltd.
Corporate Relationship
Department, Phiroze Jeejeebhoy
Towers, Dalal Street, Fort,
Mumbai-400001
Scrip Code: 532644 (ISIN.INE 823G01014)
Through BSE Listing Centre

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“JK Cement Limited Q2 & H1 FY-25 Earnings
Conference Call”

October 29, 2024

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING

DIRECTOR & CFO, JK CEMENT LIMITED
MR. PRASHANT SETH – BUSINESS INFORMATION &
INVESTOR RELATIONS , JK CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL - PHILLIPCAPITAL (INDIA)
PRIVATE LIMITED

JK Lakshmi Cement Limited
October 29, 2024

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Moderator: Ladies and gentlemen good day and welcome to JK Cement Limited's earnings conference call for Quarter and Half Year Ended 30th 2024 hosted by PhillipCapital (India) Private Limited.

As a reminder all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited. Thank you and over to you sir.

Vaibhav Agarwal: Thank you, Michelle. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited welcome you to the Q2 and H1 FY25 Call of JK Cement Limited.

On the call we have with us Mr. Ajay Kumar Saraogi – Deputy Managing Director & CFO and Mr. Prashant Seth – Business Information and Investor Relations.

I would like to mention on behalf of JK Cement and its Management that certain statements that may be made or discussed on today's Conference Call, may be forward looking statements related to future developments and which are based on current expectations. These statements are subject to a number of risks, uncertainties and other important factors which may cause actual developments and results to differ materially from the statement made. JK Cement Limited and the Management of the Company assumes no obligation to publicly alter or update these forward-looking statements whether as a Result of new information or future events or otherwise.

I will now hand over the floor to the Management of JK Cement for their "Opening Remarks" which will follow interactive Q&A. Thank you and over to you Saraogi sir.

Management: Thank you, Vaibhav. Good evening and welcome to this Q2 call. The Board of Directors met on 26th of October to review the working for the quarter ended September '24 as well as half year ending September '24.

The major highlights of the working; the net sale for the quarter was 2,322 crores as against 2,555 in the previous quarter, a dip of about 9% and 2,476 year-on-year, a dip of about 6%. The operating expenses were lower by 2% at 2,119 as against 2,164 previous quarter and year-on-year flattest 2,124. The EBITDA for the quarter was 273 crores as against 479 in the previous quarter, a dip of 43% and 447 in the previous year, dip of 39%. EBITDA margins was 11.7% for the quarter as against 18.7% in the previous quarter and 18% in the previous year.

If you look at profit before tax, it was Rs. 64 crores as against 292 crores and 246 crores and profit after tax was 45 crores as against 203 crores and 179 crores. EPS for the quarter was Rs. 5.80 paisa as against 26.2 and 23.1. For the half year April-September, the net sales were down by 3% at 4,877 crores as against 5,117. The operating expenses was lower by 1% at 4,283 crores

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as against 4,345 crores. The EBITDA was down by 11% at 752 crores as against 849 crores. Margins was 15.4% as against 16.9%. Profit before tax was 355 crores as against 454 crores, a dip of 22% and profit after tax was 247 crores as against 305 crores, a dip of 19%. The EPS was Rs. 32.10 paisa as against Rs. 39.50 paisa.

As you would have seen, the working for the quarter was not on the expected lines. That was mainly on account of both external and internal factors. External factors were the demand because of the monsoons and the expected demand was not there and there was pressure on pricing continued and for internal there was additional shutdown because of monsoons and which resulted incremental expenses affecting the bottom line.

As regards the project, the 6 million tons expansion work is at a good speed and we are confident that

we would be able to commission as per the expected lines either by end of third quarter or beginning of fourth quarter FY26.

If you look at the balance sheet; the gross debt as on 30th September was 4,664 crores as against 4,592 crores as on March. The cash balance as on 30th September was 1,620 crores as against 2,011. Net debt was 2,582 crores as against 3,044 crores. The net debt to EBITDA was 1.6x as against 1.29x and the net debt to equity was 0.56x as against 0.48x. So, these are the major

highlights I'll be happy to answer your questions. Thank you.

Moderator: Thank you very much sir. We will now begin the question-and-answer session. The first question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: First on the other expenses for this quarter was how much one time which we will not be seeing from third quarter onwards because that has impacted profitability a lot?

Management: So, there are two things which are there affecting which may be classified as one time. So, there would be an incremental one-time expenditure of about 30 crores which is there which should not be there in the subsequent quarters. Also, in the raw materials because of the shutdown, we had purchased certain clinker and that clinker quantity should not be there. There could be some marginal clinker which we are we have procured for central India in the month of October.

Otherwise, there would be no requirement of any purchase clinker going forward. So, these two could be the one-time expenditure which if we look at in terms of the value, could be anything around 45 to 50 crores, could be a onetime impact which is there in this quarter.

Shravan Shah: If I look at from the grey cement perspective, so 1H we have done close to 2.1% volume growth and we were looking at 10% for this year. So, now for full year how much we are looking at?

Management: So, yes, we were looking at 10% overall and H1 the growth is only nominal. Even though we are expecting a good demand, we would see that we should be closing anything around with the growth of about 6% to 7%.

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Shravan Shah: And in terms of the realization for grey cement was actually QOQ, if I am just looking at the numbers, it is 0.8% whereas for white it was 3% down. So, for both the things just wanted to understand because for other companies we have seen (+2%) kind of a QOQ decline in realization. So, is there anything even if you can specify the incentive that how much we have booked in this quarter so that will help and also how the prices are there in the October month now?

Management: So, as far as realization is concerned, one since we had lower volumes, we cut down sales in certain not so remunerative areas which normally we could have done. So, one that was some volumes were cut in the low retention areas in some non-trade segments because we did not have sufficient volume available, especially in the south also. There has been a marginal increase in the premium product sale also. All these factors have resulted that though the prices were under pressure but on an average with a mix, we are not seeing any fall in the realization per ton.

Shravan Shah: And now how we look at the prices in the October month versus our 2Q average?

Management: So, Q2 average marginally up. But we have to really see this is, whatever some prices had increased but not across but in the north and all, so marginally up as compared to average of Q2.

But we have to see, how we are able to increase upon some more pricing in coming days post Diwali maybe.

Moderator: We will take the next question from the line of Amit Murarka from Axis Bank.

Amit Murarka: So, while the one-off expenses are one well explained in the quarter like some other opening revenue was also there, I believe which was on the higher side also. Generally, could you talk about like in south you had an extended maintenance s

shutdown. So, how has it improved your

cost efficiency or what was that extended shutdown taken for?

Management: So, in case of the other operating expenses we had got one time subsidy which had come from central India. So, that subsidy is included in the one time, so that it was realized and got in this quarter, that is reflected.

Amit Murarka: Also, the south extended shutdown like could you just maybe talk a bit more about it as to what was it for and how that improved your efficiency or any cost metric?

Management: See what has happened in the south, we had planned a shutdown of about 45 days which also included some modification to be carried on. We were saying that with the usage of AFR the kiln output had lowered. So, we wanted to do certain modifications in the cyclone so that we are able to maintain high usage of AFR and have in fact get more clinker and maybe some additional clinker. So, while doing so there was a continuous rain which disrupted the working and the overall shutdown was for about 70 days. So, because of that extended shutdown of about 25 days we were forced to even to be in the market and not lose the trade market, we had to even purchase a lot of clinker to feed in the market. So, extended shutdown has not been I mean on the cost front it has not something substantially high. But that has resulted in some additional

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period, the clinker which we had to buy from the market. So, that resulted in loss of contribution which is reflected which could be a one-time. The incremental cost was not that high. That was only about 10 to 12 crores in this south plant.

Amit Murarka: Also, lastly the kcal cost has gone up on a QOQ basis, why would that be?

Management: The kilocalorie cost has gone up during this quarter because one the AFR cost has increased. So, we are seeing that there is a fall in the fuel prices, marginal fall. But the usage of AFR, the AFR supplies, the AFR cost has increased whatever contracted quantities which we had. Now we have again renegotiating. Actually, AFR pricing is also linked to the fuel pricing. So, what they do they always link it to the fuel pricing. Now with the softening of fuel prices we are renegotiating the gap to be maintained between the price of AFR versus fuel. Otherwise, it would not be economical to use the AFR, make all the effort of using the AFR.

Amit Murarka: So, it's mainly because of AFR cost going up because pet coke cost has gone down in the quarter.

Management: Yes, the pet coke prices.

Moderator: The next question is from Patanjali Srinivasan from Sundaram Mutual fund.

Patanjali Srinivasan: I wanted to understand how much our unit cost of production can go down by in the next couple of quarters because I think from last quarter's base to this quarter, the number has gone up like quite a bit. I think it's up almost Rs. 450 per ton.

Management: No, see this quarter is exceptional because of low volume, so the cost has gone up. When you use your inventory the inventory cost is much higher because it contains an element of fixed cost as per the account. So, all that affects the overall cost of the goods. But if you compare with the normal as we said, if you look at Q1 cost, so sequentially the cost should be reducing. With the fuel prices softening and all, we should see an impact of about Rs. 50 coming up in each of the remaining two quarters.

Patanjali Srinivasan: As in so Q1 FY25 it was 4,800. So, you are saying Q3-Q4 it can drop by Rs. 50.

Management: By about Rs. 100 a ton?

Patanjali Srinivasan: So, it can get to around 4,700, is that correct?

Management: Yes.

Patanjali Srinivasan: And any region wise could you give us some color on what demand was, any region where demand was not as good as we expected or it was better than what we'd expected during the quarter?

Management: See the demand slip was not so much felt in the central India. T

here was a dip in demand

definitely in the north and the southern part.

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Moderator: The next question is from Ritesh Shah from Investec Capital.

Ritesh Shah: First is any update on Toshali, specifically I'm looking at the limestone, long term supply agreement that we were looking with the government, that's a first question. So, second question is on the paints business?

Management: In paint business what would you like to know?

Ritesh Shah: Where are we on the paint business right now, the revenue number and the EBITDA number for the quarter and how are we looking at the ramp up of the paints business? And the third is we have indicated a number of Rs. 150 to 200 per ton of cost savings over '25-26. Where are we on that journey? These are the three broader questions.

Management: On the Toshali, actually we recently had a meeting with the CM also, our MD and we had because of the change of guard. So, whatever had been discussed earlier, we had to really in a way start afresh. We had a meeting and we had discussed with him and for a long term arrangement and we had a meeting with the Chief Secretary also. I think we should get some their proposal whatever we have submitted their response sometime in the month of December or so. We are hopeful. So, let's see, once we get that we will be able to take a call going forward. So, once a long-term agreement, see one is they have given an indication cost, it the whole thing, the finalization of this would definitely take some time. But at least it will help us in formulating our strategy for entering into the east and at what is the time frame because as such the only thing is that we want to firm up the arrangement of limestone so that the opportunity for entry into east is there. But immediately we are not going to start that we are clear till we will take a final call where to go for the next investment once we are about to complete the 6 million tons expansion. So, at this stage the only thing is to conclude the tie up for the limestone for entry in the east. As far as paint is concerned, yes, we have done in the....

Management: Our turnover in this quarter was 53 crores and 6 months is 117 crores and the EBITDA loss for the 6 months is 25 crores.

Ritesh Shah: Have you scaled up paints business?

Management: Now as we see, October is a main season month, so as we have done a record sale in this month. As we had a guideline that we should be closing the year somewhere between 250 to 300 crores as a top line. We are confident that we would be in that region on the top line. Our expected loss for the whole year was around 40 crores, so we should be within that range only. And next year we have a plan as a ramp up, next year we have a plan of about 400 crores top line 400 to 450 crores and 600 crores by FY27 where we should be having a break even.

Ritesh Shah: And on the cost side?

Management: On the cost side, we had 3-4 levers and the one was on the logistic. So, we are working towards that and I think we have already been able to factor in about Rs. 22 of logistic savings. And we
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expect that by March our exit should be around Rs. 45 to 50 in case of logistic. We are already in advanced stage for certain more agreements for green power. With the other lever one was on increase in the AFR. So, we are working towards that. With the south we would be able to further increase our AFR consumption, with the stabilization now of Panna we should be able to start AFR consumption at Panna also. These were the major three areas where we expected the cost savings. So, I think that will gradually come up and should be visible. I think if we look at an exit by FY25, we should definitely have an exit of between Rs. 60 to 75. So, Rs. 60 which is a saving which would have accrued we should be seeing that saving in FY26 and other s

avings

will come in FY26 which will pile up to about Rs. 150 to 200.

Moderator: The next question is from the line of Navin Sahadeo from ICICI Securities.

Navin Sahadeo: Before I ask a question just a clarification on the previous question. EBITDA loss you said for the first half was 25 crores, so how much would that be in Q2?

Management: Pardon?

Navin Sahadeo: You said EBITDA loss.

Management: I said the EBITDA loss.

Navin Sahadeo: For the paint business.

Management: In Q2 it is 15 crores.

Navin Sahadeo: And first half one?

Management: H1 its 25.

Navin Sahadeo: Full year it will be around 40?

Management: About 40 crores.

Navin Sahadeo: My question first question was with respect to the TSR rate. I think previous quarter, as per your presentation I'm saying that there was a decent jump towards end of '24 and further it increased in Q1. But in Q2 this has dropped sharply to 13%.

Management: So, see you would see that Q2 being a maintenance period for all the kilns, so that has resulted in a sharp decline.

Management: And secondly, Navin there is one more factor. Actually, earlier we were covering only 9 plants out of the 13. Now we have got the SBTi approval for covering all the 13 plants. So, this data is actually revised for the 13 plants now. That is also a reason for the reduction. So, all the new plants are added now in this.

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Management: So, Panna was actually not included and if you look at the AFR usage, in Panna being Indian coal usage that is the plant which uses the least volume of AFR. So, thermal substitution is the minimum and actually the journey has started now after, so first the first thing at Panna was to ensure the full stabilization of the plant. And this quarter the Panna kiln because see nowadays yes, monsoon is there but the monsoon the typical type is that you have very excessive rain for a few number of days. That is something which really disturbs the entire thing. So, as we say onetime loss even in Panna though our brick lining was due in the month of October, from end September which is now there. But this excessive rain when the kiln was closer to the shutdown, it did have an effect on the kiln and we had to run the kiln at a very low output for almost a month and also in between we had to close the kiln for two days, one day and that. So, during the quarter the availability of the kiln was also less. The kiln ran at normal output only for one-third of the month and at reduced output for the balance period. So, all that has also resulted, affected the cost factor, the other things and all thermal substitution and everything got disrupted because of the erratic working during the quarter.

Navin Sahadeo: My second question was on the new announcement on two coal block auctions which you have won. So, if you could give more details as to when are these mines you are expecting it to like come into production, what benefits that one can expect from this or is this more like securing?

Management: It is a long-term benefit. It is going to give us substantial benefits going forward. So, we have won two coal blocks, one is Shahdol and one is Mahan, both in Madhya Pradesh. So, the first block is a smaller block, that was that block we have to work from the beginning. The vesting agreement has been done and now we have the full team on board for the block and we have initiated a plan to start work to do the mining lease and the mining evaluation and everything, procurement of land so that we are able to, though the time frame given by the government for commissioning the block is by FY29 but we are targeting at least one year or 15 months earlier.

So, that is the status for the block. The second block which is already partially developed and which is a bigger block that we are in the process and within the month of November we shall be having the entire agreement with the government and w

e have made out an action plan for

what to be done. So, immediately after the agreement, the site would be handed over to us and we should be able to start work at the site. We feel that we are planning that maybe if exact timelines will know once we go to the site. But we plan maybe in 30 months, we are able to commission this block. This commissioning of the both the coal blocks is going to, one secure our fuel especially for the central India which is dependent on linkage fuel and domestic fuel and the fuel cost would be far cheaper. Today we are getting linkage fuel at about Rs. 1.50 paisa to Rs. 1.60 paisa per 100 NCV. This would come at a much lower around Rs. 1 max, outer limit Rs. 1.10 paisa.

Navin Sahadeo: So, this can even if not now at least 3 years down the line this....

Management: So, many companies if you look at in that region everybody has a coal block. So, we are fairly at a disadvantage on that concern. So, we will not be at a disadvantage as compared to the competition and maybe if that fuel works out, we are also working out. We can also see whether we can feed some volumes to the northern plants also because it makes a business sense. So, we

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have options. But central plant definitely where we have north Line 2 is coming up where the major expansion is there. So, it will secure fuel over there at a very good price.

Navin Sahadeo: The last comment, you said no second line north?

Management: No, sorry I said the second line of Panna. So, we are already doing two expansions are there. So, that will become at a single location the largest point for us over 20,000 tons of clinker.

Navin Sahadeo: What is the now the game plan for the paints business JK Maxx because now we are already seeing advertisement of JK Maxx Paints on pan India news channels as such. So, if you could first of all just give us that how many touch points are there, how many dealers we have as of now and what is the game plan so that we can get a broader perspective about the paint business? Does this mean that since the advertisements and these are coming up, there could be a further cost to it in terms of branding and etc.?

Management: So, I will answer the second question first. The branding cost and all as we said is part of 600 crores which we have committed to the paint business. And we would like when the paint business and so there is no further commitment beyond 600 crores. And the total plan from a journey of to close to 300 crores this fiscal and to 600 crores by FY27 is all part of the 600 crores and by which time the business should become self-sufficient. So, that is a plan. You want any further clarifications you let me know.

Moderator: We will take the next question from the line of Abhishek Poddar from HDFC Mutual fund.

Abhishek Poddar: Just one regarding the white cement. We have seen realizations falling in last few quarters. How is the market there? Can you talk about the competitive landscape there, how the margins are doing and where do you see the bottoming out?

Management: The paint manufacturers, especially Asian Paints continues to be very aggressive as far as putty is concerned. And the dip in realizations is only on account of the putty realizations dip in putty. So, we expect though there has been some correction. I think when we were thinking earlier that in last year March that it has already bottomed out. But the onslaught by Asian continued however after recent in July after announcing some increase in the paint pricing, they also increased some pricing. But still some hidden discounts and other things do continue. We feel that this may have bottomed out but it continues. A putty field continues to be very competitive and Asian Paints with all that they have already taken the #1 position in the putty field. They have become the largest player of though they don't have any production facilities. But t

hey are

still the largest seller of putty with a market share of close to about 30% as against 24% for Birla and 22% for us. So, that is the position for the putty. There is a growth for us year-on-year but we are not able to match the growth of which is there by Asian Paints. Not even UltraTech or none of the other putty players are even some paint manufacturers though they are growing but they are not growing at the pace which Asian Paints is growing in terms of putty.

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Abhishek Poddar: Just one question or more, how do we think volumes here like it is 1.7 last year? Should we think about growth this year and if you can give some guidance that how the industry is growing in this?

Management: So, if you look at the putty should be growing at about 8 to 9. Should grow about at 8% to 9%

this year. And we are trying to see that we grow at least 5%, though our internal target is definitely much higher. But as of what it looks anything between 5% to 6% should be our growth numbers.

Abhishek Poddar: And just one last question on the grey cement side. Are you already seeing some green shoots in demand? If you can talk about how the season is October is and how do you expect post?

Management: October is definitely much better than what September is. But some of the government spending that has to really come in full-fledged and I think that should come from November onwards.

Moderator: The next question is from Raghav Malik from Jefferies.

Raghav Malik: I just wanted to check on the CAPEXs target for the year. Are you still retaining the same target of 1,800-2,000 crores for FY25 given that we've done 500 odd crores in the first half?

Management: No, projects are on stream, and we are maintaining the CAPEXs targets.

Moderator: The next question is from Prateek Kumar from Jefferies.

Prateek Kumar: My first question is on your profitability. So, you said that realizations have benefited from maneuvering of markets during this quarter. So, next quarter it should normalize like versus industry peers your realization trend versus other peers?

Management: So, next quarter it should match with the industry but suppose industry shows a growth of 3% over the quarter and there is no dip. So, that will not be there. We have to then compare the situation vis-a-vis first quarter and where the industry is standing vis-à-vis is first quarter in this quarter in Q3 and we will be at par with that.

Prateek Kumar: So, we will have a lower realization growth, but will that be offset by better cost performance Q-on-Q?

Management: There will be definite cost performance, there will be definitely improvement in volumes. But now with increased volumes, we will be catering to all the segments because on a medium or long term we cannot afford to lose any segment if we have to maintain the volume growth. In Q2 we did not have the volume because of the maintenance.

Prateek Kumar: One of the large peers talked about realization improvement to the tune of 200 per ton may flowing to EBITDA per ton. So, is that kind of improvement which we should also look at?

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Management: We will be at par with the industry, one this realization it will not be that the top players show that realization and we don't show it. If the prices improve, we will be at par, we will not behind any producer.

Prateek Kumar: And the last question on October volume. So, because of festive timing changes it will still be a decline year-on-year for the volumes for the month.

Management: No actually I think we should be showing a growth year-on-year also in October.

Moderator: The next Question is from the line of Rajesh Ravi from HDFC Securities.

Rajesh Ravi: First question pertains to your CAPEXs. You already spent 1,400 crores on consol basis. And you are saying that 2,000 crores is the annual target for FY25.

So, are we looking at the second half to be so dull on the CAPEXs?

Management: We have spent 750 crores till now out of the target of 1,800-1,900 crores.

Management: From where did you get 1,400 crores?

Rajesh Ravi: From the last yearly balance sheet cash flow statement consol cash flow it is 1,400 crores. I was referring to that number.

Management: But I think we can clarify this to you.

Management: Check this cash flow number.

Management: We will check up because the number what is included will clarify that because the actual expenditure is around 750 crores which is the CAPEXs. But any other thing is in the cash flow it is showing and the all other expenditure is as per the plan because there nothing new has happened. So, we still continue to on the project is on as per the schedule. So, we continue to spend on the project in the same manner. So, that I don't think so and whatever other expenditure which we have done on the normal CAPEXs and all they are as per schedule, there's nothing.

Rajesh Ravi: And second on the volume growth, see first half our grey volume is flattish and white volume we have seen 5% decline. You are maintaining 10% volume growth for the grey business for full year. So, are you confident the second half will be able to deliver 20% volume growth in the grey cement business and similarly for white and putty, I suppose you guided 5% growth against 5% decline. So, second half a 10% growth, do you see green shoots good enough to support that kind of volume numbers?

Management: So, in grey as I said earlier that our numbers, we should be anything between 6% to 7%. We are talking about anything, be that the numbers and in case of white, there is no negative growth.

The white if you look at the volume numbers when it is not when the total number, it is year-on-year sales is about 3% growth. See last year Q2 was...

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Management: 6 months you can.

Rajesh Ravi: I am referring to 6 months numbers.

Management: Even 6 months it is higher. See we have like combined number of 7,86,000 tons as against 7,61,000 tons 6 months last year. And cash flow also I am looking the consolidated cash outflow on the CAPEXs is 745 crores. Where did you get the number of 1,400?

Rajesh Ravi: I'll recheck my number.

Management: You please check both the numbers, the white business volume, this, everything.

Rajesh Ravi: You mentioned that you are looking at Rs. 50 to 60 savings through logistics and another similar amount of savings you were looking from the inching up of green power share, right?

Management: Yes, on use of alternate fuel.

Rajesh Ravi: Basically, FY25 and '26 total Rs. 150 odd which you are looking over next 2 years, '25-26. So, it will be equally split between both the years the savings?

Management: What I said, we should see an exit of about Rs. 60 in March.

Rajesh Ravi: On cumulative Rs. 60 rupees in this year?

Management: Yes. So, we should see a broadly a Rs. 60 exit in sometime March and maybe balance we should see in FY26.

Rajesh Ravi: Rs. 90 odd you are looking at next for FY26.

Management: Yes.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Just a couple data points. So, blended mix for this quarter and road-rail mix was how much?

Management: The rail-road, rail was only 9%.

Shravan Shah: And blended mix?

Management: 70%.

Shravan Shah: And sir for this quarter how much was the incentive that we have booked?

Management: It is 58 crores.

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Shravan Shah: And for all the 6 million tons expansion, so previously we said that December '25, next December we will be starting so that timeline remains intact or any update there?

Management: By December '25/last quarter, end of third quarter, beginning of fourth quarter should be the commissioning.

Shravan Shah: And also, is it

possible to share the fuel mix for this quarter how much was the pet coke, imported coal?

Management: By heat pet coke was around 75% and balance is the alternate fuel and the imported.

Shravan Shah: And is it fair to say that this quarter, let's say at a consol level if we look at 11.1% kind of EBITDA margin. So, the white cement or let's say whatever way we can look at grey margin would be much lower and white is still higher than this blended average.

Management: You have to arrive at that number yourself. We are not sharing.

Shravan Shah: Directionally just trying to understand because as you mentioned that the putty, significant competition is there. So, just trying to see whether that margin has also come off decently there also

Management: What I would say yes, mean the grey business margins would be marginally lower in this quarter as compared to the white.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Vaibhav Agarwal for closing comments. Over to you sir.

Vaibhav Agarwal: Thank you. On behalf of PhillipCapital (India) Private Limited, we thank the participants for joining the call and thank you very much sir for giving us the opportunity to host the call. Thank you, Michelle. You may now complete the call. We wish you all a very Happy Diwali and a very Happy Dhanteras, thank you.

Management: Thank you everyone for joining and wish you a Happy Dhanteras and Happy Diwali.

Moderator: Thank you very much sir. Thank you. Ladies and gentlemen, on behalf of PhillipCapital (India) private limited that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

28.01.2025

Dear Sir/ Madam

Sub: Transcript of Conference Call pertaining to Unaudited Financial results for Quarter and Nine Months ended 31.12.2024.

Apropos to our letter of 27.1.25 forwarding therewith the audio recording of conference call on Unaudited Financial results for Quarter and Nine Months ended 31.12.2024 held on 27.1.25 evening by the Company's Representatives with the Investors, please find attached the transcript which we received a little while ago for your reference and records. Please note both the audio recording and transcript have been uploaded appropriately on our website www.jkcement.com .

Link for Recording and Transcript : <https://www.jkcement.com/transcript-report>

This is for your information and records.

Sincerely

Shambhu Singh
Vice President & Company Secretary
FCS No. 5836

National Stock Exchange of India
Ltd., Exchange Plaza, Bandra Kurla
Complex, Bandra (E), Mumbai-
400051 Scrip Code: JKCEMENT
(ISIN.INE823G01014)
Through: NEAPS
The BSE Ltd.
Corporate Relationship
Department, Phiroze Jeejeebhoy
Towers, Dalal Street, Fort,
Mumbai-400001
Scrip Code:532644 (ISIN.INE 823G01014)
Through BSE Listing Centre

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"JK Cement Q3 & 9-month FY-25 Earnings
Conference Call"

January 27, 2025

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR & CFO , JK CEMENT
MR. PRASHANT SETH – HEAD, BUSINESS
INFORMATION & INVESTOR RELATIONS .
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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January 27, 2025

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Moderator : Ladies and gentlemen good day and welcome to the Q3 and 9 -month FY25 Earnings Conference Call for JK Cement hosted by PhillipCapital (India) Private Limited .

As a reminder all participant s' lines will be in the list n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital . Thank you and over to you sir.

Vaibhav Agarwal : Thank you, Rayo. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited , we welcome you to the Q3 and 9 -month FY25 call of JK Cement Limited.

On the call we have with us Mr. Ajay Kumar Sara ogi – Deputy Managing Director & CFO and Mr. Prashant S eth – Head, Business Information Investor Relations.

I would like to mention on behalf of JK Cement Limited and its management , that certain statements that may be made or discussed on this today's conference call may be forward looking statements related to future developments and statements which are based on current expectations. These statements are subject to a number of risk s, uncertainties and other important factors which may cause actual developments and results to differ materially from the statements made. JK Cement Limited and the management of the company assumes no obligation to publicly alter or update these forward -looking statements , whether as a result of new information or future events or otherwise.

I will now hand over the floor to the Manage ment of JK Cement for their opening remarks which will be followed by Q &A. Thank you and over to you S araogi s ir.

Management: Thank you, Vaibhav . Good evening and welcome to Q3 call. The board of directors met on 25th of January to review the working for the quarter ended 31st December , 2024 and 9-month period April to December '24.

The major highlights are that in this quarter :

Our net sales were 2,606 crores as against 2 ,322 crores of the previous quarter , an increase of 12% though year -on-year it was lower by 3% and the revenue from operations was higher by 14% at 2 ,716 crores as against 2 ,392 crores and 2 ,784 crores last year which was as compared to year -on-year it was lower by 2% and previous quarter it was higher by 14%.

The EBITDA during the quarter was 489 crores as against 273 crores , an increase of 79% vis-à-vis previous quarter , though it was lower by 20% as compared to year -on-year position. The EBITDA margins during this quarter was 18.7% as compared to 11.7% in the previous quarter and 22.6% previous year. The profit before tax for the quarter was 295 crores as against 65 cror es

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in the previous quarter and 415 in the previous year. The profit after tax was 205 crores as against 45 crores and 289 in the previous year. The EBITDA per ton for the quarter was 1 ,040 as against 649 per ton in the previous quarter and 1 ,335 in the previous year.

If we see the position for the 9-month period :

For the standalone the net sales was 7 ,493 crores for the 9-month period as compared to 7 ,707 crores in the previous year. The EBITDA was 1 ,241 crores as against 1 ,458 crores , a drop of 15%. The EBITDA margin for the 9-month period was 16.5% as compared to 18.7% in previous year, a drop of 13%. The profit before tax was 650 crores as against 850 crores previous year. The EBITDA per ton was Rs. 910 for the 9-month period as against 1 ,091. These are the major highlights .

The balance sheet position ; the gross debt as on 31st December was 4 ,863 crores as against 4 ,593 crores as of March. The cash position was 1 ,755 crores as against 2 ,011 as of last year . The net

debt was 3 ,108 crores as against 2 ,582 crores. The net debt to EBITDA was 1.74 as against 1.29. These are the major highlights.

Besides the board also reviewed an opportunity in the region of J &K and decided to invest in Saifco Cements which has a capacity of 0.42 million tons and it is proposed to acquire 60% of

the equity of the company and the company proposes to enter into the shareholders agreement and the share subscription agreement and the deal would be —this would however be subject to the completion of the due diligence process and some of the conditions precedent which are likely to get —completed within next 3 to 6 months' time . So, this has been the major position for this quarter.

I will be pleased to address your queries. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Jyoti Gupta from Nirmal Bang .

Jyoti Gupta: Two questions , I understand that north has been extremely doing very well and 4th Quarter also seems to be robust. Two things , one just that since the volume growth has been there yet the raw material cost has increased on a YOY basis while your power and fuel has declined substantially by 19%. Could you please explain why is it not commiserating with the raw material cost increase? The second thing is , has the plant that we acquired in Orissa stabilized completely and has it become breakeven now? So , which means any losses from the east plant in Or issa has no implications on the overall EBITDA . And plus, what is the implication apart from the market share for Sa ifco, how do you intend to increase the capacity? And in what stages would you actually increase the capacity for Saifco?

Management: So, I will answer , the power and fuel expenses if you see , they have increased during the quarter as compared to previous quarter. Though you know the volumes overall if we see , they have been more or less flat and the clinker production was lower because in the previous quarter also

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and in this quarter, there had been some shutdown in the previous quarter. So, the power fuel consumption was lower and, in this quarter, we also see a lower fuel pricing as compared to previous quarter.

Jyoti Gupta: And the plant in the east Orissa the one we actually acquired.

Management: So, the one we acquired we have done some modification in the plant and that has now been completed. It's at completion stage. And I think from the from next fiscal onwards we propose that whatever we will be operating the plant at full capacity and would be generating profits.

Though in this year up t ill now there has been some losses at Toshali plant and in the 9-month period , there has been a cumulative loss of about 9 crores.

Jyoti Gupta: We see it profitable despite buying clinker from the open market or have we acquired some reserves over there and we'd be able to ?

Management: No, we are not buying clinker from the open market. We are getting the limestone. We don't have a long-term limestone arrangement for a higher capacity. Whatever the existing capacity we are getting the limestone. That agreement is already there. So, the clinker is already operating there. So, there are certain production inefficiencies and some modernization had to be done.

This work is at advanced stage and it's at the completion stage and will be operative . Within this quarter the plant woul d be normalized and we are going to launch our brand also in this quarter.

So, with that from next year from post FY25 -26, we see a positive EBITDA from the Toshali plant.

Jyoti Gupta: Correct me if I am wrong , we are not really present in the east market. So , there'll be some selling and brand ing expenses which should build up in the 4th Quarter and the subsequent one quarter.

Management: We don't have any big plans because it is a very sm

all region, and we have a small quantity also.

So, there is no big spend which is of significant nature which needs to be specified and told that we don't have any such plans.

Jyoti Gupta: What about Saifco, I would like to understand apart from ...

Management: So Saifco, t his is a plant in the Srinagar and this is a capacity of 0.42 million tons and presently the clinker capacity is about 0.26 million tons. And the plant is operating at a lower efficiency.

Though it will not be ...on the numbers we can say it is 40%. But in the region , in the valley we operate the plant only practically for about nine months only. So , one it's already a profitable company. There is EBITDA margins of about Rs. 1,500 a ton. But we see that there are

immediate opportunities in improving the performance of the plant and to get an increased profitability by another Rs. 400 a ton. Besides you know we have a plan but we have studied the plant. There is an opportunity to increase the clinker capacity to about a 1000 tons per day with

a capital outlay of about 50 to 60 crores. With that we would be able to increase , the present profitability in that plant is around 24 crores which is inclusive of the SGST benefit which is we

get benefit both on central and state , so it's a full exemption. So that including that and which is

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available up to 2031. So , we are hopeful to one increase the profitability , take it up to Rs. 2,000

a ton and at the same time increase the production capacity from present level to more than 100% over a period of 1-1.5 years. Immediately after taking over within 6-months we will be able to step up to about additional 60 %-70% and then another 50% after we do the CAPEX . This plant also has a mining reserve spread over 144 hectares and the reserves of about 123 million which gives an opportunity for further expansion which a view would be taken not immediately. Once this is a new region, we will evaluate the region. We will see how the things are politically and otherwise. It's a new region for us. We need to understand the things. And maybe after 3 to 5 years a call may be taken depending upon the situation to further expand there or not.

Jyoti Gupta: The other thing is 174 crores is 60%. I said 60% at 174 , so your plans to acquire full stake of 100% by when?

Management: So, the value is 290 crores and 60% is 174 crores.

Jyoti Gupta: And the refurbishment cost apart from or does it include refurbishment cost?

Management: Refurbishment cost is about 60 crores in all which will be met from the operations of Saifco itself.

Jyoti Gupta: And the 60% will become 100% by when or is it going to be 60% for the next 2-3 years?

Management: No, we do not know about that because there has been. There is no such immediate agreement. We will see how going forward if it is possible or not. But as of now it is a joint venture which is going to continue at 60 -40.

Jyoti Gupta: And the profit sharing will also be at 60 -40?

Management: Yes, of course that's the equity. So , it would naturally be that.

Moderator: The next question is from Amit Murarka from Axis Capital.

Amit Murarka: But last quarter you had a lot of one-off cost. Just wanted to confirm that this quarter was there any one off in the result or it's just absolutely normal quarter now?

Management: Yes, this has been a more or less normal quarter.

Amit Murarka: And on the CAPEX front like what is the number that you're looking at now for '25 and this is a tentative number for '26 as well ?

Management: So CAPEX like we have planned around 1,900 crores of CAPEX in this year and next year CAPEX would be in the range of

Amit Murarka: Sorry I didn't get the next year number .

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Management: As I said earlier , we remain as it is except whether you take it as a part of CAPEX

or thing , this

175 crores on this Saifco acquisition would be additional.

Amit Murarka: So, 1,900 plus this Saifco number ?

Management: Saifco number will come actually in the next fiscal. This was not going to come. The payout will be sometime next fiscal only, beginning next fiscal.

Amit Murarka: And what is the number for next year you mentioned?

Management: Next year 1,700 crores plus the Saifco acquisition like 174 crores. So even if you see , the 1,700 crores will include major is for the Line 2 which is about 1,400 crores and 300 crores is the normal CAPEX , broadly the broad numbers if you look at . So that would be the numbers for 14+3+ Saifco . These are the numbers.

Amit Murarka: And also, in terms of the future expansion potential that Jaisalmer and Mundapur and others like , is there any progress either in terms of approvals or anything that you see ?

Management: So, we are just working on all the approvals for Jaisalmer and we would have a clear picture sometime by June this year.

Amit Murarka: And can we think of when can this tentatively start in terms of CAPEX ? I mean can the CAPEX start in FY26 itself ?

Management: See much would also depend on the scenario , so once you know we are yes , as far as this calendar year is concerned, we would first concentrate on completing Line 2 which is presently on track and the expansion work is on track and we are well set to commission the whole thing within FY26. So , we are confident on that There has been some delay in the approvals for the grinding unit where also you know we have done the Bh umipujan and now we expect that to be you know within 11 to 12 months. So , by December this year or January next year , the grinding at Bihar would also be operative. So yes , by that time once we have all the approvals then we will take a stock of the market situation and then take a call on the various opportunities which we have and plan accordingly.

Amit Murarka: And lastly like what is the expectation on the Kcal fuel cost now ?

Management: Fuel cost is already down

Management: It has come down. It was I think some of the contracts we have...

Management: Rs. 1.50 paisa in this quarter.

Management: But again, as we speak there has been some price increase is there , we have to wait and watch.

But the quarter December was quite good in terms of when we placed orders for Pet Coke at

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very good rates , ranging from you know between \$95 to \$105. But we do not know going forward what will be the situation as we are already seeing some hardening of the pricing.

Amit Murarka: And what was the K cal number this quarter?

Management: Rs. 1.50 paisa .

Moderator: Next question is from Patanjali Srinivasan from Sundaram Mutual Fund.

Patanjali Srinivasan: A couple of questions. One is , what would be the incentive that would be included in our other operating incomes in this quarter?

Management: So, incentive going forward and even now you could say broadly around , it would be 25 crores a month , 75 crores per quarter , broadly, when the 10 crores here and there d ependng upon the volume and other things , some incentives so that would be the whole thing. It's around 75 per quarter.

Patanjali Srinivasan: So, the additional difference here like in the current quarter number some 110 crores , so what would this be? What would the differential be like , what is the nature of that?

Management: 110 crores include the other operating incomes also . It is not totally the incentive but yes .

Patanjali Srinivasan: I am just trying to understand what the difference is.

Management: There was some additional incentive account of the start of the incentive for the Ujjain plant.

And Panna also we have got the additional approval for the CAPEX . So, there's some incentive of 10 to 15 crores relating to the previous period which is accoun

ted for in this quarter.

Patanjali Srinivasan: And just one more question , the white cement, the realization in the overseas has gone up quite meaningfully . Can you tell me like what was the reason for this?

Management: I didn't follow .

Patanjali Srinivasan: The white cement realization , the overseas business has gone up pretty meaningfully. So, could you tell me like what is the background for this?

Management: No, it is actually because it is regarding the Fuja irah plant. So , Dubai economy is picking up , there is good real estate growth and that is why we are able to get good results in the UAE operations.

Moderator: Next question is from Sumangal N evatia from Kotak.

Sumangal Nevatia: Just want some more color on the white cement and putty market. If you could just share how are the margins and the overall demand supply situation in the domestic market? Is it deteriorating further , is it stable? Are there any green shoots visible?

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Management: So, the putt y market continues to be very competitive. So , both, Asian Paints and Birla, they are very aggressive. So as a result, I mean putty , the prices are under pressure and Asian Paints has already become the largest seller of putty , though they don't have any manufacturing facility , they are mostly outsourcing but still they have the largest market share of putty. But having said so, though the demand is increasing there has been a growth in putty demand about 8 %-9% overall. Yes , the growth of Asian Paints is more than us. We have grown by about 4% and Asian Paints has grown in double digits. So , this platform still remains very competitive. There is an absolute growth in volume of the w hite business. But otherwise, it is very competitive and it is having an impact on the margins. But still, we are able to operate , get EBITDA margins ranging between 15 % to 20% in the white business.

Sumangal Nevatia: From your commentary on the cost side as far as variable cost is concerned , is it fair to kind of infer that we have kind of , all the cost savings largely because of the commodity price deflation is behind us and from here on it will basically depend on how coal prices trend.

Management: So ye s, but there are certain some more opportunities there . In terms of we are increasing the share of our green power and we continue to work on increasing the AFR share. And besides that, we are working on the logistic costs. So , these are the areas where still we have got certain benefits which have accrued. But there are we see some more as we said you know on a journey of about Rs. 150 to 200 a ton . We may be closing the year by Rs. 40-50 realization of that. But some other about Rs. 75 a ton , we will get over a period of time.

Sumangal Nevatia: And is it possible to share how is the prices now say in January versus the average of 3Q in our key markets north and central ?

Management: Except I think marginally higher in the month of January on the average of Q3. But this is just a beginning. We have to see how it goes and though we are hopeful yes , it could better than Q3 .

Sumangal Nevatia: It's similar both in north and central the tr end?

Management: Yes, both . But it will depend because when the yearend comes and there is a pressure on volumes by everyone , does it have any impact on the pricing , so all this has to be seen but as of now yes.

Sumangal Nevatia: Overall , in our growth of mid-single digit and how has been the market growth in both central and north in the third quarter?

Management: So, our growth naturally most of our growth is coming from the central markets. Because our expansion is in the central market. Our growth in the north is, we may be marginally at par or maybe marginally lower than the overall because when we had some maintenance, so at that point of time we did cut down some of the non-trade volumes but we have been able to maintain our trade share across. But the major growth factors is in the central India where the major investment is being done. There definitely we are growing much more than the market.

Moderator: Next question is from Prateek Kumar from Jefferies.

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Prateek Kumar: My first question is on incentives; you said 75 crore per quarter. So, this run rate based on future expansions and ongoing run rate? This number could stay stable for like maybe a number of years like 3 to 5 years or like how is the incentive going to pan out?

Management: It should remain stable because what would happen, like for north, going forward the north incentive which we are getting for at Nimba hera will get tapered off. But however, the central incentives would increase. So, we see in terms of the value, it may remain same but it could have a lower impact if larger volume numbers say north is also excluded south gets excluded. So that may have some mixed variance. Otherwise, we see that about 75 crores each quarter we should get as an incentive.

Prateek Kumar: And is there any difference in timing of receipts from various state governments for whatever reason in those states' fiscal at this moment?

Management: So, timing difference you know it takes about a year or so in realization. So, what we see vis-à-vis whatever would get accrued in this year, the actual realization is more or less of the amount which accrued last year. So, it's a 1-year gap. So whatever amount gets accrued this year we should get the payment in the subsequent year.

Prateek Kumar: And one more question, on your profitability, we have recorded like industry leading EBITDA per ton this quarter. And as you said there's no specific one off either, there's like small one off in incentive due to prior case. But still like Rs. 1,000 is the unit EBITDA for this quarter. There's some price increase in Q4 and operating leverage, both of this will lead to probably growth to 1,100 or so in next quarter. How do you see profitability in Q4?

Management: So Q4 it all depend upon what is the price increase over Q3. So, whatever is the price increase over Q3, I think that much we are confident of getting that incremental EBITDA.

Moderator: Next question is from Navin Sahadeo from ICICI Securities.

Navin Sahadeo: A couple of questions. So first of all, paints if you can just throw some light, how was the performance in this quarter in terms of revenue and EBITDA? I think in past quarters there have been some losses in the paints business. So, does that continue? If you can give some information there.

Management: So, if we talk about the revenues for the paint, in this quarter we did about 83 crores as the net revenue vis-à-vis which was 53 crores in the previous quarter and year-on-year it was 47 crores.

And in the 9-month period we have done 200 crores as against 101 crores in the previous year.

So, we have been able to pep up this business quite well. Yes, on the profit it is nothing surprising. But this was there that we have to establish the brand and there is the fixed costs are also will be on the higher side. In this quarter there is a loss of 17 crores which is more than what it was in Q2 of 11 crores and in the 9-month period we have had a loss of 38 crores. And we should be ending the year with a loss of approximately (+50) crores, marginally over 50 crores.

This is how we see and that is as per the plan and we expect the top line to be around (+275)

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crores. This was an indication what we had given 275 to 300 crores. Despite the fact that this year there has been a big disruption by launch of Birla Opus. So, we have been able to do that.

Navin Sahadeo: And just to understand this better this loss of 17 crores is bulk of it in the standalone

entity or it

could be in the consol entity?

Management: It's in the consol.

Navin Sahadeo: So, the entire loss is in the consol entity?

Management: Yes, because it's paint loss not in the standalone entity. And despite that, I am saying despite that the difference between consol and standalone remains positive at about 2.5 crores EBITDA.

Management: This is because of good profits from the Fujairah plant.

Navin Sahadeo: Fujairah is really doing good then, right?

Management: Yes, the Fujairah we had about 24 crores as an EBITDA during this quarter which was same as previous quarter and in the 9-month period we have got about 68 crores as EBITDA as compared

to 55 in the previous year.

Navin Sahadeo: So, from a volume perspective sorry, I've not done the math. But what is the utilization at UAE now and what is the scope there? Because if the profitability is good, can we expect further improvement or recovery there?

Management: See again UAE though but it's a very typical market. As we foresee going forward next year would become a bit challenging because Asian Paints is planning to set up a white cement plant in the UAE which should come sometime middle of this year, though not a big capacity but definitely that is going to have some disruption.

Navin Sahadeo: In the UAE market you're saying?

Management: Not exactly UAE market but again, this is primarily for self-consumption. They would bring in clinker from there to India and maybe use for the putty production. So that's a plan. We do not know what is there. If they have some other plans though but the capacity is not big. But having said so since we being a major supplier to Asian Paints for their putty it will have some disruption on the volume numbers for white cement, both in the UAE and India. Because we will be losing a big customer.

Navin Sahadeo: Is it possible to say how much is the volume quantity?

Management: Combined close to about a lakh ton.

Navin Sahadeo: A lakh ton volume, 100,000 tons is what we sell to Asian Paints on annual basis which can be impacted next year?

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Management: Yes, which can be. 80,000 to 1,00,000 tons, but not full year may not be impacted but partially, yes.

Navin Sahadeo: Fair point, the market is also growing so that is also.

Management: So, we have been working out on other avenues, as we said even for Fujairah we have a backup plan. We introduced dry mix mortars; we had Africa as a growth area. So, all that working which we had done now, it is giving some positive results. So, Africa is not turning into black and even the dry mix mortars is giving us profits. And we are trying to do look at other revenues for white cement in the region. So, I am saying further though a capacity utilization is as for overall capacity utilization. It's about 85% but so the plant will definitely be operating around (+75%) including clinker and cement.

Navin Sahadeo: And on the grey cement bit, are we likely to face any volume disruptions in the UP region because of the ongoing Kumbh Mela and maybe one of our plants might be in there. So, do we see any logistic issues or some hit on volumes because of this? Just wanted to get the sense.

Management: No, not much, it's not affecting.

Navin Sahadeo: Not affecting as such.

Management: No significant as such. That way that Delhi will have some elections, not any major disruption.

Navin Sahadeo: And last question. Was there any change in the mix in the quarter sequentially as in trade versus non trade for the March quarter or those are broadly be same?

Management: No, trade was 66% in this quarter. Last quarter it was 65%.

Management: One more thing. We have been able to improve upon our premium products. So, this quarter had the highest percentage of premium products.

Moderator: Next question is from Ritesh Shah from Investec Capital.

stec Capital.

Ritesh Shah: I just wanted some clarity on the J & K venture. I was just looking at the number of limestone leases in the state. There are several of them including several in the names of Mr. Trambhu. I think he is a key owner from where we are looking at the asset, looking to buy the asset from. So, the question is what is the sort of competitive intensity you look in the region and how is it that we were able to pick this asset and nobody else in the industry?

Management: That I will not know how, see we have been looking at J & K for some time 2-3 years. So, we have been seeing what sort of opportunity there. There was some time divestment of J & K

Cement also was on the cards and then we had some friends in the region and so they connected us maybe then we had a dialogue and because nobody is ready to divest when they have been there and all. I think cement, all the players are there since late 90s, mid-90s. Everybody came in to set up the plant during that period and they have a good incentive package and so they have

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not told anything which needs the diversification. So, we had some meetings and we could convince them that it would be a win-win position. But definitely when we started a dialogue for a 100% acquisition which was not there acceptable at all. So, then we came that it could be you know a good partnership in the interest of both the parties. And this is how we got into this arrangement.

Ritesh Shah: And so there are multiple limestone leases across different districts over there. Do you think after your move, the competition in the region will actually increase?

Management: I don't think so. See again there are 5-6-7-8 plants over there in the region which supply. The limestone leases in our case also, the limestone lease earlier the land or the mining lease had to be, a company could not own those mining lease. So, they were allotted to in the name of individuals and they used to lease it out to the company and now the government has relaxed that. So as a part in our case in particular, the mining lease will get transferred in name of the company. So, though the extension is already there that's a process. So, it will be extended up to 2046. And at the same time as a next step, we propose to get the lease transferred in the name of the company.

Ritesh Shah: Can you detail on the sort of incentives that you are expecting? And we have indicated some incremental CAPEX over there. Is it contingent to the state's industrial policy or the fiscal incentives and what sort of numbers we are looking at over there?

Management: So, they already have, this Saifco has an incentive which is available until 2031. So, it's a 100% exemption of SGST and GST. So, which is around Rs. 800 a ton if we convert that into the per ton analysis. So, it has an impact about Rs. 800 to 900 a ton. And this will continue until 2031. And it has got, there are no other stipulations in the exemption which is available to Saifco. I am not aware of any other plant but for Saifco it is there and this investment, which is being done, 60 crores is only being done with a view to increase because that market is 100% OPC market. The grinding capacity is 0.4, what we lack is clinker and there is a scope in modifying the kiln production from present about 750-780 per ton to 1,000 tons per day. And with our technical experience and other things, we would be in a position to increase the productivity of the kiln.

Ritesh Shah: Anything on the tax rates?

Management: A tax rate, it's a normal. There's no special, there's no incentive on the tax rate.

Ritesh Shah: Accumulated losses, anything.

Management: Yes, there are some accumulated losses. So that we are evaluating as a part of. I don't have them because that is a part of the process of the whole due diligence. So

, I would not be able to until

the whole due diligence is done regarding the tax which is a part of process, we will not know what are the tax incentives which are, accumulated losses are there as per the assessment, what opportunities are there over there? That is a work in progress.

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Ritesh Shah: And my second question was on Toshali. I am not sure whether we still have clarity on the limestone over there. If at all if we get into a MoU how much is the rupees per ton including royalty that will have to pay to the government? Is there any clarity on that as yet? And if not then why are we even considering Toshali?

Management: Because again there is definitely an opportunity available, we are still in dialogue with the government and we have not got a regret. They are still considering our proposition. So, we are hopeful to even going forward we could see in the vicinity and some of the mining may come for auction. So, if that comes into place and we take a mine and auction so that will become again a business case for us.

Ritesh Shah: Historically the way in which we have operated, we have been very conscious on the OPEX side. If it is through auction, it will become expensive. I am not sure if we do MoU whether it will be below Rs. 300 per ton of limestone. So, is it like optimal from a ROC standpoint or is it more like regional diversification, it's more of a strategic move that we are looking at?

Management: Going forward auction mines or limestone mines will be coming for renewal. So, post 2030 most of the cement which would be produced would be from the mines which have been already re-auctioned or from auction mines. So going forward there would be nothing available, very few mine areas would be available where you have limestone where there is no premium has been paid. We have to see everything in the medium and long term, not in the short term. In any case even if everything goes well with the mining lease and we get the mining lease allotted at Toshali, the plant would not come into operation before '28.

Ritesh Shah: If I may squeeze one industry level question. You did indicate that post 2030 most of the leases which will be used will be under auction leases. So possible based on your assessment, if you could highlight which region will see the maximum cost or raw material inflation, is it central, north-south, how are you looking at it?

Management: The older plants, their leases will get expired. The newer plants will have some more years to come stay. The plants which started you know all capacity, all the mining leases which were allotted in the 80s will come for renewal.

Ritesh Shah: So, from that perspective we will be very well placed in central India but not so much in northern India.

Management: Yes, some of our mines are coming for renewal in '30-32-35. So that is there it is. So, we have taken, that is definitely there. It is there for all established players.

Moderator: The next question is from Sh ravan Shah from D olat Capital.

Shravan Shah: Most of question has been answered , couple of just a clarification or the d ata points. First this clinker line , the second line and the 6 MTPA . So, you mentioned out of that just Bihar likely to be either max to max by January , it will start and rest all will start by this December end ?

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Management: Yes, we see the clin kerization and the other two the modification in the existing grinding units at Panna , Hamirpur and Prayagraj to get done in this year.

Shravan Shah: In terms of the cost reduction , you mentioned correct me if I am wrong , that in the 4th Quarter you are looking further Rs. 40 -50 kind of a cost reduction and another Rs. 75 odd in the next year?

Management: No, I said cumulatively what we have been doing , we would see you know

some savings have

already accrued by March. So , some savings are already there. So , this could be 40 -50 by the close of the quarter , the cumulative savings.

Shravan Shah: And the next year ?

Management: It is not an incremental saving in this quarter.

Shravan Shah: And then for Incrementally next year how one can look at in terms of cost savings ?

Management: Maybe over a period of time we could definitely see another Rs. 50 coming in next year.

Shravan Shah: Second , just to get a number for 9-months how much consol CAPEX we have already done ?

Management: 9-months we have already done CAPEX of around 1400 crores.

Shravan Shah: And the incentives though you have mentioned that this quarter was 10 -15 crore s extra. So is it fair that for this quarter we have book around 85 -90 odd crore s incentive.

Management: Yes.

Shravan Shah: Fuel mix for this quarter how much Pet Coke would be?

Management: Pet Coke is normally by heat around 75%. See Pet Coke is higher in case of the north and the southern plants. While in case of the central plant , it is lower where domestic fuel is the major fuel and Pet Coke is around 25%-30%.

Shravan Shah: In the 4th Quarter at grey c ement , I am just trying to understand how much growth one can look at for industry where we operate or maybe for us 9 %-10% kind of a growth one can assume.

Management: We are targeting but I think we are confident that we could get about 7 %-8%.

Shravan Shah: And for paints , whatever the for FY26 and '27 revenue , last time whatever you have spoken 400-450 crore s and 600 , so that remains intact ?

Management: Yes, I think that 450 and 600 still remains intact and we are working towards that.

Shravan Shah: And in terms of EBITDA breakeven by FY27 only we will be able to do ?

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Management: FY27 should be a bit of break even.

Shravan Shah: And lastly road mix for this quarter would be how much same , 91%?

Management: Yes, road was 91%.

Moderator: Next question is from Uttam Kumar Srimal from A xis Securities.

Uttam Kumar Srimal: My question pertains to premium cement. You mentioned about 16% , where do you see premium cement sale moving ahead in next 2 years?

Management: So, we are working next 2 years definitely we should be able to have (+20%).

Uttam Kumar Srimal: This premium cement here is coming more from the central unit?

Management: So, today maximum it is in the south plants. But central region is a new market which we are entering as we are expanding the central region. That is why it's taking some time. So , yes we would be expanding in the northern as well as central regions.

Uttam Kumar Srimal: And lastly what would be our volume growth guidance for FY26?

Management: So FY26 should be you know around 10% , definitely from exit of FY25.

Moderator: We take the last question from Vignesh SBK from Ksema Wealth.

Vignesh SBK: Just want to understand how is market dynamics in our region , any competition from the large players ?

Management: So, the competition from the last player remains as it was over the previous quarter. There has been no new large player or anything which is of which is having any significant impact.

Vignesh SBK: Any pricing impact because of these players , aggressive or how was ...?

Management: I will not say as of now we have anything. And if there is anything we will let you know. But as of now it is not there .

Moderator: Thank you very much. That was the last question. I would now like to hand the conference back to Mr. Vaibhav Agarwal for closing comments.

Vaibhav Agarwal: Thank you. On behalf of PhillipCapital (India) Private Limited , I would like to thank the manage ment of JK Cement for the call and many thanks for participa nts for joining the call .

Thank you very much sir. You may now complete the call.

Management: Thank you, Vaibhav . Thank y

ou everyone for joining.

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Moderator: Thank you very much. With that we conclude the conference. Thank you for joining us . Ladies and gentlemen , you may now disconnect your lines.

Call: May 2025

27.05.2025

Dear Sir/ Madam

Sub: Transcript and Audio Recording of Conference Call pertaining to Financial results for Q4 FY 2025.

Please find below the Link of Transcript and Audio Recording of Conference Call concerning Financial results Q4 FY 2025 held on 26.05.2025 by the officials of the Company. The said results were approved by the Board of Directors of the Company at its meeting held on May 24, 2025. The same is also available on the website of the Company at www.jkcement.com .

Link for Recording and Transcript : <https://www.jkcement.com/transcript-report>

This is for your information and records.

Sincerely

Shambhu Singh
Vice President & Company Secretary
FCS No. 5836

National Stock Exchange of India
Ltd.,Exchange Plaza, Bandra Kurla
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Through: NEAPS
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Department, Phiroze Jeejeebhoy
Towers, Dalal Street, Fort,
Mumbai-400001
Scrip Code:532644 (ISIN.INE 823G01014)
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“JK Cement Limited Q4 & FY '2 025 Earnings
Conference Call ”

May 26, 2025

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR AND CHIEF FINANCIAL OFFICER , JK
CEMENT LIMITED

MR. PRASHANT SETH – PRESIDENT BUSINESS
INFORMATION AND INVESTOR RELATIONS , JK
CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

JK Cement Limited
May 26 , 2025

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Moderator: Ladies and gentlemen, good day and welcome to JK Cement 's Earnings Call for Quarter and Year Ended 31st March , 2025 , hosted by PhillipCapital (India) Private Limited .

As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited . Thank you and over to you Mr. Agarwal .

Vaibhav Agarwal: Yes. Thank you, Michelle. Good morning, everyone. On behalf of PhillipCapital (India) Private Limited , we welcome you to the Q4 and FY '25 call of JK Cement Limited .

On the call we have with us Mr. Ajay Kumar Saraogi – Deputy Managing Director and CFO, and Mr. Prashant Seth – President (Business Information and Investor Relations).

I would like to mention on behalf of JK Cement Limited and its Management that certain statements that may be made or discussed on today's conference call may be forward -looking statements related to future developments and statements which are based on current management expectations . And these statements are subject to a number of risks, uncertainties and other important factors which may cause actual developments and results to differ materially from the statements made. JK Cement Limited and the management of the company assumes no obligation to publicly alter or update this forward -looking statements, whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of JK Cement for the opening remarks , which will followed by interactive Q&A. Thank you, and over to you Saraogi sir.

Management: Yes. Thank you, Vaibhav. Good morning, everyone. And welcome to this Q4 Call. The Board of Directors met on 24th of May to review the working of the company for the quarter -ended 31st March , '25, as well as for the whole year. I will be presenting to you a brief synopsis and then we will take up the questions.

So, for the quarter, the net sales was Rs. 3,225 crores as against Rs. 2,606 crores in the previous quarter, an increase of 24% , and 13% increase year-on-year which was Rs. 2,856 crores. The EBITDA for this quarter was Rs. 736 crores as against Rs. 490 crores in the previous quarter, an increase of 50% , and Rs. 548 crores the previous year, an increase of 34%. EBITDA margins comparative was 22.8% in this quarter , 18.7% in the previous quarter , and year-on-year 19.2%. If you look at the profit before tax was Rs. 593 crores as against Rs. 295 crores in the previous quarter , and Rs. 358 crores previous year . The per ton EBITDA was Rs. 1,265 a ton as compared to Rs. 1,040 in the previous quarter and Rs. 1,078 previous years.

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These are the standalone results . And for the year the net sales have increased only marginally by 1% at Rs. 10,708 crores as against Rs. 10,563 crores. The EBIT DA was down by 1% at Rs. 1,978 crores as against Rs. 2,005 crores. EBITDA margin for the year was 18.5% as against 18.9%. Profit before tax was higher at Rs. 1,243 crores as against Rs. 1,212 crores , an increases of 3%. And the profit after tax was higher at Rs. 870 crores as compared to Rs. 831 crores year-on-year. The EPS was Rs. 112.59 as compared to Rs. 107.5, an increase of 5%. For the year, the EBITDA per ton was Rs. 1,017 as compared to Rs. 1,087 in the previous year.

As far as the consolidated position , the net sales, again , consolidated for the company was higher by 23% at Rs. 3,466 crores as against Rs. 2,119 crores in the previous quarter and 15% up year-on-year at Rs. 3,000

crores, which was Rs. 3,016 crores. The EBIT DA for the quarter consolidated was Rs. 765 crores as against Rs. 492 crores and , Rs. 560 crores in the previous quarter. EBITDA margins comparative was 22.1 % , 17.4% and 18.5 % . The earnings per share consolidated was Rs. 46.60 as compared to Rs. 24.50 and Rs. 28.30.

Consolidated position for the year as compared to previous year:

The net sales were higher by 3% at Rs. 11,493 crores as compared to Rs. 11,203 crores. The EBITDA was marginally lower at Rs. 2,027 crores as compared to Rs. 2,060 crores. And the profit before tax was higher by 6% at Rs. 1,242 crores as compared to Rs. 1,174 crores , and

profit after tax was higher by 10% at Rs. 872 crores as compared to Rs. 790 crores. The earnings per share was Rs. 111 as compared to Rs. 102.

These are the major highlights on the performance of the company. After reviewing the performance, the Board also declared a dividend to the shareholders, they proposed a dividend for consideration of the shareholders at Rs. 15 per share.

I would also like to inform you about the debt profile of the company. So, the gross debt as on 31st March stood at, for the standalone position at Rs. 5,101 crores as compared to Rs. 4,593 crores. The cash balance was higher at Rs. 2,536 crores as compared to Rs. 2,006 crores. And the net debt as on 31st March was Rs. 2,565 crores as compared to Rs. 2,587 crores. The net debt to EBITDA for the year was 11.3 as compared to 1.29. And the net debt to equity was 0.42 as compared to 0.48.

The expansion project, we are doing an expansion, a brownfield expansion at Panna along with the Greenfield split grinding location at Bihar of 6 million tons. The work is in progress and as per schedule. And we will definitely complete within this fiscal, though our target is that maybe by December or January the entire thing is on stream.

So these are the major highlights. And if you have any questions, we will be happy to address the same. Thank you.

Moderator: Thank you very much, sir. We will now begin with the question-and-answer session. The first question is from the line of Amit Murarka from Axis Capital. Please go ahead.

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Amit Murarka: Yes, hi, good morning. And thanks for the opportunity. So first of all, congratulations on a great, great result actually. So my question was, I see that in Q4 you were at 94% clinker utilization, could you also provide the clinker produced in FY '25?

Management: Yes, Prashant, can you share the numbers?

Management: Yes, yes. Clinker production for the year as a whole is 12 million tons.

Amit Murarka: Could you provide the decimal as well?

Management: Its 11.92 million tons.

Amit Murarka: Yes, right. Okay, great. So, like with this Panna 2 expansion coming through in December, I believe you will have good leeway for growth even beyond the '26 then. I also wanted to understand what would be the expansion plans beyond '26 now that Panna is now nearing completion I am sure you would want to plan ahead as well.

Management: Yes, definitely. See, we are working out on the various options. As we have already told on our journey beyond for 2030 to become a 50 million producers. So we have options for Jaisalmer may and we have options in the in Karnataka as well as Orissa, and another line at Panna. But mostly, we are just working out the possibility, could be any other things but we are working out on the nitty-gritties. And I think mostly in next three to four months' time maybe by closer to commissioning of this plant we should be in a position to know our next plans of expansion and we will let.

Amit Murarka: Sir, any priority that you think should be there, like Panna Line 3 will come --

Management: I think it should. Mostly we are working, it could be not, but again we are evaluating everything, we are looking at all

the approvals, status.

Amit Murarka: And lastly, CAPEX plan for '26 in rupees crore.

Management: CAPEX will be again in the range of Rs. 1,800 crores to Rs. 2,000 crores in this year.

Amit Murarka: Sure. Thank you. I will come back in the queue.

Moderator: Thank you. The next question is from the line of Harsh Mittal from Emkay Global. Please go ahead.

Harsh Mittal: Thank you for taking my question. Congratulations to management for a great set of numbers.

Sir my first question is that has there been any update on the Orissa limestone mining lease agreement with the state government? That is your first question, sir.

Management: So, not yet. I mean, the update is that we are still pursuing and unless we get either on getting the mining lease or the a long term arrangement which could support a project, we are still

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pursuing with the government. It has concluded yet, the grant has not been done, so I think maybe. It looks challenging, but I think we should have an answer sometime in the next three to four months' time.

Harsh Mittal: Sure, sir. Sir my second question is, sir, what has been the incentive booked this quarter and the guidance for FY '26?

Management: Prashant, can you give the numbers, the incentive for the quarter?

Management: Actually incentive, we are booking on the accrual basis, so there's not much of a difference on

the quarter -on-quarter basis, it is like normally in the range of Rs. 75 crores to Rs. 80 crores every quarter. And that is likely to continue in this year also.

Management: Except in this quarter we have incentive which we got for Prayagraj , so that is the incremental incentive of Rs. 12 crores which has come in this quarter.

Harsh Mittal: Sir lastly, what is the consolidated gross debt and net debt ? Sorry if I missed in the opening remarks but if you can share , consolidate gross debt and net debt?

Management: There's no difference on the consol because they are paying off cash on the consol level , okay ? Management: And there's no borrowing in in any of the subsidiaries.

Harsh Mittal: Okay . Thank you , sir. These are my questions. Thank you.

Moderator: Thank you. The next question is from the line of Vikram Suryavanshi from Phillip Capital India. Please go ahead.

Vikram Suryavanshi : Good morning , sir. Sir, there was news regarding Container Corporation working with you on tank containers for bulk cement movement as well as LNG vehicles for end -to-end logistics. Can you highlight the scope of work and how it will benefit for the company?

Management: So see, on a tanker movement this is another line which some companies are doing. So, we are in discussion with them . And we will work out . Everything is for freight optimization and we are able to resolve container cost, because again even there, there is a lot of competition . And we had a meeting with the Chairman of Container Corporation. And then he suggested that on the container rate. So we will need to work out, because there is a n increased demand for bulk cement going on , so how that that would benefit on movement of bulk cement.

Vikram Suryavanshi : Okay , got it. And tank containers are purchased by Concor on behalf of some of the customers or we will buy our own containers and use Concor networks , how that will be planned?

Management: We have discussed , they will give a proposal. We will review the proposal. And then take a final call.

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Vikram Suryavanshi : Understood , sir. Okay , thank you.

Moderator: Thank you. The next question is from the line of Navin Sahadeo from ICI CI Securities. Please go ahead.

Navin Sahadeo : Hello. Good morning , sir. And congratulations on a great set of numbers. I think everything has fallen in place, be it volumes , realization and the cost as well. My questio

n was, are there any

one-offs in the quarter? Like be it on the cost front or let's say the realization front, which are unlikely to continue in the next quarter.

Management: No, there are no one -offs, but we have got the good volume numbers , mainly driven by the Central India . And where we are more or less have been able to ramp up the entire capacity now. So, in fact we are ready for the expansion. And if we had more clinker, we could have done extra volume. But that is there may be if you see in terms of year-on-year there would be certain of the numbers where the some of the numbers were we had changed the method for , because more material was in transit so that's why the sale was less than this year the transit quantity has been lower. So that could be the only reason. Otherwise , we do not see there no one -offs in terms of any realization or on the cost.

Navin Sahadeo: And there would also be some impact because of the Maha Kumbh in the previous quarter ?

Management: No, no, actually see , that is one of the reasons why we have a good growth that somehow our logistics team has done a very fantastic job in ensuring when there has been actually a minimal loss to us and we could just plan it in a way that during the Kumbh itself all the material reached wherever it was required. But year-on-year if you see, the growth in the eastern region is there, it's reflected. So that is not one -off, it is going to continue now going forward.

Navin Sahadeo: Right. My second question then was about the difference in the EBIT DA of consol and standalone. So what I observe is that this quarter the difference between the same is almost Rs. 28 crore s, which is I think the highest company has ever seen. So is it the UAE subsidiary only which is doing well? Is it Toshali which has done exceptionally well? I mean , I am just trying to understand the sustainability of this number .

Management: No, no. See, it is the UA E. See, as we said, the UA E plant has a turn around and the UA E profitability is better. Toshali is again for the quarter if you look at , yes, the loss has reduced in Toshali during the quarter as we are ramping up the things the loss has definitely reduced for Toshali . Year-on-year, definitely, there is a loss of about Rs. 8 crores, Rs. 9 crores in Toshali . But otherwise , the UA E numbers will definitely , I mean, if you look at on a quarterly basis, it could be around anything between Rs. 15 crores to Rs. 20 crores quarterly.

Moderator: Mr. Sahadeo , does that answer your question sir?

Navin Sahadeo: Yes. Sorry. I was on mute. Just one follow -up here is that , in the past whenever we have seen this improvement in the UAE facility, it was said as one -off in the sense for some special exports

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to Australia or something like that. Can we now say that UAE as an entity can generate about Rs. 1,800 crore s of EBITDA on a sustainable basis , is that the confidence ? Or we still need to be treading with caution?

Management: Yes, yes, I said between Rs. 15 crores to Rs. 20 crores on a quarterly basis.

Management: Again, there is a seasonality effect because if we see in the heat or sometimes festival falls and there's a Eid or something so it gets affected. Otherwise , if you look at I think between Rs. 15 crores to Rs. 20 crores quarterly they should be sustained.

Navin Sahadeo: Right. Just one more question, if I may slip in , is about our like preparedness for the Jaisalmer project . Now I understand we were awaiting some incentives or some package from the state government. But from our channel checks I also understand competition , some of the like regional players there are moving a little ahead of us in terms of equipment ordering or inquiring. So is it fair to assume that the state has already clarified the incentives and package and hence that could be the next project for

us and for the peers ? Or in general that cluster is ready to get developed? Or there needs more clarity. Thanks.

Management: So I think the cluster is ready for development , that I would say whatever things , I mean, there's an activity by us , there is some activity by the competition. I am not aware of whether the competition has finalized orders , that I am not aware because none of the equipment suppliers also have informed that because we do check -up, I am not aware of that. We are working out on all the details. We will work out , it will be a Greenfield site with railway siding and if we go ahead many things. So we are in the process of working out the details . And then when the project gets completed look to the balance sheet. We will definitely put up , we will see what the management or the board decides. So I think clear picture, as I said earlier, should be there between next four to six months ' time.

Moderator: Thank you. The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.

Pathanjali Srinivasan : Hello. Sir, c ongrats on a very good set of numbers. I just have a few questions. So , we were indicating about the cost reduction journey , so could you tell us about where we are in that?

Management: So on the cost reduction journey, as we said, we have a scope for Rs. 150 crores to Rs. 200 crores. So , we have already achieved in case of the exit . The average would be less but the exit in the logistic s cost is close to Rs. 35, Rs. 40 in the exit in the logistic cost . On the green power also there's an exit, so we I would say that around Rs. 75 a ton is the exit which we have already achieved. And we feel that during this year also the exit , so we would get this Rs. 75 a ton benefit now going forward during the full year . The incremental benefit which this year we could get is maybe another Rs. 25, though the exit would be high.

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Pathanjali Srinivasan: Okay , sure , sir. But just to follow -up on what you are saying, like if we look at it on a per ton basis, so I think our freight costs have gone up on a full year basis as a lead distance. So when you say that it has reduced on a year -on-year basis, how to understand this better ?

Management: See, lead distance is a consequence of where we are meeting out the customer. We are working out on where the cost reduction is not , we are not talking related to lead distance, it is negotiating a better rate. I mean , you are going through a bidding process , you are dispatching at the L1 bases , you are reducing the detention at the locations which is again helping you in the freight. Lead distance is a result of where the customer , like we have opened up Bihar , so it's a new market and so the lead distance has increased because of that. But that is not a freight reduction , I mean , that would have been there . If these tests would not have been taken, the cost would have been still higher.

Pathanjali Srinivasan: Okay . Sure, sir. I get it. Basically you are saying that you are entering your geography, so there's some bit of cost involved towards that , sure sir. Sir and just one more question , like with respect to some region wise dynamics , like you are saying that Central the ramp up was good in this quarter and you did volumes better than the previous quarters . So can you tell us directionally like which sectors are doing better within center s, like is it the individual housing or is it government infra projects , any guidance there?

Management: So as you would have seen, that's for the sector . See, again , why Central because we had made investment in Central and that was the biggest area we are now catering the entire state of MP and UP , and gradually ramping up the volumes . And when the expansion comes up , going forward the increase in volumes would be from Cent

ral . In the North and South, we will be at

par with the market so that we do not lose our market share in these regions . As regard s the demand, see, presently you see the first year after elections i s normal ly lower , which was there .

But now there the demand was good in the month of March , which is again quite normal. But this year it was a bit more exceptional. But in this month it is driven by housing and infra , it's a combination of all , we have not seen any. I cannot say that this particular sector is resulting in increase in demand, but rural demand is definitely good.

Pathanjali Srinivasan: Sir, is trade growing faster or is non-trade growing faster , sir, in Central ?

Management: See, for us we concentrate more on the trade volumes. And we are working because we have to get a market share , and our main emphasis is to increase the trade share , because non-trade is more on a price driven also.

Pathanjali Srinivasan: Yes. Sure sir. So just one last question if I may squeeze in. Our other cost on a per ton basis has gone up , is there anything that has changed here in terms of our cost structure or is there any element to this?

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Management: Yes, it is sir mainly of the advertisement and the marketing spend which we have done extraordinarily in this quarter . And the other cost also includes some of the costs which are variable in the nature, and which go up along with the volumes.

Pathanjali Srinivasan: No, sir, I am talking not about the quarter , I am talking on a year-on-year basis . So it's gone up from Rs. 980 per ton to Rs. 1,035. So , I just wanted to understand like the jump is like pretty sizeable, it's almost Rs. 200 crores increase on a year-on-year basis. So I just wanted to understand any specific thing that we are doing extra which is like resulting in this cost to go up.

Management: No, no. See , again , the cost going up is –

Management: Prashant, carry on.

Management: So I was telling that basically it is on account of the network creation and the advertisement spend for the new market , so we are doing the extraordinary cost on that account . And that is why we are seeing the volume hike which is higher than the industry. So that is something which is an extraordinary cost.

Pathanjali Srinivasan: So this may not be a recurring entirely , would that be correct?

Management: No, no . See, I would say that a marketing investment would continue to be there as we are growing. And you have to maintain the trade share , so the marketing spend will continue. It's an investment . See, again the accounting entry says that, okay, it is part of revenue . But as we are expanding and you are entering new markets, you are trying to maintain , so this spend will continue to be there . This year there was a lot of demand to have a brand ambassador for the grey cement , so we introduced a new logo. And we changed the design of our bags. We had brand ambassador. Again, all this is a positive and this is why in the new region we have been able to grow substantially during the quarter as well as during the year.

So this branding and this expense or we call I would treat it as an investment for some time as we have growth plans is going to continue. Yet the per ton impact would have been lower, but it is more reflected because overall the volumes have not grown this year , it is only in the quarter that it is higher. But if you look at the year , because of subdued demand the per ton cost seems to be higher.

Pathanjali Srinivasan: Sure sir. Just one last question, I wanted guidance for volumes of FY '26.

Management: So '26 volume guidance is close to about 20 million for the gray . And if you look at 22 million, it should be combined volume.

Pathanjali Srinivasan: Sure sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Prateek Kumar

from Jefferies. Please go ahead.

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Prateek Kumar: Hello. Yes. Good afternoon , sir. And congrats for great results . My first question is on your clinker utilization on an annual basis in North , Central and South operation , so if you can give that number.

Management: Annual basis the clinker utilization is 82%.

Prateek Kumar: Yes, 82%. And how is it in like North and Central plants for yourself , clinker utilization?

Management: We are not giving numbers for each region.

Management: No, it is more or less same , in the range of say 80 %.

Prateek Kumar: Sure, no problem. And what was the paint segment with the loss for the quarter and for the full year?

Management: Rs. 45 crores is the loss for the paints for the full year.

Prateek Kumar: Okay . And can you highlight on competitive intensity in the putty segment , because there is some improvement in realizations which you have seen in this quarter, this specific one-off or like that competitive intensity has like softened a bit in 4th Quarter ?

Management: No, the competitive intensity has not softened. This is the mix number, and the putty continues

to be, when the competition on, especially on the putty is continuing to be very competitive, as a result is a declining realization per ton quarter-on-quarter. We every time feel that it has bottomed out, but we are yet to see even beginning of the year there are some, though not that big, but still it is on the sliding trend. There is no particular one-offs in the quarter, what I would say, it's an annual certain things maybe some, I mean, it's sort of a mix difference.

Prateek Kumar: Okay. And last question on cement pricing, like post March how has been the cement pricing trend, markets since March?

Management: Post March if you see that North and Central there could be about 1% increase in the pricing, at least from the exit what we see. And in case of the South, yes, definitely about 5% to 7% increase is there in the pricing in the South region.

Prateek Kumar: Sure. Thank you, sir. Those were my questions.

Moderator: Thank you. The next question is from the line of Pushkar Jain from Mili Capital. Please go ahead.

Pushkar Jain: Hi, sir. My question was also regarding pricing, can I confirm post margin is 1% in North and Central, and 5% to 7% in South?

Management: Yes, 5% to 7%.

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Pushkar Jain: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Hi, good afternoon for taking my question and congrats for a great set of numbers. So the first question is with regards to the paint business, now with increasing competitive intensity in that business, I mean, how do we see the outlook for that business, let's say, in FY '26? And secondly a bookkeeping question on the railroad mix. Thank you.

Management: So on the paint, despite the competition, as we had planned and we have been able to close the year with the top line of Rs. 275 crores. And again, we feel that in next fiscal again we should have a top line anything between minimum Rs. 400 crores to Rs. 450 crores. And we are working on as we are doing, we should be able to improve upon our margins as we have during this year there was some modernization activity done at the paint plant which is resulting in cost savings. And we are working out on the discount structure, since we were a new entrant, our discount structures were marginally high as compared to competition. So we are correcting on that. The competition continues. We are not competing with the top guys still. Our primary reason to enter the paint business was we were already there with putty and we are using those counters and we are successful. And we hope that we should

be able to maintain this trajectory of growth.

Parvez Qazi: Sure. Thanks.

Management: Prashant, you can inform with the rail road mix.

Management: And our rail is 12% in this quarter, rail movement.

Parvez Qazi: Thanks and all the best.

Moderator: Thank you. The next question is from the line of Uttam Kumar Simal from Axis Securities Limited. Please go ahead.

Uttam Kumar Simal: Thanks for the opportunity and very good afternoon. And congratulations on a very good set of numbers. Sir, my question pertains to premium cement, we have already reached 15% in this quarter, so how do you see premium cement reaching in FY '26 as a percent?

Management: So for the quarter we have, I mean, achieved 15%, but we hope that we are working towards increase in premium, maybe another 2% increase overall, I mean, for the year the overall was about 14%. So we should do about anything between 15% to 17% in this year.

Uttam Kumar Simal: Okay. And sir, what was our fuel mix this quarter?

Management: Prashant.

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Management: Yes. Our fuel mix was like around 70% of the pet coke. And balance the alternate fuel and the imported, Indian and the imported crude.

Uttam Kumar Simal: Okay, sir, that's all from my side. And I wish you all the best.

Moderator: Thank you. The next question is from the line of Jaspreet Singh Arora from Equitas PM S. Please go ahead.

Jaspreet Singh Arora: Yes. Hi, good afternoon, Mr. Saraogi and Mr. Prashanth, and congratulations. My first question sir was on, thanks for sharing that paints trajectory, what's the EBITDA breakeven for us, at what level do we do that?

Management: I think in FY '27 we should be able to achieve that, maybe it's one year extension because we bought the plant, so about FY '27 we should have a breakeven.

Jaspreet Singh Arora: Okay , got it. And the volume growth that you highlighted, so you said about 20 million tons. So did you mean at a consol level , so from 18 million we moved to 20 million tons if we achieve that?

Management: Yes, yes, 18 million we moved to 20 million tons.

Jaspreet Singh Arora: So that's about 10% growth .

Management: Yes.

Jaspreet Singh Arora: And in terms of white I did not understand, so white we did totally put together , including subsidiary , 2.2 million, so now you are saying 2 million tons?

Management: Yes, I say it's a broad number . But in case of white the growth trajectory will not be much. I mean , it is very nominal 1 lakh ton here and there difference , it doesn't make on the broad numbers.

Jaspreet Singh Arora: Fair point. Got it. And on the EBITDA per ton, sir, we have closed the year on a multi -quarter high, Rs. 1,265, but the year as a whole was about Rs. 1,020 as you have highlighted. So what aspiration or what would be that broader range that will give you satisfaction for the current financial year FY '26 on a full year basis, EBITDA per ton?

Management: Satisfaction is definitely much higher that we should be able to maintain what we have achieved in the last quarter. That is a satisfaction level . But actually it will not be so as , I mean , yes on a year-on-year basis we will definitely be happy if we achieve a number which is at more than FY '24 the EBITDA per ton was Rs. 1,087, so we will be definitely happy if we are able to achieve more than FY '24 because FY '25 it was lower.

Jaspreet Singh Arora: So Rs. (+/-1,100) I think .

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Management: But that's not in our hands.

Jaspreet Singh Arora: I know, I know. And both the upcoming expansions of the grinding unit, Bihar and Panna, is you mentioned December for commissioning. So do we get one quarter of benefit , the March quarter?

Management: No, no, what I said that our target was within FY '26, right? But we are we are working maybe by December, January

, the grinding unit is upstream. As far as the brownfield expansions are concerned, which is clinkerization and 1 million ton each at Panna, Prayagraj and Hamirpur , I am confident that we could be able to achieve that within December. The Greenfield grinding maybe would take a month or so extra, but though we are targeting by December , latest January, they should be on -stream .

Jaspreet Singh Arora: Understood , sir. That's all for from my side. And all the best for a fantastic year ahead , sir. Thank you.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Yes. Thank you and congratulations on great set of performance for this quarter. Sir, a couple of questions . First is , sir, as we are saying, if we will be starting the 6 million tons by December, January, is it fair to say that the next year FY '27 at least we should have a 50% plus kind of utilization ? So kind of looking at 3 million ton extra volume should be there in FY ' 27?

Management: So, definitely 2 million, 2.5 million, 3 million I mean as of now it is difficult , because even in this year some of the buckets when we have the volume , some of the volume numbers would be there , will be part of the expansion in this year also.

Shravan Shah: Okay . Got it. Secondly , sir, this quarter the trade mix has increased significantly, 71% versus third quarter it was 66%. So, obviously , it is a great thing. So is there a further possibility to increase this trade , sir?

Management: No, no, see what is actually happening , the new markets which we are entering like for Bihar for example , the entire volume is in the trade segment only. So when the grinding unit gets started, then we will enter. It doesn't make sense to send non -trade in the new market from the existing plant , because it will not be able to compete . When the grinding unit is there , we will be able to compete in the non -trade segment also.

Shravan Shah: Got it. Sir , another just to clarify, this quarter paint EBITDA loss was just Rs. 3 -odd crore s versus the last quarter was significantly higher , Rs. 15 crores, Rs. 17 odd crore s, but still we are saying that by FY '27 we should be seeing a breakeven, rather, this year we should be reaching a breakeven.

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Management: See, what will happen is that as the branding investment more or less remains the same or marginal increase , when I am getting an incremental top line with an improved gross margin, we are working on improvement in gross margin , that will bring down the losses. So we are

hopeful , we are working as a target. So initially , well before what we said , initially it was a FY '28, what we are targeting is to have a break even by FY '27.

Shravan Shah: Okay, okay . Got it. And in terms of the revenue, obviously , this year you said Rs. 400 crores, Rs. 450 odd crores, but FY '27 previously we said Rs. 600 odd crores, so that is --

Management: Yes, it should be Rs. 600 crores. So if we grow annually , year -on-year by Rs. 150 crores , that will definitely help.

Shravan Shah: Okay . And sir, whenever we will finalize our next expansion as we highlighted maybe four, six months down the line , so is it fair to say that because we want to add another 20 odd million tons, so roughly the number could be Rs. 11,000 crores, Rs. 12,000 odd crores kind of a CAPEX that we are looking at . So, on a yearly basis FY '27 onwards Rs. 2,000 crore s kind of a CAPEX should be there. But nevertheless given the kind of profitability we have , so current net debt can easily be maintained. That's the way one can look at for the next two, three years .

Management: Yes, definitely. See , if we have two weeks, we target 50 million tons. The kind of investment that you mentioned will have to be made, otherwise without investment you cannot achieve that number

s.

Shravan Shah: True, true, got it. And sir, just the last clarification on profitability , you said that the Rs. 75 per ton cost saving we have achieved versus what we had Rs. 150, Rs. 200. But from next year FY '26, we are saying incremental Rs. 25. But if I have to see from average to average, maybe it should be a Rs. 50 kind of cost savings should be there in FY '26?

Management: So average , if we say the average cost saving during this year over last year , it would be about Rs. 40 a ton. The exit is Rs. 75 what I said. So , again, we used to get on an average another additional Rs. 40, Rs. 50 as an incremental in the next fiscal on year-on-year basis. But e xit, again , next year 's exit would be higher.

Shravan Shah: True, got it. And lastly on Greenfield , how one can look at FY '26 from 51% currently that we have ?

Management: So, green share . by FY '26 should be closer to 60, we are working out on various things. I think after Panna should be closer to 60.

Management: Okay . Got it , sir. Thank you. And all the best , sir.

Moderator: Thank you. Ladies and gentlemen, we will take only last two questions for today. The next question is from the line of Sanjeev Kumar Singh from Motilal Oswal. Please go ahead.

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Sanjeev Kumar Singh: Thank you for the opportunity , sir. So from UAE plant, I believe that we are running at optimum utilization rate. So can you please share that what is the import which is being done into India from UAE plant? And secondly, are we looking at some CAPEX on that plant also if the utilization s eems to be more than 90% now ?

Management: No, no. One, t he UA E plant is not operating at that level as yet. One, we are exporting a certain volume from UA E plant for our certain markets in the Southern region , that volume is around 40,000, 45,000 tons annually. And besides that, some of the customers place order , the bulk buyers like even Asian Paints and some other players , they take cement from us from the UA E plant. So, because the white cement definitely will have a lot of competition , Asian Paints ' plant is likely to commission sometime in Q2. And that will definitely have an impact on white cement consumption because they would also reduce the volume which they are taking from us going forward , because when the ir plant stabilizers, they will shift to their own production.

Sanjeev Kumar Singh: So, does it mean that in the white cement and putty business the volumes will largely remain flat in FY '26, right?

Management: Yes, not much. So we will be growing in the putty and there may be some slippage , though we are working out on new avenues we are introducing , for the UA E planned we have entered into a dry mix category where we are doing quite well. We are already one of the top three , I mean, we are number three in the dry mix set segment in the UAE. So again , as we told earlier that we have a plan for the UA E plant. So it is , one, the core business continues , the white business, but definitely we have to have more avenues for the income as well as the profit. T hat is why we will be able to , if we have all these challenges, and to maintain profitability , so this is why we are working out on Africa. Africa is growing , the putty there . So all that will result in the growth of the UAE business or if there are any challenges there we will be able to consistently maintain profitability over there.

Sanjeev Kumar Singh: And secondly for gray cement, when we speak about 20 million tons kind of volume in FY '26, what is the volume are we assuming from the new plant with the expansion which is going on ?

And when we speak about price increase in South market , how has been the price increase in Maharashtra , can you please share this? Thank you.

Management: So, from the new plant , means , as I said, the expansion which gets this year could be ,

major

volume growth will again come from Central India as we talk about . The expansion itself could be another 0.5 million and balance will come in. Major quantity I think should come in from Central India which could be out of that 2 million tons growth we could see more than half coming in from Central India.

Sanjeev Kumar Singh: And about prices , sir?

Management: So prices, it has broadly mainly increased in the Karnataka, I mean , not so much in the Pune region but it is more in the Karnataka region.

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Sanjeev Kumar Singh: Okay , sir. Thank you. Thanks a lot sir.

Moderator: Thank you. This will be the last question for today, which is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Yes, hi. Thanks for the opportunity again. So I just wanted to have a sense around the volume mix around various geographies for FY '25 , like between North , Central , and South , if you would just give a broad split, I believe you are selling in Bihar also now. So just if you would give a rough understanding of the same.

Management: See, A mit, broadly I would say , I think maybe 65% and 35% broadly , I mean, exactly from North and South should be about 65% and 35 in the Central .

Amit Murarka: Okay . And the East sales?

Management: The Central means the East plant , I mean, East is part of Central plant .

Amit Murarka: Okay . So the new Bihar grinding unit that is coming up , so like broadly I see that there is a plan to raise volumes even in East, while you are flat in Central , but I see that there's a plan to grow East as well now . So like in that sense, any sense you would give on let's say maybe going ahead what is the plan on region -wise growth?

Management: So see , again , Central plant , that's a natural extension into Bihar from Central India. So , I mean , because , again, Bihar does not have any limestone. So it is only fed by Central India plants. So it's a natural growth where we are setting up the re. So clinker will definitely go from Central India into Bihar.

Amit Murarka: So just wondering that frankly generally Bihar as a market has been having lower pricing than the Central markets, maybe almost Rs. 20, Rs. 30 lower , in fact that too after the recent price hikes. So what really is the rationale of going more into Bihar when you can actually maybe cater to UP , MP with better realization as well?

Management: See, when you want to expand , rational what you are talking about, there is definitely some subsidies in Bihar which we may get . As you grow, growth you cannot pick and choose that only we will have the desired growth and we continue to remain only in this area. If you do not expand your territory then you cannot grow. How will you get the volumes? It will be very difficult to get volumes only in existing territory.

Amit Murarka: Sure. Understood. Yes. That's all from me. Thank you.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to Mr. Vaibhav Agarwal for closing comments. Thank you and over to you , sir.

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Vaibhav Agarwal: Yes. Thank you. On behalf of PhillipCapital (India) Private Limited , I would like to thank the Management of JK Cement for the call and also many thanks for persons joining the call. Thank you very much , sir. You may now conclude the call. Thank you.

Management: Yes. Thank you everyone for joining in. Thank you. Have a good day.

Moderator: Thank you , sir. Thank you, members of the Management . Thank you , sir. On behalf of PhillipCapital (India) Private Limited , that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jul 2025

24.07.2025

Dear Sir/ Madam

Sub: Transcript and Audio Recording of Conference Call pertaining to Financial results for Quarter ended June 30, 2025.

Please find below the Link of Transcript and Audio Recording of Conference Call concerning Financial results for the quarter ended June 30, 2025 held on 21.07.2025 by the officials of the Company. The said results were approved by the Board of Directors of the Company at its meeting held on July 19, 2025. The same is also available on the website of the Company at www.jkcement.com .

Link for Recording and Transcript : <https://www.jkcement.com/transcript-report>

This is for your information and records.

Sincerely

Shambhu Singh
Vice President & Company Secretary
FCS No. 5836

National Stock Exchange of India
Ltd., Exchange Plaza, Bandra Kurla
Complex, Bandra (E), Mumbai-
400051 Scrip Code: JKCEMENT
(ISIN.INE823G01014)
Through: NEAPS
The BSE Ltd.
Corporate Relationship
Department, Phiroze Jeejeebhoy
Towers, Dalal Street, Fort,
Mumbai-400001
Scrip Code: 532644 (ISIN.INE 823G01014)
Through BSE Listing Centre

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"JK Cement Limited Q1 FY -26 Earnings Conference
Call"

July 21, 2025

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR & CHIEF FINANCIAL OFFICER , JK CEMENT
LIMITED

MR. PRASHANT SETH – PRESIDENT (BUSINESS
INFORMATION & INVESTOR RELATIONS), JK CEMENT
LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIPCAPITAL (INDIA)
PRIVATE LIMITED

JK Cement Limited
July 21, 2025

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Moderator : Ladies and gentlemen, good morning and welcome to the JK Cement Earnings Conference Call for the quarter ended 30th June 2025, hosted by PhillipCapital (India) Private Limited.

As a reminder all participant s' line will remain in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited for opening remarks. Thank you and over to you.

Vaibhav Agarwal : Thank you, Ryan. Good morning, everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q1 FY26 call of JK Cement Limited.

On the call, we have with us Mr. Ajay Kumar Sar aogi – Deputy Managing Director and Chief Financial Officer, and Mr. Prashant Seth – President , Business Information and Investor Relations.

I would like to mention on behalf of JK Cement Limited and its Management that certain statements that may be made or discussed on today's conference call may be forward -looking statements related to future developments and statements which are based on current management expectations. These statements are subject to a number of risks, uncertainties, and other important factors which may cause actual developments and results to differ materially from the statements made. JK Cement Limited and the management of the company assumes no obligation to publicly alter or update its forward -looking statements, whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of JK Cement for their opening remarks, which will be followed by our interactive Q&A. Thank you and over to you, Saraogi sir.

Management : Thank you, Vaibhav. Good morning and welcome to Q1 Call.

So, the Board of Directors met on 19th of July to review the performance of the company for the quarter ended 30th June 2025, and the major highlights are that the net sales grew about 19% year-on-year at Rs. 3,028 crores and whereas it de -grew by about 6% as compared to the previous quarter. The EBITDA during this quarter was Rs. 674 crores, an increase of 41% year -on-year, however, a dip of 9% over the previous quarter. The comparative margins for the first quarter was 22.3% in this quarter, vis-à-vis 1 8.7% year -on-year and 22.8% in the previous quarter. The per ton EBITDA was Rs. 1,247 per ton as compared to Rs. 1,014 in the previous year and Rs. 1,265 a ton in the previous quarter.

The growth in the performance is led by a 15% growth in the grey cement volume during this quarter year -on-year, which was mainly on account of substantial growth in Central India, where we grew by over 50%, attained growth in the South region, where the base was low and there

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has been a good growth, a good sale of clinker during this quarter. However, there has been some de -growth in the North, mainly on account of the market conditions, as the North did not grow that much. So, if you look at the white cement, the white cement year -on-year grew by 8%. So, these are the major financial highlight s.

If you look at during this quarter, the company also completed the de -bottleneck at Ujjain unit and now the consolidated capacity of the grey cement stands at 25.26 million tons. The green power capacity as on 30th June is 184 megawatts and the company also completed the acquisition of Saifco on 6th June. So, now Saifco becomes a subsidiary of the company and the management of Saifco has been taken over and now the company is working on improving the performance of Saifco in the J&K region. The 6 million ton

s greenfield and brownfield expansion is on track.

The integrated unit at Panna, where we are adding 4 million tons clinkerization unit is on track.

The brownfield grinding locations of 1 million each at Panna, Ham irpur and Prayagraj are on track and even the greenfield site at Buxar in Bihar is on track and by end of this calendar year, mostly we should be able to start and complete the expansion.

Looking to the growth in the putty volume and to meet out the peak demand, the board also decided to go in for expansion of putty by 6 lakh tons with a total capital outlay of 195 crores.

This will be set up in Rajasthan. This is to meet out the growth of putty. The balance sheet position is that the gross debt as on 30th June stood at Rs. 5,203 crores as compared to Rs. 5,101 crores as on 31st March. The cash was Rs. 2,407 crores as compared to Rs. 2,536 crores. The net debt was higher at Rs. 2,796 crores as compared to Rs. 2,565 crores as on 31st March. The net debt to EBITDA as on 30th June, however, was 1.29 as compared to 1.30 and the net debt to equity was 0.44 as compared to 0.42. These are the major highlights of the performance during the quarter.

I will be happy to address your questions. Thank you.

Moderator : Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Amit Murarka from Axis Capital . Please go ahead.

Amit Murarka : Good morning. Thanks for the opportunity. Firstly, on the Panna line, it was 3.3 million tons line. I just wanted to understand like why and how did it expand to 4 million tons given that we are so close to commissioning?

Management: No. It was always at 12,000 TPD.

Amit Murarka: Because the Q4 TPD still mentioned 3.3 and in this quarter only it was mentioned as 4 actually.

Management : The 4 million tons clinker capacity.

Amit Murarka: Okay fine because I think it was initially announced as 10,000 TPD is what I remember and even the Q4 TPD mentioned it as....

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Management: Sorry, maybe there is some because 10,000 TPD was the increase from 8,000 to 10,000 for Line 1, which we did about a year back. But this has always been a 4 million tons.

Amit Murarka : Okay. Thanks for the clarification there. And secondly, could you let us know what was the incentive booked in the quarter?

Management: Incentive for the quarter was 85 crores.

Amit Murarka: Okay. So, I believe like last quarter it was mentioned as like 75 to 80 crores range. So, the new booking of incentives have come up for even though volumes are lower QOQ .

Management: No, see what happened that in the previous quarter, Aligarh unit where it has an overall ceiling. So, that ceiling got exhausted by Q3. So, there was no subsidy for the Aligarh unit in Q4. There is an annual cap on subsidy also.

Amit Murarka: Sure. Could you help us understand like what are the various incentives and which plants basically are earning incentives right now and how long will they continue these incentives?

Management: So, the incentives, we are getting one incentive in the North , which is for Nimbera Line 3 and that would only be available in this fiscal. So, that will get concluded . Otherwise, we are entitled for subsidy for the three grinding locations, Aligarh, Hamirpur and Prayagraj. Aligarh also I think is only 1 year is left because it was for 7 years. It was commissioned in 2020. And then we are getting for Ujjain and also in case of the integrated Panna plant.

Amit Murarka: Sure, understood. So, like Hamirpur also has it, right?

Management : Yes, Hamirpur, Prayagraj both have.

Amit Murarka: And Panna also and Ujjain also?

Management : Yes.

Amit Murarka: And given that these are newer units, so fair to assume that these incentives will continue for few more years?

Management: Yes.

Amit Murarka: Sure. And lastly, just very quick

on other expenses, that was also quite low in the quarter. So, like, could you help us understand what are the plan for marketing spends and all which are low in the quarter?

Management: So, actually, it will be higher going forward because all our major marketing spends, we have these dealer tours and all. So, normally we plan the tours, everything in the second quarter, which is the lean period. So, the marketing, the other expenses will increase sequentially. So, this is what we see that this second quarter would be a tough quarter where there is also scheduled

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maintenance of the kilns as well as the grinding expenses pre just the festive season. So, all that gets started in this season. So, we would be seeing an increase in the expenses in Q2.

Amit Murarka: Thank you so much for the detailed explanation. Will come back.

Moderator: Thank you. The next question comes from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Thank you. Firstly, congratulations sir, on a good set of numbers. I just wanted to understand, firstly, what would be the regional breakup of volume, sales volumes for 1Q?

Management: No, so regional broadly, we are not sharing the regional numbers.

Devesh Agarwal: So, broadly will also help, even if you give in some.

Management: Broadly, we have given what has been the trend of increase in volumes as we saw in central, a growth in volumes of over 50% and growth in the South because of a low base, all these numbers we have, but we are not sharing the exact regional numbers.

Devesh Agarwal: Sure, sir. And the kind of capacity addition that we saw through de-bottlenecking in Ujjain 0.5 million tons. What would be the potential at your other locations where you can increase capacity by de-bottlenecking?

Management: So, one is as a part of the expansion in central India, 1-million-ton capacity is being increased at Hamirpur and Prayagraj. That is one which is part of the expansion plan, and we see that there is a potential in the South of about 0.7 million. So, we are just working on that.

Devesh Agarwal: Right, sir. And you mentioned in South; we had a clinker sale this time. Could you quantify, sir, how much was clinker sale?

Management: Clinker sales have been much higher than the previous quarter.

Devesh Agarwal: No specific number?

Management: No, no specific number.

Devesh Agarwal: And sir, for your recent acquisitions, both Toshali and Saifco, what are the plans? Do you see any big opportunity there in terms of capacity addition or it will take time?

Management: So, we see an opportunity, I mean, one, as we said, in Toshali, we are still working out on which we have not been successful so far. And we are also evaluating alternate option of a long-term tie-up of the raw material with the government of Odisha or identify certain areas and if something comes for auction. So, that is the potential. And there, as we said, if the limestone tie-up is done, we have an opportunity of about 2.5 to 3 million tons. As regards Saifco is concerned, yes, we see an immediate opportunity for upgrading the kiln by about 300 to 400, it's already,

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its operational at about 600-650 tons per day. We see an opportunity to 850 to 900 TPD per day.

So, that is an immediate, but it has good limestone reserves, and we are working out on the possibility, how, if, and that we will take maybe a year down the line, work out, see the market situation, how we settle. But we have limestone and other facilities. So, there is an opportunity of expansion up to 2 to 2.5 million tons in that region.

Devesh Agarwal: Right. And sir, post the 1Q where you have delivered such strong volume growth, what would be our guidance or outlook for FY26 as a whole in terms of volume growth?

Management:

So, we have given a guidance of about 20 million in this financial year.

Devesh Agarwal: Okay. So, you will stick to that 20 million tons?

Management: Yes.

Devesh Agarwal: And finally, one last one, in terms of your post-Panna expansion, where do you see the next leg of expansion, the three places that you mentioned, Jaisalmer, Odisha and Karnataka, any progress that we have made and do we have visibility that next expansion will be taken at a particular location?

Management: Yes, we are working out, we are close to finalizing and we shall be putting up our options to the board very soon. And I think very shortly, once the board approves could be guided towards, because we have done in central, so more towards the North, but we are just, so very soon, once we are through with all the numbers and options, we will put up to the board and get back to you.

Devesh Agarwal: Right, sir. Thank you so much.

Moderator: Thank you. The next question comes from the line of Vishal Biraia from Bandhan Mutual Funds.

Please go ahead.

Vishal Biraia: I just wanted to confirm the clinker capacity at Panna after this expansion, we would be at about -- would that be the right number?

Management: Pardon me, could you and Prashant you answer if you can just.

Management: No, I could not hear what number he spoke actually.

Vishal Biraia: After the expansion of clinker at Panna, what will be the capacity of clinker?

Management: 19 million tons.

Vishal Biraia: No, at Panna itself.

Management: 7.3 million tons.

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Vishal Biraia: 7.3 million tons. Okay. And for total clinker at the, after the commissioning of the Saifco plant, including that, we will be close to 18 million tons at the end of March '26, this financial year?

Management: No, 19 I am saying on a standalone basis, then Saifco is in the subsidiary.

Management: Saifco and Toshali, if we add, then it will be close to 19.6 million or something.

Vishal Biraia: Okay. And just to reconfirm the number for grey cement, this year after we commission all the GUs that you talked about, we will be close to 32 million tons capacity ?

Management: Yes, so we are already 25.26 million tons and 6 million tons is added, we will be 31.26. We have certain opportunities in the South which we are working out and that materializes, it will be 32 million tons by FY26.

Vishal Biraia: Okay. And just some basic questions on paint, what is the cumulative investment that we have done in paints and what is the capacity that we have created as of now?

Management: So, the capacity, Prashant, you can answer this.

Management: We have 60,000 kiloliters of capacity and our investment total is close to 450 crores.

Vishal Biraia: Okay. And how much incremental do you plan to do?

Management: We are in approval of 600 crores. So, the remaining would only be restricted up to an additional 150.

Vishal Biraia: And by when should we see that coming in?

Management: FY27.

Vishal Biraia: Okay. Perfect. Thank you.

Moderator: Thank you. The next question comes from the line of Nav in Sahadev from ICICI Securities. Please go ahead.

Navin Sahadev: Good afternoon, sir and thank you for the opportunity. Also, congratulations on a good set of numbers. My first question was on volumes. So, you said that central India has done much better.

So, is it that the industry itself has had fairly strong growth or we have expanded our dealer network much further to take care of the upcoming expansion, be it on the eastern part of the regions? So, before the grinding units came up, have we already started feeding those markets was my question.

Management: Yes, we have already started with the expansion in view. And so, we expanded, first we put up 4 million, then we expanded it to 6 million and now adding another 6 million. We are already

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doing a good volume in Bihar; we have entered Bihar. And hopefully, end of this fiscal itself we should be doing about close to a million ton maybe in Bihar.

Navin Sahadev: And before the next question, I just want clarification. You mentioned after, because in the previous participant asked post expansion, what will be the total clinker capacity in Panna? And Prashant sir said 7.3. Shouldn't it be 8 because 4 is what we have already done with Line 1 and second line is 4. So, it will be 8 million tons or am I missing something here?

Management: No, line 1 is 10,000 TPD per day and line 2 is 12,000 TPD per day.

Management: So, line 1 is 3.3 million.

Navin Sahadev: Understood, that's clear. And sir, you also mentioned potential of de-bottlenecking in South by about 0.7 to a million ton. So, will it also be backed by some clinker de-bottlenecking there or it's more on the...

Management: So, we are working out on de-bottlenecking in the South and other regions. Maybe we feel that about 0.7 to 1 million could be able to achieve by de-bottleneck at all locations. And there will be some de-bottleneck both on the clinker side as well as cement grinding.

Navin Sahadev: Understood. And sir, my last question, if I may. Margin in white is what I wanted to just point out because I believe sequentially there has been a pretty sharp drop in the white cement realizations if I understand this correctly. So, has it also led to a sharp margin decline in the segment and how should one then look at this segment given we are now looking at investing more capacity or more capital to put up a putty grinding unit in Nathdwara?

Management: So, as far as margins, yes, the white cement, we have seen the margins declining sequentially. But I think now as we see, it has stagnated. There is no further major dip in the white cement margins. It's ranging between 15 % to 20 % and we feel that it will continue to be in that region.

The investment is necessary to ensure that we maintain our market share. Otherwise, this year our volume, our targeted volume, is about 1.1 million. And the peak season, the festival becomes closer to Diwali is always the peak season. And then we have peak season before the year end where to meet out the peak, the present capacity is barely able to meet out the peak season demand. In fact, we have already started some volumes on tolling to meet the peak season demand. And we are envisaging a growth in the putty segment of between 7 % to 10 %. So, with that growth, keeping that growth in mind we would need additional capacity.

Navin Sahadev: So, just one last question about the potential expansion plans. Now, I understand there is a vision to reach up to 50 million tons and you highlighted that in similar calls in the past. But with now our EBITDA averaging almost nearing to 3,000 crore s or anywhere between 2,500 to 3,000 crore s annually, will it be fair to say that we can handle two projects at a time? Is the company really thinking on those lines that apart from one project, we can also look at having, not just doing one project at a time, but we can look at doing two projects at a time? Is the company thinking on those lines so that growth can come in faster?

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Management: Yes, you are right. The company is thinking, earlier we were actually taking projects after completion. So, there was a gap maybe about 2 years. So, 18 months when the project was getting completed, then we used to take up the next project. Now with our capacity reaching 30 million tons and the cash flow supporting for the investment and with a view that we get to 50 million tons by 2030, I think we could be in a way adding up a project, announcing a project every year. So, this should mean that there will be two projects going on at a particular time. It's not that we will not be announcing

two projects at one time, but in between when we have already started work, we will take up the next project, not wait till completion of the project.

Navin Sahadev: Yes, this is so great. Thank you so much.

Moderator: Thank you. The next question comes from the line of Sanjeev Singh from Motilal Oswal Financial Services Limited. Please go ahead.

Sanjeev Singh: Good afternoon, sir. Thanks for the opportunity. If we exclude the clicker volume in 1Q, so how was the cement realization movement compared to last quarter? So, basically, I want to understand how have been the price movements in different markets where we operate and compared to 1Q, how have been the prices now?

Management: So, if you see, the prices on average have been more or less flat because there has been an increase in the South realization in this quarter. So, the South has compensated though in the North and central, there was a marginal pressure, but not much. And even up till now it's not much change, except a few, I mean, it's very marginal. So, it is not having any significant drop in pricing or anything. But still, we have another one and a half months, at least till the end of August to see for the month soon, we have to see that. And we are hopeful, I think there could be only, there should not be any major dip in the pricing. Yes, definitely, there's some pressure, which is leading to some reduction in the non-trade pricing. But beyond that, as of now it is not much.

Sanjeev Singh: And secondly, in this quarter, we have a spend closer to 350-400 crores in our CAPEX. So, how should we look at full year numbers in FY26? Will it be closer to 1,700 crores and also, if you can guide on FY27 numbers? Thank you.

Management: So, in this year, it will be close to 2000 crores and next year, presently we have these plans for the normal CAPEX and the putty expansion, what we have announced. So, for all that, it should be close to 600 crores as of now.

Sanjeev Singh: Got it, sir. Thank you.

Moderator: Thank you. The next question comes from the line of Hrishikesh from Kotak Mutual Fund. Please go ahead.

Hrishikesh: Good morning. Is it possible to share consol gross debt and net debt?

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Management: Hrishikesh, the numbers are same because on the consol we don't have the borrowings and cash is also not there.

Hrishikesh: Okay and secondly, Mr. Sarangi spoke about company being comfortable taking probably two simultaneous expansions. So, is there any internal thought in terms of what could be the potential borrowing we could be comfortable with or probably cap our borrowing in probably any metrics on debt to EBITDA or anything on that line?

Management: So, on the net debt to EBITDA, as we said, today we are at about 1.3. Our net debt to EBITDA. We are very cautious that whatever expansion we do, we try and keep the net debt to EBITDA to 2 or below 2.

Hrishikesh: Okay, thank you.

Moderator: Thank you. The next question comes from the line of Ritesh Shah from Investec Capital. Please go ahead.

Ritesh Shah: Thank you for the opportunity. A couple of questions. Sir, can you give the total number for paints, grouts and adhesives? And if you could break it up, that would be great, along with the EBITDA that we clocked in the last fiscal?

Management: No, the paint numbers are there, the grout is not part of paint. So, we will give you the paint numbers. Prashant that can be shared, you can give the paint numbers.

Management: The paint numbers have already shared last quarter. We did 273 crores of the turnover of the paint in the last fiscal, and this quarter our paint turnover is 86 crores.

Ritesh Shah: And, sir, margins?

Management: The gross margin in paint is about 30%.

Ritesh Shah: Sir, 30% EBITDA margins?

Management: No, gross margin. I wish in EBITDA margins; no paint company is getting 30%.

Management: No, EBITDA also, we shared the numbers, because I think 45 crores of the EBITDA loss last year, and in this quarter, it is 10 crores of the EBITDA loss.

Ritesh Shah: Okay, that's useful. Second is, Sar aogi sir, you mentioned that North and central, there was some marginal pressure in pricing. However, in the South, the prices actually increased. Sir, how should one understand this dichotomy in pricing?

Management: So, I think, we have to wait, we have to see what really happens in the monsoon. The monsoons are now, as I said that there has been some pressure on non-trade pricing. Marginal pressure on trade pricing, but not significant enough, but we still have to wait and watch.

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Ritesh Shah: Okay, sure. Sir, in the annual report, you do make a mention of LC3 and PLC. These are two different types of cement, I presume. Sir, what are our plans over here and how should we understand this?

Management: Well, it is still at a very initial stage. We are working on it and we see on LC3 what can be done. So, it is still at the pilot stage and maybe just working on it.

Ritesh Shah: Sure. And sir, last question, do we utilize synthetic gypsum? If yes, what is the differential or the cost arbitrage that we derive out of it?

Management: So, gypsum we have various mix across and depending on availability and mixing of gypsum, we use even imported gypsum, chemical gypsum. We are using local mineral gypsum which is available from the mines. So, a huge combination of gypsum products.

Ritesh Shah: Sir, my question is, do we manufacture anything captive or do we?

Management: No, we are not manufacturing anything captive, no, nothing.

Ritesh Shah: Okay. And sir, what will be the price gap on imported synthetic gypsum versus what we get from, hypothetically say, Rajasthan State Mineral, something RSMM, adjusted for the grade? Is there an element of cost savings over there?

Management: Yes. See, again, the purity part, there is a difference. It affects once we use an imported gypsum, which is definitely very costly. But again, it helps reducing the clinker consumption and using more fly ash. So, it does help. So, we only see the thing only on a totality basis. The gypsum cost may be higher, but the overall cost economics is different.

Ritesh Shah: Sure. And sir, just the last question, you indicated that we did certain tolling volumes in peak season for putty. Sir, possible if you could quantify the number for the full year last year?

Management: So, last year, the tolling, I don't have the exact number available with me, but I think it was around 50,000 tons or something. I don't have the number. Prashant, do you have the number?

Management: No, we don't have the last year number now.

Management: I will share the exact number with you.

Ritesh Shah: Sure, sir. Thank you so much. All the very best.

Moderator: Thank you. We take the next question from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Good afternoon, sir and congratulations for the great set of numbers. So, just two data specific questions. What was our real share this quarter and also the fuel mix in Q1? Thank you.

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Management: Fuel mix was like 60% pet coke in this quarter.

Parvez Qazi: And what was the rail share?

Management: The rail share was 11%.

Parvez Qazi: Sure, sir. Thanks, and all the best.

Moderator: Thank you. The next question comes from the line of Girija Shankar ay from Yes Securities. Please go ahead.

Girija Shankar ay: Hi, good afternoon, sir. Thanks for taking my question. So, just wanted to check, you said, if we use imported gypsum, so that is going to increase your fly ash percent age and it will reduce your clinker consumptions, right? So, as per the rules this time how much is the percent age of the fly ash in the total clinker consumptions?

Management: We can use fly ash up to 35%. 33%-35%, we can go up to that.

Girija Shankar ay: But right now, our fly ash percent age is below 35%, you are saying?

Management: Yes, it depends on an average when we talk about. It depends on our location and grinding location when we are talking. Each grinding location where we are getting what gypsum is available, it helps in that.

Girija Shankar ay: Okay. And my next question is with regards to this power and fuel percent age, there is a sharp increase in power and fuel cost in quarter-on-quarter basis as well as for the freight cost also, we didn't see any kind of savings in freight cost, any particular reason in that?

Management: No, see, power and fuel cost increase mean there are two reasons. One reason is because of the increase in the pet coke price with the average consumption rate has gone up. And second is like

a balanced clinker production in this quarter. If you are comparing Q OQ basis, so last quarter it was low because we consumed some clinkers from the stocks. And this quarter the clinker production was balanced. So, these are the reasons for increase in the power and fuel cost. And freight cost increases like our lead has gone up by 2 kilometers because of seeding the Bihar markets and all that and that has resulted into a part-time freight increase by around say Rs. 5-6. Girija Shankaray: Okay. And my last question will be, you mentioned in your opening remark, central India has done well. So, we have done it or we have on a company level this is good for our company or overall industry has done well in central India? And what was that percentage you mentioned I forgot?

Management: It's over 50% in central India. And this is because we are opening up the entire market. We have already making, we are trying to grow our market share across all the entire UP, MP, and enter the eastern region to Bihar grinding which is coming up and a new capacity is going to come up in next few months, maybe just six months down the line we will have a new capacity coming
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up. So, unless we have built, we have to strengthen the entire region. Otherwise, how will we be able to supply materials from the new plants?

Girija Shankaray: Fair enough. Thank you very much, sir. But the last question is, can you give us the regional capacity utilization if you can provide us?

Management: No, we are not sharing regional capacity utilization numbers.

Girija Shankaray: Not an issue. Thank you very much, sir.

Moderator: Thank you. The next question comes from the line of Shravan Shah from Dol at Capital. Please go ahead.

Shravan Shah: Hi, sir. First of all, congratulations on a great set of numbers. Most of the questions were answered. Couple of things to clarify. So, first on the cost saving, what we talked about last time, Rs. 150 to 200 over the next 2 to 3 years. And this year FY26 on an average, we were looking at Rs. 40 to 50 per ton. So, that remains intact?

Management: Yes, that remains intact. We will, during this fiscal, get about Rs. 40 to 50 in terms of cost saving.

Shravan Shah: Okay, great. And in terms of the green share, which is currently at 52%. So, that we will be reaching to 61% by the end of FY26?

Management: Yes. So, on the green power also, which is again as a part of cost saving when we say. So, we should be closer to 60% by the end of this fiscal.

Shravan Shah: Okay, great. Second, sir, once the 6 million tons will start by end of this December. So, is it fair roughly to say in FY27, one can see incrementally close to a kind of a 3 million tons volume from that one can look at kind of a 50% utilization. Is that a way one can look at?

Management: It's too early to say, but definitely this is where we are working at and closer to the end of this fiscal, we try define

itely. We are working towards that direction only. Whether it is 23 or it is 22.5, we will just work out.

Management: Actually, there will be some set up of the quantity which we are already feeding into that market. In Bihar already we have reached a particular level. So, for getting 50% utilization, not the fresh volume has to come up to that extent.

Shravan Shah: Okay. Got it. And then secondly, last time we talked about that the UAE plant likely to kind of a clock a quarterly bid of 15-20 odd crore s. So, for this quarter, we have already reached to that EBITDA positive 15-20 odd crore s?

Management: Yes, we have already reached in fact, with this quarter. The Fujairah working, I think for the year as a whole should be around 80 crores or so, 80 to 90 crores.

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Shravan Shah: Great. Second on the paint or whatever we have said in terms of the revenue target for 400-450 odd crore s in '26 and 600 crore s in '27 and breakeven by FY27, that remains intact?

Management: Yes, that remains intact.

Shravan Shah: Okay. And then lastly, if you can help us, as you have said that the other expenses, so one is marketing, second maintenance in Q2 will increase. Any idea, is it fair, just a 40-50 crore s QOQ increase, that's the way one can look at?

Management: Yes, it could be around that region, though the exact numbers are not, but yes, you're right.

Moderator: Thank you. The next question comes from the line of Tejas Pradhan from Citigroup. Please go ahead.

Tejas Pradhan: Hi, sir. Could you share what would be the industry volume growth for the different regions you operate for the first quarter? Because you mentioned North, there was some degrowth, right? So, how would it be for like all the regions?

Management: So, we have to get the industry numbers as yet we are not getting, I think, industry numbers, we

will know very soon. I think we are...

Tejas Pradhan: But a sense from your side?

Management: I think overall, we would be more than industry growth, but normally when we see region, we are able to maintain our market share. It's not that we have lost market share in any of the regions.

In fact, we have actually improved upon our market share, definitely in the central and North and other regions, we have not lost the market share. The North market that the growth has not been and that market growth is the major concern.

Tejas Pradhan: Sure. Thanks. And lastly, for the putty expansion, assuming the current profitability in that business, what would be the rough IRR that would be there from the expansion project that you have undertaken?

Management: So, IRR will be over 15%.

Tejas Pradhan: Okay, sure. Thanks.

Moderator: Thank you. The next question comes from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Good afternoon, sir and congratulations. My first question is on clarification on incentives. So, based on the current index, around 300 crore's kind of incentive is expected for next 3 to 5 years based on your expansion.

Management: Yes. This is what we feel.

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Prateek Kumar: Okay. Next question is on your central expansion. So, incrementally, again your trade segment has like sort of been stable currently, but the incremental volumes in central, is this non-trade trade going to change, which may impact your profitability in the market or how do you look at it?

Management: No, see, incrementally, yes. I mean, today say for example, from Bihar because the grinding unit is not there, so we are not doing much of non-trade. But definitely, there will be some non-trade volumes coming up. But I think we are fairly confident we will be able to maintain the trade - non-trade ratio.

Prateek Kumar: And last question on your white segment. So, the expectation of Asian Paints volumes going up

your customer base, has that happened or is going to gradually happen over the next couple of quarters?

Management: I think they are just, it will start hitting us mainly from Q3 onwards. So, they are about to, they are doing the trial runs what we have heard. So, I think there will be gradually, because even the orders, they are reducing the orders from Q3. So, we will see that the number in the white cement from Q3 onwards.

Prateek Kumar: And just one last question if I may. The cost of traded goods was a much higher number at 1.5 billion this quarter. It's a run rate of around 1 billion. What is the reason around that?

Management: So, traded goods is actually, we are getting a lot of tooling for all of our value-added products, including paints. So, traded goods in the standalone is coming whatever is being manufactured, because the platform of JK Cement is being used. So, when there is a platform of JK Cement used in standalone, it is the goods which gets transferred from the Max factory. And in JK Cement standalone books, it is the purchase of traded goods.

Prateek Kumar: Sure. Thank you. That's it and all the best.

Moderator: Thank you. The next question comes from line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Hi, sir. Good afternoon. Congrats on great set of numbers. My first question is predominantly on this volume guidance, which you have given 20 million tons that remains or there is an upward bias given that the strong volume growth you have delivered in Q1?

Management: So, we still take 20 million alone because we have a lean period. We have to see when monsoon is a lean period. We have to see how the growth remains in that. But as of now, we stick to the earlier guidance of 20 million.

Rajesh Ravi: Just a follow-up question. See, there's a lot of capacities which are coming up in North, central and East markets. So, what is the outlook given that you are also bringing up almost 6 million tons capacities across the central and the East markets? So, what is your outlook on the pricing

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trend for the next 1-2 years, given that the simultaneous ramp-up of various capacities for the next 1-2 years?

Management: See one, the market is also growing. If you look at the total growth in the market, when you see North and central being sort of a twin market, if you look at the overall growth in that market, there is an incremental requirement in that market of about 12 to 15 million tons. So, as the

capacity gradually ramps up, we don't see. Yes, there could be some periodical impact, but otherwise, we don't foresee any major competitive intensity which may affect the profitability.
Moderator: Thank you. The next question comes from the line of Alok Shah from SRE PMS. Please go ahead.

Alok Shah: I just want to understand the reasons of increasing EBITDA by 20% this quarter and is this sustainable for the current fiscal year? And secondly, that we have targeted for 75% of green power. So, any guidance of EBITDA increase that we can expect giving percentage? Can you just give a ballpark number?

Management: So, we do expect that with the present prices continue and prices continue to, if they further increase, definitely, the EBITDA should also be increasing. As regards green power, definitely 75% we have given the target for 2030. We would be closer to 60 by FY26. And the plans which we have, I think, this target will be met well before 2030.

Moderator: Thank you. The next question comes from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah: Hi. Good afternoon. My question is also pertaining to the EBITDA per ton, combined EBITDA per ton outlook, if you can share something on that.

Management: I think I have given my views on that.

Rahil Shah: Yes. Any certain number you would like to give out for the full year?

Management: The number, we have to see when I think number would be in line with the industry growth rather than when we give any particular number.

Rahil Shah: Okay. Got it. Thank you.

Moderator: Thank you. The next question comes from the line of Siddharth Malhotra from Kotak Securities. Please go ahead.

Siddharth Malhotra: So, just a quick question. I read in our annual report that we signed an agreement with GMDC for 250 million tons of limestone reserves. Could you just elaborate on our plans pertaining to that particular limestone? Will that be used in some of our existing plans? Do we plan some additional new plans in the western region perhaps? What is our end goal for that 250 million tons?

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Management: So, we have entered, we have got a limestone reserve and an agreement for that limestone. We will see that will help us in our future expansions. Immediately, we do not have any plans. So, as we plan, as a first step we have a plan for a 50 million tons expansion to reach 50 million tons of capacity. And as we are working towards that, then going in next 2 years' time, we have to come up with what will be our next goal of plans. So, it may, unless you have a tie-up of limestone deposits, you cannot make any concrete plans. So, this is for a long-term plan. So, we continue to apply for potential limestone reserves once because as of now we have plans to go organic. We do not have any plans to go inorganic at all.

Siddharth Malhotra: Okay, understood. And just with reference to the location of this limestone, are there any plans on the anvil for expansion into the western region, more particularly Gujarat?

Management: Yes, that could be. As of now, we do not have any immediate plan to invest in there. But going forward, maybe yes.

Siddharth Malhotra: Okay. Thanks a lot.

Moderator: Thank you. The next question comes from the line of Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar: Hi, sir. Thank you for the opportunity. So, I have just one question. I wanted some color on non-trade demand. So, if you see, even year-on-year and quarter-on-quarter, non-trade share has increased for us. So, I wanted a sense on demand of non-trade segment and also the pricing. Like, has it been more stickier than trade segment or even the price hikes have been more higher than the trade segment? Yes, a color on the non-trade segment.

Management: So, see, again, as government spending is there, so if overall demand increases only the non-trade segment, then to maintain the market share, we will have to enter that segment and get, otherwise it will be very difficult to get the entire growth from the trade segment. As regards the pricing, the non-trade pricing has been also because it becomes quite intensive sometimes and very aggressive and the prices do fall. But with this, there has also been an increase in the non-trade pricing over the last 2-3 months when we have seen the increase in the trade pricing. Because the pricing of both trade and non-trade have to increase in tandem. The differential cannot be very high.

Parth Bhavsar: So, what would be the differential right now versus what it was last year?

Management: The normal trend is of the difference between trade and non-trade is about Rs. 20 to 25 a bag.

Parth Bhavsar: Okay. And this has been stable even since the last 1-2 years.

Management: No, it has not been. So, whenever the difference has been, it's been fluctuating. So, that definitely affects, as we had seen that in the past, the trade prices were going down. The differential

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between trade and non-trade had also increased sometimes even up to Rs. 40-50-60 a bag.

Sometimes it can go in particular region Rs. 70-80. So, it is quite fluctuating.

Parth Bhavsar: Perfect, sir. Those are my questions. T

Thank you.

Moderator: Thank you. The next question comes from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: So, just on the follow-up question on volumes, you mentioned that you are scaling up your volumes in Bihar as well. And there is a new grinding unit of 3 million and that will come up.

So, will this new grinding unit have incentives as well, particularly as you have already scaled up decent volumes over there?

Management: The grinding unit, there is an incentive scheme and once we commission the grinding unit, so we have already applied and we should be getting certain incentives.

Moderator: Thank you. Ladies and gentlemen, we take the last question from the line of Ritesh Shah from Investec Capital. Please go ahead.

Ritesh Shah: So, just a quick one. Would it be possible for you to quantify the trade and non-trade price gap in North, central and South?

Management: No. So, it varies from time to time. It's very difficult. As I say, average Rs. 20-25 is a normal trend. But when the prices fluctuate, it is quite different from time to time.

Ritesh Shah: Okay. And, sir, would you like to put any timelines on the Jaisalmer optionality that we have?

Management: Yes, the timeline, I think, whatever options are there, very soon I think, the management should take a call on that and put that to the board.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question and conclude the question-and-answer session. I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited for closing comments.

Vaibhav Agarwal: Thank you. On behalf of PhillipCapital (India) Private Limited we would like to thank the management of JK Cement for the call and also many thanks to the participants for joining the call. Thank you very much, sir. Ryan, you may now conclude the call. Thank you.

Management: Thank you everyone for joining the call. Have a good day.

Moderator: Thank you, sir. On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

JKCL/BSE-35/NSE-47/2025-26(BM-6/25) November 6, 2025

The BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai-400001
Through: BSE Listing Centre National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai-400051
Through: NEAPS
Scrip Code: 532644 Scrip Code: JKCEMENT

Dear Sir/ Madam(s),

Sub.: Transcript of the Earnings Call on Unaudited Financial Results of the Company
for the Half Year and Second Quarter ended September 30, 2025

Dear Sir / Madam,

In continuation to our earlier letter dated November 4, 2025 and pursuant to Regulation 30 and Regulation 46(2)(oa) read with Para A of Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript of the Earnings Call held on Tuesday, November 4, 2025 (Conference Call) on the Unaudited Financial Results (Standalone and Consolidated) for the Half Year and Second Quarter ended September 30, 2025, for your reference and record.

The above information is also available on the website of the Company:
<https://www.jkcement.com/transcript-report> .

Thanking you,
Yours faithfully
For J.K. Cement Limited

Bhumika Sood
Company Secretary & Compliance Officer

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"JK Cement Limited Q2 and H 1 FY 2026 Conference
Call"

November 04, 2025

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR & CHIEF FINANCIAL OFFICER , JK CEMENT

LIMITED
MR. PRASHANT SETH – PRESIDENT (BUSINESS
INFORMATION & INVESTOR RELATIONS), JK CEMENT
LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

JK Cement Limited
November 04 , 2025

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Moderator : Ladies and gentlemen, good morning, and welcome to the JK Cement Earnings Conference Call for the Quarter and Half Year Ended 30th September 2025, hosted by PhillipCapital (India) Private Limited.

As a reminder all participants' line will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal the operator by pressing '*' and then '0' on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital. Thank you and over to you.

Vaibhav Agarwal : Thank you, Robin. Good morning, everyone. On behalf of PhillipCapital (India) Private Limited, we welcome you to the Q 2 & H1 FY '26 Call of JK Cement Limited.

On the call, we have with us Mr. Ajay Kumar Saraogi – Deputy Managing Director and CFO; and Mr. Prashant Seth – President (Business Information & Investor Relations) at JK Cement .

I would like to mention on behalf of JK Cement Limited and its Management that certain statements that may be made or discussed on today's conference call may be forward -looking statements related to future developments and statements which are based on current management expectations. These statements are subject to a number of risks, uncertainties, and other important factors which may cause actual developments and results to differ materially from the statements made. JK Cement Limited and the management of the Company assumes no obligation to publicly alter or update its forward -looking statements, whether as a result of new information or future events or otherwise.

I will now hand over the floor to the Management of JK Cement for their opening remarks, which will be followed by our interactive Q&A. Thank you and over to you, Saraogi , sir.

Management : Thank you, Vaibhav. Good evening and welcome to Q2 Call. The Board of Directors met on 1st of November to review the working of the Company for the half -year ended 30th September and also to review the performance for the 2nd Quarter .

The major highlight :

The revenue from operations during this quarter was Rs. 2,859 crores as against Rs. 2,410 crores previous year, an increase of 19%, though it was lower by 10% as compared to previous quarter , the number of previous quarter was Rs. 3,190. For the six month period, the revenue from operations were higher by 19% at Rs. 6,049 crores as against Rs. 5,070 crores.

The EBITDA during this quarter was Rs. 440 crores as compared to Rs. 271 crores last year and Rs. 673 crores in the previous quarter. For the half -year period, the EBITDA was Rs. 1,113 crores as compared to Rs. 746 crores, an increase of 49%. The comparative EBITDA margins

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for this quarter was 15.9%, last year it was 11.5%, previous quarter it was 21.9%, for this half -year it was 19.1% and last year April -September was 15.2%.

The profit before tax for this quarter was Rs. 261 crores as compared to Rs. 60 crores in the previous year and Rs. 498 crores in the previous quarter. For the half -year period, it was Rs. 758 crores as compared to Rs. 348 crores.

The EBITDA per ton for this quarter was Rs. 902 crores a ton as compared to Rs. 639 crores last year and Rs. 1,229 crores in the previous quarter. For the six -month period, the EBITDA per ton was Rs. 1,075 crores as compared to Rs. 830 crores a ton.

The consolidated financial results :

The revenue from operations during this quarter was higher by 18% at Rs. 3,019 crores as compared to Rs. 2,560 crores, though in the previous quarter it was Rs. 3,353 crores, it is down by about 10%.

For the half -year period, the revenue was higher by 19% at Rs. 6,372 crores as compared to Rs. 5,368 cro

res. The EBITDA during this quarter was Rs. 447 crores as compared to Rs. 284 crores in the previous year and Rs. 688 crores in the previous quarter. For the half -year period, it was

Rs. 1,134 crores as compared to Rs. 770 crores.

The profit after tax for this quarter was Rs. 159 crores as compared to Rs. 136 crores in the previous year and Rs. 324 crores in the previous quarter. For the six -month period, it was Rs. 483 crores as compared to Rs. 321 crores. The earning per share was Rs. 20.7 in this quarter, Rs. 16.2 previous year, Rs. 41.90 in the previous quarter. For the six -month period, it was Rs. 62.70 as compared to Rs. 40.20.

The debt profile :

The cross -debt as of 30th September was Rs. 5,289 crores as compared to Rs. 5,103 crores and the net debt was Rs. 3,139 crores as compared to Rs. 2,551 crores. The net debt to EBITDA as of 30th September was 1.34 as compared to (6:29.4) 1.3 as of 31st March .

I would like to brief you on the status of the various projects :

We have this project at Panna, a 6 million ton. This project is at advanced stage of completion.

We have already commissioned 1 million grinding unit at Prayagraj in the month of October and the work on other grinding mill at Hamirpur is at advanced stage of completion.

At the integrated plant, also the clinkerization, the work on the clinker line and the cement grinding is at advanced stage and all this should be completed by December this year and 3 million green field grinding at Buxar in Bihar should get completed in the fourth quarter between January and February of 2026.

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As regards the new project which we have taken up at Jaisalmer, we have already placed orders for most of the plant and equipment. The work at site for the integrated 4-million -ton clinker and 3-million -ton grinding has already started. The Bhoomi Poojan was done on 5th of September. All the major civil and mechanical contractors have been finalized and the work is progressing and we hope that this should come on stream in Q2 FY '28.

We are finalizing the land for both the grinding locations. It is an advanced stage and hopefully , the work for both the grinding locations will start sometime by the fourth quarter of this fiscal.

We have also initiated 6 lakh ton green field wall putty plant at Nathdwara in Rajasthan. The Bhoomi Poojan for this plant was also done on 5th of September. The orders for main plant and equipment has already been placed. The construction work has started at the site and it is expected that this project would be commissioned by Q2 FY '27 .

These are the major highlights on the various expansion projects. I will be happy to answer your queries. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Harsh Mittal from Emkay Global . Please go ahead.

Harsh Mittal : Thank you for the opportunity. My first question is that the other expenses seem to be higher this quarter. Can you guide us that what would be, in terms of rupees per ton, you feel that it would be reversed in the coming quarters?

Management : So, the 2nd Quarter , we have taken up the maintenance work of three of the kilns, where major kilns were under maintenance in this quarter. There was some maintenance in the cement mills also. And this is the quarter when the major branding work is taken up. All the annual dealer conferences are held in this quarter, being the lean period, and this is the best time that the dealers are ready.

They expect that all the foreign tours and all are undertaken during this quarter only, because in the season they would not like to travel. So the expenses of this quarter are higher on this region.

Yes, going forward, it will, on a per ton basis, this would have an impact of about Rs. 100 a ton.

I think we should get, going forward, when with the higher

volumes and the amount being a bit

lower, so it will have an impact of about Rs. 100 a ton in the cost saving.

Harsh Mittal : Sure, sir. Thank you. So, second question, as per our last guidance, we had a run rate of Rs. 300 crores of incentives per annum, right? Now, given the changes in the GST structure, what is the new run rate you feel for the next two years? And with Jaisalmer coming in FY '28 , how this run rate can change?

Management : So see, marginally, this will be lower only in this fiscal. We expect that in the next fiscal, the incentive of Bihar should come in. So overall, from FY '27 , we should get the benefit of the subsidy of about 300 crores. But in FY '28 , yes, we will have some more incentives, partially in the year when we commission Jaisalmer . And then we have to work out, because some of the

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subsidies in Nimbahera will get, I mean, that period would be over. So I think going forward, we should definitely accept for about Rs. 50 crores lower in this fiscal. Next fiscal onwards, it should be Rs. 300 crores plus.

Harsh Mittal : Right, right. My last question, that when we announced the Jaisalmer expansion, we said that we will be going with 4 million tons of clinker and 7 million tons of grinding, 4 million tons of grinding, spread grinding unit. So that has not been mentioned in the latest PPT. Any update on that?

Management : No, sorry, it is not mentioned in the PPT, but I have said that we have already acquired most of the land for the spread grinding location. And the work on the 2 million tons each grinding in Punjab and Rajasthan, the work should commence in Q4.

Harsh Mittal : And so do we expect the commissioning in Q4 FY '28 ?

Management : See once we receive the, get all the land, we will get the environmental clearance. So you cannot apply for environmental clearance before acquisition of land. So immediately on land, so we hope that in this month, by December, one grinding location, land will be finalized in this month and the next one by next month end. So immediately one, definitely one grinding location, which will start work in the fourth quarter. So we are targeting to start work for both the grinding locations in the fourth quarter.

Harsh Mittal : Sure, sir. Thank you. These were my questions. Thank you.

Moderator : Thank you. We have our next question from the line of Ritesh Shah from Investec Capital . Please go ahead.

Ritesh Shah : Yes. Hi, sir. Thanks for the opportunity. Sir, a couple of questions. One is what was the incentive quantum for this quarter?

Management : It was around Rs. 70 crores.

Ritesh Shah : Rs. 70 crores , sir. Great. Great , sir. Sir, secondly, can you update us on Toshali and Saifco , specifically on Toshali, any update on the limestone? The quantum of CapEx that we have done so far and incrementally, how should we look at it? And the same thing on Saifco , basically, how are we looking at it?

Management : So as far as Toshali is concerned, one, Toshali has now become part, the merger, we had applied for the merger of Toshali, which NCLT approved in this quarter. It is already, the standard results are including the working of Toshali. As far as the mining lease is concerned, I mean, though we have been trying, we will have to, we are still now, grant of lease without auction, it will not be given by the state government.

But we are still discussing with the court on the long -term arrangement. If they agree to supply limestone for a long -term period of 20 years - 25 years at a particular price and with a price

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mechanism formula, then we can consider any expansion in that region. At this point of time, we are operating, we have already done whatever small CapEx was required in the project. And we are operating the plant and the capacity is about 0.6 million tons. And we

hope that we should

be doing, operating the plant at 80 %-85% capacity utilization.

Ritesh Shah : Thank you, sir. Sir, on Saifco ?

Management : So on Saifco also, we have launched our brand in the month of August. So we did a relaunching and then we have started the marketing activities in the region. And so all that has been done in this quarter, in the 2nd Quarter . Now we are starting, we are seeing that the effect of that is visible from October. The sales are already good in the month of October. Now , the dealers are happy with the brand.

And we are trying to establish our brand in the region, as well as then operate and get maximum output from that plant. But maybe the capacity is going forward two months , three months would be winter months where we will not get much production. The sale would hamper. But beyond that, we expect that we should be selling around 20,000 tons a month normally from that plant.

Ritesh Shah : Sir, any plans that we have formed upon the expansion over here because earlier you had indicated we can increase the capacity ?

Management : As of now, we have not formed up. What we are doing is some, we plan to do some modification in the plant so that we can increase by 30% in the existing capacity as far as possibility of putting up a new line of higher capacity. That is on hold. We are studying that and that we may take a call going forward. But there is no immediate decision on that.

Ritesh Shah : Sir, would it be possible to quantify EBITDA level numbers for both Toshali and Saifco ? Just trying to understand the core business if one had to exclude both this.

Management : Toshali work has been done. Toshali , as such, there has been no operating profit so far. We expect that going forward, this year we should end up Toshali maybe more or less as a break even. And even we should see proper EBITDA coming in from Saifco post the season. That means actually it will come from major, this year again for Saifco first year because we have made a lot of expenditure on the brand pool.

So having spent so much amount on brand pool, Saifco for this fiscal should end up at about 0.0.

It will only start making profit from next fiscal.

Ritesh Shah : Sure, sir. This is also, sir, this last question I will squeeze in. Sir, we saw full page ads of JK

Cement pertaining to Calcine Clay or LC3 , I think this was last month. Sir, what are our plans over here? Have we earmarked any specific percentage of our sales volumes for this? How should we look at the ramp up over here? Thank you.

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Management : So, see, we have been trying to work on this. We have been successful on development of the project. We have launched the project now for various projects and other things , we are doing a marketing effort. We do not have exact numbers as of now, but this is again, it is an opportunity for us and we will see how much we can sell. This is a new product line. It will be over and above the normal sales.

Ritesh Shah : Sure, sir. Thank you so much for the answer. I will join back the queue. Thank you.

Moderator : Thank you. Our next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund . Please go ahead.

Pathanjali Srinivasan : Thank you for the opportunity, sir. I have a couple of questions. Firstly, our lease distance has kind of increased over the last couple of quarters. So, any sense on whether this could reverse from Q3 onwards because our plant commissioning and all of that is happening?

Management : So, not from Q3. See, o ur grinding unit at Bihar will get commissioned in Q4. So, we will see because we have to seed that market. And that is why the lease distance is increasing. So, we will see real benefit coming out of that. And then the grinding units , the expansion which we are doing at Prayagraj and Hamirpur , that will also get commissioned. Prayagraj al

ready got

commissioned and Hamirpur will get commissioned in this quarter. So, the benefit of that marginally we will see but major we w ill see from once we commission the Buxar grinding unit. But today , we are seeding the entire Bihar with a high lease.

Pathanjali Srinivasan : Sir, could you quantify how much it could reduce to post this as in, what would our target be?

Management : So, about 12 kilometers to 15 kilometers it should reduce.

Pathanjali Srinivasan : Okay. Got it, sir. And just one more question. Our power cost looks slightly elevated on a per ton basis. Is there anything that is causing this? Is there some bit of a short -term? Are we buying any power or anything from outside or something like that?

Management : No. See, the power and fuel cost has gone up because of the increased clinker stock. I mean, this quarter actually the cement sales volumes are lower , but clinker production was highest. So, the clinker actually stock has built up. So, that has resulted into the high power and fuel cost. And because of the maintenance, I mean, there was some hit on the waste heat recovery power generation also, which is a low cost power. So, these are the two.

Management : So, whenever the kilns are under maintenance, the waste heat recovery does not work. And waste heat is the major green power and at no cost.

Pathanjali Srinivasan : Is it possible to quantify what the impacts of this could have been, sir?

Management : See, waste heat, the closure of a kiln , it is about Rs. 15 lakh a day loss in terms of waste heat power.

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Management : So, see, in the cost mean, if you see, there is the main impact of say Rs. 10 crores to Rs. 12 crore on that account.

Pathanjali Srinivasan : Okay, sir. Got it.

Management : Balance is because of the stock position.

Management : About Rs. 30 rupees a ton.

Pathanjali Srinivasan : Okay. Got it, sir. Thank you.

Moderator : Thank you. Our next question is from the line of Amit Murarka from Axis Capital . Please go ahead.

Amit Murarka : Hi. Thanks for the opportunity. So, my first question is on regional sales split, if you can provide for one 1H FY '26 in terms of north, central, east, south ?

Management : So, what is there in this, the major increase has been in terms of south and central India. The north, the growth is at par, it is flattish at about, the market about 5 % to 6%. But the major, because last year our south plant in Q2 was under maintenance and the sales were quite low. So, one, because of that low base, we see a major increase in the south sales. And then definitely the central is growing. This is where the expansion has been, Company has made investments. So, that market is already growing. So, the major growth is coming from growth in central and south.

Amit Murarka : Sure. But could you just quantify something? I mean, ideally, if you can just give a market split if you can.

Management : No. We are not sharing the market split.

Amit Murarka : Okay. But central, like, would still be growing in what, mid -teens or something? I mean, or rather high teens actually.

Management : Yes.

Amit Murarka : Sure. Just generally on the Jaisalmer plant, so with this new capacity that you are doing, what is the envisaged CapEx for FY '26 - FY '27 as an annual basis? And what is the peak that you are looking at?

Management : So, FY '26 - FY '27, there should be about Rs. 700 crores to Rs. 800 crores spent on the Jaisalmer project. And total spent is Rs. 4,800 for the integrated and the two spread funding locations. We would be expecting another about Rs. 2,500 crores or to Rs. 2,800 crores in next fiscal. And balance will get spillover in FY '28 . This is how we see the whole CapEx . So, normally we will see that about Rs. 3,500 spent by FY '27 and remaining gets spillover to FY '28 .

Amit Murarka : Sure. And what will be the full year C

apEx that we can expect then in FY '26 and FY '27 ?

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Management : This year, I mean, it should be in the range of Rs. 2,800 crores to Rs. 3,000 crores. And next year, it will be over Rs. 3,500 crores.

Amit Murarka : Okay. And peak debt number that we can think of?

Management : So, on the peak debt, we are looking at incremental borrowing coming in for the Jaisalmer of about Rs. 3,000 crores. But by the time this borrowing comes, the net debt should increase by about Rs. 2,000 crores, I think. But there will be certain repayments and all. So, the net debt should increase by about Rs. 2,000 crores.

Amit Murarka : Okay. And just lastly, on this wave of expansions that we have seen being announced, like, after a long time, we have seen a lot of capacity being added actually in North as well, particularly with the recent announcement that UltraTech made. What is your thought on the market balance with all these new expansions coming in over the next two years?

Management : Again, whether announcements have been made, yes, mostly it will all come. There would be, you could have a period of lower capacity utilization and it will take time to settle down. So, it would be not only for us, it would be for the industry, whatever. So, at this point of time, yes, there would be intense competition. But we are definitely prepared for it. We were expecting as such that all the new capacities may come up.

But there was no time frame as there was no official announcement by the competition. But we were looking at what could be the likelihood capacities which may come. But having said so, now it is very clear what capacities and the regions are also very clear. So, we will see . We will work out our marketing strategy accordingly.

Amit Murarka : Okay. That is all from me. Thank you so much.

Moderator : Thank you. The next question is from the line of Harshal Mehta from Asian Market Securities. Please go ahead.

Harshal Mehta : Hi, sir. Thank you for the opportunity. Couple of questions. So, my first question was on our strategy. So, your views are on the growth margins and how do we plan to balance both of them going ahead?

Second question is on non -trade business. So, how do we see that business going ahead for us?

And how do we see non -trade as a share moving as we start commissioning new capacities?

And lastly, just a clarification on Punjab and Rajasthan grinding units. So, can we expect them to commission by 4Q FY '28? So, these are my questions. Thank you.

Management : So, as far as strategy is concerned, our strategy has been clear that definitely with the expansion, we would definitely plan to grow higher than the market growth. So, that is why so that we can see higher volumes of expansion in the market. And the strategy would be we have already

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initiated our GTM strategy for not looking into the Jaisalmer project , which is likely to come up in next 15 months - 18 months.

So, we have already started working on that , so that we are able to balance both on volume growth and at the same time maintain a profitable growth. So, that would be definitely our strategy. And what was your question on the grinding units?

Harshal Mehta : Just a clarification, like Punjab and Rajasthan grinding units, so can we expect them to be commissioned by 4Q FY '28?

Management : Yes, it will get commissioned along with the clinkerization in Q2 of FY '28 report. Even if it gets commissioned earlier, we can supply clinker from existing Nimbahera plant, Nimbahera Mangrol .

Harshal Mehta : Sure, sir. And on non -trade business, if you can help.

Management : So, non -trade, see again, today also non -trade is about one -third of the volume and we have to, along with the trade growth where you have to do a GTM study, we need to continuously work on growing the non

-trade market. It is an important segment and even going forward where we see if large infra projects are coming up, we need to plan to be part of those projects. So, you cannot afford to lose any of the projects.

So, as a part of strategy, we will get our product approved in all the new projects which are coming up in our region so that we are able to push material in the non-trade segment also. Though, as a strategy, we would definitely like to maintain around 70 - 30 as a trade non-trade ratio. But if the market growth is coming from non-trade, there may be the trade percentage may marginally reduce.

Harshal Mehta : Sure, sir. Thank you.

Moderator : Thank you. Our next question comes on the line of Parviz Gavi from Nuvama Wealth Management . Please go ahead.

Parviz Gavi : Hi, good afternoon and thanks for taking my question. So, my first question is regarding our volume expectation for FY '26. I think earlier we had started for about 10% volume growth. So, are we maintaining that? And second is, I mean, your view on prices post Q2. Thank you.

Management : So, we are still maintaining like if we see the first-half, we have done a growth of about 15% to FY '26. We still maintain an overall growth of about 10%. We are giving a guidance of around 20 million tons, close to 20 million tons volume for this fiscal. And we hope to achieve that.

Your second question was?

Parviz Gavi : Regarding the prices post the end of the quarter.

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Management : Regarding post, the GST reduction, as we have passed on all the GST benefits to the market, as was promised to the government. And we also indicated in our communication that the GST benefit has been passed on. As of now, we see there is some pressure on pricing. But post, there is a pressure on prices in this month. But we will have to see how things, I mean, we expect that this should reduce going forward. And if there is any cost increase or anything, we will try and see how we can push up the pricing.

Parviz Gavi : Sure, sir. Thanks and all the best.

Moderator : Thank you. The next question comes from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : Good evening, sir. And thank you for the opportunity. A couple of questions. So, it is been a little over a month into the new reduced GST regime. So, I wanted to understand , if at a Company level we are seeing any premiumization trend. In the sense, like, share of premium products being higher versus what they were in the previous quarter ? Any such initial trend or it is business as usual?

Management : No, actually , one month, see what numbers are we are giving you, the numbers of Q2. And we have seen even in Q2, there is a marginal increase in the premium product sales. Yes, as a Company strategy, we are pushing up premium product because the demand for premium products is increasing. But it is very difficult to, I would not be able to comment exactly that what impact GST is having on the sale of premium products.

Navin Sahadeo : Understood. Regards to Saifco , in one of the previous questions you said, you are looking at roughly 20,000 tons per month of sales from that particular asset. Is it possible to share how big is the market opportunity there in the sense that the addressable market there? How big is it? Is it 1 lakh tons per month or some numbers just to understand the address, let us say, the opportunity for us?

Management : Yes so the market in that region, overall, I think it is close to about 4 million tons. Yes, this is including trade, non-trade, everything. So the large budgets are coming and even all big players, they are supplying at these projects as their product is approved.

Today, the smaller producers, the local producers have this disadvantage that all of them do not qualify for the larger projects because some projects have a minimum capacity criteria to be

eligible to become a supplier for their project. So now, since, see, with our launch and our brand value, we are also growing both in trade as well as non-trade.

And this number of 20,000 which you have given, this we feel that we should be able to do with definitely, as of date, maybe six months down the line, we can give you the new numbers of how much further we can improve our volumes.

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Navin Sahadeo : Yes, sure. No, I was only thinking if it is a 4 million tons per annum kind of a market, which is roughly 3 lakh tons per month. And within that, I am saying even if it is a growth of 8 % -10%, the numbers that we are looking at, which is 20,000 tons, seem to be, like, I am saying a little low on the, a lower tag. I am just saying the number is lower.

Management : Sure, thing. This number is lower. This is why we entered. We have to see there is a lot of

potential. There is some debottlenecking to be done at the plant, which we are planning how to do it and working on the timeline for that. Once we do that, so that we can do higher volume numbers and at least get what you are saying is right, get about 10 % market share.

Navin Sahadeo : Sure. Sorry, just one more bit on this Saifco thing. This total volume that is sold in the region, which is 3 lakh tons per month, how much of that is local and how much of it comes from nearby states of Himachal and Uttarakhand kind of a market? I am just wanting to understand how much will we have an advantage being a local player with lower lead distance in that market?

Management : See, basically most of the trade is being done. Trade segment is being serviced by the local players. The non-trade segment is coming in that region, is also quite reasonable. I think it is 4%, I am not sure about the number. I do not have that number. But today the majority of the non-trade or the camp, the key projects are met by the large producers, which is coming in from Punjab or from HP.

Navin Sahadeo : Understood. That is helpful. Maybe as we progress along, we will have more color on this. My next question then was on the UAE facility, because one of the other companies which have presence in UAE, they reported a very sharp increase in profitability in that market, particularly in the September quarter.

And while our numbers also are positive, I am just looking at the difference between the console and standalone. So while the number is positive, but sequentially there is some bit of a decline there. So I wanted to understand, how should we look at overall EBITDA for FY '26 - FY '27 , and is the feedback correct that that market is improving and will benefit us as well?

Management : Also, as I see in UAE, besides white cement, and then we have also entered into Africa, where we are selling wall putty. So now , the Africa where we were selling wall putty, we have been able to grow in that region. The white cement per se is definitely growing, as you know Asian Paints have come into white cement, they will produce white cement from UAE and sell for their own consumption.

So we will be losing that party, so that will have an impact on our profitability. However, we have some increased volume in the other countries where we sell white cement. At the same time, we have introduced, we have been working on new product line in the UAE, and have been able to develop new products in the UAE, like dry mix and construction chemicals, again, where we are working.

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And this would be a new profit pool, which we intend to create in the UAE. And we are expecting that on an overall we should be able to maintain profitability in the UAE region, make a reasonable profit. Even this year, in this quarter, it may be lower, but in the first nine months, it is comparable with the last year, better than last year.

r.

Navin Sahadeo : Understood. And since you mentioned about white cement, if you could just touch upon, how are the margins of that particular segment, are they continuing to be under pressure, or there is some, what do you say, bottoming out side of the thing that we are expecting?

Management : I think it has bottomed out. The pressure continues mainly on the putty , but that too has bottomed out.

Navin Sahadeo : Understood. Sorry, one last question, if I may. How much were paint revenues in this quarter, and are we on track to achieve the numbers for 2026? These were my questions. Thank you so much.

Management : Paint revenue was Rs. 95 crores in this quarter.

Management : And in the first six months, the overall paint revenue was Rs. 182 crores and we had given a guidance of closer to Rs. 400 crores. We are working, and we should be closer to that number.

Navin Sahadeo : Understood. Thank you so much , sir.

Moderator : Thank you. Our next question comes from the line of Pinakin Parekh from HSBC. Please go ahead.

Pinakin Parekh : Thank you very much, sir. Sir, my first question is, you mentioned there is some pressure on pricing. But as we get out of the monsoon quarter into the busy season, hopefully trade sales pick up and you did also talk about higher premium product sales. So on a blended basis, would you expect net realizations to be flat or down in Q3 versus Q2?

Management : Yes, it may be. As of now, in the month of October, as we see, vis-à-vis Q2, it may be marginally down. Because the more on the non-trade we have seen in Q2, prices across all regions, like in the south, where it has increased, the prices have reduced somewhat in the south or southern region also. Though in the northern region and all, it is not, but there is definitely a pressure in the market.

Pinakin Parekh : Got it, sir. And sir, on demand, as we get out of the monsoon season into the busy season, we are seeing rains linger. There is a Bihar election. So do you see the demand being pushed out into Q4? Or are you seeing signs of demand recovery in November?

Management : No, except for whatever the weather conditions, whatever you lose on the demand. Otherwise,

demand is okay. We do not see that it is getting all pushed up to Q4.
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Pinakin Parekh : Okay. So for the industry demand, you would expect this year to average 7 % - 8%? Or you think it will be lower given how 1H has spread?

Management : No, I think the industry should end up around 7 % - 8%.

Pinakin Parekh : Got it. Thank you very much, sir.

Moderator : Thank you. Our next question comes from the line of Shravan Shah from Dolat Capital . Please go ahead.

Shravan Shah : Hi. Thanks, sir. At least I got the opportunity , after waiting one hour. A couple of questions. Sir, first of all, this paint EBITDA loss for this quarter is how much?

Management : Rs. 14 crores.

Shravan Shah : Rs. 14 crores. And in terms of for FY '27 also, the kind of Rs. 600 crore revenue and breakeven, that target remains the same?

Management : Yes, we are working towards that. Yes.

Shravan Shah : Okay, got it. Sir, the bigger thing I just wanted to understand, in terms of the profitability and the volume growth, even previously the participants tried to ask the questions. I will try to ask slightly on a different way.

So, given that the now, one is the GST , already cut, is happening, government is monitoring, and plus, as you said, the prices are seeing some pressure. Also, given the supply is now, is also increasing, more and more capacities are announced . And particularly , the top two players, it seems now they are becoming aggressive on the markets again. So, given that, do we see that structurally, the pricing , will the price hike or rather, maybe one can say, some marginal decline can also, can happen even for next one year also?

Management : No, I do not think so. S

ee, what has happened, the announcements which have been made, they are not coming up in the next one year. So, there is no change in the market, in the next one year, between the demand and supply, whatever was earlier expected as a new capacity, that is only going to come.

There is no surprise, capacity coming up in the next one year, which was factored in. Yes, there has been an announcement, that everybody has given a plan, for their next two - three years plan, how do they want to increase their capacity, and they started working on, so it will take some time, for the capacities to materialize.

Shravan Shah : Yes. No, sorry, let us say even for next two to three years also, so broadly if I look at, roughly, I think more than 160 million ton, is likely to come by FY '28 . And also , the top two players, given the kind of cost reduction, avenue that they have, and becoming aggressive on the markets again, and also at the same time in terms of the, increasing the premium set. So, given that for JK Cement Limited

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us, so why I am trying to understand is that, because we were one of the highest volume growth, for last five years .

But now, that may will continue, but on the pricing front and ultimately that will, in terms of the profitability front, how one can look at . So even if we understand 1% or 2% , reduction on the top line or the realization front, do we see that, structurally the profitability can still, except whatever the Q2 was, obviously the extra, one-off, and negative operating leverage .

But structurally do we think that, there is still a scope for us to keep on increasing, particularly the grey EBITDA per ton? Because this quarter, it seems very low, around 750 -odd - 800 odd, so on a Rs. 1,000 EBITDA per ton on grey front is doable on a yearly basis, for next couple of years?

Management : See, our half -yearly data is over 1000 . Have any of the big players, who have announced capacities, indicated that they will reduce prices and increase EBITDA ? They have also said that, they will be increasing their EBITDA, have they indicated that, they will be reducing the pricing? No, they have only given their plans for expansion . And then they are investing they would like the profitability to increase .

If they are the market leaders, they will definitely, if they do not reduce the price, that does not mean that, we will reduce price, and then sell . So we have not done, we have always been bridging the gap, with the lead player, with the market leader and not reduce pricing, so we do not foresee, that is not part of our strategy.

Shravan Shah : Okay, got it . And lastly, sir, just on the CapEx front, again coming back on that , so this 6 million ton Panna expansion, so if the original CapEx plan, if has not changed, I think still Rs. 960-odd crore, is left to be spent, so in the full year now, when we are saying that, the CapEx for this year and then plus the Rs. 700 crore, so this year CapEx number, should be on the higher side versus

what right now we have guided ?

Management : No, what we have guided, is inclusive of the Rs. 750 crores, for the Jaisalmer and the numbers, which we have given, the numbers for this year, was about Rs. 2,700 crores - Rs. 2,800 crores, and that is including, Jaisalmer , Panna , normal, everything . Our earlier guidance, for the CapEx for this year was between Rs. 2,800 to Rs. 2,000 crores, which has now been, because of the new project, it has increased.

Moderator : Thank you. The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund . Please go ahead.

Pathanjali Srinivasan : Thank you for the opportunity again, just couple of questions . Our trade share has actually like, trade volumes have grown very well over the last year . But non -trade seems to have been, almost flat, any reason why you see, this is happening?

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Management : No, there is no reason for it, we are also working, we have been trying to sell, cement, overall, whichever is the most profitable . And so, it is not that non -trade has, non -trade has also increased, this year, it is not that it has not increased.

Pathanjali Srinivasan : No sir, I would like to put my question, in a different way, any states, anywhere where, infra activity has seen, some bit of a slowdown, where we are operating?

Management : No, this is not related to infra , we are not saying that our non -trade is lower, because of infrastructure . Our focus definitely, as we would like, even whatever infrastructure is growing if we could increase our trade sale and get the overall volume, so it cannot be that be, continue to grow and trade as well as non-trade over and out of the industry, that is not possible and feasible.

Pathanjali Srinivasan : Okay , sir. And what is the reason for us to, keep a 10% guidance, because first -half, we are at almost 15% volume growth?

Management : First-half 15%, as I said the base was also lower, there was a maintenance, numbers in the first half. So, if you look at the base, what would be the growth, that we are talking about a 10% plus growth, overall for the year.

Pathanjali Srinivasan : Understood . Got it. A nd CapEx numbers just that, can you confirm for FY '26 - FY '27 ?

Management : Yes. Next year it will be more than Rs. 3,500 crores .

Management : Anything around Rs. 3,500 crores, as you go for the large project, Rs. 200 crores plus -minus, from Rs. 3,500 crores , plus -minus Rs. 200 crores.

Pathanjali Srinivasan : Okay . Got it, sir. Thank you.

Moderator : Thank you . The next question is from the line of Ritesh Shah from Investec Capital . Please go ahead.

Ritesh Shah : Hi, sir, Just couple of questions, sir I just wanted to understand, with the GST reduction, we have already committed to the Jaisalmer plant, we would have certainly got into certain, I think what we have indicated earlier was customized incentive package with the state government . With GST reduction, how does the underlying economic, change for us?

Management : No, no . See, to some extent, it gets only thing, the period gets extended . It is the amount does not get reduced . It is the period which gets extended .

Management : And especially , there is no impact, in case of the capital subsidy . It would only impact, the grinding units, where we have the GST based subsidy .

Management : So there the period gets extended. Not able to ramp up the volume, either if you are able to ramp up the volume faster, then you can get in faster, that we will work out as we move.

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Ritesh Shah : Okay . But sir, hypothetically , that 7 years, can be extended to 10 years, do we have the flexibility already or we have already negotiated, with the respective governments?

Management : So it is, see , the period which we are there, we are reworking out on the extended period.

Ritesh Shah : Okay . And sir, for the Rajasthan plant also, is it the same thing, 75% SGFC or is it only for the GO?

Management : For the Rajasthan plant also, it is there, even for the integrated unit.

Ritesh Shah : Okay, fine . And sir, just to check basically, I think we have two leases over here, one is Kenya, wherein we have 15% premium, and the other one, I think we have around 44% premium, are these numbers correct?

Management : Pardon, can you repeat your question?

Ritesh Shah : Sir, corresponding to the Jaisalmer plant, there are two leases, that we have won in auctions . One bid is at 15% and the other b id is at 44%.

Management : Yes, the limestone. Yes, right.

Management : The first one is at 15%, where we are setting up the plant, the new one which we have got, that

is about 40%.

Moderator : Thank you. Ladies and gentlemen, due to time constraints, we will

now take the last two

questions. The first of which comes from the line of Amit Murarka from Axis Capital . Please go ahead.

Amit Murarka : Hi, thanks for the opportunity , again. So just on your cost reduction program, you had outlined certain savings . Could you just refresh as to where do you stand on that right now and what is the exit rate expected in FY '26?

Management : So, we had given a guidance of about Rs. 150 to Rs. 200 a ton cost saving . And in FY '26, we should end the year closer to Rs. 75 to Rs. 90 a ton saving by FY '26 and balance another Rs. 75 to Rs. 80 we should get in FY '27 .

Moderator : Thank you. The next question is from the line of Rahul, an individual investor . Please go ahead.

Rahul : Hello. Thank you for the opportunity. So my question is on the paints business, I have noted your inputs on the revenue EBITDA part . So following -up on your guidance or your actual numbers last quarter, which was 30% gross margin . Do you have any inputs on the gross margin for H1 or Q2?

Management : No, we are working out on the gross margin and numbers and we are hopeful that we should be able to improve the gross margin over last year.

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Moderator : Thank you. Ladies and gentlemen, we will take that as our last question. I will now hand the conference over to Mr. Vaibhav Agarwal for closing comments. Over to you, sir.

Vaibhav Agarwal : Yes, thank you . On behalf of PhillipCapital (India) Private Limited , we would like to thank the management of JK Cement for the call and also many thanks to the participants for joining the call. Thank you very much, sir. Do conclude the call. Thank you.

Management : Thank you everyone for joining the call.

Management : Thank you.

Management : Thank you.

Moderator : Thank you. On behalf of PhillipCapital (India) Private Limited , that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

Call: Jan 2026

JKCL/BSE-35/NSE-47/2025-26(BM-1/26) January 20, 2026

The BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai-400001
Through : BSE Listing Centre National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai-400051
Through: NEAPS
Scrip Code: 532644 Scrip Code: JKCEMENT

Dear Sir/ Madam(s),

Sub.: Transcript of the Earnings Call on Unaudited Financial Results of the Company
for the Nine Months and Third Quarter ended December 31, 2025

In continuation to our earlier letter dated January 19, 2026 and pursuant to Regulation 30 and Regulation 46(2)(oa) read with Para A of Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript of the Earnings Call held on Monday, January 19, 2026 (Conference Call) on the Unaudited Financial Results (Standalone and Consolidated) for the Nine Months and Third Quarter ended December 31, 2025.

The above information is also available on the website of the Company:
<https://www.jkcement.com/transcript-report> .

We request you to kindly take the above information on record.

Thanking you,
Yours faithfully
For J.K. Cement Limited

Bhumika Sood
Company Secretary & Compliance Officer

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“JK Cement Limited Q3 & 9 Months Earnings
Conference Call”

January 19 , 202 6

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR AND CHIEF FINANCIAL OFFICER , JK
CEMENT LIMITED

MR. PRASHANT SETH – PRESIDENT (BUSINESS
INFORMATION AND INVESTOR RELATIONS), JK
CEMENT LIMITED
MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good evening, and welcome to JK Cement Earnings Conference Call for the Quarter and Nine Months Ended 31st December 2025, hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital (India) Private Limited . Thank you and over to you, sir.

Vaibhav Agarwal : Thank you , Rutuja. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited , we welcome you to the Q3 and Nine -Month FY 2026 Call of JK Cement Limited .

On the call, we have with us Mr. Ajay Kumar Saraogi – Deputy Managing Director and CFO ; and Mr. Prashant Seth – President (Business Information and Investor Relations) at JK Cement. I would like to mention on behalf of JK Cement Limited and its management that certain statements that may be made or discussed on today's conference call may be forward -looking statements related to future developments and statements which are based on current management expectations.

These statements are subject to a number of risks, uncertainties, and other important factors which may cause actual developments and results to differ materially from the statements made. JK Cement Limited and the management of the Company assumes no obligation to publicly alter or update its forward -looking statements, whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of JK Cement for their opening remarks, which will be followed by our interactive Q&A. Thank you and over to you, Saraogi, sir.

Management : Thank you, Vaibhav . Good evening and welcome to Q3 call. The Board of Directors met on 17th January to review the working for the quarter ended 31st December , 2025 and nine-month period ended 31st December , 2025.

The major highlights are for standalone :

The net sales are higher by 14% over the previous quarter at INR 3,132 crores as against INR 2,754 crores and year -on-year it is higher by 19% as the comparative numbers are INR 3,132 crores and INR 2,630 crores . For the nine-month period , the net sales are higher by 19% at INR 8,555 crores as compared to INR 7,542 crores.

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EBITDA during this quarter was INR 536 crores as compared to INR 440 crores in the previous quarter, an increase of 22% and it is higher at 10% year -on-year, INR 536 as against INR 486 in the previous year. For the nine-month period, EBITDA is INR 1,648 crores as compared to INR 1,232 crores, an increase of 34%.

The comparative margins are for this quarter 17.1%, previous quarter 15.9%, previous year 18.4%. For the nine-month period, the EBITDA is 18.4% versus 16.3% in the previous year. After deducting depreciation, finance cost and exceptional item, exceptional item is towards the new Labour Code liability .

The profit before tax is higher at INR 276 crores as compared to INR 261 crores and it is lower by 5% at INR 290 crores it was in the previous year. For the nine-month period, the profit before tax is INR 1,034 crores as against INR 637 crores, an increase of 62%.

The EPS for this quarter is INR 23.30 as compared to INR 22.70. It was INR 25.80 in the previous year and for the nine-month period, it is INR 89.10 as compared to INR 56.70. The EBITDA per tonne is INR 9.28 in this quarter as compared to INR 9.02, in the previous year it was INR 1,022 . And for the nine-month period, it is INR 1,022 versus an increase of 14% as compared to INR 8.96

in the previous year.

As far as the consolidated results are concerned :

The net sales in this quarter is higher by 15% at INR 3,383 crores as compared to INR 2,940 crores and even as compared to previous year, it is up by 20% and for the nine-month period,

the net sales is higher by 19% at INR 9,565 crores as compared to INR 8,028 crores. The EBITDA for consolidated EBITDA is INR 558 crores versus INR 447 in the previous quarter and year -on-year it was INR 492. For the nine-month period, it is INR 1,692 crores and previous year it was INR 1,262 crores and increase of 34%. If we look at the profit before tax, consolidated is INR 268 for the quarter as compared to INR 243 and INR 279 in the previous quarter ; INR 1,000 crores for the nine-month period as compared to INR 707 crores in the previous nine-month period. This profit after tax for the quarter considers a new Labour Code liability of INR 47.8 crores. If you look at the volume numbers, the grey numbers here, quarter -on-quarter it is higher by 20% and year -on-year 23% and the white business on quarter -on-quarter it is higher by 15% and year -on-year 13%. As regards the project, the Brownfield 6 million tonne expansion in Central India, out of this the clinkerization unit of 3.3 million tonnes and 3 million tonnes of grinding, 1 million tonne each at Panna, Hamirpur and Prayagraj have already been commissioned. The Buxar Greenfield grinding is the advanced stage of completion, and we feel that within the next 30 days this should get commissioned.

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With this , we are confident that all the remaining work of the project at Panna like OLBC , etc. would also get commissioned within February . And by end of February , the entire work would be completed.

We have undertaken a Greenfield expansion at Jaisalmer, so here the work has already started in full swing at the integrated site. The orders for main plant and equipment have already been placed and the civil work has already started and we are hopeful that by September 2027, this should get commissioned. We are soon going to start work at both the grinding locations in Punjab and Rajasthan, so that also we are confident that by September 2027 we should be able to commission the same.

As regards , we have also taken up a Greenfield wall putty plant in Rajasthan and the work on the same has already been started and we expect that by September 2026 we should be able to commission these 4 lakhs tonnes additional wall putty plant.

These are the major highlights for the quarter. If you have any questions we will be happy to address the same. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Murarka from Axis Capital . Please go ahead.

Amit Murarka : Hi. Good evening. Thanks for the opportunity. Just on incentives booked, could you give that number for Q3?

Management : Q3 number of incentives is lower on account of the GST rate cut and the impact is around INR 25 crores. So , last quarter number was INR 86 crores and this quarter it is INR 60 crores.

Amit Murarka : It was INR 86 crores in Q2 you mean?

Management : Yes.

Amit Murarka : Okay. And it is INR 60 crores now. So, INR 60 crores should be the run rate, or it will go up now with the Buxar unit starting in this quarter?

Management : I think Buxar first we would be taking the project GST credit. So, in this fiscal we do not see. So, this run rate of INR 60 crores should be there in this quarter.

Amit Murarka : Okay. Also on costs, so in this quarter your other expenses have declined quite sharply while you had explained in Q2 that it was a bit elevated in Q2 . But Q3 seems actually a little bit lower than what was generally expected to come through. So , is it like some marketing spends kind of being lower in the quarter or anything I

like that which led to this lower number or this is a normal run rate to think of?

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Management : So, there is some marketing spend is lower because it was taken up in September it was higher, especially in the white business. Also , we see that there is a dip in the branding cost . But in this quarter , I think it will be higher than Q3.

Amit Murarka : Okay. And just a last question for Panna Line 2 commissioning. So, your capacity mentioned in the press release is 3.3 million tonnes, but you have been saying that it has potential to do 4 million tonnes . So, by when can we expect that 4 million tonnes potential to kind of get unlocked? Will it be through debottlenecking or how will it happen?

Management : See, it will take some time. One year I think. We do not need that extra flexibility immediately. I think we would be seeing once we run the capacity at optimal rate for about 6 months or so. So, maybe in the next fiscal it is end of next fiscal that we will see the possibility , how we

accelerate it to higher capacity to about 4 million tonnes . But at this point of time , we will take it as 3.3 million.

Amit Murarka : Sure. But some additional equipment will be required to be added to get to 4?

Management : No. Nothing. Not really.

Amit Murarka : Okay. No major capacity. Thanks a lot. I will come back in the queue.

Moderator : Thank you. The next question is from the line of Kunal Shah from DAM Capital. Please go ahead.

Kunal Shah : Yes. Hi, sir. Couple of questions. So, beginning with the mid -teens sort of a base of volume growth , which we have achieved during F26 or will be achieving . What sort of growth now are we targeting over Fragrance 26 to 28 from a volume perspective?

Management : Pardon , I did not get you.

Kunal Shah : Sit, with the mid -teen base of volume growth that we will achieve during Fragrance 20 26 on the grey cement, what sort of growth are we targeting for 2027 and 2028?

Management : So, see, again, we expect the growth to be in double -digits. Mid -teens may not be possible, but definitely like in 2026, we end up at 20 million. And we are seeing maybe early teens maybe closer to 23 million tonnes , 22.5 million tonnes to 23 million tonnes , and 25 .5 -- as we go up and it should be anything ranging between 12 % to 15 % growth.

Kunal Shah : Yes. And secondly, on the CAPEX that, we had mentioned that roughly INR 2,000 crores of net debt would be the addition during F 2027 due to the Jaisalmer CAPEX broadly. Now, would that be the peak number or there are chances of that going up as well during F 2028, given, we would need or want to sort of fast track our south expansion?

So, all I am just trying to understand is how the management is thinking between balance sheet over 2027 - 2028 versus growth. ?

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Management : No, see, as far as we are confident. Yes, definitely. Post -commissioning of Panna , we would like to take up the further Brownfield expansion. And maybe it looks like more, as you mentioned, in Karnataka, where we are mostly or almost sold out. So, that looks. But as far as if you see the average debt profile and net debt-to-EBITDA, as of 31st December, we are at 1.41. And I think by March, it could be around 1.6 or something.

And next year , also, FY 20 27, it should be closer to 2 or reach 2, I think. And we would get incremental volumes. Yes, because of Greenfield CAPEX is higher. We are not concerned, but we will not delay , we will definitely keep a watch on the balance sheet. But I think our journey for 50 million, still, I do not think so many headwinds coming against that. We should be able, we should be on track for that.

Kunal Shah : Understood. This is helpful. And lastly, just one bookkeeping. So, like during the third quarter, you lost about 1.5% or 2% on realization. I mean, jus

t adjusting with the incentives also. But

how much of that have we been able to recover during the first 15 odd days - 20 odd days of Jan , I mean, through these various price hikes, if you could just help on that ?

Management : So, the price hikes have been there, but we do not gain on incentives.

Kunal Shah : No, which is fine. I am just talking of adjusting for the incentives.

Management : Pardon?

Management : Adjusting for the incentives.

Kunal Shah : Adjusting for the X incentives, I am saying. On the grey cement X incentives, like the realization that we have lost. How much have we been able to recover, if any, during the first fortnight of Jan?

Management : Yes, we have been able to recover that. I think we have the numbers, but I think there is a good, because the major recovery has been in the non -trade sales price. So, that should definitely be there.

Kunal Shah : Understood. Sure, sir. Thanks. This is very helpful.

Moderator : Thank you. The next question is from the line of Akshay Shetty from Mirae Asset . Please go ahead.

Akshay Shetty : Good evening, sir. Thank you for taking my question. I have only one question, mainly on the industry trends. So, from an industry perspective, how are you seeing demand trends over next two quarters to three quarters across key regions? And also, with multiple players announcing capacity additions, how do you see the supply situation evolving? Do you expect pricing discipline to sustain, or there could be some pricing pressure increase in certain mark ets?

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Management : So, presently, as you said, regarding demand position in the next two quarters to three quarters, we are seeing definitely a good demand in this quarter. So, the March quarter, I think it could be

one of the best quarters what we have ever seen. So, it looks like March . And then definitely, as the cycle goes with the March hangover, though it is a good construction period, but marginally in April, the volume does, because there is a lot of inventory of March, which is there in the market.

But we do expect that year-on-year, because the volumes have been lower in the April, June and July, September quarter. This year, the volume should be better year-on-year. And definitely 7% - 8% that is for the industry. So, this quarter, the growth, because the base is also high. So, year-on-year growth, maybe not 8% could be 6 % - 7%.

Akshay Shetty : Yes, thank you, sir. That is all from my side.

Moderator : Thank you. The next question is from the line of Harshal Mehta from Asian Market Securities . Please go ahead.

Harshal Mehta : Hi, sir. Thank you for the opportunity. Three questions from my end. First, in terms of a couple of quarters, a lot of expansions being around in North, especially from FY 29 perspective. How do you see industry pricing discipline and pricing trend? That was one.

Second, in terms of booking, what is our current CC ratio? And do we see any risk in terms of clinker shortage for H2 FY 2027? That was second.

And lastly, in terms of non -trade, we have seen like very sharp jump this quarter. Should we expect our non -trade share to remain at these levels or we expect it to inch down back to earlier levels? That was the third question.

Management : So, on your first question, a lot of capacities which are coming up. Yes, a lot of capacities have been. And if we really see, if we look at the demand growth and say 7% or 8%, not being one of the best markets. So, even North requires an incremental 10 tonnes - 12 tonnes incremental volume every year. So, yes, depending on the capacity, which is coming up, it takes time. I think there should not be much pressure unless one or two capacities bunching up, come up one time. At a time, it may have some pressure for a quarter or two, not beyond that. But still, we do not see any major concerns as of now.

Harshal Mehta : So

, on the CC ratio, if you can help with that. And do we see any risk of clinker shortage in H2 FY 2027 ?

Management : CC ratio is like 67%. And we do not have the clinker shortage. We have a complete clinker backup for our cement capacity.

Harshal Mehta : And on the non -trade part, if you can help with that.

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Management : So, non-trade, yes. See, again, non -trade was muted for some time. Now, also at the year -end, at every level, the annual budget has to be exhausted. So, this is also one of the reasons for a spot in the non -trade demand. And last year, it was also muted because of the elections, the budgets have to be re -approved. Now, most of the states' election cycle is also over. So, I think the non -trade demand going forward should be good. It should go in tandem with the cement consumption growth.

Harshal Mehta : Thanks, sir, and all the best.

Moderator : Thank you. The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.

Pathanjali Srinivasan : Thank you for the opportunity, sir. Sir, I just wanted to know how the lead distance would change for us and how logistics costs will change post commissioning of Buxar plant , because I believe we have been seeding this market for some time from Panna. So, can you give me some color on this?

Management : So, after commissioning of Buxar, yes, the lead distance for central plant should definitely reduce because we have been feeding from Prayagraj and others. So, we send clinker directly to Buxar. So, that will give us definitely a benefit. Even as we are seeing, there has been a reduction in lead distance, but the freight per tonne of per kilometer is different in different states. So, actually in this part, the per tonne per kilometer freight being higher.

So, all this may have , it depends on the mix. But definitely with the Buxar commissioning, we should see that both reduction in lead distance as well as some reduction in the freight costs.

Pathanjali Srinivasan : Got it. Sir, and was there any volumes from Panna line to this quarter? Or was it only from the existing plants?

Management : So, there has been some in this quarter itself. There was some clinker production of over 1.5 lakh tonnes from Panna line too. And as we had already commissioned Hamirpur , so there were some dispatches, incremental dispatches from Hamirpur also in this quarter.

Pathanjali Srinivasan : What is the timeline you can expect for this ramp -up for the plant? Because I believe there is some small works are still pending.

Management : Pending where?

Pathanjali Srinivasan : At Panna Line 2 .

Management : So, Panna Line 2 , I said, the waste heat and the OLBC pending, which will all the other

remaining work at the plant site will get commissioned within February.

Pathanjali Srinivasan : Got it. Sir, and incentives for next year, what will be our expectation?

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Management : See, incentive will definitely go down on a per tonne basis with the increased volume and everything and reduction. But we expect that once we have the eligibility and all the new units start getting with Buxar eligibility there, our annual amount, which had on the present had reduced from INR 300 plus crores to about INR 240 crores, should again go up to INR 300 crores.

Pathanjali Srinivasan : Got it, sir.

Management : But it may not be fully in FY 2027. It may be a bit later, a quarter or two difference could be there. But our exit run rate of FY 2027 that could be INR 75 crores quarterly.

Pathanjali Srinivasan : Got it, sir. Sir, and just one last question. Like our volume growth has been very good. It has been like significantly higher. Any particular region where we have been able to like do better or where we have seen that growth is stronger versus other regions? Could you give

some

comparatives here?

Management : No, see, major growth is coming from Central India. And as we are doing an expansion, definitely we need to build up our customer base and our sales across all segments for even non-trade. So, for planning for a long-term relationship with long-term players also. We have built up those relationships, which has resulted in a higher volume growth. But wherever, I mean, yes, in this journey somewhere there are non-trade prices being under pressure. The overall relations have been marginally lower.

Pathanjali Srinivasan : Got it, sir. And just one last question, sir. Guidance for 2026, we are not changing? We are sticking to 20 million. And any reason why? Because we seem to be like doing very high in terms of nine-months.

Management : So, we are not changing any guidance on the volume numbers for FY 2026.

Pathanjali Srinivasan : Okay. Got it, sir. Thank you.

Moderator : Thank you. The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo : Hello. Good evening, sir and thank you for the opportunity. Sir, there are a couple of questions. So, first was that I think for nine months, our volume growth is already 18% - 19%. Should we look at it only from sales, incremental sales from new markets or new regions that we got? Or we got benefit or we could increase our market share in the existing markets as well? That was my question, first.

Management : So, if you look at, yes, the major gains in the market has been from Central India. So, where we are reaching out, we are going to new markets. And as we had entered when looking to Bihar and expansion, so we had already started making a footprint stronger in Eastern UP and Bihar.

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And again, we will continue to grow over there because we feel that we are still not a major player in the market. So, we would like to consolidate our position. And as soon as possible get into, if not double-digits market share, at least mid-high market share in all of the, in the entire market. So, that has been the major areas where we have grown.

And when we have grown in the South, there was the tomatoes growth. So, we have, our numbers are higher in the South. So, we have also grown in the North, but in tandem with the market.

Navin Sahadeo : Okay. So, in North, you are saying our market share remained intact while we would have gained in Central, South and East, of course, was altogether a new market. Is that correct?

Management : East was a new market, and it was, yes, it was not there. It is a very small number. So, that is definitely there, small number of Toshi. But it does help in increasing the percentage. But again, it is not material.

Navin Sahadeo : Right. Sir, for the North market, our analyst experts are basically suggesting that December was probably a record month. In the sense that, like, we could see volumes which were similar to even March for some of the players, March 2025.

Management : Yes. So, practically, we are nearly, it has been good. All our plants, mills and sales have been operating.

Navin Sahadeo : Of course.

Management : I think it is a good market. The demand is good. And it would be not only for us, I think for most of the North players, it should be, this quarter could be a sort of a sold-out situation as was in the last year.

Navin Sahadeo : Sir, my question was around pricing like if that was the kind of record numbers we saw. But I think pricing failed to impress in the month of December. And January, I believe there is some

price hike. So, my question was, what convinces us that, like, we will be able to see a better pricing in January and February if it failed to impress in December?

Management : Yes, definitely, that is a big possibility. And I hope it does happen. Because, one, in the last few months, the non-trade pricing,

there had been a lot of pressure on the non-trade pricing. So, the difference between trade and non-trade had increased a lot, which was putting pressure on the trade pricing, sir. Still, the trade prices did not fall, despite the huge difference. But now, since the non-trade, with the improved demand, the non-trade prices have improved. This should definitely be the platform for a possible increase in the trade prices. And looking to the demand, there is all possibility that the trade pricing should increase.

Navin Sahadeo : Understood. And just one more question, if I may. From your presentation, I was looking at the data on pet coke and fuel costs. My observation was that while your monthly pet coke cost in dollar terms that you are reporting is increasing, and of course, on an average basis, it is certainly

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going up in Q3, and there has been a rupee depreciation as well. And despite that, our cost per Kcal or the fuel cost that we give has fallen down sequentially. So, what difference are we doing to get a lower cost?

Management : No, Navin, actually it is because of the mix, because Indian fuel consumption has increased.

Management : Central plant is actually basically more on, closer to the mines, it is more on Indian coal, which is cheaper. The pet coke is mainly used in the northern plants and in south plants, but in the central plants, it is a reverse situation where we are using the pet coke only as a blending fuel, about 20% and the AFR is also higher. So, these are the two factors.

Navin Sahadeo : So, as we ramp-up the new kiln, which is again in Central India, we should get further benefit of domestic coal or we should be insulated that much more.

Management : Yes, we have a linkage, domestic fuel, and even as of now, even the open market domestic fuel is cheaper. See, this is the advantage to be closer to the coal sources. So, we are closer to the coal field, so we have an access to cheaper fuel.

Navin Sahadeo : Understood. And just again, one broader question, if I may. So, in this quarter, as you rightly pointed, non-trade prices went down, and I can see, of course, your mix also changed in favor of non-trade. So, my question was, post GST rate cut, I thought the expectation was of seeing benefits towards premiumization, so to say, but that seems to have been on the other side, in the sense, negative, as the non-trade is falling much more and share of trade is also falling. So, how should one look at it from that point of view?

Management : I mean, the non-trade, see, incremental volume has gone into non-trade. But our premium brand volumes, in absolute numbers, the trade numbers have increased, they have not gone down and the premium product percentage has also increased. Quarter-on-quarter, if we see from July - September quarter, it was 14.9%, against which we have done 17.3% of premium products in this quarter. And so, there is an increase, even if you say July - September is a lean period, if we take it year-on-year, it was 15.8%, against 15.8%, we have 17.3% of premium products.

Navin Sahadeo : Understood, my only, if I may say, fear was that as we ramp-up our Panna Line 2, at least in the first year, our exposure to non-trade then would be much higher than what we saw in Q3 or you think it can come down?

Management : No, not as a percentage it will not be, this has been, so, I do not think as a percentage it will increase further.

Navin Sahadeo : Understood. That is helpful, sir. Thank you so much.

Moderator : Thank you. The next question is from the line of Sanjeev Singh from Motilal Oswal. Please go ahead.

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Sanjeev Singh : Thank you for the opportunity sir. Just one clarification, so you were saying 20 million tonne of volume, that implies only 1% - 2% kind of a growth year-on-year basis.

So, does it mean that

given the clinker utilization rate of 97% in 3Q, probably volume growth from existing plants could be flat. And the incremental volume could be from the Panna plant, because at the same time you mentioned that industry growth could be at 6% - 7%. And given JK Cement's historical growth rate, we would assume that the volume growth should be higher than what the industry is doing. So, just needed one clarification on this.

And secondly, if you can put out some number on what has been the pricing improvement in January so far, both in trade as well as trade segment.

Management : So, on the clinker, yes, definitely see the clinker, the major volumes is going to come from

Central India, and North it will be at the rate with the market, we are not going to lose any market share . Because again, there are twin markets, and all that can be serviced accordingly. So, we are not going to lose any market share, either in the North . And again, and we will definitely be growing overall more than the market in this quarter also.

Sanjeev Singh : And any number to the pricing improvement which we have seen in January?

Management : So, the pricing, see, what we are seeing from latter part of last week of trend, which we have seen now is on the non-trade pricing, definitely about , in terms of INR 15 to INR 20

improvement in the non-trade pricing . And in trade, definitely that has helped, one, it has released the pressure on trade, we have really not seen any increase in trade . But definitely, since the pressure is off, it will help in restructuring our discounts, and further and increase some of trade prices wherever possible.

Moderator : Okay, sir. Thanks a lot. Thank you. The next question is from the line of Ritesh Shah from Investec Capital. Please go ahead.

Ritesh Shah : Hi, sir. Thanks for the opportunity, sir. I have a couple of questions. Sir, first is, would it be possible for you to dissect the fuel mix, given you hinted on the linkage, so what is pet coke?

How much is linkage ? How much is non-linkage ? And any indication of how that will play out in the next quarter?

Management : No, see, presently the pet coke consumption was around 60%, and balance is the Indian Coal and AFR.

Ritesh Shah : Okay . And sir, how much will be linkage over here?

Management : So, in case of, I mean, I think about, of the Indian Coal, around 70% is linkage fuel and 30% is open market.

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Ritesh Shah : This helps, sir. Thank you for this. Sir, my second question is on exceptional items. How should we read this number of INR 46 crores? Is there a retrospective element over here? How should we understand it and why is it under exceptional?

Management : See, as an exception item, this is under the new Labour Code , which has been effective from 21st of November. So, on the new Labour Code where they have spelt out the new wage and the definition of how the gratuity and the leave and encashment has to be calculated, where they have said, the gratuity of the total payment, 50%, has to be the basic amount and the leave and encashment .

So, we have broadly reviewed that and we are still doing the fine working . But we have tried, actually, this could be the liability on account of this revision, though we are still discussing and freezing the numbers, but this is the number . This is how we have arrived at the number.

Ritesh Shah : Sure. Sir, last two questions. Sir, CAPEX number, if you could highlight for full year 2026, 2027, 2028, and if you could just dissect Jaisalmer out of the CAPEX number, annual CAPEX numbers.

Management : So, CAPEX number in this year should be INR 2,500 crores to INR 2,800 crores and out of that Jaisalmer would be INR 600 crores. Actually, as you see, whatever number we had given without Jaisalmer, which was around INR 2,000 for FY 2026, that remains as it is. The increment

al

CAPEX in this year will be on Jaisalmer, which is around INR 600 crores and another INR 50 crores - INR 60 crores on the Nathdwara wall putty plant. Otherwise, we are broadly, in line whatever earlier plan which we had given of the CAPEX .

Management : And next year CAPEX would be around INR 3,500 crores, which would include around INR 3,000 crores of the CAPEX on the 7 billion tonne expansion.

Ritesh Shah : And so 2028?

Management : 2028 will be the spillover CAPEX in the range of INR 1,000 crores - INR 1,200 crores.

Ritesh Shah : Okay, this is helpful. And sir, any update on Toshali limestone? I think we were engaging with the government. Any update over there?

Management : No, it takes time. We are still in dialogue with the government. They are still, they are considering our request. And so, any plans on that, what we need to do as a next step will depend when they really, we have the order, we have everything in hand. See, one is a positive indication, that is definitely there. But when we are working with the government, unless you have the order and everything, the agreements in place for the long-term supply with a fixed rate, we cannot . But still, I mean, there is no negative discussions in the dialogue, all in the positive manner.

Ritesh Shah : Sure. Sir, if I can squeeze one question, if you allow.

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Management : Yes, please.

Ritesh Shah : Sir, can you give some indication on the trade and non -trade price cap across regions?

Management : So, now, with the improvement, I think the gap would have come down nearly normally INR 20 to INR 30. Maybe in certain pockets, still remaining at, still there at INR 40. But it has come down. It had gone up to INR 60 rupees - INR 70. So, that was the position.

Ritesh Shah : Sure, sir. This was very helpful. Thank you so much. All the very best.

Moderator : Thank you. The next question is from the line of Rajesh Ravi from HDFC Securities.

Rajesh Ravi : Yes. Hi, sir. Good evening. My first question pertains to your cost saving projects. Could you quantify how much we have achieved so far in FY 2026? And what is the guidance for full year and next year?

Management : So, as we said, we had a plan of about INR 150 to INR 200, anything in ranging. FY 2025, we had already done a particular journey of INR 50 - INR 60. We had a plan, I think, exit of March, we should be , mostly everything done at around INR 125. Maybe we have another INR 25 to INR 40 for next fiscal.

Rajesh Ravi : Okay. So, the INR 150 you have already done, INR 100 o dd?

Management : INR 125 should be the exit of March 2026.

Rajesh Ravi : Sorry, I did not get you. FY 2025, you achieved INR 50 to INR 60 and this you are saying another INR 25 FY 2026?

Management : Another INR 50 - INR 60 rupees this year, which means the exit of FY 2026, it is around INR 120 - INR 125. Okay ?

Rajesh Ravi : Okay. Understood. And the rest for next financial year looking at.

Management : Yes.

Rajesh Ravi : Okay. And second on this labour cost provision, whatever you factored in as an exception, what would be the recurring impact on a quarterly basis here on?

Management : We are just working out on that. Not much clarity because A, there would be some, we would be the present other practice in the industry was on a CTC basis. So, the CTC used to be very flexible. So, now we need to restructure the salary and then try to work out what would be the impact.

Having said so, there could be some impact when we have no exact numbers, but not something substantial, maybe monthly INR 3 crores to INR 4 crores at the most. This is what we see.

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Rajesh Ravi : Okay. So, this quarter, everything has been in the exceptional. There is nothing which has been built up in the employee cost.

Management : So, none of the labor code liability has been in

cluded at part as part of salary and wages.

Rajesh Ravi : Understood. And just two clarification. Incentives , in the last call you had mentioned for Q2 was INR 70 crores, which you said is INR 86 crores and now Q3 is INR 60 crores. So, Q2 was INR 86 crores or INR 70 crores?

Management : No, INR 86 crores was the same quarter last year.

Rajesh Ravi : I was asking for --

Management : It was not Q -o-Q, it was not Q -o-Q.

Rajesh Ravi : So, Q-on-Q was , what is the number in Q2 ? INR 70 crores and this quarter it is INR 60 crores. Is this understanding right?

Management : Yes.

Rajesh Ravi : Okay. And the INR 60 crore s run rate will continue, but exit FY 2027, you are looking at going back to around INR 75 crore s run rate.

Management : Yes, at the end , because, you will have more incentives on new place . But on per tonne , it will be lower. The absolute amount we expect that by last quarter, it could be INR 75 crores.

Rajesh Ravi : And on the pricing, you mentioned non -trade INR 15 to INR 20 improvement has happened so far in Jan and trade , what was the number you mentioned?

Management : I said there is no number on trade. It has removed the pressure on pricing.

Rajesh Ravi : Okay.

Management : And it may help us in certain discounts. We have to see how the marketing gets back to us and what is the competition doing.

Rajesh Ravi : Understood. So, basis that only trade prices may go up if non -trade prices remain firm.

Management : Yes, yes.

Rajesh Ravi : Understood, sir. That is great and all the best. Thank you, sir.

Moderator : Thank you. The next question is from the line of Parvez Qazi from Nuvama Group . Please go ahead.

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Parvez Qazi : Hi, good afternoon, sir. And thanks for taking my question. So, two questions from my side.

What was the real share this quarter? And second, any comments on the paint business will be helpful. Thank you.

Management : Real share was 9% in this quarter.

Parvez Qazi : Sure, sir.

Management : And paint turnover was INR 103 crores in this quarter. So, for the nine-month s, it is INR 285 crores.

Parvez Qazi : And anything about profitability, etc., by when can we achieve a break -even here?

Management : So, on the paint, what we see that we should end the year at around closer to INR 385 crores - INR 390 crores , maybe INR 400 crores . I am not too confident in INR 400 crores , but definitely between INR 380 crores to INR 390 crores. And this year, we should have a lower loss as compared to last year because we are seeing the loss to be lower. Now, since we have already worked out, we have an improved cross -margin. We have worked out on the product. And next year, what we see when we cross the INR 500 crore number with a higher gross margin, that FY 2027, we should see a break -even in the paint business.

Moderator : Thank you. The next question is from the line of Siddharth M. from Kotak Securities. Please go ahead.

Siddharth M. : Hi, sir. Thanks for the opportunity. I just wanted to check, when you say that non -trade prices are up approximately INR 15 per bag to INR 20 per bag, is it similar across regions or is it largely confined to the North region when you give this particular comment?

Management : It is across all regions. You must have seen the reports. It is across all regions, even in South, Central, East.

Siddharth M. : Okay, sir. Understood. That was all from me. Thank you, sir.

Moderator : Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Hi. Thank you, sir. Sir, a couple of questions. First, in terms of the next expansion, post Jaisalmer , we will be going for the Muddapur 5 million tonne expansion.

Management : See, this is , in all probabilities. I cannot say firmly this is what we are going through. It depends upon the situation and what the board finally appr

oves. In all likelihood, as a plan, yes, it should

be there. We are still working on it. So, that is the position. We are not announcing that this is after Jaisalmer , we are taking up Muddapur . This is the most likelihood, as we have said, and it will depend on the situation.

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Shravan Shah : Got it. And then, most likely, by the end of this year, we should be announcing that or it would be in FY 2027, we will be starting it?

Management : I think that announcement will come post -commissioning of Jaisalmer . It is a big project, and it is a Greenfield , large project. But, having said so, again, if the market is different, it depends on how the market is, what is our balance sheet, if we want to pre -pone something , but two months , three months , six months. It all depends on how you see the market at that point of time, how you see your balance sheet.

Shravan Shah : Okay. Because then we have to start announcing two projects simultaneously because we need at least 12 million tonnes.

Management : I know that. See, as I said, once we see, you are confident that yes, as we announce Jaisalmer , before commissioning of Panna, it was only for a reason that the balance sheet was in order, the project was well under control . We were confident that we would commission the project well within time, well within cost . And our balance sheet was supportive. So, we announced Panna, a big project, before completion of Panna. We announced Jaisalmer before completion of Panna. Yes, there could be an announcement before completion of Jaisalmer , but we have to wait and watch, see that everything is in our control, and then make a call.

Moderator : Thank you. The next question is from the line of Milind Raginwar from BOB Capital Markets . Please go ahead.

Milind Raginwar : Thank you for this opportunity, sir. May I request you, if you can share the clinker production number for the quarter?

Management : Yes. The clinker production for this quarter is 3.6 million tonnes .

Milind Raginwar : 3.6 million?

Management : Yes.

Milind Raginwar : And, sir, if you can just give us some idea on the fact that what would be the cost differential for North vis -à-vis the Central and East? Just in the sense, a ballpark number?

Management : See, the cost factors , there could be sometimes a variation of about 100, because where in the Central we get advantage of low fuel, in the North we can use more AFR. So, it is different, but not much of a difference.

Milind Raginwar : Okay, sir. Okay. Thank you.

Moderator : Thank you. The next question is from the line of Pushkar Jain from Mili Capital. Please go

ahead.
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Pushkar Jain : My question is already answered. Thanks a lot.

Moderator : Thank you. The next question is from the line of Harsh Mittal from Emkay Global . Please go ahead.

Harsh Mittal : Good evening, sir. Thank you for the opportunity. So, my first question is that what is the fuel consumption cost?

Management : Fuel consumption, the average rate you mean for the fuel?

Harsh Mittal : Yes.

Management : It is around INR 7,900.

Harsh Mittal : In terms of per Kcal ?

Management : INR 1.50.

Harsh Mittal : Okay, so this is flat compared to the quarterly average.

Management : Quarterly average means?

Harsh Mittal : So, I am asking for the spot, the current.

Management : Current means for January.

Harsh Mittal : Yes.

Management : No, see, current , see, pet coke prices are still a bit higher than what we are hoarding . But since we have an inventory, it will not have much impact. But yes, all the new shipments will be higher because mainly, A, because there has been an increase in the fuel in pet coke by USD 7- USD 8, and the rupee devaluation.

Harsh Mittal : Sure. Sir, my second question is that what would be the exit utilizing for the Panna Line 2

for

the December quarter , exit?

Management : Exit utilization?

Harsh Mittal : Yes.

Management : So, exit utilization, see, clinker, again, it depends. Since we will not be able to fully utilize the plant . So, clinker, we would be definitely in a position to optimize the kiln by the end of the quarter. Two, as far as , all the grinding capacities are concerned, it is a seasonal, it is very difficult when all the output warranties would be completed . But utilization, very difficult to say

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what would be the utilization. Exit utilization, it is very difficult to say what would be that number.

Harsh Mittal : Okay. The last question, can we assume the commissioning of the grinding units at Rajasthan and Punjab to commission simultaneously with the Jaisalmer project?

Management : Yes.

Harsh Mittal : Or will there be a lag?

Management : At least one grinding unit should definitely be there at the split location, if not the both. But let us, but still, since there will be a grinding at the integrated plant, even if there is a delay, we will be able to manage.

Harsh Mittal : Sure, sir. This is very helpful. Thank you. These were my questions.

Moderator : Thank you. Ladies and gentlemen, due to time constraints, that would be the last question for today, which is from the line of Parth Bhavsar from Investec. Please go ahead.

Parth Bhavsar : Yes, thank you. All my questions have been answered.

Moderator : Thank you. Ladies and gentlemen, as this was the last question for today, I now hand the conference over to Mr. Vaibhav Agarwal for closing comments.

Vaibhav Agarwal : Thank you . On behalf of PhillipCapital (India) Private Limited we would like to thank the management of JK Cement for the call and also many thanks to the participants for joining the call. Thank you very much, sir. You may now conclude the call. Thank you.

Management : Yes, thank you everyone for joining the call.

Management : Thank you.

Moderator : Thank you. Ladies and gentlemen, on behalf of PhillipCapital (India) Private Limited , thank you for joining us and you may now disconnect your lines.

Call: May 2026

JKCL/SE/2026-27/19 May 26, 2026

BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai-400001
Through : BSE Listing Centre National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai-400051
Through: NEAPS
Scrip Code: 532644 Scrip Code: JKCEMENT

Dear Sir/ Madam(s),

Sub.: Transcript of the Earnings Conference Call on Audited Financial Results of the Company for the fourth quarter (Q4) and year ended March 31, 2026

In continuation to our earlier letter no. JKCL/SE/2026-27/18 dated May 25, 2026 and pursuant to Regulation 30 and Regulation 46(2)(oa) read with Para A of Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time, please find attached the transcript of the Earnings Conference Call held on Monday, May 25, 2026 (Conference Call) on the Audited Financial Results (Standalone and Consolidated) of the Company for the fourth quarter (Q4) and year ended March 31, 2026.

The above information is also available on the website of the Company:
<https://www.jkcement.com/transcript-report> .

We request you to kindly take the above information on record.

Thanking you,
Yours faithfully
For J. K. Cement Limited

Bhumika Sood
Company Secretary & Compliance Officer
M. No. ACS 19326

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"JK Cement Limited
Quarter and Year Ended 31st March 2026 Conference
Call"
May 25, 2026

MANAGEMENT : MR. AJAY KUMAR SARAOGI – DEPUTY MANAGING
DIRECTOR AND CHIEF FINANCIAL OFFICER – JK
CEMENT LIMITED
MR. PRASHANT SETH – PRESIDENT BUSINESS
INFORMATION AND INVESTOR RELATIONS – JK
CEMENT LIMITED

MODERATOR : MR. VAIBHAV AGARWAL – PHILLIP CAPITAL INDIA
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the JK Cement Limited Earnings Conference Call for the Quarter and Year Ended 31st March 2026, hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vaibhav Agarwal from PhillipCapital India Private Limited. Thank you, and over to you, sir.

Vaibhav Agarwal: Thank you, Da rwin. Good evening, everyone. On behalf of PhillipCapital India Private Limited, we welcome you to the Q4 and FY26 call of JK Cement Limited. On the call, we have with us Mr. Ajay Kumar Saraogi, Deputy Managing Director and Chief Finance Officer; and Mr. Prashant Seth, President, Business Information and Investor Relations at JK Cement. I would like to mention on behalf of JK Cement and its management that certain statements that may be made or discussed on today's conference call may be forward -looking statements related to future developments and statements which are based on current management expectations.

These statements are subject to a number of risks, uncertainties and other important factors, which may cause actual developments and results to differ materially from the statements made. JK Cement Limited and the management of the company assumes no obligation to publicly alter or update these forward -looking statements, whether as a result of new information or future events or otherwise.

I will now hand over the floor to the management of JK Cement for their opening remarks, which will be followed by interactive Q&A. Thank you, and over to you, Saraogi, sir.

Ajay Saraogi: Thank you, Vaibhav. Good evening, and welcome to Q4 and annual call. The Board of Directors met on 23rd of May to review the working for the quarter ended 31st March 2026 and the year ended 31st March 2026. The major highlights during the quarter, the net sales has increased by 15% at INR3,614 crores as compared to INR3,132 crores vis -a-vis the previous quarter. And year -on-year, it was higher by 11%. The previous year, the turnover was INR3,261 crores.

Year -on-year, the net sales has increased by 16% at INR12,568 crores as compared to INR10,802 crores. The EBITDA during this quarter was INR670 crores as compared to INR536 crores in the previous quarter, an increase of 25%. However, it was lower by 9% year -on-year as the previous year number was INR736 crores. Year -on-year, the EBITDA is higher by 18% at INR2,318 crores as compared to INR1,968 crores.

The EBITDA margins for this quarter was 18.5%. Previous quarter, 17.1% year -on-year 22.5%. For the full year, the EBITDA margins were 18.5% as compared to 18.2% in the previous year. The profit after tax was INR345 crores for this quarter as compared to INR181 crores in the previous quarter, an increase of 91%.

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And it was lower by 17% as the previous -- year-on-year -- previous year, it was INR412 crores. For the full year, the profit after tax was INR1,033 crores as compared to INR851 crores in the previous year, an increase of 21%. The earnings per share was INR44.50 in this quarter. And for the annual, it was INR133.70 as compared to INR110.1.

The Board of Directors also proposed a dividend of INR20 per share, subject to the approval of the shareholders. If we look at the status of the project, during this quarter, the company has commissioned the greenfield expansion at Buxar in Bihar. And with this, the total 6 million ton capacity expansion taken up in Central India get commissioned.

Also increased the capacity of the pl

ant at Muddapur by 1 million tons from 3.5 million to 4.5 million tons. And we started the work on the new greenfield project at Jaisalmer, a 7 million ton plant, 4 million ton integrated Clinker capacity at Jaisalmer along with 3 million ton grinding and 2 million ton each grinding locations at Bikaner and in Punjab. Here also, the work for the integrated plant is in advanced stage. The civil construction and erection work is progressing well. The project cost for this -- for the integrated unit is expected around INR3,630 crores, and we have already spent about INR742 crores up to March. We expect the commissioning in H1 of FY28. The work on the grinding station at Bikaner, the

orders for main plant and equipment has already been placed. The construction work at the site has begun. And here also, we expect the commissioning in H1 '28.

For the grinding units at Punjab, we have already acquired the land, and the other approvals are in process. So, we have already placed order for main plant and equipment. And here also we expect that this would also get commissioned in H1 '28. The company had also taken up for installation of 6 lakh ton Wall Putty plant at Nathdwara in Rajasthan.

The work is in advanced stage of completion, and we expect that by September, this plant should get commissioned. If we see the balance sheet position -- the gross debt as on 31st March is INR5,136 crores. The net cash is INR1,765 crores and the net debt is INR3,370 crores. The net debt to EBITDA is 1.45. The equity is INR6,961 crores. The net debt to equity is 0.48. These are the major highlights.

We'll be pleased to address your queries. Thank you.

Moderator: Our first question is from the line of Harsh Mittal with Emkay Global.

Harsh Mittal : Sir, my first question pertains to the employee expenses. So it grew 25% Y -o-Y. So I believe majority of this inflation could be attributed towards the commissioning of the grinding units.

But was there any other one-off expenses included in employee expenses because there is approximately INR32 crores of sequential rise in the expense cost. This is my first question.

Ajay Saraogi: So yes, as far as employee is that the commissioning of the new plant in Central India which has been done in this year. So earlier the salaries were all capitalized. It has gone into revenue.

On account of increased business requirement also, there have been additional manpower requirement.

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Normal increments also impact is there. And because of the Labor Code also, whatever is the impact during the year, that is also provided in this quarter. There is also onetime some liability pertaining to the leave travel assistance. So that is also provided in this quarter.

Harsh Mittal: So sir can we safely assume a sustainable run rate of INR 260 crores going ahead or there is some dilution there -- provided your dilution in this employee expenses?

Ajay Saraogi: So around -- see, we feel that around INR250 crores or so would be the -- there is -- see, what would happen even on this base number, there would be an increment impact of the annual increment with effect from 1st April. So that impact is we have already declared our annual increment, and that impact is around 10%.

And there would be as a business requirement, certain additional power would be required.

Even Nathdwara, the project will get commissioned in September. So some manpower increase there -- it would be there also. So we do expect that from the whole year number of INR937 crores, there could be about 12% to 14% increase year-on-year.

Harsh Mittal: Right. Sir, second question is on the other expenses. Again, there you have mentioned in the PPT that there is an increase in advertising expenses and packing cost. So what is the component of the packing cost in the INR80 crores rise in the other expenses cost?

Ajay Saraogi: Packing cost see the comp

osition is like it has increased on two accounts. One is because of

the volumes and second is because of the price. So combined impact is around INR30 crores.

Harsh Mittal: Got it. Sir, last question is on the incentive income. It seems to be a bit lower than the guidance provided in the earlier quarters of around INR75 crores. What is the reason for the same, sir?

Can we assume the same run rate going ahead or should we expect any pickup?

Ajay Saraogi: There is a reduction in the incentive one of the Aligarh unit there is incentive has already been availed for the full 10 years. And then because of reduction in GST and also in case of Rajasthan, not able to avail the incentive because we are getting the [inaudible 12:55] on the investment. So we can't avail that input credit is being done on the project. So as a result, we are not able to claim the incentive and that GST input credit we get immediately.

Harsh Mittal: Got it. Sure, sir. I will fall back in the queue. Thank you. These are my questions.

Moderator: Thank you. Our next question is from the line of Amit from Axis Capital. Please go ahead.

Amit: Hi, thanks for the opportunity. One, I just wanted to understand the White Cement outlook. I

believe White Cement was also coming from your UAE plants, which is impacted because of [inaudible 0:13:51] the situation. So what is the outlook on White Cement volumes for FY 27 and particularly in the near term? That is the first question?

Ajay Saraogi: So one, as far as the domestic White Cement is concerned, we -- well, since we have -- we'll be able to meet out the entire demand from the domestic production. Yes, we were feeding as it was more economical certain regions in the South from UAE. At this point of time, we are

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feeding that from Gotan plant. So we don't see losing any market of White Cement on account

of the present geopolitical situation.

Amit: And has the pricing increased because the flow has reduced from Middle East?

Ajay Saraogi: So we have been able to increase the prices of both White Cement and Wall Putty on account of increase in the input costs. The chemical costs have increased substantially. So we have been tried to pass on the cost increase to the customer.

Amit: And what is the capex guidance for FY 27, '28?

Ajay Saraogi: For this year, the capex should be in the range of INR3,500 crores to INR 4,000 crores.

Amit: Okay. And next year?

Ajay Saraogi: Next year, it would be INR1,500 crores to INR2,000 crores.

Amit: Understood. That's it. I will come back in the queue.

Moderator: Thank you. Our next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Yes. Some of my questions have been answered. On the incentives, what was the incentive accrued in Q4 and what is the outstanding on books as of March?

Ajay Saraogi: See, the -- I'll just tell you the Q4 incentive. The outstanding as on 31st March is close to about INR300 crores and in this quarter, it is about INR 29 crores.

Rajesh Ravi: Okay. So this INR 29 crores, INR30 crores would be the assumed run rate here on in subsequent quarters?

Ajay Saraogi: It would not be the assumed run rate. The run rate -- see, actually what is happening, we are not -- because of the GST input credit for North we are not able to take the incentive which we were getting for our -- for Nimbahera. So that loss would be there, but whole year, we got an incentive of about INR230 crores and this year, we should close to about INR250 crores to INR260 crores because Bihar, we though -- we are not accruing the incentive as on date because our policy is once we get the sanction letter, then only we start accruing it.

So we expect the sanction letter, so the Bihar incentive would also come in whenever we get the sanction letter, we will account for the incentive for Bihar. And other grinding units a

Iso

now for Prayagraj, Hamirpur and all, we shall be getting the incentive. So we feel that it will be around INR 250 crores for FY 27.

Rajesh Ravi: Understood. And sir, just for clarification the sanction letter is just a formality, or you will start -- and hence, you will start reporting it or accruing it once you get the sanction letter or you're eligible to accrue it now and only -- we will report it when you get the sanction letter ?

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Ajay Saraogi: As our accounting, unless you have a document -- see the scheme says you are eligible. But sanction letter says now it's an official eligible, then we -- after receipt of the sanction letter, we will submit our application for the -- for getting the amount from the state government. So it is probably as a prudent accounting policy, we account for -- we start accruing in the books of accounts, though it will be from the back date, but only after receipt of the sanction letter from the government.

Rajesh Ravi: Understood. And sir, second question, which even on the current geopolitical situation, the cost increases, given that INR 150-odd sort of cost increase everyone is looking at in Q1 versus Q4 on the variable cost side, how much of that has been passed on in month of April and May?

Ajay Saraogi: So we could say that because you had inventory and other things in the month of April in the May, we would have on an average a price increase of about INR 10 a bag. So INR10 would mean, say, 18% less of that. So broadly, it is passed on as on date that's what we could say, but how we are able to pass on the new impact of diesel and all which we have to wait and watch.

Rajesh Ravi: Okay. Understood. And sir, second, with the Jaypee plant, the 5 million tons would get operational somewhere this year, do you see the competitive intensity would increase in the central market, which is already reeling under margin pressure because of multiple companies ramping up capacities?

Ajay Saraogi: No, we don't see. Again, it is not something we were not expecting. So this was already there for past 3, 4 years. In fact, Dalmia earlier had already started sending material and seeding the market and they could not. So this is not -- this is something not as a surprise, but now it has come, okay, we will address it as it comes.

And we don't see immediately large volumes coming up. We feel that even they will be able to -- it's only from beginning of Q3 that you should start seeing some material coming from the Jaypee plants.

Rajesh Ravi : Correct. Okay. Understood. And sir, 2 questions just on the -- again, similar trajectory for Rajasthan market where a lot of capacities are coming up during FY28. So how would that market shape up in terms of volume and pricing FY28 onwards?

Management: So again, see, I'm saying we are well prepared. When we took the expansion, we had factored in that competition would definitely intensify. So we are prepared for it. We are confident. We have strengthened our team processes.

We have planned how will we seed the market , strengthen, not seed, we're already there in the market, how will we consolidate our position in the market and how will we send our material from Jaisalmer and the 2 grinding units.

So this will actually -- this is an opportunity for us. We will be serving the market now from -- earlier, there was only practically one source of supply only coming from Nimbahera, Mangrol, which is one entity, if you look at practically.

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Now you will have 3 more locations, and we will have advantage on serving the market in shorter distance, which will be able to have a better market grip and improve upon our market share. We are very confident on that.

Ajay Saraogi: And even after been commissioning of all those capacities, I mean not has the highest utilization levels. So that could be slight

ly reduced by, say, around 4% to 5%, but would again remain higher than the overall average for the country as a whole.

Rajesh Ravi : Agree, agree sir. And anything -- any update on the Saifco expansion in Andhra, the Odisha expansion plans?

Ajay Saraogi: So no, at this point, no plan for expansion. What we are -- for Orissa, we have not got any mining lease as yet. As and when mining lease comes, then we will think about the expansion with time lines. So as of now, there is nothing. Even for Saifco though we have the mining lease. First, we will stabilize and our position in the market, stabilize the plant and start earning profit from there, and then we will look at the expansion.

Rajesh Ravi : Great, sir. Nice to hear this. Thank you and I'll fall back in queue.

Moderator: Thank you. Our next question is from the line of Parvez Qazi with Nuvama Group. Please go ahead.

Parvez Qazi: Hi. Good afternoon, sir. Congratulations for a great performance and for taking my question. So my first question is regarding our expectation for FY27 in terms of volume growth in the gray cement business ?

Ajay Saraogi: So we should be in FY 27, we should also be growing in a double -digit growth. So we expect the market to grow, say, around 6% to 8%. And as far as our volumes are concerned, so as we said, we should get incremental definitely 2.5 million tons incremental volume, maybe more.

Parvez Qazi: Great to hear, sir. The second question is regarding the progress on the cost reduction front. Any commentary on that would be great.

Ajay Saraogi: So see, as we have already achieved the major cost savings, but it's ongoing. We see another INR50 which we should get in this fiscal, mainly coming -- mainly driven by, a, on the green power and some -- and on AFR in the South and the North plants.

Parvez Qazi: Sure, sir. And last question, what was the fuel mix in Q4?

Management: See, we were using based on the heat value around 50% of the [petcoke 0:25:45] and 12% is the alternate fuels and balance is the Indian coal.

Parvez Qazi: Great sir. Thanks and all the best.

Moderator: Thank you. Our next question is from the line of Pathanjali Srinivasan with Sundaram Mutual Fund. Please go ahead.

Management: Hello.

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Moderator: Pathanjali Srinivasan , your line is unmuted. You may proceed with your question. As we're not receiving a response from the current participant, we will proceed to the next participant. Our next question is from the line of Tejas Pradhan with Citigroup. Please go ahead.

Tejas Pradhan: Yes. Hi, sir. Most of my questions were answered. Just a couple more. On the recent Limestone Block that you have won in Andhra Pradesh that you have filed, any color on any update to our medium -term expansion plans based on this block? I mean, what's the reserves here, if you are planning to add any capacity, in any ?

Ajay Saraogi: No immediate. See again, limestone deposits are being looked at and are being acquired looking into way forward how we would like to expand and become maybe become a more national player. So as of now, see, we already have a plan for 2030. I mean this limestone of Telangana may be our next phase of expansion.

Tejas Pradhan: Okay. Understood. Do we -- what is the limestone reserves over here in this block?

Ajay Saraogi: 500 million tons.

Tejas Pradhan: Okay. Okay. I understood. Just 1 more question on the cost savings guidance that you have given, INR50 per ton this year. Does this include generally you have a cost benefit when the new commissioned plants ramp up, right, because you have been seeding the East India market through your other capacity, right? So -- and you would have waste heat recoveries, etcetera,

coming up in this plant. So does this include this thing, or some additional cost benefit could come from?

Ajay Saraogi: No, no, no. Actually, these are for the existin

g operations. When we look at what are the initiatives -- some of -- I mean one is increasing. See, if we optimize more on the -- whatever we optimize on the existing waste heat, that is part of the cost saving. Installation of new waste heat is not part of the saving.

Tejas Pradhan: Okay. So could there be any additional benefit from the Central India ramp -up that you could get?

Ajay Saraogi: So Central India ramp -up cost benefit will definitely be there. It's when it's reflected because Central India, we have a major because cost advantage in that region.

Tejas Pradhan: Okay. Understood. And just one last question. Could you share the consolidated cash balance as of FY26?

Ajay Saraogi: Actually, our standalone and consolidated cash balance is the same because the subsidiaries are mainly Saifco and Fujairah, where there hardly there's no cash balance as such.

Tejas Pradhan: Okay, okay. Thanks. Yes.

Moderator: Thank you. Our next question is from the line of Siddhart with Kotak Securities. Please go ahead.

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Siddhart : Thank you for the opportunity, sir. One of our peers mentioned that they're having some regulatory clearance issues in Punjab, which is also the location for one of our plants. So I just wanted to check, are we sort of also anticipating some similar issues, especially given the fact that there may be election related slowdown there ?

Ajay Saraogi: As of now, I mean it's very difficult to say, but we are -- we don't foresee I mean wherever -- what we have identified that there should be any issues. But if there are, we will inform everyone. But as of now, there are no issues.

Siddhart: Understood, sir. That is very clear. Secondly, sir, just wanted to get a sense of what sort of cost inflation we are looking at. So could you just break it down perhaps into different segments such as fuel, packaging, etcetera?

Ajay Saraogi: See, as far as fuel is concerned, yes, it is an impact, but every day situation changes. Even as of now, today, you see the situation. But again, it will take things -- it will take some time for the things to be -- if everything gets normalized, even to get things normalized, it will take about 3 to 4 months.

So I don't think so that what will be the fuel situation for supply, whatever we have new orders, which we have already secured for up to September. So we have to have a planning till September. So that inflation -- that cost trend, we have already informed you. I mean that it's about 150 and it may go up to INR200. There are other cost increases on account of whatever is the diesel price increase because that has -- whatever it comes that has an impact. We are really not -- we do not know what could be the impact of that. But again, our efforts would be that we would try to pass on that increase. Packing cost, it was there, but now it has already reduced. The packing impact, which was there sudden because of increased demand and now the alternatives have already been worked out and the packing cost factor, which was there, that has reduced I think substantially, it has been addressed.

Siddhart: Understood, sir. Sir, if I may, say, in the recent, say, 10 -odd days, we've had a fairly substantial increase in diesel prices about, say, INR8 to INR10 per liter. So what sort of impact does this sort of increase have on our freight cost a ballpark figure, is okay?

Ajay Saraogi: See, as of now, whatever increase had taken place, there has not been any significant impact, maybe about INR10 because it did not -- yes, there were people facing -- there's always -- there is already some shortage in the market of diesel. So it is paint. But now there has been an increase announced only yesterday. We have to see what is coming in the pipeline, how does -- how much we have to pass on. It will depend. We have to wait and watch.

Siddhart: Understood, sir. Just a last bookkeeping q

uestion. Sir, what was your paints revenue and EBITDA for this year?

Ajay Saraogi: So the paint top line was INR380 crores. And there was...

Management: Around INR40 crores.

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Ajay Saraogi: INR40 crores plus loss was there in the paint business.

Siddhart: Got it, sir. And we expect it to breakeven next year?

Ajay Saraogi: Yes, yes. So now we expect a top line of INR500 crores to INR550 crores in this fiscal. And with the improvement in the gross margins and other things, we expect that this year, we should have a breakeven on the way of marginal EBITDA, but definitely...

Moderator: Our next question is from the line of Pathanjali Srinivasan with Sundaram Mutual Fund.

Pathanjali Srinivasan: Sir, I have a couple of questions. So firstly, with respect to our other expenses, is there any onetime or promotion kind of expense, which we have spent on the higher side because on a year-on-year basis, the increase seems pretty steep?

Ajay Saraogi: See, other expenses, one is an increase because of increase in the business in the volumes. So it has -- other expenses includes packing costs, includes stores and space and certain selling expenses, which are variable in nature. So as our volumes increase, there is the impact is there.

The other head where the increase is there that we are investing on some of the branding both in the gray and the white business. So because of the investment in branding, which with the current market, we need to do that. There is an increase, which is not very substantial, but incremental company may be doing about INR50 crores to INR60 crores additional branding.

Pathanjali Srinivasan: And one more area which we have like kind of changed our lead distance has come off quite a bit. So will we start seeing benefits from this on a per ton per kilometer basis going forward?

Ajay Saraogi: Yes, we have to see, per ton per kilometer as we enter new areas, what is happening, every region has a different per ton per kilometer range. And now in our case, what is happening, all the incremental volumes which are coming, which is all road -based.

We do not have the incremental volume on not rail -based, which will come with the new expansion when we do at Jaisalmer. So on per ton per kilometer, though we are -- we'll be able to maintain. But again, lead distance depends as you have to reach out to new markets. So more or less, we are -- we should be able to maintain the same lead distance and increase upon our volumes.

Pathanjali Srinivasan: Got it, sir. Just one related question, sir. What is the impact for us with the sensitivity with respect to increase in diesel prices? Like do you give me some rough numbers for that?

Ajay Saraogi: See, diesel prices may have an impact both internal and external. One is the internal material movement. I think if -- suppose it goes up to INR10, INR11, which is a fair number. I think it will go up as the way the government is doing. Today, it has already been now INR7. So INR11, INR12, it may have an impact of maybe about INR50 a ton, INR60 a ton.

Moderator: Our next question is from the line of Girija Ray with Nirmal Bang.

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Girija Ray: A couple of questions. Do you see any kind of -- first thing is about the pricing? Do you see any kind of pre -monsoon price hike? And second will be on the demand. So don't you think we are a bit conservative on giving the full year industry growth of around 6% to 7%?

Because post -COVID, we saw some kind of revive in demand. Again, in FY25, we saw a drop year-on-year volume growth or demand. So what's actually happening in ground level things are not working kind of infra work or anything, any kind of issues or challenges we are facing that we are a bit conservative on our industry demand growth?

Ajay Saraogi: No, we are conservative. Again, 6% to 8% is a fair -- if you look

at the cement industry, it has

been growing at 6% to 8%. Normally, it was an old formula. The cement grows at 1.2x the GDP growth or GDP sometime, but that was the old one. I think cement infrastructure, as you said, on infra spend, that is -- there is a good demand. But we have to see, what we are saying 6% to 8%, look at the present geopolitical situation, which is having some impact on many businesses.

All this impact does have an impact on housing. We may see. We have not seen any major, but we have to factor all this because people -- I mean, if they are short of -- their businesses are down, they may have to defer their housing investment for some time.

Girija Ray: So is there any kind of -- do you see any kind of liquidity crunch or cash flow issues from the government side? Do you see any kind of things?

Ajay Saraogi: Government side, I don't have to comment on that. Everybody knows you may be in a better position to know what is the cash position in case of government.

Girija Ray: Okay. And this pre -monsoon price hike, do you see any kind of...

Ajay Saraogi: Definitely with the cost increase, yes, it would like to pass on all the cost increase prior to the link period, that would always be the effort, and we will see wait and watch and see whatever price increase we can do at least pass on all the cost increase.

Moderator: Our next question is from the line of Shravan Shah with Dolat Capital.

Shravan Shah: A couple of questions from, sir, my side. Sir, first, when we said that for this year, we are looking at least 2.5 million ton incremental volume and maybe more. So similar way, one can also look at for FY '28 also given Jaisalmer, all the Bikaner, Jaisalmer, and the Punjab would also support the incremental volume at least for second half? And maybe if you can also highlight, maybe even if we can try to start the plant by 2, 3 months earlier, so that can also

have some extra volume. So similar 2.5 million, 3 million ton extra volume is also one can look at in FY '28 also.

Ajay Saraogi: Sure, sure. Again, we are making investments. If we are making a capital investment on capacity, definitely, we will like to have that volume growth. And we are working. We will -- going forward with our plans on 2030, you will see that minimum earlier I said that we should get on an annual 2 million additional volume.

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Now I've already revised that to say 2.5 million. And going forward, hopefully, we'll revise it to minimum additional 3 million every year. So we have to get that. We have to give the return on investment also.

Shravan Shah: Yes, sir, yes, Yes. Second, sir, in terms of CC ratio, so currently, maybe in fourth quarter or maybe entire FY '26, is it still at 1.55? Is there a way to further improve this?

Ajay Saraogi: See, there are ways, again, it also depends on the demand pattern. As we see, there is a good infra growth. And infra is more on OPC. So we have to see in which way the demand is growing. And it's not -- so all the clinker cement ratio depends upon the mix and as we cannot just ignore and it is not possible to get this growth only on trade.

Shravan Shah: Okay. Okay. Got it. Sir, just to clarify on the staff cost, the previous answer, I think it was on a stand-alone basis. On a consol basis also similar way when we are looking at 12%, 14% kind of on the full year basis kind of a growth because on this quarter, the consol employee cost is INR291 -odd crores. So from Q1, we should further see the further increase here?

Ajay Saraogi: Yes. Of course, from Q1, you will see an increase. The increase, as I said earlier, increase is on account of the increments and we have already -- as per the Labor Code, we have reclassified the salaries to meet out the Labor Codes requirements. So that is also having some impact on the wages.

Shravan Shah: Okay. And sir, on the capex front, sir, has me

mentioned that FY '27, we are looking at INR3,500

crores to INR4,000 crores kind of capex. But Jaisalmer balance capex is INR3,900 -odd crores.

So -- and then from next year, so does that also mean mostly we would be completing this and

the extra FY '28, what we are saying INR1,500 crores to INR2,000 crores. So this will be for

Muddapur expansion that will be our next?

Management: No, we have not considered the next expansion in days, because this INR3,500 crores is not going towards the Jaisalmer expansion, the entire capex, it includes the normal capex. It includes the capex on the putty plant, which is going on. Then we also consider the investment as part of this like whatever we are doing for the solar tie-ups or investing in the Saifco or the paint.

Ajay Saraogi: So there is an investment also in coal block and there is other normal capex. So what we -- so out of INR3,500 crores, which we expect maybe the overall capex, about INR1,000 crores -- INR800 crores to INR1,000 crores would be the normal capex and other capex and about balance could be on the greenfield expansion.

Shravan Shah: Okay. And in Panna, entire roughly INR680 crores was supposed to be spent the balance capex out of the announced INR2,850 crores. So have we entirely done in the fourth quarter or something is pending?

Management: What is happening in case of Panna, there is some spillover capex and expenditure remaining to the railway siding. Number two, I'm happy to inform that out of INR2,850 crores, there would be a good amount, at least INR200 crores to INR250 crores saving -- about INR300 crores saving in Panna. So we will end up the project at a lower cost.

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Shravan Shah: Great. That's a great thing. And sir, on the paints, when we said that the INR500 crores to INR550 crores revenue that we are looking at for FY '27 and EBITDA breakeven or maybe positive. So this will be the for entire full year on an average basis, we are saying, not for by exit of FY '27?

Management: No, no, no. I'm talking about the full year. The INR550 crores is not exit. It is a full year number. INR500 crores is a full year number. I mean I said EBITDA positive is the full year number.

Shravan Shah: Okay. And then the incentive from the -- maybe the INR29 crores that we have seen for fourth quarter, from third quarter onwards, we should start seeing this number should be significantly jumping up to INR70 crores...

Management: So it may vary quarter-on-quarter, but I'm saying full year number should be around INR250 crores.

Shravan Shah: Yes. I'm trying to understand the FY '28, that number, if the run rate goes to INR70 crores,

INR75 crores, then this number would be INR300 crores for FY '28. So I'm trying to understand?

Ajay Saraogi: Yes, could be, yes, definitely, it will increase going forward then.

Shravan Shah: Yes. And on the wide business front, on the volume front, now the 0.6 million tons, 6 lakhs will be there by Q2 or maybe 1 or 2 months early. So we should be seeing for a full year basis, how one can look at on the volume at a consol white cement?

Ajay Saraogi: So consol white cement, we expect you should see an 8% to 10% growth.

Shravan Shah: Okay. So that run rate will keep on going on for us?

Ajay Saraogi: Yes, yes.

Shravan Shah: Yes. And lastly, sir, thermal power plant capacity, 27.5 megawatt that we have reduced in this quarter. So from which plant or any specific reason...

Ajay Saraogi: Actually, we have -- the thermal power plants at the white cement and one thermal power plant at the gray cement. That is -- now we have discarded that power plant. As it is -- we are not operating, it is not economical to operate. Now we are going for more green power.

Shravan Shah: So are we going to sell as a scrap or can we get some kind of a revenue or it will remain as it is or maybe we can use as and when required?

Management: So

mostly, we should sell it as a scrap only.

Shravan Shah: Okay. And then green sir, now the WHRS is there. So this 51%, 52%, how we can look at for full year FY '27, this number going up?

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Ajay Saraogi: FY '27, it should increase by 2%, 3% because we are -- some approvals from the state government and from the [group 0:49:26] power, the listing is there. I think this should be closer to 55% by FY '27.

Shravan Shah: Okay. Because if we -- the target is to reach 75%. So I'm just trying to -- so the main increase will start coming from FY '28 onwards to reach that 75%...

Ajay Saraogi: We will reach that number once when we put up green power, it takes time before it gets installed when combined, we have about already 80 megawatts in process. So, once it gets commissioned, it will substantially improve the green power.

Shravan Shah: Okay. Lastly, sir, what you said is basically the cost increase overall and the price increase. So, net-net, for Q1, we should be -- at least should be seeing a similar kind of a profitability if everything is one considered as on today's date, if everything remains as on. And maybe Q2, if the price increase is not there, then maybe some pressure can come in on the profitability.

That's the way one can look at it.

Management: You can look at that way, it depends.

Moderator: Our next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: I have two questions. Firstly, on your white cement profitability. Is this on an EBITDA per ton basis, including putty similar? Or how does that compare to gray cement performance?

Ajay Saraogi: See, we don't share separately the white cement profitability and putty.

Prateek Kumar: But directionally, I mean, I know it has been coming down from an industry perspective?

Ajay Saraogi: Yes. That's been coming down because of increased competition. And I think now going forward, it should not further reduce.

Prateek Kumar: Okay. And bookkeeping question. Your North operations will be now running at close to 100% utilization. And Central region, you have -- your capacity has now increased to almost a similar, I think, maybe slightly higher than North. How is the North?

Ajay Saraogi: North still remains the highest capacity out of 32 million. Basically, if you say 15.5 million is North and 16.5 million South and Central is 12%, 4.5% is South.

Prateek Kumar: As a debottlenecking which you have done in this year are one which one plants?

Ajay Saraogi: Mainly it is in the South plant where we have increased the capacity from 3.5 million to 4.5 million.

Prateek Kumar: Okay. South has seen 1 -million -ton increase. And just related question on Central region. We have crossed in Central region on expanded capacity, what would be the utilization?

Ajay Saraogi: So expanded capacity overall utilization should be around 65%, 75%, combined.

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Prateek Kumar: Okay. On a 12 -million -ton volume, you have 65%, 70% utilization, right?

Ajay Saraogi: The run rate.

Prateek Kumar: Okay. Sure. These are my questions.

Moderator: Ladies and gentlemen, we will now take our last question from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi: Hi, good afternoon and thanks for taking my follow -up question. Just a couple of bookkeeping

questions. What was our Kcal cost this quarter, the rail share and the CC ratio?

Ajay Saraogi: The Kcal cost was INR1.48.

Parvez Qazi: Yes sir, the rail share, sir?

Management: It was 8%.

Parvez Qazi: And lastly, the CC ratio?

Ajay Saraogi: CC ratio like, we were at 67%.

Parvez Qazi: Great sir. Thanks, and all the best.

Moderator: I would now like to hand the conference over to Mr. Vaibhav Agarwal for closing comments.

Over to you, sir.

Vaibhav Agarwal: Sir, I had a couple of questions. Actually, the first

question was that a lot of your -- this is

especially regarding Central India operations. So, a lot of your peers have been kind of -- since

the time you started the new kiln. They have been kind of giving the feedback that JK Cement

is trying to push a lot of volumes, especially in non-trade segment, which is actually bringing

the broader pricing to a subdued level in Central India. And so, what is your response to this?

Is this -- what is your strategy in Central India operations in terms of ramping up utilization

and correlation to pricing? How do you respond to that?

Ajay Saraogi: No, no. That was about 2 quarters back. But definitely, as per -- it's not non-trade, but as per

KAM, we see KAM as a major driver for the volumes, and we are not only Central India, of

course, we are working out on key management account to increase our volumes. And so, we

are not dumping any material anywhere.

Vaibhav Agarwal: So, in Central India per se, you are -- there's no reason for worry from JK Cement perspective?

Ajay Saraogi: No.

Vaibhav Agarwal: Okay. And sir, second question was that, when we had our recent Investor [Road 56:09] in

March, so you had actually guided for -- and you have been guiding for a 50 million capacity

by FY30. But now given that a few players are kind of holding on their expansions, whereas

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companies like the industry leaders, especially UltraTech Cement, they are now talking about 300-million-ton capacity.

So, what would be JK Cement thought process would be after Jaisalmer? So, I know it's a little early to give a response to this, but because you have been executing very well and you have shown in your execution all the time through that you can execute capacity as well as volumes given by several things.

So, going forward also, assuming that geopolitical situation doesn't settle out and other peers'

kind of reduce that capacity expansion, will JK Cement continue to move forward to the 50

million road map? Are you confident of it? Or there could be a possible delay?

Ajay Saraogi: See, Vaibhav as on date, we are confident that whatever we have planned for 2030, and we

don't foresee any change in that plan. However, in case some -- because of geopolitical

situation, there is a major challenge on cash flows because of geopolitical external factors, and

we may have to shelve for another 6 months or so, but nothing wrong. We are quite sure that, I

mean as of now, we don't see any problem. We are quite confident that we will go ahead with

our plan for '28.

Vaibhav Agarwal: So, sir, just a follow-up on this. So, Prashant sir gave a guidance of INR1,500 crores of capex

for FY28. So that factor in your road map of INR1,500 crores or should there would be

additional...

Ajay Saraogi: See, what he has given a guidance is only with respect to the commitments as on date. When

we give a guidance, we don't include what we have not committed so far. The next expansion

is definitely there on the cards. We are planning for it. We will go ahead with it. But we will

give the capex commitment plan only once it is approved by the Board.

Vaibhav Agarwal: Understood, sir. Thank you, sir. On behalf of PhillipCapital India Private Limited, we would

like to thank the management of JK Cement for the call, and also many thanks for the

participants in the call. Thank you, everyone for joining the call. Thank you, sir.

Ajay Saraogi: Thank you, Vaibhav. And thank you everyone, for joining the call. Thank you.

Moderator: Thank you. On behalf of PhillipCapital India Private Limited, that concludes this conference.

Thank you all for joining us. You may now disconnect your lines.